

Garden Reach Sh. (GRSE)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: Jun 2023

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Garden Reach Shipbuilders
& Engineers Ltd.

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(A Government of India Undertaking, Ministry of Defence)

CIN NO. : L35111WB1934GOI007891

SECY/GRSE/BD-69/AM/04/22-23

To,

National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex, Bandra (E),

Mumbai -400 051

Symbol: GRSE

Dear Sir/ Madam, 06 Jun 2023

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort

Mumbai -400 001

Scrip Code: 542011

Sub: Transcript of Investors/ Analyst Con Call for Q4 & FY-23 of GRSE -Reg 30

1.Further to our invitation letter nos. SECY/GRSE/BD-69/AM/04/22-23 dated 25 May 2023 and 29 May 2023, we wish to inform that Conference Call for Investors and Analysts has been held on Tuesday, 30th May, 2023 at 03.00 p.m. to discuss the Audited Financial Results of the Company for the Quarter and Financial Year Ended 31st March, 2023.

2.In this regard and pursuant to Regulation 30 read with para A of Part A of Schedule III of the SEBI (LODR) Regulations, 2015, the transcript of the analyst/ conference call for Q4 & FY 23 of the Company is enclosed herewith.

3.This is for your information and records.

Thanking You,

Yours faithfully,

For GARDEN REACH SHIPBUILDERS & ENGINEERS LIMITED

Sandeep Mahapatra

Company Secretary and Compliance Officer

ICSI Membership No. ACS 10992

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Q4 & FY23 Earnings Conference Call

May 30, 2023

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anagement:

1.Cmde P.R. Hari, IN (Retd) – Chairman & Managing Director

2.Shri R.K. Dash – Director Finance & CFO, Director (Personnel) (Additional Charge)

3.Shri Sandeep Mahapatra – Company Secretary & Compliance Off icer

Garden Reach Shipbuilders & Engineers Limited

Q4 & FY23 Earnings Conference Call

May 30, 2023

Moderator: Good afternoon, ladies and gentlemen. I'm Vikram, the moderator for this conference.

Welcome to the Conference Call of Garden Reach Shipbuilders and Engineers Limited, arranged by Concept Investor Relations to discuss its Fourth Quarter and Year ended

31st March 2023.

We have with us today, Cmde PR Hari, IN (Retd.) ■ Chairman and Managing Director and Shri

RK Dash, Director (Finance) & CFO, Director (Personnel) (Additi onal Charge).

At this moment, all participants are in a listen■only mode. Lat er we will conduct a question

and answer session. At that time, if you have a question, pleas e press '*1' on your telephone

keypad. Please note this conference call is being recorded. I would now like to hand the floor over to Cmde P.R. Hari, Chairm an and Managing Director.

Thank you and over to you, sir.

Cmde P.R. Hari: Thank you, Vikram. Ladies and gentlemen, on behalf of the mana gement of team GRSE, I wish

you all a very good afternoon. I am Cmde P.R. Hari, the Chairman and Managing Director of the company, and I have with me here Shri Ramesh Kumar Dash, Director (Finance) and Chief Financial Officer, and Mr. Sandeep Mahapatra, the Company Secretary.

Let me at the outset welcome you all to this con call to discuss the Financial Performance of the Company for the Quarter ending and Financial Year ending 31st March 23.

I'm sure that you are all familiar with the operations and the functioning of the company since we have interacted through con calls and in physical mode over the last one year. I believe that it is the physical performance coupled with effective treasury management that translates into a strong financial performance.

And so let me take you through the highlights of our physical performance in the year gone by. The order book position, the execution plan for the current orders and also give you a glimpse of the future outlook of the company. We started the last financial year i.e. FY23 with an order book of ₹24,147 crore. That

comprised of seven projects including 24 marine platforms. Brief for the Indian Navy i.e. the P17 Alpha projects for three warships, four Survey Vessel Large ships and eight Anti-Submarine Shallow Watercraft, there is total 15 ships from these three projects for the Indian Navy. One project for the Indian Coast Guard of Fast Patrol Vessel Project comprising of one ship because we had already delivered four ships earlier, so one ship was remaining. A project for the Government of West Bengal, an electric ferry, we call it the "Next-Generation Electric Ferry." One project comprising of six patrol boats for the Government of Bangladesh. And another export project for the Cooperative Republic of Guyana, a passenger and cargo vessel. So total seven projects, 24 marine platforms. Of these, we have completed two projects, the Fast Patrol Vessel project for the Indian Coast Guard, we delivered this ship on 31st December

2022 as against a contractual date of 31st January 2023 that means a month ahead of schedule. We also delivered the Passenger-cum-Cargo vessel for the Government of Guyana on 12th December 2022, well ahead of schedule.

In addition, we have completed seven launches. Now, launch is a very main production milestone in the construction site of our warship. So we completed seven launches during the year gone by i.e. FY23, one Fast Patrol Vessel, one Ocean-Going vessel, two Anti-Submarine Shallow Watercraft, two Survey Vessels and of course the prestigious P17 Alpha, the second ship of the P17 Alpha project.

In addition, we also laid keel for six ships i.e. five Anti-Submarine Shallow Watercraft and one

ssel for the Government of West Bengal, the Next-Generation Ferry. As mentioned, of the seven, we have completed two projects during the year. And now, I shall brief you regarding the status of the ongoing projects. The P17 Alpha Project is now at a phase where the physical construction is reaching its mid project phase. The first ship, we already completed 50% of construction, the second ship following closely with around 45% of construction and the third ship chugging along fast at 30% of construction. We intend delivering this ship commencing mid-2025 and shall complete the delivery of these ships during mid-2026.

Coming to the Survey Vessel Large project, the first ship has already achieved plus 80% physical construction, the second ship following very closely with over 70% construction, the third and fourth ships with 55% and 40% of physical construction. Of this, the first ship is now at the trial phase and we intend delivering the ship this year. The last of these ships, which I had mentioned that has now touched the physical progress of around 40%, shall be launched during mid-June this year. If you look at this project as the whole, as I had mentioned, the first ship delivery will commence this year and we should complete this project during the next year i.e. 2024-25.

Now coming on to the Anti-Submarine Shallow Watercraft project, we have already launched two of these ships and both these ships have touched plus 50% of physical progress. The third ship is planned to be launched during mid of June and the delivery of these ships are planned between 2024 and 2026. The Next-Generation Ferry that we are presently building for the Government of West Bengal, we intend delivering the ship during the Q3 of the current financial year targeting November for delivery. And the last project that is the Bangladesh boats, the patrol boats for the Government of Bangladesh, we intend delivering the ships in the current financial year.

The last financial year ended with an order book of ₹25,111.29 crore. How the figure has gone up is through a contract conclusion that we achieved with the Indian Navy for four in number Next Generation Ocean Going Patrol vessel. We concluded the contract with Navy on 30th March 2023 with an order value of approximately ₹3,500 crore.

Product diversity has been our (USP) Unique Selling Point. And with our products ranging from warships to bailey type portable steel bridges to marine diesel engine, we have taken this level of diversity to another level. Having concluded a contract with the Indian Navy for commissioning, supply of 10 naval standard guns, 30 mm naval standard guns with an order

value of around ₹250 crore. This contract has been concluded very recently.

Coming to the Bailey Bridges segment, as I had stated during our earlier interactions also, we own around 60% to 65% of the Indian market, and last year we had concluded an MoU with the Border Roads Organization, one of our major customers for 30 modular bridges and on 7th of May this year, we have signed an MoU for another 30 bridges.

In addition, in the last financial year, we have been accorded the "Green Channel Certification", the only Indian organization, manufacturing Bailey bridges to be certified by the Quality and Assurance organization of the government. In this segment, we are also executing an order for the Government of Bangladesh, again for modular bridges.

On the marine diesel engine segment, hitherto we have been only assembling, testing and carrying out trials of diesel engines. These engines come in semi knocked down or fully knocked down condition from our partners and we used to assemble these engines, test them and hand over to the customer. In the last year, we have moved a step ahead and concluded an MoU with the Rolls Royce for localization of high speed engines. We expect good dividends

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nce this MoU has translated into a license agreement as these engines are in high demand for our major customers i.e. the Navy and the Coast Guard.

Another vertical that we have been providing impetus over the last year and a half to two is on ship repairs. We had taken over three dry docks from the Kolkata Port Trust (KoPT) during end '21 and these three docks that we have taken over from KoPT, have been almost having 100% occupancy and we have been carrying out refits of Coast Guard ships and commercial vessels in this facility. Going forward, our aim is to consolidate the strength that we have from a very healthy order book and conclude and execute the existing orders, with the last order, that is the Next Generation Ocean Going Patrol vessel by FY29. And while we execute these orders also bid aggressively to get new orders that are on anvil.

Having covered our physical performance, I shall now share the highlights of our financial performance. We have recently declared our Audited Financial Results and I'm really happy to inform you that in terms of financial performance, FY23 has been the best ever in the history of our company. The revenue from operations have gone up by over 45% i.e. 45.7% from ₹1,754 crore during FY22 to ₹2,561 crore during FY23 and so has the total income gone up from ₹1,918 crore to ₹2,763 crore. With the EBITDA going up from ₹294.88 crore to ₹351 crore, registering a growth of 19%. PAT going up from ₹189.53 crore to ₹228 crore i.e. growth of 20%.

Our earnings per share has gone up from ₹16.55 to ₹19.91 registering a growth of 20%. The PE ratio moving up from 13.68 to 22.88. Our net worth going up by 12.5% from ₹1,257 crore to ₹1,413 crore. Our return on net worth correspondingly has seen a growth of 20% from 15.07% to 16.14%.

With this, I conclude my introductory remarks and the moderator could take on and steer the questions please.

Moderator: Ladies, gentlemen, we will now begin the question and answer session. We take our first question from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Sir, I have a couple of questions. The first one is essentially on the revenue booking that we are expected to do in this year. Looking at your platform, the patrol boat would be delivered sometime this year, the frigates are in advanced stage of where you have peak revenue booking. So just wanted to get an idea of how much revenue booking we are looking for this year, and possibly if you can mention for FY25 actually?

Cmdr P.R. Hari: We have had interactions earlier on the revenue generation from 2022 to financial year '28.

That is when the current order book excluding the next generation of Baileys are going to be completed. Now in the last year, when the projects had with the delivery of two ships i.e. the vessel for the Government of Guyana and the Fast Patrol vessel, and with the other projects reaching a level of production maturity where the equipment going, we have registered a growth of around 45.7% and recorded a revenue of ₹2,516 crore. Now coming to the current year and the next year i.e. FY24, '25 and '26. As I mentioned, majority portion of the current order book is from the P17 Alpha project. And within this project, the first ship has touched 50%, the second ship following close by with 45% and the third ship at around 30%. If you're taking a shipbuilding cycle, this is the phase when a ship is moving from 40 to 60 is when the equipment go in, and when the equipment go in and definitely high value equipment going and the cost of equipment is directly proportional to the revenue generated. So, we are very confident and as per our build strategy and the production schedule we expect to maintain an upward trajectory during '24, '25 and '26. That's all I can... I am not giving you figures, but you know the current order position is ₹25,000 crore at the current spend of the financial year.

We have also stated that the projects are inner stage where equipment will go in and I also mentioned that we are on an upward trajectory. So we expect to touch the peak revenue generation during the coming three years i.e. '24, '25 and '26. The process has started.

Actually in FY22 we were just hovering around 1,500 to 1,600 up to 2022. Now the lead has started. And again, I'm reiterating that we will be able to maintain the support trajectory.

Amit Dixit: The second question is essentially on the Next Generation corvette. Now, this particular project has figured in the Standing Committee of Defence report also that till at FY25 the order that they have mentioned that they are likely to place, this particular project fixed over there. So just wanted to get the current status of this and if there are any approvals pending or something, just wanted to get an idea of that.

Cmde P.R. Hari: I'll give you and other investors and analysts who are online a broad overview of this particular project. Why we are very interested in this project is this is one project that we are eagerly looking forward to. The Approval of Necessity (AON) was recorded by the Defence Acquisition Council for this particular project during May-June 2022. AON value is approximately ₹36,000 crore, it's a high value project and this project is for eight ships. And as per the thought process of the customer, that is a Navy, this project is going to be split between two shipyards with the L1 shipyard getting five ships and the L2 shipyard getting five ships. The project states the requirements, the specifications and the customer requirements have been finalized and as per the Defence Acquisition Procedure norms, we expect the RFP for this project to come out sometime during the second half of 2024. Once the RFP comes out, then the process also gets submissi oned and the selection, all those things will go on. And as you rightly said, the contract is expected to be signed with both L1 and L2 shipyards sometime during 2025, we expect it to be mid-2025. Now again, I would like to expand on this particular project that as I mentioned the very, very high value project that is thousands of crores for a single project with the L1 shipyard getting 5 by 8, so that comes around ₹23,000 to ₹24,000 crore. And our strategy would be to go aggressive getting appropriate on getting these five ships order purely because of the captive expertise and experience that we have at GRSE for building corvettes. For information and I have stated this before and some of you know that we are the only Indian shipyard to have built and delivered nine corvettes both missile and anti-submarine warfare corvettes to the Indian Navy. All nine of them are active with Navy and active in service for the nation. So, in a nutshell, high value project, AON accorded, the requirements being finalized by Navy. RFP likely to be out during second half of calendar year '24 and order likely to be during mid calendar year '25.

Moderator: Next question from the line of Dixit Doshi from Whitestone Financial Advisors. Please go ahead.

Dixit Doshi: You mentioned order book of around ₹25,100 crore. Can you give a breakup of the order book in terms of P17 Alpha, ASW SWC and Survey Vessel Large?

Cmde P.R. Hari: Yes, the order book value is ₹25,111 crore and this comprises of four Survey Vessels Large, three P17 Alpha and eight Anti-Submarine Shallow Water Craft and of course, four Next Generation OPV. Further, P17 Alpha, we have around ₹14,000 crore i.e. 47% of the order is from the P17 Alpha project and the other three projects put together and of course the miscellaneous orders come to balance 53%. The Survey Vessel Large project, we have ₹1,470 crore and the Anti-Submarine Shallow Watercraft project we have ₹5,500 crore and the NGOPV project, a recently concluded contract we have around ₹

3,500 crore. This is the break

up if you're speaking about the high-level items, P17 Alpha of ₹14,200 crore, Survey Vessel around ₹1,472 crore, the Anti-Submarine Shallow Water Craft around ₹5,500 crore and the Next Generation Ocean Going Patrol vessel is ₹3,400 crore.

Dixit Doshi: Now, second question is obviously you touch upon that over next three years we will see the upward trajectory of the revenue. But just to see, so basically P17 Alpha and ASW SWC up for delivery over next 2.5 years. So, is it fair to assume that at some point of time we can do almost like five to six thousand crores of top line over next three years in any particular year?

Cmde P.R. Hari: First point, I would like to clarify is that the survey vessel deliveries will start commence from this year. But, as you can see, survey vessel we are just left with around ₹1,400 crore, all four ships put together. And P17 Alpha, we have around ₹14,000 crore left remaining in the order book and Anti-Submarine Shallow Water Craft around ₹5,000 crore. Now, coming to the deliveries, Survey vessel project will finish between FY24 and '25. Anti-submarine Shallow Watercraft deliveries would commence from FY24 and move on till FY27. And the P17 alpha, the delivery will commence, because there are only three ships, of course, very, very high value ships, P17 alpha will commence from FY26 and end in FY27. I hope you got it. So, mid of calendar year 2025 and the middle of calendar year 2026 to FY27. So yes, there is a definite possibility of the order book touching the figure that you mentioned if you apportion the order book value that is remaining. And this could be in FY25 or FY26.

Dixit Doshi: And my last question from my side on the recently received order of 30 mm Naval Surface Gun. So I think this is the new area where we are entering this year. So, if you can broadly touch upon that, do we have those kinds of expertise or the capacity, I mean we will require the plant or CAPEX and any partnership we will be required to execute this order, and if you can just touch upon the execution timeline and margins in such business.

Cmde P.R. Hari: Yes, we are very excited about this project because it's the first time that an Indian public

sector undertaking other than a core weapon manufacturer venturing into gun manufacturing and we have made a tagline from warships to weapons, that's our new tagline now. This is the part of the government's thrust on indigenization. So far in the shipbuilding scenario, we have been able to attain almost 100% indigenization on the floor part, that is the hull, the steel and associated fitting, they're all 100% indigenized. Coming to the move part means the propulsion systems, maybe we are at around 60% to 65% and the fight part, fight is where the weapons and sensors come, where we were likely as a nation was lagging behind and the trust of the government has been over the last few years to provide an impetus to indigenization in this front also. This is one of the initiatives that the government has steered and we have definitely moved ahead in this direction and we have concluded a contract as you mentioned for 30 mm Naval standard guns for the Navy. The first order is for seven number gun. And yes, we are collaborating with reputed OEM for this project. And since you asked about the execution timeline, it is between 12 to 18 months. We intend to complete this project between 12 to 18 months. And here again, business opportunities are huge because once we indigenize this product and considering that the government thrust is for indigenous system after this project is executed we expect future orders in this line. Project execution time is 12 to 18 months. You've asked the margin. Margins are between 7% to 8%. Dixit Doshi: And any other defense manufacturing we are targeting, anything on the ammunition or anymore defense

equipment?

Cmdr P.R. Hari: I think we have our plates are full. We are one of the biggest defense manufacturers building warships for Navy and Coast Guard with 106 warships only to navy and coast guard. So I think our hands are full and of course we are also providing these portable steel bridges to the army and the border roads organization, now this gun. And, also we have already diversified into deck machinery i.e. fitted on board warships, and definitely I had mentioned earlier during my introductory remarks on the marine diesel engines and high speed diesel engines, which are again used on board warships. So I feel we're limited to just at this moment and unless some new technology comes in, then we will definitely explore such opportunities also.

Moderator: We take a next question from Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Just a few questions from my side. I just missed your initial part. Can you highlight what is the order inflow pipeline for GRSE? And secondly, any update on the next generation corvette order which got the AON approved in the month of May 2022, when it is likely to be tendered out and what is your expectation there, sir?

Cmdr P.R. Hari: On the next generation project, I had addressed this question during an earlier query from one of our other investors. Next Generation Corvette project, as you rightly said, the AON has been accorded during May, June last year. Right now, the technical requirements are being finalized by the navy and this is the project for around ₹36,000 crore for eight warships of the corvette class and we expect the RFP to come out during the end of calendar year 2024 and the contract with the L1 and L2 bidders would be, and this project of eight ships is going to be split between two shipyards with the L1 shipyard getting five ships and L2 two shipyards getting three ships and the contract is expected to be signed during 2025 calendar year. Coming to the order book, you must have already listened that the order book stands at ₹25,111.29 crore at the end of the last financial year. And now, since you asked about the order pipeline what we expect or what is on the anvil. One 14 fast patrol vessel project for the Indian coast guard, the RFP is already out and soon we will definitely be submitting our bid for that. This could be in the tune of plus ₹1,000 crore and six ocean-going patrol vessels for the Indian coast guard, again, the RFP is out and we will again be submitting the bid for this. And two more projects, one of project for coast guard for a cadet training ship and a project for the PORC i.e. Polar Oceanographic Research Center which comes under the DRDO. They also come out with a one of polar research ship, the value could be between ₹750 to ₹1000 crore. So these are the four RFPs which are live as of now. And of course, the Next Generation Corvette which is the offering may begin second half of '24. Navy has already come out with an RFP for 21 warships. The response has been given by all of us means the four different shipyards, the Cochin Shipyard and the other private players. And we expect that RFP to come out in 2024. Two multi-purpose vessels from navy, RFP is likely to come out in 2024, order value could be in the range of around ₹1,500 crore. 120 Fast Interceptor Craft again for the Indian Navy, RFP is expected in 2024-2025. Five Next Generation Survey Vessels, this is similar to the survey vessels that we are currently building. These ships could be with some more advanced features that's why they called the next generation survey vessel, RFP is likely to come out in 2025. A hospital ship for the Indian navy, RFP is expected in 2025. 18 next generation fast patrol vessels for the Indian coast guard. In '25-'26 RFP could come out. And 22 interceptor boats for the Indian Coast Guard, RFP is expected in 2027. So this in a nutshell are the order

s that are on the anvil. This could be between any of the capable and qualified shipyards among the names that I mentioned.

Harshit Kapadia: And, sir, what about the landing platform docks?

Cmdr P.R. Hari: There are four landing platform docks, just again is the high value order, could be in the range of between ₹25,000 to ₹30,000 crore. The RFP is expected in 2025. These are in the pipeline over the next two to three years.

Harshit Kapadia: And sir what has been the key reason why we are not able to scale up our EBITDA margins despite our revenue rising to all-time high in FY23, so if you can share something, it would be really helpful, sir.

Cmdr P.R. Hari: If the margin is directly proportional to revenue from operations, I should have had a 44% EBITDA. So I mean even I would love that. But please understand this as I've explained this before, ship building process where the margins are relatively in the range of 7% to 10% now. In case of shipbuilding, I am not speaking of EBITDA margin, I speaking about the PAT margin. If PAT margin is between rather anything plus 7 to 7.5 it is considered good. Now coming to GRSE,

I'm not speaking about small orders which will not have a consequential effect on the overall order book or the revenue. If we take the four major projects that we are executing, major projects i.e. the P17 Alpha, survey vessel, anti-submarine shallow watercraft and the NGOPV. In case of P17 Alpha, that was a fixed price contract which was awarded to GRSE and the profit margins it came on nomination basis which you're fully aware, the profit margins are around 7.5%. Now, in case of the other three projects, we have won them on competitive bidding against competitors including private shipyards where the margins are decent and still we have been able to maintain that margin as a 7.5% last year. Our revenue from operations is totaling to ₹2,763 crore. The PAT was ₹228 crore that comes to 8.26%. As we have discussed earlier, GRSE has been able to maintain and will maintain PAT margins above the level that we have mentioned i.e. around 7.8%.

Moderator: We take a next question from the line of Shalini Gupta from East India Securities. Please go ahead.

Shalini Gupta: Sir, just two-three questions at my end. Sir, you have said that at the nomination contracts guarantee you 7.5% EBITDA margin and a 5% PAT margin. And then in financial year '23 itself, our EBITDA margin was around 5.8% so lesser than the figure guaranteed for you from your nomination contracts. So, sir, my question here is that earlier you have said that you won several projects where the bidding was very competitive. So now going forward, should margins be less than what we saw in financial year '23? I'm not talking about PAT margins because they have a huge element of other income but operationally that is EBITDA margin. Should we expect lesser than what we saw in financial year '23 which is 5.8%?

Cmdr P.R. Hari: From the investor perspective, now GRSE has been giving an EPS, that is 20% rise in our EPS. The market prices gone up almost 100%. PE ratio has gone up. PAT, finally, what transmits into the dividend and the market appreciation of the PAT. You had mentioned the EBITDA margin, I'll answer your direct question, EBITDA margin for financial year 2023, GRSE's total income is ₹2,763 crore, EBITDA ₹315 crore, ₹2,763 crore by ₹315 crore transferred to 12.7%. So the EBITDA margin is not 5.5%

Shalini Gupta: So, it does not include other income

Cmdr P.R. Hari: Now we will say other income. What is the other income? I had mentioned at the beginning. How does the companies function successfully? It's through effective treasury management. Other income is operational capital. That is what we use for running our projects. If we do effective treasury management of that amount, how can it be taken out of our EBITDA or operational income?

Shalini Gupta: This

is the special reason for this. The reason is that the other income comes from a body of revenues which will go out of your book once your large projects like the P17 Alpha completed. Because the P17 Alpha projects will peak somewhere in 2025-26 and thereafter the large portion of other income will come down that is the way the way the contracts are structured, that's what I've understood. So that is why we are always focused on EBITDA without the other income.

Cmdr P.R. Hari: I would not contest that. But it's the cycle. When P17 Alpha is completed, GRSE is not going to end, some other high value projects will come in. That's what we all exist for. And the second part is the PAT which again translates into the dividend is increasing. We registered over 20% growth from the last year. I can only say that these are the values that are available and other income, I reiterate, suppose if we do not do effective treasury management, would we be able to generate so and so amount from our working capital? We would not be. Yes, when this gets into production and when it is utilized for the project, more operating income automatically increases and more projects will come. So, I do not agree that the EBITDA margin is 5.5 percentage. We are very, very confident and reiterate the fact that that EBITDA margin 12.7% and the PAT margin of course it is 8.26 as I mentioned.

Moderator: We take a next question from the line of Umesh Raut from Philip Capital. Please go ahead.

Umesh Raut: My first question is more of structural in nature. So, if I look at medium to long term pipeline, I observe about five to six large marquee projects coming in from the Indian navy, so whether it is next generation destroyer, next generation frigate, next generation corvette, submarine, LPDs. So basically in your view, how Indian Navy will prioritize in terms of acquisition pipeline within all these projects considering that they'll certainly have a funding constraint as well?

Cmde P.R. Hari: Yes, there are high value projects that are coming in. Some of them that is the next generation corvette maybe has already got an AON and that I mentioned it's for around ₹36,000 crore. I deliberately not touched upon the next generation destroyer project because it is still in liquid form. We expect that the project could get crystallized in the coming year and thereafter the RFP will come out. And also coming to the other major project high value, I'm only speaking about high value projects that are going to come from the navy, one would be the landing platform dock, LPD. So, these are the three high value projects that are going to come out from the Navy. And if you're looking at medium value projects, we have a project of five Next Generation Survey Vessels, which could be in the range of from ₹3,500 to ₹4,000 crore. On a similar line, even Coast Guard has got a high value project of 18 next generation patrol vessels coming up. Now, the government allots budgets financial year wise depending upon the progress of the project which has already been sanctioned. And the fund flow that is expected through award of new contracts. So, I don't see budget constraint as the issue at all with respect to project approval or orders in the coming years because these are required for the navy because this has already been approved in the long term perspective plan of both the navy and the coast guard. Now coming to GRSE's stake in that, especially, the Next Generation Corvette, the Fast Patrol Vessel which is enough for niche products, the Survey vessels and the Ocean Going Patrol vessels that are going to come for the Coast Guard where the RFP is already out. It's not a very good chance of becoming L1 or L2 wherever it is a split order. Coming to your specific question of high value projects that I already answered and as

for the project constraints or limitations is concerned, I don't see any issue. Of course, the government's focus is on maximum indigenous production. Now, after 43 platforms that are being constructed for the navy today, 41 are being constructed at the Indian shipyards and the coast guard 100%. Nine Platforms are currently included, all nine by Indian shipyards. Now, between Coast Guard and the Indian Navy, and keeping aside the smaller vessels like Fast Interceptor Craft or Fast Interceptor Boats which are going to come out in large numbers, I am just keeping them out of the current calculations. The numbers of medium and large based platforms range between 45 to 46 for navy and similar number for a Coast guard so, this in a nutshell is the order in the pipeline in the coming year.

Umesh Raut: My second question is pertaining to Anti Submarine Shallow Watercraft. So we are hearing from the media news that there are some supply issues around engine set which required to come from the European countries and basically because of that delivery can get stretched beyond the expected timeline. So what is your view on this?

Cmde P.R. Hari: We do not have any issue with respect to propulsion engines i.e. main engines which are coming from abroad. As a matter of fact, since you asked the question, we have already launched two ships of the project as per the production timeline. One more ship we are launching during mid of June where engine has already been lower. The next two ships we plan to launch in September engines are already lower. As far as GRSE is concerned, there are no issues with respect to propulsion engine, that is the main engine coming in from abroad.

Moderator: We take a next question from the line of Vivek Namashivayam from Shanti Financial Services. Please go ahead.

Vivek Namashivayam: My question is regarding the results which have been posted. If I see the overall record of GRSE as a firm over the last 10-11 years, sales have been more or less flat for nine years and then in the last one or two years, it's shown exponential growth. And if I see the operating profit in 2012 and 2021 or 2022 they are more or less the same, which is ₹144 crore in 10 years. So what has really changed? I know there have been ups and downs, but I'm just talking when I look across a broad timeframe. But in the last 1-2 years, there's been exponential growth, which as was already discussed, not contributing to the same amount of PAT growth except in this year. My question is understanding that the next 2-3 years is going to be very good revenue. Will there be a significant impact or reflection on the PAT growth in the next two years because except for this year PAT has not really grown much over so many years and in the next two years, will there be a reflection on PAT growth significantly and given that the top line is expected to grow very high till '25, '26 as was stated.

Cmde P.R. Hari: As you rightly said, our sales revenue has been more or less flat for a substantial period of time and it started picking up actually from '18-'19 onwards. In FY'18-'19, we were touching around ₹1,386 crore, in FY'19-'20 ₹1,425 crores but we had a dip during the COVID years. I'll just take the COVID year off. Last year '21-'22 then touched our highest revenue of ₹1,854 crore and this year as you rightly said there has been exponential spike. This year the revenue from operations is around ₹2,561 crore. And if you're just taking the PAT vis-à-vis the revenue from operations, PAT then FY'18-'19 was ₹109 crore, then ₹163 crore, then ₹189 crore and

■228 crore now. Why the spike has occurred? I'll first answer the question then come on to your specific question on maintainability of PAT. Why has sales gone up? Why has the PAT naturally, correspondingly increased? We had an order book of plus ■20,000 crore from FY16 itself.

But in shipbuilding translation of an order book into revenue recognition happens at a certain phase. After FY16, then we got two more projects during FY19 that is Anti-Submarine Shallow Watercraft and Survey Large Project. If you are looking at revenue recognition it touches between 40% to 60% where the high value equipment going and they are brought up on the board and so on. So considering the project maturity at this stage, with the first of the P-17 Alpha ships staying in the middle of that phase i.e. 50%, the 2nd ship just creeping into that phase and the third ships following and of course, followed by the other smaller projects that is Anti-Submarine Shallow Watercraft, answering to the previous query that I had stated that we just got about ■1,400 crore left in the other book for survey vessel project and around ■14,000 crore in the P-17 Alpha. Yes, the revenue will be at peak during the next three years that is FY'24-25 and FY'26. Now coming to your question, the PAT will definitely increase. We expect to maintain similar CA GR over the next three years with respect to PAT. I'm not as sure on the exponential price, but we can assure off the edge here of what has been maintained so far between FY'18-19 and FY'22-23, we will maintain that for the next three to four years.

Vivek Namashivayam: Now, you are the leading shipbuilding organization in the country and business is divided across the various shipyards. Is it possible that if there are very very bulky orders which need to be delivered in a short timeframe, the organization has sufficient scale to be able to manufacture as per the needs of the navy, is it possible or you can only do as much as capacity that you have?

Cmdr P.R. Hari: Very interesting question. GRSE, some of you are aware, some of you may not be aware, GRSE perhaps is a very unique shipyard where we have three fully independent shipbuilding facilities all based at Kolkata and all of them have captive shipbuilding infrastructure. With two of these facilities fully capable of end-to-end production, when I say end-to-end production means from plate cutting to delivery with adequate number of dry docks. Because in shipbuilding, the major requirements are dry docks and building berth, adequate number with enough length and breadth, and displacement capacity is available with us here. In addition to that, the moment we decided that we will be venturing into shipbuilding, we would not want to dilute our shipbuilding captive infrastructure. So, we immediately blend in for long term strategic lease with Kolkata Port Trust for additional dry docks. What I'm trying to

convey is that we did not want to dilute our shipbuilding cover. So as far as the capability, one, capacity and the infrastructure facilities are concerned, there is no shortage, we'll be able to make navy and coast guards requirement. The capacity of the shipyard is assessed regularly by customer, they have a structure system for assessing the capacity of every shipyard. And whenever they place an order that is always placed after assessing those capacity, and that's how we have been getting these orders. Now, coming to the point and answering your question, yes, we will be able to meet the needs and requirements of the customers. Adding on to particular answer that I gave; as a strategy to facilitate concurrent construction. Now, we are executing project, eight ship project for anti-submarine shallow watercraft across the navy. We as a strategy have gone into a PPP model with one of our private partners, and we've made a partnership model with them wherein part construction is being done at this particular shipyard. So that will enhance the production. So far as captive capacity, absolutely no issues to enhance the pace. We will be doing some partnerships also. Moderator: We take next question from

the line of Harshit Kapadia from Elara Capital. please go ahead.

Harshit Kapadia: Just wanted to check what is the cash on balance for GRSE?

Cmdr P.R. Hari: Present cash is ■140 crore, the project cash is ■4,421 crore, total ■4,561 crore.

Harshit Kapadia: And also just want to check with you, sir, when we look at other shipyard which are listed, they are enjoying upwards of 10% kind of a margin even at PAT level whereas you are at 7.5%.

So where is the difference, is it the scale, which is the difference, or is there some efficiency which the other shipyard has and probably which is not available with the GRSE, what is the reason why other shipyards are able to do what GRSE is not able to do?

Cmdr P.R. Hari: First point, I would like to say if you're talking about EBITDA margin, for the financial year ended 31st March is 12.7%. I do not agree with this with 5.5%. Keeping that account, we can have our own calculation methodology and concepts. Now, if there are only two more shipyards in India that are listed, the Cochin Shipyard and the Mazagon Dock Shipbuilders Limited. If you're comparing, I would just state that the projects which are being executed by these shipyards are on nomination basis, the major projects, whereas GRSE currently has one nominated project i.e. P-17 Alpha and the balance three major projects have been won on competitive bidding. So it's a phase. If you analyze this over a period of time starting from

now, you may like to do the comparison after a couple of years where each entity stands.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question. I now hand the conference over to the management for closing comments. Over to you, sir.

Cmdr P.R. Hari: Thank you, Vikram. Ladies, gentlemen, we had a very fruitful interaction over the last one hour and I am sorry, I would love to answer more queries but we are short on time and I'm hopeful that if not all, most of your queries have been adequately addressed. We intend to lift the strength of our healthy order book and focus on timely execution of the ongoing projects. We are very confident that we have very clear execution strategy. Shall also be focusing on product diversification. We already started the process and we'll further consolidate on this along with the new technology adoption. Exports shall be another focus area where we have made some inroads and of course ship repair and the portable Bailey bridges. I would like to close by again bringing up the issue of margins which we have been battling this margin perception over the last few interactions and my sincere request to the analyst especially is that the profit after tax is increasing steadily. Second, what you talk about other income has been generated through effective treasury management from our own working capital. Once we both are on the same page, perhaps we'll have a clear understanding about it. So thank you once again for sparing your valuable time to attend this conference call.

Moderator: Thank you, gentlemen of the management. On behalf of Garden Reach Shipbuilders & Engineers Limited, that concludes this conference call and you may now disconnect your lines.

Call: Aug 2023

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Garden Reach Shipbuilders
& Engineers Ltd.

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(A Government of India Undertaking, Minis.try of Defence)

CIN NO.: L35111WB1934GO I007891

SECY/GRSE/BD-69/AM/01/23-24

To,

National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex, Bandra (E),

Mumbai -400 051

Symbol: GRSE

Dear Sir/ Madam, 28 Aug 2023

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort

Mumbai -400 001

Scrip Code: 542011

Sub: Transcript of Analyst Meet/Con Call for Q1 FY 23-24 cf GRSE -Reg 30

1.Further to our Intimation Letter No. SECY/GRSE/BD-69/AM/01/23-24 dated

16 Aug 2023, we wish to inform that Conference Call was held on Tuesday, 22nd August, 2023 at 15.30 Hrs. to discuss the Unaudited Financial Results of the Company for the Quarter ended 30th June, 2023.

2.In this regard and pursuant to Regulation 30 read with para A of Part A of Schedule III of the SEBI (LODR) Regulations, 2015, the Transcript of the Analyst/Conference Call for Q1 FY 2023-24 of the Company is enclosed herewith.

3.This is for your information and records.

Thanking You,

Yours faithfully,

For Garden Reach Shipbuilders & Engineers Limited

Sandeep Mahapatra

Company Secretary and Compliance Officer

ICSI Membership No. ACS 10992

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Registered & Corporate Office: GRSE Bhavan, 61, Garden Reach Road, Kolkata -700 024

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Garden Reach Shipbuilders & Engineers Limited

Q1 FY24 Earnings Conference Call

August 22nd, 2023

Management:

1. Cmde P .R. Hari, IN (Retd) – Chairman & Managing Director

2. Shri R.K. Dash – Director Finance & CFO, Director (Personnel) (Additional Charge)

3. Shri Sandeep Mahapatra – Company Secretary & Compliance Officer

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Garden Reach Shipbuilders & Engineers Limited

Q1 FY24 Earnings Conference Call

August 22, 2023

Moderator: Good afternoon , ladies and gentlemen. I am Michelle , moderator for this conference. Welcome to the conference call of Garden Reach Shipbuilders and Engineers Limited arranged by Concept Investor Relations to discuss its Q1 FY2024.

We have with us today, Cmde P. R. Hari, Indian Navy (Retired), Chairman & Managing Director and Shri RK Dash, Director (Finance) & CFO.

At this moment, all participants are in listen only mode. Later we will conduct a question and answer session. At that time, if you have a question, please press '*' and '1' on your touchtone telephone. Please note this conference call is being recorded.

I would now like to hand the floor to Cmde P.R. Hari, Chairman and Managing Director. Thank you, and over to you, sir.

Cmde P. R. Hari: Thank you, Michelle . Ladies and gentlemen , a very good afternoon to each one of you. I am Commodore P. R. Hari Chairman & Managing Director GRSE. And with me, I have here Shri R. K. Dash, Director (Finance) and the Chief Finance Officer, and Shri Sandeep Mahapatra, Company Secretary.

At the outset, let me thank each one of you for taking time out to attend our earnings call to discuss Q1 FY '24 results. FY '24 has started on a very vibrant note for GRSE with the shipyard recording the best ever quarterly results in the history of the company . Before I elaborate on the financial results, I shall touch up on few of the highlights of our physical performance during the quarter . As far as ship deliveries are concerned, we have delivered one vessel , a passenger cum cargo ferry to the Cooperative Republic of Guyana, and the formal delivery was held on 23rd of April 2023. As far as the project milestones go, we launched three warships during the quarter with two ships being launched on a single day that is 13th of June 2023, the third Anti Submarine Shallow Watercraft and the fourth Survey Vessel Large. I am also happy to inform you that we concluded a contract with the Indian Navy for 10 number 30 mm naval surface gun with an order value of approximately 250 crore .

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We have also launched an all India start up challenge competition GAINS 2023, GRSE Accelerated Innovation Nurturing Scheme basically to tap the start up ecosystem of the nation to enhance the efficiency of the shipyard in new technology adaption . This was done on 22nd May 2023.

Again, happy to inform you that we have launched an underwater autonomous vessel. This was done by the Chairman DRDO, Defence Research and Development Organization, and Secretary R&D during the last call. We have also signed a Memorandum of Understanding with Kongsberg, Finland for localization of Water Jets for the ships being constructed by GRSE and the other shipyard for the Navy and the Coast Guard.

Arguably, the most important event in the history of the shipyard, the launch of a major warship by the Honorable President of India was held as recently as 17th of August 2023. On this day, the third P17 Alpha Ship 'Dunagiri ' was launched.

As far as our order book position goes, as on 30th of June 2023, our order book stands at a healthy 24, 546 crore . This comprises of six projects including four projects for the Indian Navy . These four projects comprised of 19 warships , three P17 Alpha, 10 frigates, 8 Anti Submarine Shallow Watercraft, 4 Next Generation Ocean Going Patrol vessel, and 4 Survey Vessel Large.

In addition, as had stated during the last conference call too that we are constructing an electric ferry for the Government of B

angladesh and Patrol Vessel project for Government of West Bengal.

As on date, the order book value of the P17 Alpha Project , which forms a major chunk of our order book , is 13, 745 crore , ASW Shallow Watercraft Project comprising of 8 Ships

contributing to ₹5,438 crore and the Next Generation Ocean Going Patrol Vessels ₹3,400 crore and the survey vessel around ₹1,300 crore.

Our ship repair segment has also taken off in a very positive manner, and we have concluded two refits of Coast Guard ships during Q1 of FY '24.

As far as the execution plans of the ongoing projects goes, based on our build strategy and the current project progress, the P17 Alpha ships are expected to be delivered from mid 2025 to mid 2026. The first ship is planned to be delivered by August 2025, and the third ship is planned to be delivered during August 2026.

As far as the Survey Vessel Large project is concerned, the first ship is currently undergoing the contractor feed trial. That means it is reaching a project maturity level wherein the ship is being ready for trial and delivery. We intend to deliver this ship by the end of this calendar year, and

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the second ship during early 2024. The third and the fourth ships are expected to be delivered during FY '25.

As regards to the ASW Shallow Watercraft Project is concerned, out of 8 ships, 3 ships have already been launched, and we intend launching one more vessel during the current calendar year and two more vessels during the last quarter of the current financial year, that is early 2024.

We intend delivering first ASW Shallow Watercraft during the current financial year. It is expected to be delivered between February and March 2024. As far as the progress of this entire project is concerned, we intend to complete this project by FY '27.

The Next Generation Electric Ferry project is going on smoothly, and the vessel is planned to be delivered in the current calendar year, perhaps towards the end of the current calendar year. Both the projects, the Next Generation

As we aware, the Next Generation Ocean Going Patrol Vessel contract was signed on 30th April of this year. We started on the positive note and we intend for starting production during the current quarter.

The 30mm Naval Surface Gun project is also going on fine, and we intend to complete this project during FY '24-'25. This in a nutshell gives you an overview of our physical performance, our order book position and the execution plan of the current order book.

Coming to our financial performance, as we had stated, Q1 results have been the best in the history of the company with both the revenue from operations and the profit after tax touching new heights. Year on year, revenue from operations have gone up by 30% from ₹579 crore to ₹756 crore, and our total income from ₹620 crore to ₹826 crore, there is a rise of 33%.

EBITDA, a 57% rise resulting in a value of ₹116 crore, and the profit after tax going up by 64% from ₹50.18 crore to ₹76.68 crore.

Our margins during the quarter have also been encouraging, and the earnings per share have gone up from 4.3 to 6.69. From the investor perspective, the market capitalization has gone up from ₹2,568 crore as on 31st March 2023 to ₹6,590 crore.

So, on the whole, both the physical performance and the results of the physical performance i.e. the financial performance have been good during Q1.

So, with that, I end my introductory address. Now I am open for any questions that you have.

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Moderator: Thank you very much, sir. We will now begin the question and answer session. Anyone who wishes to ask questions

may please press '*' and '1' on their touchtone phone. If you wish to withdraw yourself from the question queue you may press '*' and '2'. Ladies and Gentlemen we will wait for a moment while the question queue assembles.

We will take the first question from the line of Rohit Natarajan from Antique Stock Broking . Please go ahead.

Rohit Natarajan: Thank you for this opportunity, Sir, if you could help us on P17 Alpha , what is the physical progress for individual vessels? How is this expected to see the execution trajectory over the next two to three years ?

Comde P. R. Hari: Thank you, Mr. Natarajan. P17 Alpha , as I had mentioned , is our main project . That is our main revenue earner. And as from 30th of June and I had mentioned , approximately ₹13,700 crore order book value was remaining for execution . As far as the physical progress is concerned, the first ship, that is the ship which was launched last year has year now crossed 55% of physical progress, that is as on 30th of June. And currently , we are almost at 58% of physical progress. With the second ship is at around 47% , and the third ship, which was at 32% as on 30th of June. The 3rd ship has now been launched as stated on 17th of August with approximately 37 plus percentage of physical progress.

Now , all these ships are in advanced stage of construction , and now we will move on to the outfitting phase where the equipment that has been lowered will be installed and buttoned up and the over next two to three years as now we are in 2023, the first ship is expected to be delivered in mid—2025, and the second ship in early 2026 and the third ship during mid—2026. We are targeting August , September 2026. So, this in a nutshell gives you an overview of the P17 Alpha project .

Rohit Natarajan: Sir, on the Anti-Submarine Shallow Watercraft, can you help us to understand, how the revenue execution expected this year and next year ? Also, on NGOPV , what will be their numbers looking like?

Comde P. R. Hari: As far as the ASW Shallow Watercraft Project is concerned, now this project comprises of eight vessels and as I had mentioned, three of these vessels have already been launched. And as on 30th of June, we have around ₹5,400 plus crore order book value remaining .

Now , we intend to be delivering the first of these ships in the current financial year and two of these ships during the next financial year , and intend to completing this project by FY '27. That means between 2023 and '27, all the eight ships will be delivered .

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Now , the three ships which have been launched are currently undergoing the outfitting stage , and this is when the equipment get lowered and so will the revenue will increase . So, if you want a ballpark assessment of the revenue accrual, this ₹5,400 odd crore will be exhausted in the next four years with 2025 being the peak year from this particular project.

Rohit Natarajan: But when I look at the quarter-on-quarter also some improvement as in it has not really moved as such, because last quarter we had ₹5,500 crore which is down only to ₹5,400 crore . So, it's not a 1.5% per month kind of a linear projections that we should build in.

Shri R. K. Dash: Absolutely , it's a very interesting question. It doesn't work in a ship building which I have tried explaining that in ship building , the revenue accrual is not a linear, it doesn't follow a linear pattern . It depends upon what stage of construction the ship is. The maximum revenue accrual is when a ship crosses 40% and then moves up to 60% where the equipment gets lowered. Now we are in a stage where the three ships which have been launched already, they have started giving revenue . So

o, you are absolutely right when we have gone down from around ₹5,500 crore to ₹5,400 crore . This means we would have just in the last quarter taken just about ₹100 crore from this project which signals likely to remain the same even in the next quarter. But in the third and fourth quarter you will see a sharp rise in this when the next few ships come to this level of maturity .

So, to answer your question, in shipbuilding , revenue accrual does not form a linear pattern . Purely depends upon the type and the phase in which the ship is under construction. Now this is an eight ships project . In those three ships launched, three ships are approaching the launch stage . So, in the next quarter I see similar results from this particular project but next to next quarter and the next quarter you will see a hike in the revenue accrual.

Rohit Natarajan: Got it Sir, from a capacity standpoint , the yard utilization , I see that you are engaging even with subcontractors like L&T to outsource some work. Is it because you are already the hands are

full, you may not really want to chase new orders, you want to complete the existing order backlog which puts a question to what beyond the current capacity you want to expand? Can you touch on those strategic aspects? That will be really helpful.

Cmde P. R. Hari: Yes. Thank you. Again, an interesting question. As far as the capacity is concerned, now there are two, I would like to put it in this fashion. There is a pre-launch phase. That means before the ship is launched onto water, you need dry docks and slipways to undertake the work there. Once they are occupied, you will be able to, I mean, your building capacity is limited to the number of dry docks and slipways you have. Then comes the phase after the ship is launched where the ship is tied alongside berth from Jetties as we call where the outfitting happens.

Now, in the case of dry docks and slipways, we have adequate capacity. Actually, we have spare capacity. In the case of berths, again, there is no shortage. Plus, we have taken, I am purely

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speaking about the facilities available in Calcutta. We have taken over three docks which primarily at this juncture we are using for ship repair, but these are also captive dry docks with us which can be used for ship building also in case a situation comes where the order book exceeds our capacity or when it reaches our capacity.

In addition, we had taken over a facility from the Central Inland Water Transport Corporation, that is called Rajabagan Dockyard where over the years depending upon our need, we have revitalized because this is a defunct facility. Now we are transferred into a full-fledged ship building facility, and we have revitalized the dry docks and slipways.

Now, coming to utilization of the capacity of other shipyards as subcontractor, that is purely a business strategy that used to present their concurrent construction. The very fact that GRSE has been able to launch 3 Anti-Submarine Shallow Water Craft and all the 4 Survey Vessels is a testimony to the fact that we are effectively utilizing the spare capacity of other shipyards or other partner yards and the subcontractors to facilitate concurrent construction.

Now, if, I mean, the order book in pipeline for both the Navy and the Coast Guard is well known. So, should any more order come, we have adequate capacity and spare capacity to take on this order. Another very general statement, but should a need be there, I can elaborate further.

Rohit Natarajan: Thank you sir, I will get back into the que.

Moderator: Thank you. We will take the next question from the line

of Dipen Vakil from InCred Equities.

Please go ahead.

Dipen Vakil: Thank you so much for the opportunity Sir, and congratulations for the great set of quarter. My first question is in the line of current market scenario. So, can you throw some light on the current market scenario in terms of new order pipeline and opportunities going ahead?

Cmde P. R. Hari: Thank you, Mr. Vakil. Yes, at the outset, thank you. We had a very good Q1, and we have been maintaining the tempo in the coming quarters also. Now, as far as the orders on the anvil, currently, there are two projects of Coast Guard for which we have submitted our bids against their RFPs. This one of them is the 14 Hospital Vessel project, which I had mentioned during the last earnings call that we were eagerly waiting for this. The technical evaluation of this process has been completed, and we expect the bid to be open sometime in the current quarter. This would approximately be around ₹1,200 to ₹1,400 crore. That's the assessment.

And in addition, there is another project again from the Indian Coast Guard, again, around ₹2,000 odd crore for 6 Ocean Going Patrol Vessel requirement. In addition, also the technical evaluation has been completed. A Polar Research Vessel for NCPOR, that is the DRDO organization, order value could be to the tune of ₹750 to ₹900 crore. So, these are the three

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projects where we expect the bids to be open during the current quarter. These are what is immediately in the plate.

What is likely to come up, thereafter may be RFP for two multi-purpose vessels approximate order value could be to the tune of around ₹1,500 crore. With the RFP is expected during the current calendar year. Plus 5 Next Generation Survey Vessels, follow on Survey Vessels with an order value of around ₹3,500 crore plus 21 Water Jet FAC for the Indian Navy approximately

■2,500 crore order value. This RFI has already been published and we expect the RFP to come out during calendar year '24. Along with the Next■Generation corvette which we are eagerly waiting for, 8 Next■Generation corvettes of which AON was recorded in May 2022. We expect the RFP to come out in 2024 calendar year towards end.

So, those in a nutshell gives you an overview as to what will be the pipeline in the immediate year, that is current year and the next calendar year. I would not go beyond that because there are many more projects both of Navy and the Coast Guard which are on the anvil including the Next ■Generation Destroyer and the MCMV project. Surprisingly, the news came out in last week that, the NAVY will be going in for the MCMV project on a competitive basis. So, this gives you additional picture on what is in store for GRSE and other shipyards.

Dipen Vakil: And my second question is in the line of, sir, you mentioned that you had delivered an underwater unmanned vehicle this quarter. So, is it a concrete order or it was more like a user trial? Can you give some light on that? So, do we have more orders on that?

Shri R. K. Dash: See, yes, it is a technology demonstrator. It was not against a firm model. This is a technology demonstrator that we proved successfully in collaboration with the MSME. They are surprisingly, an MSME is our partner in this project. It's an unmanned autonomous vehicle, and this is actually good, and it has got the capability of multiple types of payloads and has been proven to a depth of 300 meters.

Now, the Navy has recently stated in one of their interactions that Navy is going in for an unmanned, they have got an unmanned roadmap. That means they are looking for platforms capable of operating in subsurface, surface and aerial domains. In

keeping with this

requirement that is coming up with the Navy and of course, we are confident that the Coast Guard will follow soon. We have gone aggressive, and we do not want to lose the first mover's advantage, and therefore, we are moving again all three domains.

You had mentioned this underwater autonomous vessel. That definitely would address with more fine■ tuning and use of trials the underwater autonomous requirements of the customer that is Navy. We are also moving in towards autonomy in the surface and aerial domains also. That is aerial as in drones capable of marine platform operations and unmanned autonomous

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vessels. This is going to be a future vertical that would have huge potential with the Navy and Coast Guard.

Dipen Vakil: Thank you sir, that was very helpful and all the best for FY '24.

Moderator: Thank you. We will take the next question from the line of Swechha Jain from ANS Wealth. Please go ahead.

Swechha Jain: Sir, if you could help us giving us some sense on the revenue target for FY '24 and FY '25?

Cmde P. R. Hari: I am just parsing what I have mentioned consistently over the last four Con■calls, that we have an order book of ■24, 546 crore as on 30th of June '23 and as per our build strategy and the current project execution program, this entire order book is expected to be completed by FY '27.

And okay, I will give you just a background. FY '22, we had revenue from operations of around ■1,786 crore. FY '23, we have ■2,561 crore. So, we are moving up, and you have seen our Q1 results. We already passed the ■756 crore. So, I reiterate what I stated earlier, that if FY '24, '25 and '26 are going to be our big financial year considering our order book position and the project maturity stay stable. I know the answer is a bit round the board, but I hope it meets your query.

Swechha Jain: Yeah. No worries, sir. So, also, I have a follow up like you were, you know, in the earlier participant's question, you were giving the order pipeline, right, the bid pipeline. So, I just wanted to understand you were talking about three projects that you are expecting in this financial year. So, have you already submitted the bid, or the RFP is still to be out is what I kind of missed that?

Cmde P. R. Hari: Ma'am, all the three RFPs have been out and we have submitted the bids for all three projects, two of the projects, so the sixth Ocean ■Going Patrol Vessel and that the Research Vessels for DRDO, the technical evaluations have already been completed, and the bid opening is expected sometime during the current quarter. As far as the 14 FPV project is concerned,

again the bid has been submitted. In our appreciation , the bid, the price would be opened in the next two to three months . So, all three , yes, bids submitted. The balance what I have mentioned is where we are expecting the RFPs to come out.

Swachha Jain: Understood. And, so what would be the order value for 8 Next Generation Corvette ?

Comd P. R. Hari: See, ma'am, the AoN has been accorded by the Defense Acquisition Council in May 2022 for ₹32,000 crore . So, that is an order value, expected order value.

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Swachha Jain: And sir, you had also said that you are also expecting an RFP for Navy for ₹2,500 crore . So, what was that? I kind of missed that. I am so sorry .

Comd P. R. Hari: See, Navy is coming up with the project for which RFI is already out. This is for the Next Generation Water Jet FAC. That is a Water Jet Fast Attack Craft, 21 of them, and these are small vessels which is actually some of our niche products having delivered plus 30 Fast Patrol Vessels and 4 Water

Jet FAC. So, we have adequate experience and here for this Next Generation Water Jet FAC, the order value is likely to be between ₹2,200 to ₹2,600 crore . So, that's why I stated a figure of ₹2,500 crore .

Swachha Jain: Thank you so much sir .

Moderator: Thank you. We will take the next question from the line of Venkatesh Subramanian from Logic Tree . Please go ahead.

Venkatesh Subramanian: Sir, actually my question has been answered just from the previous one.

Moderator: Thank you. We will take the next question from the line of Kunal Mehta from Equirus Wealth . Please go ahead.

Kunal Mehta: Thanks for the opportunity, Sir, can we just dwell a bit on the ship repair segment ?

Comd P. R. Hari: Thank you, Mr. Mehta. Ship repair is still in nascent stages. Positive point is that we have 100% occupancy of the three docks, dry docks that we have taken over from Kolkata Port Trust . Currently, ship repair contributes around just about , I would say, around 1.5% of our overall revenue . We have currently order book of about ₹70 to ₹80 crore from ship repair. As we had mentioned, we are starting in a modest fashion, but the opportunity here is phenomenal. Since most of the Coast Guard refits in this region are being undertaken by us, we have already made a foothold in this. What we are looking for is to stabilize here and enhance our revenue at least by 4x in the next three to four years .

Moderator: Thank you. We will take the next question from the line of Harshit Kapadia from Elara Capital . Please go ahead.

Harshit Kapadia: Thank you for the opportunity and Congratulations for good set of results, Sir, can you give us an order book breakup in terms of P17 Alpha , survey vessels, and ASW Corvette ? That would be helpful . That will be the first question .

Comd P. R. Hari: I will. Thank you, Mr. Harshit. As far as the order value remaining, I will cover that. Is that what you intend? Then I will cover that. The P17 Alpha we currently have an order book value of

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₹13,745 crore remaining out of the ₹19,293 crore . Anti-Submarine Shallow Watercraft we have ₹5,438 crore remaining for execution, and the Survey Vessel Large project we have ₹1,382 crore . This is the order book value that is remaining for execution.

Harshit Kapadia: And on the Next Generation Corvette , the AoN was supposed to be ₹36,000 crore . I think you mentioned ₹32,000 crore . Is there a revision in the AoN?

Comd P. R. Hari: Yes. You are absolutely right. There is a typo which is in my handwriting. Yes, it is ₹36,000 crore . Correct. You are absolutely correct. The AoN was accorded for ₹36,000 crore for 8 vessels, 8 ships.

Harshit Kapadia: And L1 will get 5 and L2 will get 3. Is that the same thing or there is no change in that format, right?

Cmde P. R. Hari: No change. As per the Navy's requirements which they have indicated , the L1 will get 5 ships with the L2 getting 3 ships.

Harshit Kapadia: And lastly, just probably I have missed it. The RFP document which you are supposed to submit , has it been submitted or when it is likely to be submitted and when the tenders are expected to be opened?

Cmde P. R. Hari: You are talking about the Next Generation Corvette , right ?

Harshit Kapadia: Yes, sir, Next Generation Corvette .

Cmde P. R. Hari: Navy is in the process of formalizing the statement of technical requirements and the RFP documentation. We expect the RFP to come out during the latter half of 2024, which means almost a year from now, 9 months to 10 months to 11 months from now . The latter half of 2024 only the RFP will come out.

Harshit Kapadia: That was really helpful , sir. And I also wante

d to check probably if somebody had asked this, but I missed it, but landing platform docks, what is the status on that particular order ? Four numbers of LPDs were there , and I think GRSE was looking to participate in this new platform for them . So, any update on that? And would GRSE still remain to be a vital player in this segment ? Or since you are adding new products in your categories on the UAV side, the unmanned vehicle side, do you think you will have a lesser attention to this category ?

Cmde P. R. Hari: I would like to clarify that as a defense shipyard, our focus was this and will be, primary focus will be on a domestic warship building. That is the purpose for which the government has set up this. But at the same time to remain competitive and also to gain first mover's advantage in segments like autonomous vessels or green energy platforms , we will be diversifying in these

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areas, but without compromising on our core competency which has been built over the last 60 years on warship building . So, what I am trying to convey is that our warship building focus will not get diluted.

Now, as far as the landing platform dock, LPDs are concerned, yes, Navy from their perspective plan as we are aware Navy has the requirement of Landing Platform Dock. At this moment , we do not have a clarity as to when the RFP will come out. Yes, they have a requirement . The clarity is not there as of now as to when the RFP will come out, and when it comes out, definitely GRSE would be a participant in the bidding process.

Harshit Kapadia: And I know, sir, you have recited time and again on the margin front that you would want to achieve a 10% PAT margin. But just wanted to, you know, check with you. As your turnover now is going to be at its peak in the next three years which you have also highlighted, do we expect EBITDA margin excluding other income should also move to a double digit margin level or it would not be fair to assume that?

Cmde P. R. Hari: See, and again like to put it in our perspective . As far as the income is concerned, the so-called other income was also an integral part of what translates into our profit . As far as the margins are concerned, be it EBITDA margin or be it the PAT margin , now we in ship building industry have for a conventional successful industry , the PAT margins are anything beyond 7.5% to 8%, and the dividend from our performance during the current quarter , we have been able to post margins beyond that.

So, we based on our current order book and also fully understanding that the revenue will peak during the next two to three years based on our order book , we are confident of maintaining similar margins in future also. From the investor's perspective , we will be maintaining similar margins in future also.

Harshit Kapadia: Thank you for answering all the questions and wish all the best.

Moderator: Thank you. We will take the next question from the line of Parimal Mithani from Credential Investments . Please go ahead.

Parimal Mithani: Good Afternoon Sir, thank you for the opportunity, and congratulate for the good set of numbers, So, I just wanted to know since there are four Central Defense shipyards , how do you differentiate yourself in terms of the ship business since it's a nascent industry right now for you? Can you highlight how ?

Cmde P. R. Hari: Sir, could you come again from the beginning what was your question?

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Parimal Mithani: Sir, since there are four different shipyards in the country and in the Central PSU side, how do you differentiate yourself in terms of ship repair Compared to the Cochin shipyard, th

ere is

Mazagon Dock and what is the way that we are trying to go ahead ? Because all of them have ship repair as the part of their strategy going forward . How do you foresee yourself in the future for that?

Cmde P. R. Hari: Yes. Thank you, Mr. Parimal, for the question. Yes, there are five of us plus Larsen & Toubro Shipyard also, five shipyard s in the play for ship repair in addition to ship building. I have stated this before that GRSE works , I repeat works and not focusing much on ship repairs because we have adequate orders in terms of ship building and other business verticals that we have, that is the building bridges, diesel engines and so on.

But we decided that this is an area where opportunities were adding . So, we decided as a corporate strategy that we will focus on ship repairs. Towards that the steps have already been taken . We created a dedicated Ship Repair Division in the company and also taken over three dry docks from the Kolkata Port Trust.

Now, both our counterparts in this shipbuilding or counterpart shipyards what we had mentioned before DPSU, the three more DPSU plus Cochin Shipyard and the LMP , they have vast experience in ship repairs , established ship repair facilities and the vendor base.

Our advantage is that we have taken over these docks which have been completely segregated facility with dry docks ranging from 90 meters to 120 meters and which is away from our ship building facility, and yet located in Kolkata. So, the advantage is that we can use our vendor base and the OEM base as required to carry out the ship repairs. We are starting in a modest fashion, experimented successfully with the conductor of Coast Guard refits.

What I stated before also, that our internal target is to quadruple our revenue from the Ship Repair segment over the next three to four years. So, we are starting in the modest fashion, stabilized ourselves. Now we are looking aggressively for more orders in this segment, but the other shipyards you mentioned are definitely more experience d in carrying warship repairs that perhaps at least in the couple of cases that was their major source of income because for them at that point of time ship building orders were far and few.

Moderator: Thank you. We will take the next question from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Thank you sir, Congratulations for the good set of numbers, I have couple of questions. Since I joined the call late, these might be a repeat of what you have already answered . So, please bear with me. The first one is that there was a news that, you know , we have outsourced a portion of ASW ■SWC and a Survey Vessel Large order to L&T. Just wanted to understand the

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key driver behind it? Was it to forge a public private partnership or was it a capacity constraint on our part at this point in time to execute the order ?

Cmde P. R. Hari: Thank you, Mr. Dixit. As you rightly said, I have answered this question. I will elaborate a little more. Both the projects , yes, part construction of a few of the ships of the Survey Vessel Large and the Anti■Submarine Shallow Watercraft project s have been outsourced to one of our partners , and this has got a two■pronged approach.

One, we wanted to utilize the spare capacity of capable shipyards in India to facilitate concurrent construction , and it is not only for these two projects . As the business strategy , we have also within, of course, shipyard that you mentioned is not based at Kolkata. It is in the East Coast . We have also outsourced part construction of two more projects to a minor shipyard in Kolkata and successfully completed this pr

oject.

So, the advantage is that we can leverage the spare capacity of these shipyards and facilitate

concurrent construction so that the large projects that we undertake within the shipyard go concurrently and smoothly along with these partnered facilities . And yes, this also is aligned with the government's policy of encouraging public private partnerships. So, both prongs, yes, but it is not, I repeat on account no, it is not because of any sort of capacity constraints .

Amit Dixit: Thank you sir, my second question is that if we look at this quarter , there was a very impressive growth in revenue and EBITDA or whatever parameter you consider from a YOY perspective . I just wanted to understand what was driving it? If you can just, you know , drill down the execution part of your order within Frigate and Survey Vessel Large surveyed and all? If you can just let us know the execution that how much did you execute in this quarter of each of these items, that would be very helpful .

Comde P. R. Hari: Yes, again , Q1 whichever the financial parameter that we take starting from revenue from operations to EBITDA or profit after tax, the results have been very encouraging , and it is on two counts. One, the projects , all three projects that you mentioned, that is the P17 Alpha, the Survey Vessel Large, and the Anti-Submarine Shallow Watercraft, all three projects have raised or reaching a level of project maturity wherein the equipment get pumped into the ships where they are integrated and these give us revenue .

Now in a conventional ship building project , if you take nearly 60% to 65% depending upon the type of ship, the value comes from the equipment , and this equipment get lowered onto the ship when the ship goes between again depending upon the class of ship from 40% to 60% of construction. And we are currently in that phase. So, in FY '23, now '24, '25 and to an extent in '26, our revenue is likely to be on an upward trajectory . Q1 is an indicator . Q1 FY '24 is an indicator of what stage of project maturity that we are in, and what is on the anvil in the coming quarters and financial years.

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Amit Dixit: Sir, last one from my side. There has been a news that, you know , from Russia we were supposed to get two frigates. Of course, two of them are under construction at Goa Shipyard currently. But two of them are getting delayed now because of obviously your payment crisis and all sort of things , and we don't know how much time it will take for Russia -Ukraine crisis to get resolved. Do you believe that the government can issue, can ask the domestic shipyards like yours to shoulder a part of that order , the frigate order at least two numbers of that class?

Comde P. R. Hari: See, you are right . Two of these , there are four frigates being built . Two of them are being built in one of the Indian shipyards, and two of them are being built at Russia . And for your information , these are the only two ships out of the 63 ships and submarines that are being built for the nation. 61 are being built in India , and two, those two frigates that you mentioned are being built abroad. Now, our appreciation, this is purely GRSE's appreciation that these two ships have already reached the stage wherein replication by building elsewhere would fetch any better results . The government is fully pleased of the situation, and I am very confident that they are doing the needful to get both these frigates completed ASAP.

Amit Dixit: Thank you so much and all the best .

Moderator: Thank you. We will take the next question from the line of Venkatesh Subramanian from Logic Tree . Please go ahead

Venkatesh Subramanian: Sir, I wanted to get an idea of the kind of market opportunity , the total addressable opportunity that is available for all the shipyards over the next three to five years, and what is the targeted opportunity for GRSE ? For example , you might have an internal blueprint based on the total market eventually over the next five years . Do you have some sort of a vision that GRSE should be at this particular level by 2028 or 2030? If you could just give us a broad vision , that will be good for us to kind of plan for the long term , sir.

Comde P. R. Hari: Interesting question, a leading question actually. See, both the Navy and the Coast Guard at any time it is open information that both the Navy and the Coast Guard are on a fleet expansion type and fleet expansion means naturally induction of new platforms that is the ships and submarines .

Now , this is something which I have stated in many a forum that there are four defensive players , there is Cochin Shipyard, another PSU shipyard, the Larsen & Toubro Shipyard, a couple of shipyards on the West Coast . These are the players who are in the phase of getting these orders . Now I will give a glimpse of projects , major projects that arises for which the RFPs have been out are what are on the anvil as for our execution. As far as the Indian coast guard is

concerned, two of the projects, that is the 14 FPV project and the 6 OPV project, the order value should be to the tune of ₹3,000 crore to ₹3,500 crore between both these projects put together.

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The technical negotiations are in progress, and the price is expected to be opened from next month to the next two, three months, plus there is the DRDO, there is a project for a research vessel, approximately ₹750 to ₹900 crore depending upon who will bid. That again, the price is expected to be open. These are the three projects for which the bids have been submitted by the Indian Shipyard.

Now coming to the projects on the anvil, the 8, the Next Generation Corvettes, the AON already have gotten by the DAC, ₹36,000 crore, 21 Water Jet FACs for the Indian Navy approximately ₹2,500 crore, RFP expected to be out in 2024, 2 multi-purpose vessels, and the 5 Next Generation Survey Vessels. Both put together could be to the tune of around ₹5,000 crore. Both the projects put together, the RFPs towards the end of this calendar year or early next year.

One will be Fast Interceptor Craft for the Indian Navy, approximately ₹1,500 crore RFP likely 24 LPD, it may come. Order value is high ₹25,000 crore to ₹30,000 crore. When it is going to come at this juncture, there is no clarity. Next Generation Destroyer, the order value could be plus lakh crore. The RFP could come out in the next four to five years. 12 Mine Countermeasure Vessels for the Indian Navy, ₹32 crore will close. I think I have fashioned you. That's a glimpse of what's going to come in the next few years.

Now as I mentioned, we, GRSE, have a very, very clear internal strategy as to which are the projects that we should aggressively bid where our experience and expertise will fetch us, there is an edge.

Also, I just stated about the Navy projects that were likely to come. Similarly, the Coast Guard has also got a blueprint with Next Generation Fast Patrol Vessels, OPVs and so on. So, there is adequate in the future for all the Indian shipyards and with the government policy focusing on total Make in India, so we expect at least 95% to 97%, whatever, close to 100% order going to the Indian shipyards.

Venkatesh Subramanian: So, my understanding is, looking at the size of the opportunity over the next five years, even if our current order book gets exhausted by FY '27, there is enough visibility and prospects for us to have a repeat or a better performance say from FY '27 to FY '32 over the next cycle I am asking. Yeah. Would that be the right assumption?

Cmde P. R. Hari: Absolutely, you are right. And just to give an example, as our book was getting executed and getting depleted, we got an order for the Next Generation Ocean Going Patrol Vessels four of them as late as 30th of March this year. We also are totally different non-ship building segment. So, 30 mm naval standard gun, the value is not much. It's just about ₹250 crore, but that's an opening for us. We are also going for low value but large volume autonomous platforms which is going to be the future. We are also diversifying into green and that is the green energy vessel.

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So, in a nutshell, as the order book gets executed, considering the opportunities available, one, in the domestic warship building scenario; second, export opportunity; third, ship repair; fourth, our diversified products, that is the green energy product, our Bailey Bridges segment which often does not get discussed, all put together there is a good potential on the anvil for GRSE to maintain a healthy order book and accordingly good revenues.

Venkatesh Subramanian: Thank you sir, very helpful.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Commodore P. R. Hari, IN (Retired) Chairman & Managing Director for closing comments. Over to you, sir.

Cmde P. R. Hari: Thank you, Michelle. Thank you, ladies and gentlemen. I hope I have been able to answer most of your queries. There have been a couple of occasions where I have given you a roundabout answer, but that's very good and then, but hopefully I have clarified all the queries that you had both on our financial performance as of now and the future outlet. We have a healthy order book and I repeat very, very clear execution strategy, and our intent is towards new

technology adaption. One, to improve our efficiencies , and second , to diversify into verticals , specifically technology ■based verticals , that is the green and autonomous energy platforms , and we are very confident that our performance, both physical and of course, financial performance will continue to be good as what we have demonstrated during Q1FY24. Thank you, and I also thank Gaurav from Concept IR for steering this entire event . Thank you, ladies and gentlemen.

Moderator: Thank you very much members of the management . Ladies and gentlemen , on behalf of Garden Reach Shipbuilders & Engineers Limited, that concludes this conference. Should you have any further queries you can send an email to gaurav.g@conceptpr.com . We thank you for joining us and you may now disconnect.

Call: Nov 2023

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Garden Reach Shipbuilders
& Engineers Ltd.

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(A Government of India Undertaking, Minis.try of Defence)

CIN NO. : L35111WB1934GOI007891

SECY/GRSE/SD-69/AM/02/23-24

To,

National Stock Exchange of India Limited

Exchange Plaza,

Sandra Kurla Complex, Sandra (E),

Mumbai -400 051

Symbol: GRSE

Dear Sir/ Madam, 23 Nov 2023

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort

Mumbai -400 001

Scrip Code: 542011

Sub: Transcript of Analyst Meet/Con Call for Q2 & HY-1 FY 23-24 of GRSE -Reg 30

1.Further to our Intimation Letter No. SECY/GRSE/S D-69/AM/02/23-24 dated 10 Nov 2023, we wish to inform that Conference Call was held on Friday, 17th November, 2023 at 15.30 Hrs. to discuss the Unaudited Financial Results of the Company for the Quarter and Half Year ended 30th September, 2023.

2.In this regard and pursuant to Regulation 30 read with para A of Part A of Schedule III of the SESI (LODR) Regulations, 2015, the Transcript of the Analyst/Conference Call for Q2 FY & HY-1 FY 2023-24 of the Company is enclosed herewith.

3.This is for your information and records.

Thanking You,

Yours faithfully,

For Garden Reach Shipbuilders & Engineers Limited

Sandeep Mahapatra

Company Secretary and Compliance Officer

ICSI Membership No. ACS 10992

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Garden Reach Shipbuilders & Engineers Limited

Q2 & H1FY24 Earning Conference Call

November 17th, 2023

Management:

1.Cmde P.R. Har

i, IN (Retd) ■ Chairman & Managing Director

2.Shri R.K. Dash ■ Director (Finance) & CFO

3.Mrs. Aparajita Ghosh – General Manager (Finance)

4.Shri. Sandeep Mahapatra ■ Company Secretary & Compliance Officer

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Garden Reach Shipb

uilders & Engineers Limited

Q2 & H1FY24 Earning Conference Call

November 17th, 2023

Moderati

on: Ladies and gentlemen, welcome to the conference call of Garden Reach Shipbuilders & Engineers Limited, arranged by Concept Investor Relations to discuss its Q2 and H1FY24 ended September 30th, 2023.

We have with us today, Cmde P.R. Hari, IN (Retd.), Chairman & Managing Director and Shri R. K. Dash, Director (Finance) & CFO.

At this moment, all participants are in listen only mode. Later we will conduct a question and answer session. At that time, if you have a que stion, please press * and one on your telephone keypad. Please note that this conference is being recorded.

I would now like to hand over the floor to Cmde P.R. Hari, Chairman and Managing Director. Thank you and all to you, Sir.

Cmde P. R. Hari: Ladies and gentlemen , very good afternoon to each one of you. I'm Cmde P.R. Hari Chairman and Managing Director of Garden Reach Ship Builders and Engineers Limited and with me here Mr. R. K. Das the Director (Finance) and Chief Finance Officer, Mrs. Aparajita Ghosh, General Manager (Finance) and Company Secretary, Mr. Sandeep Mahapatra.

I thank you all for taking time out to attend our earnings call to discuss Q2 of financial year 24. Before I dwell upon the financial results, let me highlight some of the salient aspects of our physical performance. The current order book position, the order book execution plan and what's the future holds for us.

Our order book as on 30th September 2023 stands at Rs. 23,739.59 crores. This comprises of four projects for Indian Navy, consisting of 19 warships. That is 3 P17 Alpha stealth frigates, 4 Survey Vessel Large, 8 Anti-Submarine Swallow Water Craft and 4 Next Generation Ocean Going Patrol Vessels.

In addition to these orders for the Naval ships, we also have an order from the Government of Bangladesh for six Patrol Boats, Government of West Bengal for a next generation Electric ferry and from the DRDO for an Unmanned Surface Vessel. In addition,

happy to inform you that we have just been given a Letter of Intent for an Oceanographic Resource Vessel for the Ministry of Earth sciences. This LOI has

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been received very recently. Now coming to the current status of the ongoing projects and also the execution plan. First, the P17 Alpha ships as you are aware, we are constructing 3 ships under this project for the Indian Navy. With the seven-ship project with four ships being constructed by Mazagon Docks Limited and three by GRSE. All the three ships have been launched and they are presently undergoing various stages of outfitting.

Happy to inform you that on 17th of August this year, our Hon'ble President had launched the 3rd and the last of these vessels. The first ship has already attained more than 60% physical progress of construction, with the 2nd ship at from 51% critical construction and the third ship has crossed 40% of construction. We intend delivering these ships from mid-2025 to mid-2026.

Coming to the Survey Vessel Large project, this is the four ships project again for the Indian Navy. All the four ships have been launched. The first ship has already completed a machinery trials both at harbor and all the relevant trials at sea. Now, the ship is getting ready for delivery and we intend delivery of the ship to Indian Navy may be next month i.e. December 23. The ship is ready for delivery. This has already

attained over 90% physical progress of construction, with the second ship at 76% of construction, the third ship closely following the 66% and the fourth ship at 52%. The 2nd ship is currently around six months behind the 1st ship and we intend completing this project during the next financial year.

Coming to the anti-submarine shallow watercraft project. This is a 16 ships projects, of which 8 ships are being built by GRSE and 8 ship by another public sector undertaking shipyard. Among the 8 ships that we are constructing, 4 have already been launched. Happy to inform you that from these 16 ships, all the 4 ships so far launched have been constructed by GRSE. The first of these ships has already attained 66% of construction, the second at 60%, the 3rd at 51%, and the 4th closely following it 42% and so on.

We intend delivering these ships from the beginning of the next calendar year and this project will get completed by 2026. All the 8 ships should be delivered by 2026.

Coming to the next generation OPV project, the contract for this project is four ships for the Indian Navy. The contract was concluded on 30th of March 2023. Happy to inform you that the physical production of two of these ships has already commenced and the various other activities like equipment, procurement, design finalization are in progress. Such activities were preparatory activities. The project is on right track.

The project for six Patrol Vessels for the Bangladesh Government is on right track and we intend completing this project in the current financial year. The next generation Electric Ferry project for the Government of West Bengal is moving in the right direction.

We already reached around 70% of construction and in another couple of months that is by January, we intend delivery of the ship to Government of West Bengal. This is the breakthrough that the company would be having in the field of green versus that is electric, zero carbon emission vessels and this we expect huge market potential in the future.

We also have a project going on for the DRDO. It is an Unmanned Surface Vessel

(USV). The project is on the right track and we intend delivering of this platform to DRDO in March next year. The order, the LOI that we have mentioned for the Oceanographic Research Vessel for the NCPOR under the Ministry of Earth Sciences, 4

it is worth around Rs. 840 crores. We also have an order for manufacture and supply of 10 in number 30MM guns to the Indian Navy, the order value is around Rs. 240 crores.

Our ship repair segment is moving on. We have been regular

ly getting orders from

the Indian Coast Guard for repair and refit of their vessels and also few commercial ships. The order book position of ship repair stands at the modest Rs.80 crores. We have already completed 6 refit during this financial year so far. Another business vertical that we have is the portable steel bridges segment that is the Bailey Bridges Division. In the current financial year, we have already executed orders worth around Rs.60 crores and have outstanding order book of around Rs.79 crores.

Happy to inform you that we had concluded a MoU with the Border Roads organization (BRO) for manufacture and supply of 30 bridges. This MoU has been enhanced by another 15 more bridges in the recent past. This, in a nutshell, gives you a glimpse of the orders that we have currently, the progress and the status of each of these orders and our execution plan.

Coming to the orders on the anvil, what we expect from the inputs from our major customers that is Indian Navy and the Coast Guard are RFP for the 5 in number Next Generation Survey Vessel for the Indian Navy which is expected to be floated in the next six months. This would be followed by the RFP for the Next Generation Corvette that is 8 in number Next Generation Corvette. As per the AOL that has been accorded by the DAC something during last year was the 8 Ship project and the L1 shipyard would get 5 ships and the L2 shipyard would get 3 ships. So we're preparing for bidding for this prestigious project.

Why this is prestigious? with the experience that we have, you may be aware that we are the only Indian ships have delivered 9 Corvettes, both surface, i.e., Missile Corvette and the Anti-submarine Warfare Corvette, and all of them are in active service with the Indian Navy

. So, with that kind of experience and expertise that we have, we intend bidding for this project in an aggressive manner. The next project that is likely to come out is a P17 Bravo ship which is 7 ship project. This in effect will be a follow on of the on

going P17 alpha project. Of these 7, one of the shipyard, the

Lead shipyard would get 4 ships and the Second shipyard could get 3 ships.

The order value for this project, for the seven ships could be the tune of around Rs. 70,

000 crore. The next project on the anvil is the Next Generation Destroyer project, is a big project. Wherein 4 NGD's exaggerated destroyers are expected to be manufactured and built by Indian shipyards. High value project and of course a project for the Indian Navy, again for 21 and number Waterjet Fast Attack Crafts this again we expect the RFP to come out in the next year.

Coming to the new products that we have developed. One of the projects that we had undertaken is development of an Unmanned Surface Vessel. As we had mentioned, we already have an order in hand. And another prototype with the larger Unmanned Surface Vessel is expected to be launched this year. We have already launched an autonomous underwater Vessel and this project has been successfully completed and with both the Navy and the even the Army showing interest in this project.

In this product, we expect orders for the AUV (Autonomous Underwater Vehicle) in the near future. We are also developing marine capable drones. What I'm trying to 5

convey is that as well as far as autonomous platforms are concerned, GRSE is developing Marine Capable Drones, underwater vehicles and also surface vessels is basically to address the autonomous requirements of the customers that is the armed forces in all three domains of operations surface, sub-surface and air.

Coming to the green energy vessels, this is another area of focus. We have already developed the Next Generation ferry. What I had mentioned to the government of West Bengal, I expect it to be delivered in a couple of months. We'll also be bidding for a pr

oject for the Kerala Metro Rail Corporation that is KMRL. They have come out with an RFP, where they would be bidding for this 15 green vessel for the electric

vessel project.

Coming to export, export has been a focus area and we have managed breakthrough to Bangladesh in addition to the projects that they have completed earlier for the Government of Guyana, for the Government Seychelles and for the Government of Mauritius. We expect opportunities to come again in Bangladesh, Sri Lanka, Guyana and a few Scandinavian countries. These are all at various stages of negotiations and we expect positive results in the coming months and years.

Our various segments have been in the forefront towards manufacturing and development and manufacturing of new products. One of the products that we have successfully walked into the industry was the 4.25 meters double lane bridge. It is for this bridge that we have got MoU with the Boarder Road organizations. We are also developing a new type of bridge, that is 5.3 meter carriageway bridge which would be proprietary item of the shipyard. We also have collaborations with the Rolls Royce, that is Rolls Royce, Germany, for development and Co production of high speed Marine Diesel Engine. Last time when I had the brief during the investor call, I stated that we have signed MoU with them. Now the MoU is being translated into a license agreement and this license agreement is expected to be signed within a month. We also have the collaboration with the Kongsberg of Finland for Co production of marine waterjets. This is at MoU stage. We have already signed MoU and it will again be translating into a license agreement.

The intent of both these license agreements is to address the requirements of the Indian Armed Forces that is both the Navy and Coast Guards, both in terms of marine engine requirements and also for waterjets. This, in a nutshell, gives you again an overview of what is on the anvil.

Now coming to the financial results. We have been maintaining the upward trend. In our financial performance. And the results for the quarter ending and half year ending 30th September has been definitely encouraging. Again, both revenue from operations and the profit after tax had touched new highs. That is the best performance in the history of the company.

Coming to the revenue from operations for the Q2 FY24 revenue from operations stand at Rs. 897

.97 crores, registering growth to around year end growth of 32%. The last year of Q2FY23 was Rs. 681.60 crores. The total income again has increased by 34% year on year and our Q2 total income stands at Rs. 969 crores. Similarly, the profit after tax recorded has been Rs. 80.74 crores registering and year on year growth of 37%. Both in terms of share price and in turn market capitalization, there has been a definite increase as evident to all of you.

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So, I have completed my opening address and we are open for questions any and we would like to provide. We'll definitely attempt to provide answers to each and every query of yours. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from

the line of Rohit Natarajan from Antique. Please go ahead.

Rohit Natarajan: Thank you for this opportunity. So my first question is on you addressed the physical progress in the order backlog. I will appreciate if you could help us with the outstanding vessel wise. I said P17 A how much is the outstanding order backlog similarly survey ASW and NGOPVs?

Cmdr P.R. Hari: Thank you, Mr. Rohit. The total outstanding order book is 23739.59 crore. Out of the total order outstanding, P17 Alpha order outstanding is Rs. 13,132.46 crores, Survey Vessel Large Rs. 1291.79 crores, Anti submarine Shallow Water Craft Rs. 5319 crores. Next generation ocean going

oil petrol vessel Rs. 3404 crores and of course the Naval Surface Guns Rs. 235 crores.

Rohit Natarajan: Sir, if you could help me understand this ASW, I understand, we are working currently only on the four vessels, but what is the timeline to deliver all the 8 and how are we planning to start the remaining 4 vessels as well?

Cmdr P.R. Hari: Thank you again Mr. Rohit. ASW Shallow Water Crafts at the outset we can state that the production of all eight ships has commenced. Now, coming to the progress I had mentioned earlier, but I'll repeat the 1st vessel 66% completed, the 2nd 60%, 3rd 51%, 4th 42%, 5th is 26%, 6th is again around 26%, 7th is 16% and the 8th is 13%. Which means the production has already commenced. We start the production, We get the hull constructed, equipment are lowered and after the equipment are lowered and the hull block joined. This would be done in a dry dock or a building berth, but after this is completed, the ship is put to water for the first time, that is when the term we use launch takes place. Four of these ships out of these eight have already been

launched, launching generally we do after with physical progress of construction of around 40%. Now the stages of the four ships are being launched, all eight construction at various stages. And of these four ships that have already been launched, the 1st ship, we expect to be delivered in the next four months. As mentioned, this starts 66% and the next ship is closely following around 60%. So, from then on, we'll be able to deliver a ship every five to six months. The entire project would get completed by 2026.

Rohit Naratjan: Got it. Sir, how many dry docks will be available or maybe they will be sitting idle to say so that you can win new orders and start the work like by the end of this fiscal.

Cmdr P.R. Hari: OK, now you got it. Bang on. You're right. The major requirement for any shipbuilding company is availability of Dry Docks or Building Berths. So, in our case we have captive dry docks available both in our main unit and we have also a dedicated facility, the Rajabagan unit, where we have an end to end facility for construction of small and medium size ships and in both these facilities we have dry docks available. Right now, our 70% of these docks are occupied, which means even at this juncture we have around 30% spare capacity. We have also adopted a strategy wherein we partner capable shipyards, private or public, who have got spare capacity. This has been basically the strategy has been adopted. One, we're using the spare capacity,

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second we can facilitate concurrent construction at the same time I maintained a certain amount of let us say dock can both availability with me, which means should I get a new order, I will not be caught by wanting for a dock or both availability. So we always keep around 25 to 30% for dock captive and available with us. This is the current status. We have adequate berth and dock capacity.

Rohit Natarajan: Got the point sir, but if I understand, because you have this Bangladesh order, that will also get concluded this year, a lot of years that ASWs will be launched as well. So technically speaking, there will be further spare capacity in dry dock level. Right?

Cmdr P.R. Hari: But at the same time, we have just started the production of four in number next generation ocean going patrol vessels and these are big ships, they're hundred plus meter ships. 2nd, as I mentioned, we just got an LOI for oceanographic vessel. This will again a big ship it is around 85 meters. In addition, I had made the statement in passing that with respect to exports and commercial ships, we have definitely made advances at this moment, and I cannot commit because I'm not sure about it, but yes, we are very confident that in the coming months we will be getting orders on

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this front also. So, this is from what we are doing at this moment. The next part is again I had mentioned that both the Navy and the Coast Guard will be coming up for new projects in the coming years and months. So, then I finished this next generation OPV the dry dock and Building Berth requirements, but definitely we would be getting fresh orders.

Rohit Natarajan: Got it. Sir, from the order perspective, you mentioned that next generation destroyer of four, but the industry buzz is that it's actually eight and it's could be in the size of 80,000 crore as such. Is that the right way to understand?

Cmdr P.R. Hari: You are partially correct, one yes, it is 4 + 4, but it is 4 + 4. Once the four is completed, then only the next four will come. That's why I had mentioned the four. What is the information available now. I would not even say immediately the RFP could come out only maybe in 2025 early to mid of 2025. So, the initial requirement would be for four, which could be enhanced to 8, maybe has not even taken the memo from DSP as of now.

Rohit Natarajan: But Sir, from a capacity perspective, NGD is technically speaking at 10,000 deadweight tonnage kind of vessel. Will you be in a position to do that at your yard? I mean is size a constraint?

Cmdr P.R. Hari: Absolutely. We have got adequate capacity and capability for this, whereas there is capacity assessment which is being carried out by the customer that is the Navy and we intend and aim to get a stick with respect to our capability, no issues with respect to ca

capacity or capability. Since you mentioned the displacement and also the dimensional requirements.

Moderator: Thank you. Our next question is from the line of Venkatesh Subramanian from Logitree Consultants Private Limited. Please go ahead.

Venkatesh Subramanian: Yes, Sir. Good evening. Two questions. One is, you mentioned about the current order book and what is pending and continuing from previous calls, Sir, is it fair to assume that the current order book that we have would be exhausted over the next three years broadly? That's my first question. Second, in terms of exports, you mentioned some very interesting places like Scandinavia and a few other things.

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What could be the size of the opportunities is the order size? Can expect over the next one year in terms of if you are able to capture any orders?

Cmde P.R. Hari:

I'll answer your second question first. See as I had mentioned that we are attempting for orders in Guyana where we have already made a deal. We're also trying the Scandinavian countries. The background is that one Guyana definitely we have delivered ships there then they have requirements. Second, Scandinavian countries have actually opened up. Europe is now looking at India for commercial shipbuilding, but at this juncture I will not be able to give any further details because most of these are in negotiation stage perhaps, I'll be able to hopefully give you good news in the next call or the next to next call. But the bottom line is that there are opportunities available and we are moving aggressively towards them.

Second, coming to the order book. Order book position as you are aware, it's around Rs.23,739 crores. See, we are only in the mid of 2023, i.e. the second quarter of FY24 has just finished. As per the current execution plan, the NGOPVs would definitely spill over to FY27 maybe 2028 because as the contract to these ships are to be delivered only by FY28.

So, right now we have enough in our hand to last us for the next five years. That is, mid of 2023 to at least mid of 2028. Of these projects that they're on, the deliveries will definitely be staggered starting the first of the deliveries of the 19 ships that are currently under construction commencing next month. And what we are aiming is between the proj

ects ship every five to six months is what we are targeting.

Venkatesh Subramanian: So P17 Alphas, the remaining would be completed over the next two years, FY24 and FY25?

Cmde P.R. Hari: No, P17 alpha, right now we've got around Rs.13,000 odd crores remaining as per the delivery timelines, what has been mutually agreed between the customer ■ Navy and us, these three ships are to be delivered between mid of the calendar year 2025 and mid of calendar year 2026, which means definitely we'll go to financial year 27.

Venkatesh Subramanian: My last question, Sir, which is you have talked about the shipbuilding cycle, how the revenues you have actually educated a lot of us. My question is, considering that we are almost coming to another six months to go four months to go in terms of financial year, what would be the peak revenue recognition year would it be FY25 or FY26?

Cmde P.R. Hari: Definitely not FY24. You have already seen that we have touched around Rs.1700 crores already. So we are actually moving vertically upwards. We would be maintaining the same trend as per the present progress of construction and the revenue accrual plan in the next financial also. So, it could be either FY25 or FY26, it could be either of these years or it could be almost there.

Venkatesh: Or both could be big years for us.

Cmde P.R. Hari: Yes, both FY25 and FY26 definitely big years.

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Moderator: Thank you

u. Our next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Thank you for the opportunity and Congratulations for the good set of numbers. I have couple of questions maybe at the same risk of being repetitive because I joined the call a little bit late. If you could just, let us know the status of Next Generation Corvette, where we are in there and when can we expect RFP to be floated? That would be helpful.

Cmde P.R. Hari: Thank you, Mr. Amit. See the Next Generation Corvette RFP is in process. As per the DPP, the process that has shown is clear is that the basic requirements are made by the Navy and after that, with the estimated cost, it goes for a DSP approval. This DSP had occurred an AON during the first half of the last year that is

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22. For a value of Rs.36,000 crores, this is the 8 ship project among L1 & L2 in the ratio of 5 + 3. So, this is the background.

Now, the statement of technical requirements are being finalized by Navy in consultations with the concerned shipyards. And in my appreciation, with present happening and based on the current progress of their readiness, we expect the RFP to come out in the latter half of next calendar year. FY24 end is when I expect the RFP to come out.

Amit Dixit: Sir, why I'm asking this question is because in the Standing Committee of Parliament report, we saw that next generation, Corvette was clearly mentioned as one of the ordering points till FY25. So, if RFP comes out at the end of FY25, that means ordering would happen, maybe one year after that, is it fair to assume that? Cmde P.R. Hari: If the RFP's issued towards the end of the next calendar hypothetically say in the third quarter of FY25, from then considering the minimum time required for the bid submission, evaluation. The realistically, the ordering would happen that the contract conclusion would happen will be/ is likely to spilled over to FY26, at least the first half of the FY26.

Amit Dixit: OK, got it. The second one is on destroyer. So this is your commentary slightly different from the peers or may be my understanding is a little bit different. Where they mentioned that all 8 destroyers will be ordered and they will be kind of the order will be split between 2 shipyards. That's what was told to us. But now you are saying that it will be ordered in two tranches of 4 + 4. So, is it fair to assume that even the first

tranches of four will be split in between 2 shipyards or it will be like the winner takes all kind of game.

Cmde P.R. Hari: As for the present understanding and what we are given to understand, it is likely to be in two tranches with 2 + 2 is 4 in the first tranche with the two shipyards as there is 2 + 2 followed by another four again 2 + 2 that means two shipyards will definitely be involved in this project.

Amit Dixit: OK. And how much time, do you think it will be between the tranches in terms of orders?

Cmde P.R.

. Hari: There is no clarity at this moment on that. There is no clarity even because this project has not even gone for DSP approval. When accord of an AON. So what I'm

10 trying to convey, it is still under deliberation stage. We expect clarity on this only maybe in another six months. So, at this moment there is no clarity except for the input that these ships are required for the Navy and the requirements are being finalized.

Amit Dixit: OK. So the last question that I have is a bookkeeping question. If you can let us know the contract asset and customer advances on the balance sheet.

Cmde P.R. Hari: First thing before I go to this, there are no advances from customers. Customers are not giving us any advances. So only stage payment takes based on stage completion and as per the DPP condition, in ship building there are 15 stage payments, so there are no advance. As of now, our bank balance stands at Rs. 4397 crores owned fund is Rs. 270 crores and the project related fund is Rs. 4127 crores. This is for all the projects put together.

Moderator: Thank you. Our next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Congratulations and thanks for the opportunity, Sir. On the order front, what I saw probably you have not mentioned, the landing platform dock order, is it that the order has now cancelled or we are not qualified for it. That's the reason why we are not highlighting that particular order.

Cmde P.R. Hari: Thank you, Mr. Harshit, there has been a lot of talk going on. Actually one of the investor calls had mentioned about this, but it has been going on for quite a long time, that's why we have put it off, let us say this is a project, which has been in the horizon for a very long time as far as I can remember, it is more than five to seven years the discussions have taken place at even at this moment there is no clarity as to when the AON would be accorded or when converted to RFP, that's the reason why I did not mention about it.

Harshit Kapadia: Thanks for the clarification around P17B which you had mentioned. So, the similar thing will also happen in that the way the NGD order is going to be placed as in once your P17A will get delivered then P17B will be taken into account in terms of ordering or is it that different in P17B can be ordered before that as well?

Cmde P.R. Hari: As per the current delivery schedule, the P17 Alpha project is expected to be concluded by FY27, that is mid of calendar date is August' 26. I think the project would get completed even if the process of AON and the subsequent formalities start. Now it will take that kind of time. What I'm trying to convey is that the construction of these ships will commence only after this project is completed.

Harshit Kapadia: When would the ordering happens according to you? Will it be FY25 that we will see the RFP coming out and you will be bidding for it or it could happen post FY27?

Cmde P.R. Hari: At this moment there is no clarity on that. All that is known is that there is a requirement for the Indian Navy. For another 7 ships of the same class with minor tweaking of the specifications and maybe whatever is the latest weapon system

that could come in. But there is no clarity with respect to the timelines. The requirement very much there and it has been acknowledged, but the timelines are still not known.

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Harshit Kapadia: Sir, so in this regard previously it was mentioned that FY25-26 could be the best of this year. But then going up to FY27, since a lot of this big ticket or high value orders which are not right now in the clear stage of when it will come on board when the tender will happen when the awarding will happen do you think FY27 we may see a sharp decline in terms of revenue as most of your chunky orders will get executed and revenue booking will happen.

P.R. Hari: We have the NGOPV project still to be going on during that time plus the new order which is of course just about Rs. 840 crores. There is an oceanographic research ship which is a confirmed order that we have in our hand as of now. This is exactly the reason why we are moving aggressively for other avenues of business i.e. commercial shipbuilding exports and so on. So, I don't see any major dip in the revenue from operations during these years because, see we are on FY24 now. So FY25, 26-27 to go. Definitely, we expect orders at least next year or next year. Which will mature into revenue generation and FY27. So, I don't see any major dip. I mean we should not be really concerned about the dip during FY27 or 28.

Harshit Kapadia: And what brought GRSE to get into autonomous vehicle anything you can highlight this was that either given by DRDO was it that you guys figured out that this is a vacuum? Then we could be the one who could be the starting company to get into this. It would be helpful and on the commercial ship building part, if you can share something on terms of size of orders, which you look at not just from one-year perspective, but in terms of opportunity size, it will be of great help because we probably are looking to build up this. Any color on this would be helpful.

Management: OK, you have asked two questions. In effect, one is triggering the autonomous platforms. What are the initiatives that we have taken and 2nd, on the commercial as well as autonomous platforms are concerned I had mentioned during my introductory address that we have fully seized on the requirements of rather both arms of marine that is the Coast Guard and the Navy, and also the army, interestingly DRDO also. So the requirement is known and at this juncture India as a nation, we are still in a developmental stage with respect to autonomous platforms. Most of our autonomous platforms, based subsurface or even clones are imported at distinction.

What we had decided was this is an opportunity. This is an area where huge opportunities coming in future. So we started with the basics settings. We went to startups and MSMEs, Indian startups and MSMEs with huge potential, but they have capacity Constraints. So, through a process we have identified capable startups both in terms of Autonomous Underwater Vessels which has successfully proved the prototype has been tested satisfactorily. Both the Navy and the DRDO have come out with RFP's for these places. At this juncture, they're all very moderate, but we expect potential.

Coming to the surface vessel, we have tested and proved unmanned surface vessel and for the same platform same design we have already got an order from the DRDO. Both from the research and development wings, that is DRDO and from the Combat Forces, we expect orders.

The marine drones, another interesting segment here. We have not yet developed the product fully. It is still in trial phase. We expect this also to get developed may be in another three to four months. Again the partnerships with the startup, the advantage of doing this collaboration with the startup is that niche product and its

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IPR is within India. There is market potential and this is coming to the Autonomous service.

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other area which we are focusing is on the green energy field, which breakthrough has been made. We have the only second Indian Shipyard, of course Cochin Shipyard there has made earlier with the KMRL Kerala. Now our product is almost ready and in the next two months we are delivering next generation electric ferry to the government of West Bengal. Here the potential is huge. If the government policies materialize in the coming three to five years, almost all the platforms which they used for inland water transportation could get re-engined or the new platforms are injected into this area would be green energy platforms.

Coming to commercial vessels, we have recently delivered a commercial vessel to the Government of Guyana. That is the first vessel that we delivered after a long gap because we have taken a break from commercial ship building, but we have tested our capability and successfully delivered 1 vessel to Guyana and Institute. This has given us the confidence to go in for more and more opportunities, pursuing more and more opportunities in this field targeted certain countries where who have shown interest in India, we this companion countries and some of the Middle East countries and here at this center I can only state that things are moving in the right direction. Several projects that are under negotiation stage I'll be able to provide clarity on this, maybe in the next call or the next to next call. Hopefully by the

at time, some of the orders could fructify. Thank you.

Harshit Kapadia: What would be the size of the Kochi metro ■ tender which you are participating in? Cmdr P. R. Hari It's a 15■ platform order. This could be to the tune of around Rs. 150 to 180 crores.

Harshit Kapadia: And, Sir, for the last question on the Diesel Engine, apart from Rolls Royce, there are couple of other companies who also are supplying diesel engine to the Indian Navy. So do you think the competition on this indigenous type of a Green Energy Vessel will also rise? How do you see this thing playing out?

Cmdr P. R. Hari OK, Marine diesel engines have been an area wherein as a nation, imports were being resorted to. So, within the marine diesel engines, there are two types of engines. One is the low power

er, there is low to medium power engines, it's called high speed marine diesel engine. And the second segment is the high power but low speed engines. Now what we have collaborated with Rolls Royce is for high■ speed low power engines and these are the types of engines which are normally used in Fast patrol vessels, waterjet crafts, inshore patrol vessels and so on. The number of the volumes are very high. So, in this we don't expect much competition since you said there are other manufacturers also there, most of them are global OEMs like the Caterpillar, MAN or the Rolls Royce or Yanmar. Their product strength is on the high■ powered low speed engine, so there will not be any clash of requirements. So, what we have collaborated also with Rolls Royce is for high■ speed low power engines. Once the collaboration is successful, it would give us huge potential with both the Navy and the Coast Guard.

Harshit Kapadia: And sorry, lastly so you would be manufacturing this in India or it would be assembled in India or what would be your role in terms of this marine diesel engine Sir?

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Cmdr P. R. Hari We have a dedicated diesel engine plant at Ranchi, Jharkhand. And we had and have an association already existing with Rolls Royce for assembly of engines. Now what we are talking about, now is transiting from this Assembly to manufacturing. It is actually the term used through a license agreement 'Co production'. A certain percentage of the entire components of marine diesel engine will be manufactured in India. What we are targeting this is in line with the government mandatory

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genization plus 50% indigenization to start with.

Moderator: Thank you. Our next question is from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani: Thank you for the opportunity. And although very Congratulations for the good numbers. So, my question is, is this order book peaked out, whether would the margins will be affected or there will be a higher or lower trajectory?

Cmdr P. R. Hari Very interesting question. Every time I get this question, I was wondering why it did not come so far margins have been consistent in my views. Ours is not a routine industry. Ours is a highly specialized industry where the PAT margin above 7.5 is considered

healthy. As I've stated, we have been maintaining our profit margin that is PAT margin plus 8% under sort of 8.99% we will maintain this during the coming months and years.

Viraj Mithani: And Sir any updates on the repair business, any color on that? We were still planning in this?

Cmdr P. R. Hari Currently as I said mentioned earlier, we have taken over three docks from the Kolkata Port Trust; 3 medium size dock, all of them almost 100% occupancy and currently we are executing six refit orders of various Coast Guard ships plus we keep getting commercial ship refits too. We are at a modest position at this moment. Our order book stands just about Rs.80 crores from this segment. As I had mentioned earlier, we were just pushing the system. We expect this to

increase in the coming years because more and more refits will come considering the freight strength of Coast Guard and the Navy. We are not yet got a break into Naval repair yet. But th

ey got captive repair facilities. We are pushing the system and having experienced the success so far we intend to ramp up the ship repair vertical in the coming years. Right now, we reported modest Rs. 80 crores order book outstanding as we have.

Viraj Mithani: My last question is Sir, about this green ferry, what kind of market potential do you see? Some color on that in terms of growth, margins in future to come.

Cmde P. R. Ha

ri Green ferry or other green vessel potential is huge as with every other nation, even our country is also going in for zero emission basis. This is the process which has already commenced. The first step would be to meet the requirements of the state governments to meet their inland motor transportation requirements and even in

both Kerala and West Bengal have advanced strong in just this, Kerala has gone ahead with green vessel in a big way. I had mentioned that there is another RFP which is live for 15 more vessels for Kerala. In a nutshell this is an area where huge opportunity exists. The ports would ultimately work to resort to green tugs. The all the barges which move in our rivers with the land motors run through oil. The aim would be to eliminate the conventional powered platforms. So, at this juncture I can only

state that huge potential exists and quantification at this stage may not

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be possible and just to put things in perspective, some of the nations like Norway has already given a dictate that they must grow 100% green by 2030, so it is that kind of impact and opportunity, we didn't want to miss out the first most advantage that's why we have taken this order from the government of West Bengal.

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question and answer session. I would now like to hand the conference over to the management for closing comments.

Cmde P. R. Hari Thank you, investors for listening patiently to the literary address, and I hope to have answered the almost all your queries and in case of any further query, please feel free to contact us. We will ensure that all your queries are addressed. We also thank Concept Investor Relations for coordinating this conference

II. And we

have started this financial with a robust Q1

. We have maintained the tempo during

Q2 also and we improved, maintained the tempo in the coming quarters too. Wish you all belated Happy Durga Puja and Diwali. Thank you.

Moderator: Thank you. On behalf of Garden Reach Shipbuilders & Engineers Limited, that concludes this conference. If you have any further questions, please send an email to gaurav.g@conceptpr.com. Thank you for joining us, and you may now disconnect your lines.

Call: Mar 2024

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SECY/GRSE/BD-69/AM/03 /23-24 21 Mar 2024

To,
National Stock Exchange of India Limited
Exchange Plaza,
Sandra Kurla Complex, Sandra (E),
Mumbai- 400 051
Symbol: GRSE
Dear Sir I Madam, BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort
Mumbai -400 001
Scrip Code: 542011

Sub: Transcript of Analyst/ Brokers Meet Call for Q3 & 9M FY 23-24 of GRSE -Reg 30

1. Further to our Intimation Letter No. SECY/GRSE/BD-69/AM /02/23-24 dated
11 Mar 2024, we wish to inform that Analysts/Brokers Meet has been held on Thursday, 14th
March, 2024 at 04.00 p.m. at BSE International Convention Hall, Mumbai to discuss the
Financial Performance of the Company for the Quarter and Nine months ended 31st December,
2023 and way forward.

2. In this regard and pursuant to Regulation 30 read with para A of Part A of Schedule III of
the SEBI (LODR) Regulations , 2015, the Transcript of the Analyst/Brokers Meet is enclosed
herewith.

3. This is for your information and records.

Thanking You,
Yours faithfully,
For Garden Reach Shipbuilders & Engineers Limited
Sandeep Mahapatra

Company Secretary and Compliance Officer

ICSI Membership No. ACS 10992

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Garden Reach Shipbuilders and Engineers Limited
Q3 & 9M FY24 Analyst/ Brokers Meet
14th March, 2024

Management:

1. Cmde PR Hari, IN (Retd), Chairman and Managing Director
2. Shri RK Dash, Director, Finance and CFO
3. Shri Sandeep Mahapatra, Company Secretary & Compliance Officer

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Garden Reach Shipbuilders & Engineers Limited
Q3 & 9M Analyst/ Brokers Meet
14th March, 2024

Moderator: Good afternoon, ladies and gentlemen. I welcome all of you to the Analysts and Brokers Meet of Garden Reach Shipbuilders & Engineers Limited to discuss the Financial Results and the Performance of Q3 & 9M FY24.

We have with us, Cmde PR Hari, IN, (Retd), Chairman and Managing Director of GRSE, Shri RK Dash, Director (Finance) and CFO, and Shri Sandeep Mahapatra, Company Secretary & Compliance Officer.

We will begin the conference with Cmde PR Hari's Opening Remarks, following which we will have the Q&A Session. Cmde Hari sir, may I request you to come up and give the Opening Remarks.

Cmde P R Hari: Good afternoon, Ladies and Gentlemen. We are meeting almost after one year. I met most of you about a year back. I welcome you all to the Conference to discuss the Financial Performance of GRSE for the Quarter and Nine Months ending 31st December 2023.

I am sure you have been keeping track of the company's performance for a very long time and have been associated with us either through physical interactions like what we did last year or through virtual meets that we have every quarter.

What I have planned is, I will give you an overview of the Company's Financial Performance. The physical performance that is translated into the financial performance, our current order book position, how we plan to execute the current orders and what is in store for all of us for future. This is a track I plan to take today.

For the record, for a seventh quarter on the trot, our financial parameters have been on an upward trend and again for the quarter ending 31st December, 2023 and the nine months period ending the same date, we have recorded the best ever results in the history of the Company. Our revenue from operations for the nine months period touched 2,576 crore which is almost 31% increase over the corresponding period of the last nine months for FY 23. A similar rise in

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total income by 34%, EBITDA touched 367 crore with a 41% increase. The PAT rise by 42% to 245 crore. In a nutshell, the Company's performance financially and physically has been good as what we perceived.

And now coming to what has translated into this performance. Our current order book stands at 23,592 crore as on 31st December, 2023. And most of this comes from the shipbuilding sector, with the limited contribution from the ship repairs and our other verticals like the portable steel bridges and so on. This 23,592 crore order book comprises of four projects that we are executing for the Indian Navy: the three ships P17 Alpha Project, the four ships Survey Vessel Large project, the eight ships Anti-Submarine Shallow Water Crafts Project and the four ships Next Generation Ocean Going Patrol Vessel Project .

Now, during the last year, we have delivered two platforms i.e., the first of the four Survey Vessel Large that we are constructing for the Indian Navy. This was delivered during the last quarter itself. We delivered it

on 4th December 2023, and again for record, this is the largest ever Survey Vessel built in our nation. This ship was subsequently commissioned during February this year into the Indian Navy. In addition to that, we had delivered an Ocean Going Passenger-cum-Cargo Vessel to the Government of Guyana. This ship was delivered and commissioned on 23rd April, 2023. So, these were the two platforms that we have delivered.

In addition to that, last year in shipbuilding, during our early interactions, I have mentioned launch of a ship is a milestone event where after a certain amount of physical progress is achieved and the ship takes its complete form, the ship is put to water, after which the outfitting commences. So, last year, I would like to term it as 'the year of Launches'. We have launched seven platforms during the last

nine months period including the last of the P17 Alpha ships. The P17 Alpha ship was launched by the Hon'ble President of India on 17th August, 2023.

I will just quickly cover the status of the ongoing projects, so that we have clarity on where we stand with respect to each of the projects. Coming to the P17 Alpha Project, it's a three-ship project, the first ship is currently at around 66% of physical progress, the second P17A ship

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is at 55%, and the third ship what I just mentioned was launched on 17th August is currently at around 43% of physical progress.

The delivery plan of this ship is as follows. We intend to deliver the first ship during mid of 2025 that is August 2, a target for delivery of the first ship, and the second ship would be February 2026, and the third ship by August 2026. This is the delivery plan for the ships and currently we are on schedule.

Coming to the Survey Vessel Large Project, I had mentioned that the first ship was delivered last year, the 2nd, 3rd and 4th ships are now getting ready for delivery with the first of these three ships already at the harbor trials phase, we intend sending the ship for sea trials in the coming months. My appreciation for delivery of the ship would be May or June this year. Thereafter, by December 2024, we will be delivering the second of the remaining three ships, and the last vessel early next year, the first half of 2025. It may spill over to the beginning, the first quarter of FY'26, which means we intend delivering it around April - May 2025.

Coming to the Anti-Submarine Shallow Water Crafts Project. Just to inform you, this is an eight-ship project that we are executing and the fifth and sixth ships of this project were launched yesterday i.e. on 13 March, 2024. We did the launch of these two ships yesterday. Of the four ships that were launched earlier, one of them, the first of the ships, is currently at the harbor trials phase, akin to the Survey Vessel that I mentioned, and we intend delivering the ship by June this year. And thereafter, every six months, one ship of this project will come out. So, this project and Anti-Submarine Shallow Water Crafts project, we expect to complete by mid 2026.

Physical Progress: I will just state that the first ship is currently at around 77%, second ship at around 62%, the third ship is at almost same 62% and the last ship, the eighth ship is at around 20% physical progress.

The fourth project that we are executing is the Next Generation Ocean Going Patrol Vessel. It's a four-ship project. The contract was signed on 30th March, 2023. We have made good headway in this project, and we have started production of all the four ships. We have made a strategy

by which we are doing concurrent construction of all four instead of going sequential. All the four ships are currently at around 10% physical progress. This project is expected to be completed by FY'28. What I am trying to say is that the delivery of these vessels will commence from 2026, thereafter every six months and it will go on till early '28.

In addition to these four projects that we are executing for the Navy, we are also executing a project for the Government of West Bengal that is of a fully electric vessel. When delivered, that will be the largest in terms of passenger capacity to be built in India. The vessel has already been launched, currently undergoing the river trial. We intend to deliver this vessel to the Government of West Bengal next month i.e., April 2024.

Again, for you to understand, at this juncture, among the players who manufacture Green Vessels, Cochin Shipyard Limited (CSL) is there. CSL are slightly ahead of us. And with this delivery, we are very confident of catching up with them and even surpassing them because there is good market potential in this segment.

In addition to that, we have also been declared L1 for an Oceanographic

Research Vessel for the Ministry of Earth Science, Government of India. This is an approximately 840 crore order. The Letter of Intent (LoI) has already been issued and we expect to sign the contract during March 2024 itself.

We have also been declared L1 for an autonomous platform for the Ministry of Defence (DRDO) and this is a small order. But then again, why I am highlighting this is, anything which is today being developed in this field of autonomous platforms has got market potential. This is a very low value order of around 20 crore. For them, it is only a technology demonstrator, but the opportunities in this field is galore because both the Navy and the coast guard are looking for autonomous platforms in future.

Coming to the other segments:

One of our areas of focus has been - Exports. And as you are aware, we have so far delivered to Defence platforms, earlier to Government of Mauritius, way back in 2014 and as late as 2021, another platform was delivered to Seychelles. We have been declared L1 again through a

global tender for a dredger for the Government of Bangladesh, still in liquid form. The contract is yet to be signed. The L1 declaration has happened. Considering their recent government change, we expect the contract to be signed in another three months.

We have also been declared L1 again for the Government of Bangladesh through a Defence Line of Credit for our Ocean Going tug. Both these orders, the value could be between 150 to 200 crore each. But just why I am stating this is, though the value is not much, these are exports.

Our area of focus for exports has been, one, within the Defence segment, second in the Indian Ocean Region (IOR), especially friendly foreign nations and now with the market having been opened up for commercial shipbuilding, when we express our interest in joining the bandwagon, several Scandinavian nations and also clients from Germany has approached us, and hopefully whenever we interact again after the quarter, I should be able to convey the happy news to you that by the time we expect to conclude some commercial shipbuilding orders.

Despite orders on the anvil in these segments that I mentioned, our

primary focus would continue to be on warship building because that is where the order value exists.

I will just give you a glimpse of what is in store. And this is also a follow-up of what I mentioned last year. The major orders that are on the anvil, one would be from the Indian Navy, the Next Generation Corvettes. We expect the RFP to come out by June or July this year. And we stand a very good chance of winning this contract, it's a high value contract, total order value has been around 36,000 crore, split in to eight-ships project, split between the L1 and L2 shipyards at 5:3, that is five ships to the L1 shipyard and two ships to L2 shipyard. So, the stakes here are high. There are four shipyards shortlisted for this. We stand a good chance for winning this. We'll be bidding aggressively to win this order because this is one of our areas of specialization. To place on record that all the Corvettes right now operating for the Indian Navy are built by GRSE. So, that is the kind of expertise and experience that we have in building Corvettes.

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The next project that is on the anvil would be the Next Generation Survey Vessels. This is the five-ship project. The government has already given an Approval of Necessity (AoN). The approximate order value would be around 3,000 crore. This RFP is expected to come during the second quarter of the next financial year. Since AoN has been already accorded and it is only a follow on of the vessels that we are already constructing, the RFP would not get delayed as per our appreciation. Here again, definitely we stand a good chance because we are right now constructing Survey Vessels large.

The next RFP that is likely to come out is for t

wo multi-purpose vessels, this again is for the Indian Navy. The order value could be to the tune of around 1,200 crore.

In addition to that, there is another project which is on the anvil which we are bidding aggressively. We are pursuing aggressively for the P17 Bravo Project. The Navy has got a requirement for seven more of these vessels. And at this juncture, we don't have clarity because the AoN for this has not yet been taken. Our appreciation is that this could be early next year i.e., early 2025.

Another high value project could be the Landing Platform Dock (LPD). The discussion has been going on for last 10 years almost. We are also hoping that it will see the light of the day. The order value is high. Even if the Navy goes for two of them, the order value could be to the tune of around 40,000 crore.

In addition, the Indian Coast Guard is going to come up. They have not yet taken an AoN. Our understanding is that they will be getting an AoN during the first quarter of FY'25 for five more Ocean Going Patrol Vessels. They have just placed order on Mazagon Dock Shipbuilders Limited for six of them. So, five more Ocean Going Patrol Vessels, the RFP is likely to come out during the first quarter of FY'25.

In addition, I will just give you a glimpse of what more, 120 Fast Interceptor Crafts for the Indian Navy, one hospital ship for the Indian Navy, and 22 follow on Water Jet Fast Interceptor Crafts for Indian Navy. My appreciation, the RFPs would come out during early first quarter of FY'26. This is an overview of what is the order book, what

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we have, and what are the orders on the anvil which is available in the market.

Right now, you may have seen the corporate movie of GRSE. What has

been indicated is that our shipbuilding capacity is for concurrent construction of 20 warships. We have felt over the last three to four years that there is a need to increase this capacity. We have already started the process and as a first step before investing capital on our own infrastructure, we went into the lease strategy. So, three dry docks we have taken over from our neighbors, that is Syama Prasad Mookerjee Port and they are being effectively utilized and earmarked for ship repairs. In addition, we are looking at one more dry dock from Kolkata Port i.e. Syama Prasad Mookerjee Port which we would like to earmark for shipbuilding. In addition, two of the facilities in GRSE in our captive facility is getting refurbished and the aim is to enhance our shipbuilding capacity from concurrent construction of 20 warships to 24 warships and we intend to achieve this target by calendar year 2025. One of our focus areas has been new technology adaption and as I have mentioned development of autonomous platforms, both in surface, subsurface, and also of course in the aerial mode is the area which the government is focusing on, and so are the armed forces. We have already started and in these three fronts i.e., autonomous platforms, we are tied up with the startups and two of our products have already been successfully launched, and unmanned surface vessel, and also an underwater surface platform. The underwater surface platform, we had carried out user trials with the Indian Army. They wanted certain modifications which are being presently undertaken and we intend the productionizing this underwater platform by end of this calendar year. As far as the surface platform is concerned, already we have got a development order from DRDO which we intend completion by April, 2024.

Commercial shipbuilding, I have already mentioned. I am now giving you a glimpse of what we are looking at. Commercial shipbuilding, we are serious about it and many of the orders are under negotiations and are in final stages. Our appreciation is that we will be concluding contracts for commercial shipbuilding within a period of three months.

Ship repairs is an area which we had start

ed focusing just about two years back. It is with that intent of developing ship repairs that we took

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over three dry docks. Almost 100% occupancy is there. But, so far, we have been doing small refits of Indian Coast Guard. Actually, the entire Eastern region requirements of Coast Guard are being met by us. Still, I would not state that we are fully mature as a ship repair entity. Target is 2025 with a couple of orders likely to come from the Indian Navy, high value orders.

We also have a business vertical which you are aware of portable steel bridges. We are the Indian market leader in this segment. Of course, the overall market itself is pretty modest. Right now, we own around 65% of the market share. This division is doing well, because we have a running MoU with the Border Roads Organization where for over 75 bridges, of which almost 40 have already been completed. And we also executed an order for the Government of Bangladesh for these bridges through Defence Line of Credit.

And this year, we have launched another product in this segment i.e., a 5.3m Carriageway Bailey Bridge, which is a proprietary item of GRSE and this would give us a head start to meet the requirements of the national highways, basically 5.3 meters, the carriage width of a highway. So, this would help us gain further headway in this segment.

USP is our product diversity and we have our products ranging from 'Warships to Weapons'. Why I am telling weapons is that, in last year we had forayed into gun manufacturing, and we got an order from the Indian Navy for 30mm Naval Surface Gun. The order value is around 250 crores. And Navy has now shown interest in enhancing the order

value. The Coast Guard has also shown interest. And this is one vertical which we would like to nurture.

As I had mentioned, our current order book stands at 23,592 crore. Our target would be to maintain a similar order book value in the range of 23,000 to 25,000 in the coming years too. That is the reason why we would be going aggressive to win more orders from the Indian Navy and of course from the other segments. I've just given you an overview of where we currently stand, how we plan to move ahead in the coming years. I am open for questions, if any.

Keshav Harlalka: Sir, thank you so much for the presentation. All investors have benefited tremendously by being invested in GRSE. I am Keshav

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Harlalka from BHH Securities. Sir, so many warships you're delivering over time periods. So, is there a way you can give us the timeline this year, this quarter, these many warships will be delivered so like it's very orderly fashion. And what is the value of the warship and what is the approximate margin if you could give us some sense, the entire presentation will be in a better flow because somewhere it's '26, somewhere '24, so if you could give us some timeline on an excel sheet or something or even verbally, that would be very helpful, sir?

Cmdr PR Hari: I will only talk about the orders that we're currently executing. In the Financial Year '25, we will be delivering two Survey Vessel large, two Anti-Submarine Shallow Water Crafts.

Keshav Harlalka: In which first quarter, second quarter, third quarter and the approx.. value of each of the vessels?

Cmdr PR Hari: I can naturally give an indicative thing, in the first quarter of FY'25 we will be delivering one Survey Vessel Large and one Anti-Submarine Shallow Water Craft. See, very interesting. We have projects review by the Indian Navy. In all our projects, the Navy conducts quarterly reviews. This is exactly the same question they ask. So, I try and give this and then they insist you give me the date, when are you going to deliver this? Then I give them a band. So, I will give you a band of delivery. So, in the Q1 is to be Anti-Submarine Shallow Water Craft and a survey vessel. In the second quarter, nothing, because the ships

are not at that stage of the thing. In the third quarter, one Survey Vessel, large, that is the second of the three remaining. And in the fourth quarter, one Anti-Submarine Shallow Water Craft, which means two Anti-Submarine Shallow Water Craft and two Survey Vessels Large during the current financial year. In addition to that, we will also be delivering the Next Generation Electric Ferry to the Government of West Bengal in the first quarter of FY'25. I don't think you'll be really interested in the small projects like that small unmanned surface vessel because they are only of academic interest and the order value is minuscule, and also one order for the Government of Bangladesh for Patrol boats, not much order value, it is only our presence there. For your interest, two survey vessels, two Anti-Submarine Shallow Water Craft.

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Participant: What would be the approx. value of each of the vessels, revenues, what would we get in the company books?

Cmdr PR Hari: Approximate?

Keshav Harlalka: Approximate value what would come in as revenue for us when we deliver the vessels or as we build, do we bill it to the client then into our books?

Cmde PR Hari: Absolutely. Because in ship building, the revenue accrual is incremental as we execute the project. Like, I'll give you an example. The Survey Vessel, which I stated that survey vessel order value is 511 crore per ship. Right now, the ship is around 82, 83% of physical program, which means I would have already accrued most of its 450 odd crore. So, what you're trying to ask, you may not get a clear answer unless I correlate with the physical progress. So, delivery as far as you are concerned, I mean in terms of revenue accrual, it's of no use. I will put it in a different fashion. I understand what you're trying to ask.

Participant: What kind of growth are we looking at in terms of revenue and over the next two, three years is what I am broadly asking.

Cmde PR Hari: We were around 1,756 crore in FY'22. In FY'23, we went to 2,561 crore. In FY'24, nine months, we have already touched 2,577 odd crores which we have already surpassed the last year. Okay ! Now that we are halfway into the thing, we should be touching plus 3,000 crore during the current financial year. Now, big ticket items of this 23,792 crore is a P17 Alpha project. The P17 Alpha project is a 19,293 crore project. And that the first ship has just touched 65%, the second ship is at 54%, and the third ship is at 45%. The first ship has got still room before she touches around 75% to give more revenue to the company. The second and third ships are going to touch the peak. Now, considering that is the situation, for the moment, I am just discounting the small project that is the ASW SWC and Survey Vessel. Between the P17 Alpha alone and supported by the other two projects, we should be giving us a revenue growth of around 20% - 25% at least for the next three years.

Participant: So, you are looking at broadly 3,800 to 4,000 crores by FY'24-25 and say 5,000 crores by FY'25-26?

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Cmde PR Hari: In my initial this thing, I had mentioned that the current order book excluding what is likely to come i.e., for anybody to guess, the current order book will finish by FY'28.

Participant: So, you're guiding a 25% CAGR growth for the next four years broadly, Sir?

Cmde PR Hari: Next two years.

Rohit Natarajan: So, this is Rohit Natarajan from Antique Stock Broking. So, my first question is, this year the awarding from Navy was a little bit low as in the Next Generation Corvette has been there for some time, we've been talking about it, but the awarding seems to be a bit on a slower side. What exactly is the reason?

Cmde PR Hari: See, the Government revised the Defence Procurement Policy (DPP) in 2020. As per the policy to the time the AoN is obtained, to the time the RFP is issued, there's a 30-month period. Now

, we have been pushing

Navy. Navy has been pushing themselves. Ministry has been pushing Navy. So, all put together, we are keeping very close track of the particular project. Our appreciation as I mentioned, the RFP is likely to come out in June - July this year. Does that answer your question? Officially, they are well within that time because, June - July will come to around 26 or 27 months. But they need the ships. We need orders also. So, they are pushing themselves. The case is being processed on a fast track as the statement of technical requirements are ready. Now, it is only the process which now we are in March end, so I expect around three months more, June - July it could come out.

Rohit Natarajan: The reason why I asked you this question is the other two big shipyards, they are now also keen to explore small ticket orders because there

seems to be some sort of a slowdown in order inflows and now they are looking at low value platforms as well.

Cmde PR Hari: See, there are six of us. Four defence shipyards, Cochin Shipyard and L&T. Right now, all of us have got reasonable amount of orders. So, that desperation has not yet come in. And for projects like the Next Generation Corvettes (NGC), Navy does a capacity assessment, and eligible shipyards are decided on certain conditions. So, I think I had

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mentioned before, for the NGC, there will be only four players in the game. So, four shipyards and also the order being split between two. I think even if you take simple probability factors also, we stand a very good chance.

Rohit Natarajan: Sir, my next question is that you talked about the capacity augmentation to 24 vessels by FY'25 and currently you can do platforms of almost like 20 vessels at this point in time. But in your closing remarks, you said your order backlog, you want to keep it 240 billion - 235 billion. But you are adding up capacity as well. So, do you think is that some sort of a conservative message you're sending out? Do you want to add more order backlog, I mean want to grow up much more higher from the current levels, is there something of that sort that you have in mind?

Cmde PR Hari: I'll explain. In shipbuilding, the major assets are the dry docks and the building berth where the initial construction of ship is carried out where the occupancy period is long. That's called the pre-launch phase. Once that is complete, the ships come out and get onto jetties and berth where the outfitting happens. Our intent of increasing the capacity, one, was at no point should we be found wanting in case more orders come. Second, we will not let this enhanced capacity idle because the way we look at it, I had mentioned with confidence that we will be getting commercial shipbuilding orders. And that is one place where we just cannot afford to slip a date. So, we didn't want to land up in a situation wherein we have orders, and we don't have capacity to do it. Third, even when we had a capacity of 20 ships, even at that point of time to facilitate the concurrent construction, we had gone in for a partnership with the private shipyards and it's a very successful partnership, I mean, it's all open-source information, nothing confidential about it, we had partnered with the major Indian private shipyard. Three of our ships were part construction. Very effective. All the ships are back in GRSE premises right now getting readied. So, capacity is not a constraint. Why enhancement is to cater for more and more. Now coming to the figure which you had mentioned, I myself had mentioned that our intent at this moment is to, I use the term at this moment., because let us take NGC project, which is a first big ticket thing that is going to come from the Navy. The order would come again in a conservative. Will come only by mid of 2025. From mid of 2025 for the revenue to start coming in, it will be '26 end because the initial

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period not much revenue comes in is only the design preparatory work, order placement for equipment and all. That is the reason I mentioned that we would like to maintain. Once that happens and let us take a situation. Suppose, if we are getting P17 Bravo, then the entire game changes. So, let's hope for that.

Rohit Natarajan: Sir, my final question will be, why did you avoid Next Generation Destroyer at your prospect market? Is Destroyer out of your bandwidth as such to be done? Is GRSE really thinking about Destroyer or maybe such advanced vessels on cards?

Cmde PR Hari: In today's scheme of things, what was earlier called as a Corvette, because I have served in corvette, and I have now built corvettes also.

I will just build up to what you're trying to ask. What was called a corvette was just about 70 meters long and with a displacement of just about 1,000 tons, and the last project that we completed the Anti-Submarine corvette, it's around 110 meters long. That's also called Corvette. Now coming to the frigates, we have built earlier the P16 Alpha project, the Brahmaputra-class project, around 10 - 12 years back. Weapon package wise at that point of time termed as a frigate, but a conservative frigate. What we are building today is the P17 Alpha, the most advanced frigate, absolutely weapon intensive. So, the difference between frigates, destroyers, that band of ships is reducing. We have full capability to construct destroyers but Next Generation Destroyers, at this juncture, the need is very much there, but processing of the case for AoN and this thing is still in liquid form. It is a bit away as in it could be two to three years away. And when that situation comes, we'll definitely be pitching, we'll be one of the shipyards who will be shortlisted for this project. These are our appreciation.

Ramesh Bhojwani: Ramesh Bhojwani from Mehta Vakil. You have made an all-encompassing presentation. Few clarifications I wanted. One, do we have the technology and the capability to build and deliver Stealth ships? This is from the defence point of view.

Cmde PR Hari: We are already building Stealth ships. What we are building now, the P17 Alpha is a Stealth ship. It's called a P17 Alpha Stealth Frigate. So, Indian shipyards in general and GRSE in particular specifically, we have the full capability to build Stealth ships.

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Ramesh Bhojwani: Secondly, do we also have the capability to build Submarines?

Cmde PR Hari: In case of submarine building, there are two and a half Indian shipyards i.e., Mazagon Dock, your neighbors here, fully capable, proven capability in building Submarines, and Hindustan Shipyard, right now they are into submarine repairs, but the very fact that they can do repairs which means with little augmentation they can do submarine building. Larsen and Toubro Shipyard, they invested heavily into submarine design and building, and they have been supporting the Navy for the other project. So, that's why I said 2.5, 2.5 shipyards already exist. For us, at this juncture, we are not looking at submarines. We are good with the surface ships and even today, Indian armed forces, definitely Indian Coast Guard and mostly Navy they are surface platform oriented and that is our specialties. We would like to retain that core strength.

Ramesh Bhojwani: Because we have a very vast coastline and the dangers from all the three sides are exponentially up. That was the reason of asking the question.

Cmde PR Hari: Submarine, at this juncture, no. I will tell you one more thing that we are on the same page. See, any shipbuilding prowess doesn't come overnight, any shipbuilding capability or submarine capability, it requires decades and decades of expertise. People may change, but the systems, the design capability, everything remains. So, going in for ab initio development of submarine building, it may not be in our business interest.

t. Second, since you mentioned, India has got 7,512 kilometers of coastal line, more than submarines, what we need is surface ships, Anti-Submarine platforms to protect the coastlines. That is our specialty.

Swachha: This is Richa from White Rose Financial Advisors. See, you've given us a good overview of the bid pipeline, the RFPs that are going to be out and going to bid for. If you could just help us understand what all orders we've already bid for and waiting for the awards or something, some

sense, some kind of a number to that?

Cmde PR Hari: See, I am talking as on today, none of the RFPs of anybody's life we have bid for few export projects again through DLOC, and that is what is

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available in the market today. Nothing much is available as on today, but four months or five months from now, the flow will start. There I can just rattle out, 36,000 crore for the NGC, 3,000 crore for the Next Generation Survey Vessels, around 1,200 crore for the multi-purpose vessels and P17 Bravo, when it comes, 70,000 crore is available over the next one and a half years.

Swachha: My second question is regarding commercial shipbuilding. If you could give some background as to what kind of orders again there we are looking to bid, what kind of opportunity do we have on the commercial shipbuilding side as well, sir?

Cmde PR Hari: In commercial shipbuilding, again to just to give you a background. China is a major player, but China doesn't seem much interested right now in constructing medium and smaller vessels. They are looking at much much bigger size platforms and same goes for Korea or Japan. So, most of the European clients are looking either at India or Turkey. So, India has now become a destination because they know that the cost of production is going to be much cheaper and India has been traditionally building warships. So, the capability and quality exist. Now to come to your specific this thing, we have got very very positive interest shown by clients from Netherlands and Germany. That's why I said, I would request a little patience, may be give us another three months and we will tell you what we got. I can tell the figures, but then most of them are at the final stages of negotiation. So, even giving an indicative figure will not really help you, but just to give you the confidence that we are into this feel and we are very confident of getting orders.

Swachha: Is it fair to assume that margins obviously on the commercial ship building would be higher than our existing margins?

Cmde PR Hari: Yes, they will be higher, but we would like to start in a modest fashion. We don't have to prove anything to Indian armed forces because they know us for the last 64 years. But in commercial shipbuilding, we have to prove ourselves. What we have delivered so far is a Passenger-cum-Cargo vessel to Guyana and a few such projects. So, we will be starting in a modest fashion. We will not go too aggressive with respect to getting margins. It is to prove our capability so that they gain confidence as we get more and more. That is the intent.

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Amit Anwani: Amit Anwani this side from PL Capital. My question is on the order book. So, you said current order book is about 23,000 - 25,000 crore and we would like to maintain the similar level over next 3-4 years and the current book will be executed in next 4 years, which means that we are factoring in the collective order intake of 23,000 to 25,000 crore over next four years together. And the pipeline which you highlighted looks quite robust, including the 36,000 Next Generation project and then the Next Generation vessel project and P17 Bravo. So, I think collectively pipeline looks more than 60,000 - 70,000 crore. So, are we being conservative in order intake guidance? That is my first question.

Cmde PR Hari: Right now, the order book is around 23,792 crore. And with the way our revenue

is growing, over the next two to three years, if we are not getting any new orders, this will deplete. What we are currently looking at as a first major order would be the Next Generation

Corvettes (NGC). The 36,000 crore is for eight ships and that is going to be split between two shipyards. So, let us for a moment assume we become L1 or order value would be around 22,500 crore. Coming to P17 Bravo, it's a little more away, may be another year behind the NGC, that is the seven ships project again going to be split between two shipyards. While the order book value could be total if you're putting approximately 10,000 crore per ship, so 70,000 crore, so the L1 shipyard would get around 40,000 crore. There again, the revenue accrual will commence only another year or year and a half down after the contract is concluded. So, I would not say, I am going too conservative. I am just perhaps trying to give you a reasonably realistic assessment.

Amit Anwani: Next question is on the non-shipbuilding areas which you highlighted including the commercial ships, ship repair and LPD, and I think few more areas, autonomous areas. Would you like to highlight what could be the order potential over the next five years in each of these areas for us?

Comde PR Hari: See, again, as a nation, the autonomous platforms, it's at a developmental stage. While we have been singularly lucky to have already got an order and one more on the anvil, at least for the next three years, I don't expect major orders in this segment. They all would

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be coming piece meal, maybe 50 crore - 100 crore to that level only. But in the case of commercial ship building, yes, there is enough scope. Give us a little more time. I will be able to give you a clear picture on the commercial ship building. May be three months down the line we can interact on that. My next vertical is the portable steel bridges. Here, just again to give you this thing, I have mentioned that the market share we own around 65%, overall market is low. We are getting over 100 - 120 crore from this segment alone. I mean, these are the small, small things which add up. Ship repairs, right now is just about 85 - 100 crore. There is potential here, but we have not yet got a break into the Navy. The moment we get a break into the Navy, which we will be that is current calendar year, there the revenue will go up. May be again, our internal target is by 2025 at least 200 to 250 crore from ship repairs. Coming to the fourth or fifth vertical that is the Naval guns, very interesting segment. Almost monopoly in that particular type of guns. We already got the first break. We are capitalizing on that. There is enough opportunity there. We started with 250 crore for a 1.5 years project. More and more is coming in this segment. Another area which I had not touched upon before is, we also have a plant production facility at Ranchi, the diesel engine plant at Ranchi. We had a license agreement with MT Rolls Royce, Germany for assembly and testing of Diesel Engines. The revenue accrual was miniscule, but now we have gone to the next level that is co-production of engines. And why this is attractive, it will again take for it to fructify. Right now, the license agreement has already been signed for it to fructify into an order. It will take another three years because the engines that are going to be co-produced by Rolls Royce and GRSE are targeted to be fitted in Indian naval smaller size ships i.e. the fast patrol vessels or the Water Jet FACs. So, around two to three years down the line, we will start getting orders in this segment also. Another area is we have also ventured into the development of Green Platform. Of course, there are very small players who are developing boats, but right now only Cochin Shipyard and GRSE are there. If the government seriously looks at de-carbonization and go green for all our ports and inland waterway

s, the sky is the limit.

So, I can only give generic statement with respect to because these are all developmental stage. I am talking about green vessels and autonomous but other things are there.

Amit Anwani: Last question is on the import component in each of the platforms which we are executing. Any constraints with respect to raw material

supply or any components which you might face or might be facing currently?

Cmde PR Hari: See, there was an impact. First, it was because of the COVID situation, there was a defining impact on the supply chain in general. And with respect to the import content, to be frank, not much because of COVID. Then came the Ukraine situation. Many of our items come through sea. Minimal impact. Why minimal impact is most of our items had already come in before that. Second, the prices have gone up, but luckily all our orders for the existing projects, all I repeat, all the orders for the existing projects were placed before they are all fixed price orders on our OEMs. So, there has been no price impact. So, in a nutshell, yes, there has been a marginal impact on the project timelines overall, but not significant.

Sunil Shah: Sir, the two types of contracts generally, nomination and bidding. If it's a nomination, I think we get a fixed margin over there, P17A comes in that category. So, the margins, I think that's the one question which has been left out. So, the next 36,000 crore order which is there, it's going to be on a bidding basis or nomination. How are the margins different between both of them?

Cmde PR Hari: I was actually speaking in a forum which included effectively the Indian defense manufacturing industry. So, my starting point was this, the transition from that cost plus and the nomination era to fixed cost and the competitive era, this took almost a year a decade back and we are good with that. To answer your question, yes P17A, we got on nomination, two shipyards, all the other projects have been won on competition. The Next Generation Corvette project is on competition.

Sunil Shah: Sir, the nomination gives us a 7.5% kind of a margin. So, when we are bidding, there the margins could be about what range, if some number on that, because my future order book pattern is one thing, the change in the margin is also important for us to understand, sir.

Cmde PR Hari: I'll just take two projects so that you understand. The two projects are on competitive bidding. There is going to be a project for 22 Waterjet FACs for the Navy. There are around five plus two, seven shipyards. The Next Generation Corvettes are for four shipyards. Our bidding strategy will be completely different for both. If, we intend at that point of time

to win the contract, the Waterjet FAC, I will go for very low margins and then focus on efficiency, concurrent construction etc. In the case of NGC, my strategy will be totally different because there are only four. And there are several places where I don't have to invest because capability, capacity, infrastructure, design, everything is available with me. So, in that case, the bid margins when we bid, the margins are going to be on the higher scale as compared to the other projects. But then the fact remains, it is competition. This is the way it is going to be for every shipyard, I mean, at least for the shipbuilding industry.

Sunil Shah: You have increased the authorized share capital of the company just recently, right. So, what are we looking at?

Cmde PR Hari: At this juncture, I can only state that this is a Government, the DIPAM directive. We will provide further clarity on this as it evolves. At this juncture, I can only state that we are a Government company, it's a directive of the Government come through DIPAM, and we will provide further clarity on this as it evolves, maybe in the next interaction.

Sunil Shah: Many of us here are shareholde

rs of the company as well as investors.

We have been holding the company shares for like many years now,

maybe pre-COVID days. We have seen the journey going through and the entire quarter-on-quarter run up which we had thought of is actually getting delivered. Again, going forward, we see that the 23,000 crores order fructifying over the next four years. So, just as a thumb rule, I am not trying to pinpoint numbers or anything, we are just benchmarking that this year if we do 3,000 crore, we do 4,000 crore revenue, or 5, 6, 7, that's the broader track on which thematically we are thinking. Is our thought process more or less on the right path or we are anticipating too much, just the ball park?

Divyesh Shah: Sir, what is your opinion? This is our simple mathematics / logic.

Cmde PR Hari: Sir, mathematics and logic both are in congruence. Unless something unforeseen happens, this entire thing collapses or let us say there is another war or if something catastrophic happens, we are on track as to what I was mentioning.

Divyesh Shah: Do we have a capacity in next 2-3 years to go 10,000 crores per year after '28?

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Cmde PR Hari: Seriously, that is the intent, Sir. Now again, I can comfortably state because it is an open-source information. Today, we are a Miniratna Category-I Schedule-B company. We aspire to be a Navratna company. For us to be a Navratna company, what you are mentioning is exactly what we are looking for. Capacity wise there is no constraint.

Divyesh Shah: Regarding raising of authorized capital, I think that you must have some thought process why you required to raise? DIPAM has told you to raise the capital, but?

Cmde PR Hari: I understand your thought. Just give us a little more time. Let a little more clarity emerge, we'll definitely brief you. Just give us three more months. By time we will know exactly where we stand. At this juncture, I would like to limit my answer to that.

Divyesh Shah: Sir, in other way, do you require a capital or do you require a debt anything for future expansion?

Cmde PR Hari: We don't have any requirement at this juncture for raising capital or going in for debt.

Ashok Shah: The board meeting has been postponed to 21st March. Is it also from DIPAM instruction?

Cmde PR Hari: No, it is because of our own constraints because we had a couple of cases which it had to be put up to the Board, we were not ready with that. I'll just tell you because since you asked, we are just executing a project for the Navy, the Next Generation Ocean Going Patrol Vessel. Certain high value procurement cases are going beyond my direct financial power. So, we have to go to the board for getting approval. Some clarifications were still pending. That is why the delay. I think now it's on 21 March. We are good to go for that. No other reason. This has got nothing whatsoever to do with the other matters.

Amit Dixit: I am Amit Dixit from ICICI Securities. So, you indicated from the order book and from the execution whatever we hear and of course we are expecting orders of Next Generation Corvettes (NGC) and P17 Bravo. Will there be a phase, let us say FY'27-28 the execution will drop significantly? Because now we will end possibly at 7,000 crore,

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whatever is being mentioned, but going ahead, the revenue will take time to pick up essentially. So, do you expect this execution to drop or before that you expect NGC, etc., to pitch in or some other avenues

that you have highlighted?

Comde PR Hari: What I think mentioned in the past, I'll just reiterate. The Next Generation Corvettes (NGC), from the time the RFP is issued, will take a year for the contract conclusion logically, a year. Now the way the Navy is moving, it could even be 10 to 11 months. Let us take a year. So, that would be mid of 2025. From then actual revenue to be accrued, it will take another year to another year and a half

. That is when the ship will start from 10% to 15% progress, 20% progress whatever is the scene. So, that puts us somewhere in 2027. That is when our existing order book only. I am not talking about the commercial shipbuilding, other verticals, and all, existing order book once it starts depleting, that will get padded up by NGC. Now, P17 Bravo is about a year behind NGC. So, once NGC starts in let us say in an aggressive way with respect to revenue recognition, the P17 Bravo will start giving something and that will peak during 2029-30. This is our current estimate. At this juncture I am not even talking about NGSV or the smaller project or Waterjet FAC, only the big ticket.

Amit Dixit: The second question is essentially on the increase in capacity from 20 ships concurrently to 24. Is there any incremental CAPEX that you have to do or I mean most of it is done? If you can also highlight the incremental CAPEX for the next three years?

Comde PR Hari: I will just give you a background and then I will come to this. See, we had done a major CAPEX infusion somewhere in the latter half of the last decade, around 610 crore. From then onwards, as a strategic decision, we decided that we will invest maybe a modest 40 to 50 crore every year, replace the equipment and so on. So, it is with that strategy we have been moving. In between, we have required a crane for around 150 crore. Now, what we intend doing for the next three to four years is to retain the strategy of 50 to 60 crore per annum, that is depending upon the need at least for the next three years, we have projects in hand. And for this capacity enhancement, not sure whether you remember or not, we had taken over our facility from Central Inland Water Transport Corporation, that is called our Rajabagan. It's a separate fully dedicated production unit. And perhaps

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that is the only facility in India today which is dedicatedly for small and medium size warships. This was a beautiful facility with the multiple docks and slipways which are actually required for ship building. It is completely in defunct condition. So, what we had done was we had gradually developed it. At this juncture, 70% of the facility is utilizable, which means we are utilizing, we are constructing ships there.

Why I mentioned calendar year '25 for increasing to 24 is by rejuvenating the balance of that 30%, which we are already executing, I mean we're already doing the refurbishment. It is not capital intensive. This will come within our overall plan of 50 to 60 crore per annum. To answer your question, no major capital infusion unnecessarily required at this juncture for capacity enhancement.

Swechha: With regards to revenue, now the current order book is close to 23,000 - 24,000 odd crore and in nine months we've already booked the revenue of 2,600 crore. So, now as you mentioned that in the shipbuilding cycle, the majority of the revenue is already built in during the mid-cycle, right, there is a peak and then there is a decline in revenue. Now, most of the order book, the ships I believe are already in the advanced stage, they would have crossed that line, right. So, given this, do you think the peak revenue for us from the current order book has already been built in, in this year or like you also stated earlier, you would see a CAGR of 20% or 25% for next two years. So, is that possible because I feel most of the ships would have crossed that peak revenue booking cycle, right?

Cmde PR Hari: I'll just take three projects. The fourth Project NGOPV is still in a nascent form, it just achieved around 10%, hardly any revenue recognition, just leave that aside. Coming to the P17 Alpha, the first ship has touched 65%. And I had mentioned that there is still enough room for value to come into the project, up to 70% to 75%. In the case of the second ship, it is right now at 54% - 55%. That is actually at a stage where it is

giving

us and that will continue for the next one year. The third ship is only at 44%. And if you just look at the delivery timelines also, the first ship is planned to be delivered only by maybe July - August next year, the next ship is February 2026, and the third ship is August 2026. So, I think you should be assured that all these three ships are at the correct phase where they will start giving us returns in terms of revenue. And this will be supplemented by the other ships. See, this Anti-Submarine Shallow

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Water Crafts project is eight ships project, first ship is at around 77% to 80% and the last ship is at 15% construction. So, they will all mature where they will pad up the revenue.

Swachha: Is it right for me to assume that from the current order book, the peak revenue is going to be somewhere in FY'25 and then it will start tapering down? Obviously, you'll have other ships that will add, but from the current order book FY'25 would be the peak revenue?

Cmde PR Hari: See FY'25 and FY'26 because in FY'26 I had mentioned the P17A delivery, one is in February '26 and the second one is August '26.

Participant: Could you please throw some light on Landing Platform Dock (LPD), who all are competent and why are we to certain extent hopeful on it?

Cmde PR Hari: Landing platform dock is originally conceived as a four high value ship project. Each ship is expected to be to the tune of 18,000 to 20,000 crore. The shipyards, who could be in contention for this is Cochin Shipyard, Larsen & Toubro and HSL. But, then again, I would like to give you a reality check that this project has been going on for the last 10 years. That's why we have not factored as that in any of our projections.

Participant: So, what makes you hopeful, sir, to mention now?

Cmde PR Hari: No, what I mentioned was this project has been under discussion for the last 10 years. So, it may happen, it may not happen. At this juncture, we don't know, neither does the Navy know, though they have a requirement. So, see, the project Approval of Necessity (AoN) is accorded based on the fund availability also. So, the priority automatically goes to projects like Corvettes or Frigates or even the Next Generation Destroyers, which could come even before the LPD. This is my assessment. Let us see what happens.

Participant: Can you throw some light on the export opportunity with regard to the lower value ships and all?

Cmde PR Hari: Export opportunities are there. I'll just give you what we have already achieved means where we have the L1 waiting for the orders to the contract should be signed, one is for a dredger for the Government of

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Bangladesh and also for Ocean Going tug through DLOC for the government. The order values are ranging between 150 to 200 crore.

Participant: Apart from that, like smaller ship buildings?

Cmde PR Hari: No, these are small ships. Okay, on the commercial ships, what we will be targeting just so that we are all on the same page, we will be targeting multi-purpose vessels ranging from 80 meters to 120 meters

length and tankers, means small tankers, not the large tankers which are to the tune of around 110 to 120 meters length. At this juncture, I should not be giving you a clearer picture than this, because we are on the stages of negotiation. May be next time when we meet, I'll be able to give you better clarity. Other nations have shown interest like some of our friendly foreign nations have shown interest in smaller platforms, that is weapon platforms, but defence exports, the Government has got a major say in that, like let us say today, Maldives or Sri Lanka or Mauritius or Seychelles wants a ship, the routing is through Government.

Participant: So, just one question is on margins. You anticipated it very early in your interaction. Just looking at how margins will pan out from here over the next three to four years

?

Cmde PR Hari: Could you please repeat?

Participant: My question is on margins. Shipbuilding goes through phases where value addition is different. So, are we looking at stable margins or increasing margins going ahead like?

Cmde PR Hari: At this juncture, with our major revenue coming in from shipbuilding, I am not keeping the other verticals because the margins are higher there, but they hardly contribute to less than 5% of our overall revenue. We will be able to provide you steady margins as what we are giving now. Neither more nor less at this juncture unless some policy changes happen.

Participant: Just one clarification to the gentleman on this side when he indicated 4, 5, 6, 7 as a likely growth path for your revenue, you said yes, that's very much possible, and to the lady on this side, you indicated that

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when she asked that the peak revenue might happen in '25, '26 concurred with that as well. So, I am slightly confused which is it?

Cmde PR Hari: As sir was mentioning, it is logic. At this juncture, we don't see any delay. I said unless let's say India suddenly decides to fight with everybody or some global situation happens, we don't see any delay. So, if there is no delay envisaged, then the order book is so much, the present progress is so much, the order book remaining is so much, it is pure mathematics.

Participant: The final hypothesis. Four years, your current order book is completely invoiced and you are indicating that you intend to maintain your order book in the same corridor. So, end of four years from now, your order book will look similar 25,000 crore?

Cmde PR Hari: Or more. That's what we're targeting.

Participant: But are we therefore looking at a discernible slowdown in revenue growth from four years from now?

Cmde PR Hari: At this juncture, no, because if you are getting an order for NGC, which we are hopeful, then there is no question of it coming down and that is exactly the reason why are we getting into commercial shipbuilding. It is to pad up in case there is a dip somewhere, pad it up with these orders.

Participant: But what kind of scale are we looking at for commercial shipbuilding perhaps in a five year time period?

Cmde PR Hari: Five year time will start, maybe I cannot indicate the values, but we'll start with multi-purpose vessels and smaller size tankers, and if the business is good and the margins are attractive, we will invest more

attention towards this.

Harshad Kapadia: Hi, sir, this is Harshad Kapadia from Elara. Could you give us a break up on the order book number 23,700 crore, what would be for P17 Alpha, what will be for the others?

Cmde PR Hari: In P17 Alpha, we have around 12,700 crore remaining. This is as of 31st December, 2023. In the Anti-Submarine Shallow Water Craft, we have

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around 5,000 crores remaining. In a Survey Vessel Large, about 1,050 crore. And in the NGOPV project, around 3,388 crore remaining. I think should address the query by man there that P17A still contributes to almost 12,000 crore.

Harshad Kapadia: Just final question is on the commercial ship building. One of the other PSUs have also mentioned that they also plan to get into commercial shipbuilding. So, this will be more of a competitive bidding for the same project or how is it geography wise divided that you will be looking at Europe and other PSU will be looking at something else?

Cmde PR Hari: See, with the European owner not looking at China at this juncture for the platforms that we are looking at, not all of us, be it as Cochin Shipyard or Mazagon Dock, there only three of us who have shown active interest in there. So, what we have assessed is as late as yesterday we had yesterday and today the owners of a couple of companies are in my premises. So, they are not on competitive bidding. They target a shipyard. They do an independent assessment of the

shipyard. When they know that we are interested in commercials, they approach us. That is a strategy which they generally follow unlike a conventional government domestic warship bidding tender. So, it is one-to-one. If the price is satisfactory, if the classification society certifies us as competent, you are through if the price is mutually agreed.

Harshad Kapadia: One question is on Indigenization. Any more product which you think would you be making in-house, or you think you will be collaborating in future just like you have done for Diesel Engines, any other product where we are looking into which is of a high value which could be a critical value?

Cmde PR Hari: In addition to diesel engines. we have a smaller size ship, there is something called a Water Jet Propulsion and there are few OEMs who are competent, Wartsila, Kongsberg and Rolls Royce. We have collaborated with Kongsberg. We have already signed an MoU and now the MoU needs to be translated into a license agreement what we have done for the engine. I expect another three to four months for concluding that. Again, the potential there is that many of the platforms required by both Navy and the Coast Guard have Water Jet Propulsion. And with the government's thrust on indigenous station.

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With the indigenous content above 50% or and if that becomes big criteria, then it's a good chance. And also, since you talked about indigenization, almost all the autonomous platforms which are going to come, right now, you must have seen in news, many of the platforms are getting imported, that cannot go on forever. So, I don't want to put any figure to that. Just to say, there is future in that segment also and deliberately we are collaborating only with startups. We are not collaborating with any major industry because that is economically suitable also for us.

Divyesh Shah: When we came here, we saw a corporate film of GRSE. Within the film you were carrying a document called Vision 2030. We want to be interested only in the financial matters of Vision 2030.

Cmde PR Hari: So, it's like Dr. Abdul Kalam's thought, there is no end to dreams, but the dream should be realistic. My company's vision is to become a Navratna company by 2030. Now, to become a Navratna company by 2030, then we have to be a schedule A company first in another couple of years, this year or next year or next to next year. And our current revenue of 3,000, 4,000 crore is nothing. So, we aspire to be a Navratna company with a turnover of around 10,000 crore by 2030. It is an ambitious target, very, very aspirational, but it is not impossible, it is very much possible.

Divyesh Shah: Simply putting 10,000 crore by 2030?

Cmde PR Hari: Why I have not put 15,000 crore, why I have not put Navratna which means it is definitely achievable.

Divyesh Shah: And for achieving that 10,000 crore figure what is your expectations from Government of India?

Cmde PR Hari: From the government, expectation is clear. One is, we want the P17 Bravo project. Second, from our own internal expectation is that we must win the five ships of NGC, we should become the L1. Third, existing order book should not cross 2028, none of them should cross 2028. Fourth, commercial shipbuilding, we should start on a right foot. If we start on a right foot, I mean, right now, we had a tanker OEM who had come, as I mentioned that, we are afraid to give him a commitment because we have got a multi-purpose vessel owner who is about to sign

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a contract. So, at this juncture what I am trying to say is the opportunities and leads are at plenty. So, this is the fourth thing. And fifth, of course supplement this with all our other verticals because today among all Indian companies put together, all, I state with confidence that we are the only fully diversified company. You take the private, public, everybody put together, we are the only trul

y diversified, which means you talk ship building, commercial ships, we have delivered, we will be delivering more, ship repairs, you talk about bridges, which has got nothing to do with ships, weapons, diesel engines. So, capability exist.

Moderator: Thank you so much, everyone. Thank you, Cmde Hari. Thank you, Mr. Dash, and Thank you, Sandeep sir.

Cmde PR Hari: Thank you, ladies and gentlemen. It is a pleasure interacting with you and looking forward to meeting you soon. And we will not let you down.

If you have any further questions, please send an email to gaurav.g@conceptpr.com

Call: May 2024

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Garden Reach Shipbuilders
& Engineers Ltd.

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(A Government of India Undertaking, Ministry of Defence)

CIN NO. : L35111WB1934GOI007891

SECY/GRSE/BD-69/AM/04/23-24

To,

National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex, Bandra (E),

Mumbai -400 051

Symbol: GRSE

Dear Sir/ Madam, BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort

Mumbai -400 001

Scrip Code: 542011 31 May 2024

Sub: Transcript of Analyst Meet/Con Call for Q4 & FY 24 of GRSE -Reg 30

1.Further to our Intimation Letter No. SECY/GRSE/BD-69/AM/04/23-24 dated 23 May 2024, we wish to inform that Conference Call was held on Monday, 27th May, 2024 at 03.30 p.m. to discuss the Audited Financial Results of the Company for the Quarter and Year Ended 31st March, 2024.

2.In this regard and pursuant to Regulation 30 read with para A of Part A of Schedule III of the SEBI (LODR) Regulations, 2015, the Transcript of the AnalysU Conference Call for Q4 & FY 24 of the Company is enclosed herewith.

3.This is for your information and records.

Thanking You,

Yours faithfully,

For Garden Reach Shipbuilders & Engineers Limited

Sandeep Mahapatra

Company Secretary and Compliance Officer

ICSI Membership No. ACS 10992

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Registered & Corporate Office : GASE Bhavan, 61, Garden Reach Road, Kolkata -700 024

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Web : www.grse.in, E-mail : co.sec@grse.co .in

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Garden Reach Shipbuilders & Engineers Limited

Q4 & FY24 Earning Conference Call

Monday, 27th May 2024 @ 03:30 P.M.

Management:

1. Cmde P.R. Hari, IN (Retd) - Chairman & Managing Director
2. Shri R.K. Dash - Director (Finance) & CFO
3. Mrs. Aparajita Ghosh – General Manager (Finance)
4. Shri. Sandeep Mahapatra - Company Secretary & Compliance Officer

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Garden Reach Shipbuilders & Engineers Limited
Q4 & FY24 Earning Conference Call
27th May, 2024

Moderator: Good afternoon, ladies and gentlemen. I am Aditya, moderator for this conference. Welcome to the Conference Call of Garden Reach Shipbuilders & Engineers Limited arranged by Concept Investors Relation to discuss its Q4 and FY24. We have with us today, Cmde P R Hari, IN (Retd.), Chairman and Managing Director and Shri R K Dash, Director (Finance) and CFO.

At this moment, all participants are in listen only mode. Later, we will conduct a question & answer session. At that time, if you have a question, please press * and 1 on your telephone keyboard. Please note this conference is recorded. I now would like to hand over the floor to Cmde P R Hari, Chairman and Managing Director. Thank you and over to you, sir.

Cmde P R Hari: Thank you, Aditya. Ladies and gentlemen, very good afternoon to each one of you. I am Cmde P R Hari, Chairman and Managing Director of your company and with me here are Shri Ramesh Kumar Dash, Director (Finance) and Chief Financial Officer, Smt. Aparajita Ghosh, General Manager (Finance), and Shri Sandeep Mahapatra, Company Secretary.

At the outset, let me thank each one of you who have taken out your valuable time to attend this con-call. I shall now cover my introductory talk, starting with the current order book, the status of the ongoing project, what are the orders which are expected and what are our future plans. The order book as on 31st March 2024 stands at 22,652.68 crore. This order book mainly consists of orders from the Shipbuilding sector comprising of 22,593 crore, with the P17 Alpha Project having a value of 12,174 crore, Survey Vessel Large Project of 940 crore, the Anti-Submarine Shallow Water Craft Project of 4,886 crore and the Next Generation Ocean Going Petrol Vessel at 3,359 crore.

Coming to the P17 Alpha Project, this project, as you are aware comprised of three warships and all the three ships have already been launched and the first ship is currently at 70% physical progress of construction, the second ship is close to 60% construction and the third ship is at 47% construction. As per the current schedule, we intend delivering the first ship during mid 2025 that is mid of next year and the third ship during mid of 2026 calendar year that means by August 2026, we will be completing this project.

Coming to the Survey Vessel Large Project, this is the four-ship project. Again, as you are aware, we have already delivered the first ship to the Indian Navy. This ship was commissioned into the Navy on 21st of February 2024 after we delivered the ship on December 4th, 2023, which successfully operations now and is under exploitation by the hydrographic arm of the Indian Navy. The second ship is at 87% construction. The ship has already undergone the contractor free trial and it is now getting ready for final machinery trial and the subsequent delivery. The third ship is currently under construction and the fourth ship is very close by 68% construction.

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We intend delivering the second ship, which is currently at 87% construction by August this year and the second ship will be delivered by the end of the current financial year. And the last ship, the fourth of the series will be delivered by the first quarter of the next financial year.

Coming to the Anti-Submarine Shallow Water Craft Project, this is the eight ship project. You may be aware Navy had a requirement of 16 Anti-Submarine Shallow Water Crafts and they have split the order between two shipyards, Cochin shipyard and GRSE. Of the eight ships that are being constructed by GRSE, six have already been launched and one more ship is expected to be launched during the second quarter of the current financial year. And the last ship, the eighth ship will be launched during the last quarter of this financial year. Of these six ships t

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had been already launched, the first ship has touched 87% physical progress of construction. The basin trails, the harbor trails of the ship have already been completed. The ship is getting ready for the sea trial and thereafter for handing over to the customer i.e. the Navy. The second ship is at 70% construction, the third ship at 63% and the fourth, fifth and sixth ship are around 40% to 45% of construction.

We have signed the contract for four Next Generation Ocean Going Patrol Vessels for the Indian Navy. This contract was signed on 30th of March 2023. We already commenced production of all the four ships and the ships are presently at a percentage construction between 15% and 20%. We are also undertaking a project for the Government of West Bengal for a fully electric ferry, the vessel is fully ready. All the trials have been completed and the technical acceptance of the vessel had been undertaken by the Government of West Bengal on 21st of March this year. The vessel will soon be handed over to the Government of West Bengal during mid of June this year.

We are also executing a project of six Fast Patrol Boat for the Government of Bangladesh. Three of these boats are already ready and have completed the trial. We are expecting the Government of Bangladesh to take over these vessels during June this year. We have recently won an order from the Ministry of Earth Sciences, we were declared L1 sometime during third quarter of last year. We have received the letter of intent from the Ministry of Earth Sciences for an Oceanographic Research Vessel. The order value is approximately 840 crore. We expect the formal contract to be signed sometime in June i.e. next month.

Coming to the orders that are on the anvil, we have been declared L1 for an export order for the Government of Bangladesh for 1000-meter cubed dredger and the order value is approximately 135 crore. We have received the LOI and the contract is expected to be signed during the first week of June this year i.e. next month. Happy to inform you that we have also been declared L1 for an Ocean-Going Tug again for the Government of Bangladesh is also an export order. The negotiations are in progress and the order value could be around 160 to 170 crore. Again, as late as two days back, we have been declared L1 for a DRDO Research Vessel. The order value is likely to the tune of plus 500 crore. These are in the nutshell. The status of our existing order book, the status of the projects that we are executing and also the

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orders that are immediately on the anvil where we have either been declared L1 or where we have received the LOI.

Coming to the orders that are expected in the near future, the RFP's are expected in the near future. I have been talking during the previous interactions that we are expecting our Next Generation Corvette Project RFP to be distributed by the Navy. We are expecting this RFP in the coming months and as you are aware, this is the eight ship project, in the L1 ship, we are taking five ships and the L2 ship we are getting three ships and the order value is likely to the tune of around 36,000 crore. There is another project again for the Ministry of Earth Sciences for coastal resource vessels. Two number coastal research vessel in the shipyard has already submitted the bid for this project. And the order value is likely to the tune of around 500 crore. Navy is likely to come out with an RFP for 2 in nos. multi-purpose vessels, the order value is likely to be to the tune of 1,200 crore. We expect the RFP to come out during the third quarter of the current financial year. Similarly, during the current financial year, again maybe in the last quarter, we expect the RFP for 5 in nos. Next Generation Survey Vessels to come out, the order value is to the tune of around 3,000 crore. I have covered briefly about the orders that are likely to be on the anvil.

And coming to our focus

areas in addition to domestic warship building, as evident, we are now ventured into non-defense platforms like the Oceanographic Research Vessel, the NPOL Research Vessels, the Coastal Research Vessels that we have bid for, the Bangladesh dredger and so on. In addition, we will also be aggressively pursuing commercial shipbuilding for exports. We are in the process of negotiations with potential ship owners for multipurpose vessels and hopefully in the next interaction, I should be able to share some positive news with you. Our trust areas, in addition to domestic warship building, commercial shipbuilding, as they just started would also be towards development of green energy platform. The first such initiative has already been successfully completed with the completing the Next Generation Electric Ferry for the Government of West Bengal. We have submitted our bids for a larger project, 15 in number this is for the Government of West Bengal, again Bengal Water Metro and also for our project by the Kerala Water Metro. So, this is an area that we would be focusing on in the near future.

Also, autonomous platforms, again, as I had stated during the last few interactions that we have ventured into development of autonomous platforms in all three domains of operation i.e. surface, subsurface and aerial. Both in surface and subsurface domains, our products are prototype and have already been successfully tested. And on the aerial front, those capable of maritime operations, the development is still in progress and we expect this product to be successfully launched by the end of the current calendar year. Just to place on record that these initiatives towards autonomous platforms are long-term investments as we expect the Indian Armed Forces especially to have a large quantum of autonomous platforms in their inventory in the coming years. One of the surface vessels that I had mentioned, we already got an order

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from and a still very low value order, but it is the beginning that we have won this on competitive bidding and this order is likely to be completed by July this year.

We had concluded Memorandum of Understanding (MoU) with both M/s Rolls Royce for co-production of marine diesel engine and also with M/s Kongsberg, Finland for development of Water Jets. The MoU with the Rolls Royce has been converted into a licensed agreement and similarly the MoU with Kongsberg is now in the process of transition into a license agreement. With these license agreements in place, we expect to be a strong contender for getting orders for both proportional engines, diesel engines and for Water Jet FACs and similar platforms for which the Navy RFP's are likely to come out during FY26-27. Exports continue to be a focus area. I had mentioned earlier that we are currently focusing on European clients for multipurpose vessels in addition to the IOR region countries where we already made our footprint.

Ladies and gentlemen, this in a nutshell gives you a glimpse of what our operational performance is and what all we expect in the near future with respect to potential orders and areas of focus. Now, coming to the financial performance, I am very happy to state that for the seventh quarter on the trot, our financial performance has been on a steady upward trend. Our revenue from operations, if you are taking finance year that is FY24, we have registered 40% growth over the previous year jumping from 2,561 crore during financial year 2023 to 3,593 crore during financial year 2024. Similarly, the total income has registered a 48% growth. With the current year figure that is FY24 figure touching 8,892 crore. The EBITDA has jumped by 41% to 533 crore and the profit after tax currently that is financial year 24 stands at 357.24 crore, registering a growth of 57%. Our net worth also been showing a steady increase from 1,413 crore during financial year 23 to 1,673 crore during FY22. The investo

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have shown confidence in us is evident from the market capitalization, the share price and in turn the market capitalization, you know about this better than me, so I would not like to dwell much on this topic.

Quarter-on-quarter, our revenue from operations as compared to the last year has gone by 69% increase and touched for the first time plus 1,000 crore. During Q4 FY24, the revenue from operations stands for 1,015 crore, the EBITDA registering 84% increase, the PAT 102% increase and the EPS 102% increase, touching 9.74 as against 4.83 during the corresponding quarter of FY23. Ladies and gentlemen, with this, I sum up, I conclude my introductory address. I am open for any questions from you. Thank you.

Moderator: Thank you very much. We will now begin the question & answer session. Our first question is from the line of Amit Dixit from ICICI Securities. Please go ahead, sir.

Amit Dixit: The first question is essentially around your EBITDA margin. So, if I see the EBITDA margin for Q4 and I am excluding other income here, it was a very healthy level of 8.9% almost, now this is the highest margin that we have witnessed since last several quarters, just want to

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understand the key drivers for the same? One thing I can see that sub-contracting charges have declined Q-o-Q, but other than that, if there is something, apart from revenue that you would like to highlight? The second question is more on the long-term process, we have talked about the RFP of Next Generation Corvette which will be out in June, which is a very welcome news, so just wanted to understand the order timeline from here on whether you expect any delays in there and if you could also highlight, what about P17 Bravo Frigate project?

Cmde P R Hari: Coming to the NGC Corvette, this is a project that we are eagerly looking for and as I mentioned we expect the RFP to promote sometime in June. It is an optimistic assessment, but we expect

it to come out in June. And this is the 8-ship project and as per our understanding, as per the RFI conditions, there are four of us who are qualified for that. Two of these shipyards would get in the ratio of five and three ship, accordingly, probability factor is very high. The L1 shipyard could get around to 22,500 crore order and the L2 shipyard around 14,500 crore. So, it is a very high value order and we have experience of having built and delivered both missile and anti-submarine corvette to the Navy. Just to place on record, we are the only shipyard have built and delivered 9 corvettes to the Navy and all of them are in active service with the Navy. So, with that kind of experience and expertise, we would be, let us say bidding to win. So that would be our strategy. As per the timelines, you had asked about the timelines. If the RFP comes out in June, let us take a normal timeline of around four months out from RFP to bid submission which means the L1 could be declared towards the end of the current calendar year and from there you take the best possible scenario of around 7 to 8 months for conclusion of contract, maybe a source of putting lot of effort in streamlining the RFP this time. So, we expect, let us say, lesser discussions and negotiations between the L1 declaration and the contract signing. So, I expect, again optimistically by July, August next year for the contract to be signed. Coming to the P17 Bravo Project, maybe half the requirement has our understanding and inputs for following ships of the P17 Alpha club. Right now, there is a seven ship P17 Alpha project going on, and as you are aware, four of these are being built by Mazagaon Docks and three by GRSE. The first of the class and this definitely would be, is one of the ships that is being built by Mazagaon Docks and we expect it is assessed that this ship could come out sometime during the current calendar year. So, the next ship that is our ship could come out sometime during

the first quarter of the next financial year and the project completion is expected by 2026 mid. So, our assessment is that the requirement of Navy being genuine, they would like a continuity in production of these ships from then onwards. So realistically, the RFP for this project could come out by 2026. That is the earliest I expect the RFP to come out. Coming to the margins, margins this quarter have been very encouraging and as you rightly said, this has been one of the best with respect to margins and yes, the contract subcontracted value has come down, but also, collection efficiency, revenue expenditure reduction, the contractive value reduction and overall efficiency improvement is what has resulted in the margins being high.

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Amit Dixit: Sir, one of the follow up, if I may. Now, you mentioned that the subcontracting costs were lower, some of the efficiencies have been built in, so do we expect that going ahead as well, I believe these efficiencies that you have built in over a period of time would also be sustainable. So, would you be able to guide the sustainable margin over next couple of years? Could it be more than 5.5% that we have been accustomed to see?

Cmdr P R Hari: I have been regularly interacting with you all during the last seven quarters, so we have been consistently stating that unlike any other manufacturing industry in case of shipbuilding, healthy PAT margins, I repeat PAT margins or something about 7.5%. We have been maintaining this and we are very confident of maintaining similar margins. To answer your question in a simple sentence, we are confident of maintaining a similar margin in the coming times too.

Moderator: Thank you. Our next question is from the line of Venkatesh from Logic Tree. Please go ahead, sir.

Venkatesh: Sir, first of all, congratulations on a consistent performance and up-trending performance. So, to be honest with you, I think we have been tracking this company for many years, probably since IPO times and one thing that we really appreciate is what we see is what we get. You don't make any fancy statements, neither do you make conservative statements. It is extremely realistic and lots of clarity. So, I appreciate you for keeping the investors informed on this, sir. Thank you for that. That is number one. And secondly, two questions, one is while you gave us a visibility on the possible orders over the next 12 months, in one of your earlier media interactions, you had pointed out that GRSE has the ability to attract a 1,20,000 crore order book over the next 3 years. Can you throw some light on it, sir, we don't exactly need any commitments or anything like that? What are the possibilities considering various circumstances? That is question number one, sir. Question number two is the Rolls Royce Marine Diesel Engine opportunity and the Water Jet opportunity with the Finland company, what is the size of the opportunity, sir? What is it that one can expect if things go well over a period of time?

Cmde P R Hari: I will start with the MoU likely to be translated into a license agreement with Kongsberg Finland for Water Jets. See, most of the high speed small ships of the Indian Navy and Coast Guard are having Water Jet Propulsion. And with the Make in India initiative really gathering momentum, it is imperative that all the future marine platforms that maybe in coastal platforms have a certain amount of indigenous content in their equipment sector. And as you said, Water Jets are definitely used in large numbers in these ships. So, once our license agreement gets transmitted to our co-production, the opportunity is huge. To put an exact number, I would not be able to do it at this stage, but what I would just say that there is 120 Fast Interceptor Craft (FIC) coming up for the Indian Navy and the 22 Water Jet FAC project, again coming from the Indian Navy and an 18 Fast Patrol Vessel Project coming from

the Indian Coast Guard. All

these are likely to come up in the next 3 to 5 years. And it is by that time that this collaboration

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will gain momentum. So, at this juncture, I would not be able to put any number, but all I can state is that yes, there is opportunity, a huge opportunity on this front. Now coming to the 1,20,000 crore that was mentioned. Now, let me again clarify, I will put it this way. Again, I am repeating something which I have stated earlier, but I am repeating purely to provide clarity as well as domestic warship building, I will just keep the other out at this moment. As far as domestic warship building is concerned, there are four Defence Public Sector Undertakings, that is we plus MCL plus GSL, plus HSL, plus another public sector undertaking i.e. Cochin Shipyard under the Ministry of Shipping and Water Transport and a couple of private players, the leader among them in the private sector is the Larsen & Toubro shipyard plus Chowgule, SHOF, Titagarh and so on. There are smaller shipyards. These are the shipyards available in India who are eligible for competing or bidding for various types of ships depending upon their classifications and the capacity/capability assessment by the Navy or Coast Guard. Now, coming to the value of 1,20,000 crore order, the first one is the what I had mentioned at the point of time that these are the things which are likely to come up in a span of 3-5 years. Now, one of them is definitely the Next Generation Corvette projects. The second one that is likely to come up is the multi-purpose system. The third is the Next Generation Survey Vessel. The fourth is 120 Fast Interceptor Craft (FIC) for the Navy. When there is a project for two in number landing platform for the Indian Navy, then there are more platforms again coming up like the Coast Guard is looking for an 18 Next Generation Fast Patrol Vessel. So, all put together in a span of 3-5 years, likely order value is to the tune of 1,20,000 crore. Now, for this, depending upon the capacity, at best capacity means in terms of for building capacity and the capability, Navy and Coast Guard have shortlisted shipyards. And just to give you, one example, as I mentioned, there are 7 shipyards as stated, 4 + 1 + L&T plus a couple of small shipyards, but all of these seven or eight shipyards for the NGC project as of now, only four shipyards are shortlisted. So, this 1,20,000 that is coming in the next 3-5 years, depending upon the classification and the capability some of us qualify. So, in a very conservative manner, if you put it across, a substantial amount of this would come to GRSE too, that is a statement which I had mentioned about the orders on the anvil.

Venkatesh: So, I think just trying to get the understanding right, when there is a significant flow of orders and the orders flow if GRSE is able to secure over the next 2-3 years, because we will achieve pretty much peak revenues in FY25, FY26 etc., will these order flows help us to maintain the run rate of the revenue over the foreseeable 5-7 years sir, if you are able to secure those orders?

Cmde P R Hari: Yes, we actually need these orders at least around 20,000 - 25,000 crores we need to sustain the revenue tempo beyond 2027. As you rightly stated, that with us moving definitely on an upward trajectory, the current order book being around 22,000 odd crore, with next year, next to next year taking, we need orders at least in financial year 2026 to sustain beyond 2027. So, that is why we are looking at attractive projects like Next Generation Corvettes and also if you observe we are also not shied away from taking small orders. We have taken orders worth around 840 crore from the Ministry of Earth Sciences. As I mentioned, we have been declared

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L1 for another 500 crore plus. So, we are maintaining our kitty reasonably still so sustained revenue flow happens even if there is, let u

s hypothetically say we don't get one big order, any big order, let us say we don't get NGC, So what? But we will fill the gap with these small orders that we are taking and of course aggressively looking for a big order like the NGC and relentlessly pursuing the Navy's requirements for P17 Bravo.

Venkatesh: So green energy platforms, autonomous platforms, Rolls Royce Marine engines, these are also of significant opportunity sizes quite a lot, would you say that?

Cmde P R Hari: See, if you are looking purely from the money part, money comes from domestic warship building orders and the big chunk of money from the order value of the warship purely because of the equipment fit, the weapon fit, the value goes up, so if let us say conventional green energy platform, the cost is nothing much, but the volumes could be more. That is where we tend to make profit or we tend to capture the market. Same for autonomous platforms, we are now investing towards development of autonomous platforms. Realistically, we will not see much revenue coming from these platforms in the next 3-5 years, but fully acknowledging and understanding that this is the future because maybe as already got a road map, an autonomous road map chartered out 5 to 10 years. We will start getting revenue from autonomous platform. Since you mentioned about green energy, there are countries who decided and promulgated that they will go green, some of the Scandinavian countries set target to achieve full green by 2030, which means all the inland water transportation, all their ferries, barges, the commercial ships which are flying within their waters will go green. Similarly, India also, I am very confident will take a step to go green in a time bound manner. At that time, all the conventional platforms, these will or similar energy using platforms will get phased out and then that is why we are developing capabilities in these two domains, green and water.

Moderator: Thank you. Our next question is from the line of Umesh Raut from Nomura. Please go ahead.

Umesh Raut: Hi Sir, congratulations for the good set of numbers and excellent ending to the year as well. This is Umesh Raut here from Nomura India. My first question is more of a follow up on Amit's question, where you have mentioned that there are 4 total shipyards who have qualified for Next Generation Corvette Contract. So, can you please specify other three names?

Cmde P R Hari: See, I am not sure whether it is available in the open domain or not. Frankly, I am not sure at this juncture whether the other three shipyard's name is in the open domain. Since I am not sure, I would not like to mention. All it is suffice to say that they are running the seven that I mentioned earlier.

Umesh Raut: Sir, my second question is more often the indigenization. So, if I remember correctly, if I look at warship in three prospects, float, move and fight content, I think as a country we are primitively having lower indigenization towards move and fight content basically about closer to maybe 60% indigenization content and moving components for warship and about maybe

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closer to 30% kind of indigenization content for fight equipment. So, is there is any idea or any thought process to increase indigenization for move and fight content within the warship?

Cmde P R Hari: Very interesting question. Yes, any kind of marine platform, there are four components that are float, move, fight and survive. In terms of float, float as well that as very evident comprises of the steel hull and the float related aspect there, as a nation we have achieved 100% indigenization including the special steel that earlier used to be imported, all of such items are being presently manufactured within India and 100% indigenization is there. Now, I will come to the last one, survive. Survive as in the lives of the live crafts, the life boat, the firefighting equipment, they call

ed LSF, the lifesaving and firefighting equipment, survival related equipment. And again, as a nation, we have achieved over 90% of indigenization. Even the last 10% as a country, we are on the threshold of achieving that no issues with that. Now, comes to the move and fight. The move component as of now, we have an indigenous percentage of just about 60 and fight is around 30-35. It is another case. There is a definite impetus being given by the Government of India to increase the percentage of indigenization to an extent that it is being monitored very closely at the Ministry and also the others like remark by the other ministries. The move component mainly comprises of the propulsion related equipment and of course, the associated electronics, which are the control systems and navigational aids, and so. In this why 60%, because as a nation again, we have not yet developed the competency to have our own propulsion engines which form the heart of the move component. As you may be aware, there are various DPP procurement methodology. One is the make one, make two, make three and so on. The propulsions are getting indigenized under the make one category and in the make two category again the propulsions can be classified into high power engines and low power engines. You might have heard about our collaboration with Rolls Royce towards co-production of the high-speed low-power engines. The low speed, high power engine that is beyond 6 MW, 6 MW and above, there is a make project which is already going on and we expected to see the light of the day, its completion by five years from now, that is

where realistic assessment. So, with this getting covered, the more component, the indigenization component will definitely go beyond 85% to 90%. Coming to the fight component, see here the growth, the Indigenization percentage growth has been very steady and systematic. The country has got a very clear policy towards indigenization of systems. The immediate target in my association would be to increase this percentage from 60% to 65% by 2030. This is my current appreciation on the indigenization process of the move and fight component.

Umesh Raut: Sir, my next question is more of a difference between NGC and ASW Corvette that we have delivered earlier. So basically, P28 contract and now the upcoming contract which is coming up for NGC, so in terms of technical aspects or maybe the kind of missile system that we are kind of thinking to kind of install on that particular NGC, so how it will be different and what additional systems or other things we are talking about in terms of upgrades?

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Cmde P R Hari: I can talk about the Anti-Submarine Corvette. The Anti-Submarine Corvettes have got lots of equipment and torpedoes which are capable of under the operations plus sonar which are capable of underwater threat detection. Since, the RFP for the NGC is not yet out, and since it is just around the corner, we would not like to actually compare the spec of this just to state that they will be the most advanced corvettes that have yet been built in the country. Well, just to give you an idea, so you can make an estimate from that, just to give an idea. Now, in every ship, equipment component is around 60% to 65% and it could even touch closer to 70% in case of weapon intensive platform. Now the cost of ASW Corvette was around 1,615 crore. Now, the cost of NGC the A1 cost is around 4,500 crore. You can imagine if you are just extrapolating the equipment content of around 65%, naturally, the cost, why the value has gone up is because of the advanced reference and sensors that are going to be dispatched, as I said, since RFP has not been published, I would not like to comment further on.

Umesh Raut: My last question is pertaining to status on landing platform dock program, because it has been delayed for quite some time now and whether this time private sector along with public sector

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will kind of compete among themselves in terms of bidding as well or is it only for private sector in terms of participation?

Cmde P R Hari: As you rightly said, the Landing Platform Dock (LPD) project has been shuffling, yes, no for the last 7 to 8 years or even beyond that. This is a requirement of the Indian Navy very much, known because it is part of their perspective plan. As per my understanding, it is going to be competitive between ship yards which include both private and public. When the RFP is likely to come out at this juncture, it is not known it definitely would be somewhere in the queue, but the priority projects like the NGC or the NGSC or MPV or far more advanced with respective and AON having been accorded. So, I don't, if you are asking my appreciation, I don't see this RFP coming out in the current financial year. But to answer your question when it comes to as per the external policy, it will be competitive bid between both public and private shipyards.

Moderator: Thank you. Our next question is from the line of the Debojeet from Roop Investment. Please go ahead, sir.

Debojeet: My first question is sir, recently our Defence Minister and even our Navy Chief has mentioned there is a need of the hour for aircraft carrier warship. And it has been mentioned, currently India has only two aircraft carrier warship and in the need of time incoming time frame we at least required 8-9 warships and the size of this warship, it is also going to be very huge. So, can you just throw some light on the same?

Cmde P R Hari: Sorry, you are talking about the aircraft carriers?

Debojeet: Yes, aircraft carrier warship.

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Cmde P R Hari: Yes. India currently has two of them. One is Vikramaditya i.e. Russian origin ship and the second is the gas turbine propelled Indigenous aircraft carrier, the first aircraft carrier to be built by India by one of our sister shipyards. As what you have stated, the nation the decision makers have expressed their intent to enhance the aircraft carrier fleet of India. Definitely, if this is also there in the perspective plan of the Navy, so it is very much on the anvil, but when it is going to come out that is not known at this stage. But from what we have heard and what we have

seen today, the focus is on indigenous shipbuilding and of the sixty-six platforms that are being currently built in India for the Indian Navy, sixty-four are being built by Indian shipyards. So definitely, if the same philosophy is going to be followed, the next aircraft carrier is also most likely to be built to be here. So, this is all I can state at this juncture, though it is known and it has been published in the media, that decision makers have expressed their intent to expand the aircraft carrier fleet of the nation.

Debojeet: So, what is the value of per carrier freight? If you can throw some figure, probably the value content, it has been mentioned that it will be lakhs of crores to build a warship carrier. So just want to take an understanding on the same?

Cmde P R Hari: I will give you an analogy. If you are going in for an SUV, you can get a Scorpio, you can get whatever, the Innova and so on. Even within aircraft carriers, depending upon the displacement of the carriers, the cost varies like the first aircraft carrier, which was built by India, the aircraft carrier, the Indigenous aircraft carrier Vikrant, the cost could be to the tune of around 25,000 crore and that is a 40,000-ton vessel. So, if the country is looking for an aircraft carrier of the similar tonnage, because it depends upon the tonnage, because as the tonnage increases, the fit, the size increases and so does the number of aircraft which are going to be there and so does the equipment fit and so on. So, if we are looking for a 40,000-ton aircraft carrier or a 50,000-ton aircraft carrier, the value could be to the tune considering the current prices between 3

5,000 and 40,000 crore.

Debojeet: Sir, recently, in the month of March, you have conducted one Investor conference. At that time, you have mentioned that there is some introduction of share capital which has been mentioned from DIPAM side. So, you said it will be shared to the investor in coming few months or any update on the same and any plan on bonus shares?

R K Dash: Actually, it was not discussed, but did you ask some of the investors they asked regarding the authorized share capital so that is actually as per the DIPAM guidelines. Actually, no fair decision has been taken.

Debojeet: So, there is no further action taken on this?

Cmde P R Hari: As of now, it is work in progress, so we will let you know as soon as we get clarity on this.

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Moderator: Thank you. Our next question is from the line of Viraj Mithani from Jupiter Financials. Please go ahead, sir.

Viraj Mithani: Sir, my question is since you talked about so much of orders coming in for the Navy post 2027 onwards, are we looking at any sort of capacity expansion and right now at what amount of capacity utilization are we in? And my next question is, are there any plans to offer for sale, to your knowledge if you can share some light on that as well?

Cmde P R Hari: I will answer the simpler question first, offer for sale at this juncture we are awaiting further instructions from DIPAM. As and when we get clarity on this, naturally, we will let you know and we will automatically come to know. Coming to the orders which are currently under execution and also where we are getting and then we are the L1 and the negotiations are in progress and where we are expected to conclude the contracts soon and also the orders that are expected from the Navy in the near future and beyond 2027. You had asked a question about current capacity utilization and also the plans for capacity enhancement. You may be aware that we have, unlike many of the shipbuilding companies in India, we are based at Kolkata and within Kolkata, we have three separate shipbuilding units. In addition, we have taken on three Drydocks being one of the core assets required for shipbuilding to prepare. We have taken over three more docks on long term leases from the Kolkata Port Trust. We are in the process of taking over one more drydock from the Kolkata port trust. In addition to that, we have revived, we have taken over one facility from the Central Inland Water Transport Corporation way back in 2006. This facility was completely defunct. So, we had taken up an infrastructure augmentation or other regeneration process. All these put together, our capacity as of now stands at, capacity to construct 20 warships concurrently that means 8 large and 12 medium and small. Now, we fully understand, we are fully seized of the requirement to enhance our capacity. So, we have gone ahead with new strategy which has been effectively put across wherein utilization of the spare capacity of the partnership yards that is effective. In addition, work is already in progress for enhancing our own internal capacity from 20 to 24. By

the end of this calendar year, our capacity for concurrent construction would be 24 ships instead of the current 20 ships. So, these put together what I am trying to say enhancement of the captive capacity from 20 to 24 ships. In addition, the peculiarity of shipbuilding, where ship construction is at various stages, that there could be a point of time the payload space for the ships are constructed in building or berth on Drydocks and there will be a post launch phase when they are outfitted in berths or jetties. So, all put together, we are good to take the orders that are on the anvil and also to execute our current order books.

Viraj Mithani: When we utilize the partner's shipyard capacity, how does it work? Do we pay them the lease fee?

Cmde P R Hari: I will explain this. What we do is, through a standard EO

/tendering process, we identify capable shipyards who at that point of time have spare capacity. So, we offload outsource part construction of few of the platforms basically to facilitate concurrent construction. The

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complete design of the ship is of ours. The equipment procurement is completely by ours, the project management is completely by ours, the part the construction happens in this vendor premises. On completion of this part construction, this just was brought back to the parent facility that is ours where the final outfitting happens, and the ships are getting ready. It is a very effective model that we have found out. That is the reason how we could get good progress on the Anti-Submarine Shallow Water Craft project.

Moderator: Thank you. Our next question is from the line of Venkatesh from Logic Tree. Please go ahead, sir.

Venkatesh: A couple of follow up questions, sir. One is on the ship repair facility which you have mentioned some time back in a few calls, would you say that that will come into effect in the few years because I think it is a high margin business and I remember that Cochin Shipyard has signed a contract with the US Navy or probably has signed or something is in the anvil in terms of repairing ships for that. Do we have some plans like that going forward in the future with the India US Strategic partnership? Second question is on Rolls Royce Marine Diesel Engine, sir, if you can elaborate on that opportunity?

Cmde P R Hari: Coming to ship repairs, we were not into serious ship repairs around 3-4 years back as late as end of 2021, the actual operations commenced sometime during early 2022, but we had taken over three Drydocks from the Kolkata Port Trust. And just to state that we almost have 100% occupancy of these docks itself. We have completed the 14 refits for the Indian Coast Guard and currently we are executing one major refits for the Indian Navy. So, this vertical has actually taken off. Coming to your specific question on the Indo-US collaboration for ship repairs, as of now three shipyards who are on the who got direct access i.e. Cochin shipyard, then Mazagaon Docks and Larsen & Toubro shipyard. They have agreement wherein these ships whenever they come for occasional turnaround or minor repairs, they will take the repairs there. We have not yet got into this agreement under this scheme that is the US-Indo cooperation ship repairs, we have not yet talked into that. We will be examining this, but please understand one constraint, I would say a constraint that we have is ours is a Riverine shipyard, which means when a ship comes for a very short duration, most of these the US ships will be coming for a very short duration. So, when they come in for a short duration travelling through the river coming in, finishing the repairs and going back, the feasibility and the viability of that needs to be further excel. So instead of focusing on that, we would rather go in for the refit of ships who are likely to stay for longer duration like what we are doing for the Navy. That would be our focus here. Coming to the Rolls Royce and our agreement, the intent of going in for, we have a long association with MTU, now taken over by Rolls Royce for assembling and testing of marine diesel engines. We have just shifted gear and instead of just assembly and testing, we are going in for co-production, co-production under the make two philosophy that we would be initially looking for indigenous content plus 60%. The opportunity that is available is again for the water. I think earlier, you only had asked regarding the Water Jet, correct. So, on these ships these ships are high speed ships, these ships while having Water Jet Propulsion need high speed

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engines, very high-speed. And it is for those high-speed engines that we have got into our collaboration with Rolls Royce. So akin to the revenue expected from I again

mentioned I

cannot translate the number of ships/ engines to water just to cost, but the opportunity is

similar to what is the existing for the Water Jets. In this case, we have already signed the license agreement also and we expect the first of the RFPs from maybe for the 22 FACs to come out sometime during FY26 where these engines are expected to be used.

Venkatesh: Any little bit, if you can squeeze in on, any small businesses coming in terms of the bridges and other unique things about GRSE?

Cmde P R Hari: Yes, I was trying to just to confine my introductory talk. I did not speak about bridges. Very interesting business vertical, so small vertical, very attractive business compact vertical where we are the market leaders in India and just to see the growth they have got the last year FY23, the revenue from operations from the Bailey Bridge segment was just 69 crore. In FY24 it has shot up to 140 crore. Now this is very interesting. Actually, I would like to speak on this that are much longer duration, some other time, but the team is very skeletal and the team is managing this business, good connect with the potential customers and our major customers are the Border Roads Organizations with whom we have live MoUs for multiple projects with Indian Army and the National Highways Infrastructure Development Corporation. So as far as this diversification is concerned, one of the verticals which we are going to focus on would be the Bailey Bridge and the Portable Steel Bridges for fitment. And of course, you have already listened to what I mentioned about green energy platforms and autonomous platforms.

Venkatesh: I missed the part on who are your core customers in the Bridge, sir. Is it National Highway Authority, sir?

Cmde P R Hari: The major customer is the Border Roads Organization (BRO). The next is the Indian Army and the third is the National Highways Infrastructure Development Corporation (NHIDCL) and of course the various state and public works departments.

Venkatesh: So, what is the operating margin of this particular business segment, Sir, if you have a revenue of 140 crores, what will be the operating profit or EBITDA?

Cmde P R Hari: This is around 7 to 7.5 crore.

Venkatesh: Are there also fixed margins basically?

Cmde P R Hari: See, again it is competitive. It is competitive except for some of the products where we have IPR, which is our patented products, the others which is for the Indian Army are under competition. So overall, our margins would be to the tune of around 7 to 7.5 crore.

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Venkatesh: And over 5-year period, can this revenue be about 500 crore or something like that? So, would that be an internal vision for you in this segment?

Cmde P R Hari: 500 would be a bit too ambitious for my own liking, but I would. I would definitely like to double it in the next 5 years. Since you mentioned that the total market, when I proudly state that we are the market leader and we own around 70% of the market, the market size itself is limited.

Venkatesh: It is a very unique business, I guess?

Cmde P R Hari: Yes.

Moderator: Thank you. Our next question is from the line of Abhishek Poddar from HDFC Mutual fund. Please go ahead, sir.

Abhishek Poddar: Sir, could you guide us how to think about the revenue booking for next two years as you mentioned that you would see a peak revenue next two years? So one is that and second is also let us assume that in 2025, you are able to win Next Gen Corvette order, so first couple of years will be hull construction. So how will 27-28 look like? Would be a lean period or we could see some growth there also?

Cmde P R Hari: Yes, you are right. Next year and the next-to-next year are going to be the peak revenue recognition, yes. Now, earlier interactions, I had assured the revenue growth was around 20%-24%. I hope we have met your expectations and surpassed it. So, we have a cur

rent order book

of 22,000 plus crore and keeping the NGOPV apart that is around 3,400 crore and the one-

off projects that we are winning now that is 800 plus crore so and so for Oceanographic Research Vessel. Majority of the revenue in the next two years will come from the P17 Alpha project and the Anti-Submarine Shallow Water Craft project with the Survey Vessel already having crossed that threshold. Now, the next year and the next i.e. 22,000 plus crores, of that if you subtract around 3,000 to 5,000 crores, balance order book will be executed by FY25. So again, I am going back to what I mentioned, we will be aspiring for a growth of over 20% to 25% year-on-year from now in the next two years. You had asked the second question about the order expectation on the NGC, definitely we will be pushing for that and if the order comes in the financial year 26 that means towards mid of calendar year 25, the actual revenue recognition will start sometime two years down the line because the first two years, the first year is the preparatory phase, pre-design phase and the initial phase thereafter, after the production stamps, will be mostly for our own construction, where the revenue recognition is minimum. And this actually augurs well for us. Because it is by that time that means FY27, FY28 is when our existing order would be gets wiped out. So that is the time when the NGC will start giving us returns. And also, to offset this, let us say the gap as I had mentioned in one of the earlier discussions that we are bidding and winning orders from multiple customers including the DRDO, Ministry of Earth Sciences and definitely in the next con-call, hopefully I will be able

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to convey the happiness regarding the commercial shipbuilding. So that will offset the gap, if at all any, which I don't see it happening, considering that the NGC is on the anvil.

Abhishek Poddar: But would the commercial shipbuilding orders, if you manage to win it, would it be large enough?

Cmde P R Hari: No, we are not yet won and we are not yet one commercial. I am not counting the Bangladesh export project which is commercial in nature, but the other value just about 130 odd crore. And looking at the multiple processes for European clients who have shown interest because the market is open and these European clients are looking at India as a potential destination for shipbuilding. So, we have indicated our willingness. Negotiations are in progress. It will be starting definitely in the modest fashion because we have not yet been into serious commercial shipbuilding except for one-off projects for the Government of Guyana a year back. So, we will start in the modest fashion and we will pick up from there. Just to answer your question, the numbers are going to be attractive in the coming years with respect to orders on commercial ships.

Abhishek Poddar: And sir, one last question on the margin side, you mentioned about 7.5% is what you are looking at, but if I look at the PAT level for last 2 years, you have been doing about 10% or so. So, should you assume this level of margin what you are doing now will sustain or should we assume 7.5% is what we will be?

Cmde P R Hari: We will be sustaining the level of margin that we are currently achieving.

Abhishek Poddar: And we should not look at from the EBITDA margin perspective, but we should include it, look it from the PBT perspective because other income kind of will vary, EBITDA margin and other income will keep on varying?

Cmde P R Hari: Understood, noted.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I will now hand the conference over to Cmde P R Hari Sir for closing comments.

Cmde P R Hari: Thank you, Aditya and thank you Gaurav from Concept IR for organizing this conference call. I would once again like to express my sincere gratitude to all the investors and analyst friends who have taken

their time out to attend this con-call and listen to what we had to communicate to you. In case you have any queries, you may kindly contact, get in touch with us and we will clarify each one of them. We will be happy to address each one of them. Thank you once again and Jai Hind.

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Moderator: Thank you. On behalf of Garden Reach Shipbuilders & Engineers Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Should you have any further questions please send an email to Gaurav.g@conceptpr.com

Call: Aug 2024

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Garden Reach Shipbuilders
& Engineers Ltd.

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(A Government of India Undertaking, Ministry of Defence)

CIN NO.: L35111WB1934GOI007891

SECY/GRSE/SD-69/ AM/01/24-25

To,

National Stock Exchange of India Limited

Exchang e Plaza,

Sandra Kurla Complex, Sandra (E),

Mumbai -400 051

Symbol: GRSE

Dear Sir/ Madam, 22 Aug 2024

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort

Mumbai -400 001

Scrip Code: 542011

Sub: Transcript of Analyst Meet/Con Call for Q1 FY 24-25 of GRSE -Reg 30

1.Further to our Intimation Letter No. SECY/GRSE/SD-69/AM/01/24-25 dated

10 Aug 2024, we wish to inform that Conference Call was held on Wednesday, 14th August, 2024 at 15.30 Hrs. to discuss the Unaudited Financial Results of the Company for the Quarter ended 30th June, 2024.

2.In this regard and pursuant to Regulation 30 read with para A of Part A of Schedule III of the SESI (LODR) Regulations, 2015, the Transcript of the Analyst/Conference Call for 01 FY 2024-25 of the Company is enclosed herewith.

3.This is for your information and records.

Thanking You,

Yours faithfully,

For Garden Reach Shipbuilders & Engineers Limited

Sandeep Mahapatra

Company Secretary and Compliance Officer

ICSI Membership No. ACS 10992

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Web : www.grse .in, E-mail : co.sec@grse .co.in

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Garden Reach Shipbuilders & Engineers Limited

Q1FY25 Earnings Con-call

14th August, 2024

Management:

1. Cmde P.R. Hari, IN (Retd) - Chairman & Managing Director
2. Shri R.K. Dash - Director (Finance) & CFO
3. Mrs. Aparajita Ghosh – General Manager (Finance)
4. Shri. Sandeep Mahapatra - Company Secretary & Compliance Officer

Page 2 of 17 Garden Reach Shipbuilders & Engineers Limited
Q1FY25 Earnings Con-call
14th August, 2024

Moderator: Good afternoon, ladies and gentlemen. Welcome to the conference call of Garden Reach Shipbuilders & Engineers Limited arranged by Concept Investor Relation to discuss its Q1 FY25 results. We have with us today Commodore P R Hari, IN (Retd.), Chairman & Managing Director and Shri R K Dash, Director (Finance) and CFO. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the opening remarks. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. I would now like to hand the floor to Cmde P R Hari - Chairman & Managing Director. Thank you and over to you, Sir.

Cmde PR Hari: Thank you, Aditya. Ladies and gentlemen, and very good afternoon to each one of you. I'm Cmde P R Hari - Chairman & Managing Director of your company. And along with me here, Shri R K Dash - Director (Finance) and Chief Finance Officer, Smt. Aparajita Ghosh - General Manager (Finance) and Shri Sandeep Mahapatra - Company Secretary. My warm regards to all the participants who have taken their time from their busy schedule to attend this conference call. Before we discuss the financial highlights of Q1 FY25, I would try to highlight and enlighten you on the operational performance of the company and few other aspects that may be of interest to you. I would go in the following sequence. I would first touch upon our order book position, the new orders which we have received in the recent past, the execution status and the plan of action for completion of the ongoing project, the orders on the anvil and a glimpse on the future outlook.

Coming to the order book position, our total order book stands at 25,2

31.29 crore as on 30th June 2024. This comprises of mostly shipbuilding order, so I shall first touch upon the shipbuilding order. The P17 Alpha Project, 3 warships being constructed for the Indian Navy, 8 Anti-Submarine Shallow Water Crafts, 3 Survey Vessels Large and 4 Next Generation Ocean Going Patrol Vessels. All these ships put together, we are constructing 18 warships for the Indian Navy.

In addition to these shipbuilding projects for the Navy, we are also executing a project for the Ministry of Earth Sciences - An Oceanographic Research Vessel and in addition, we are also executing four export projects. One ocean going tug, an advanced 1000 M3 Hopper Dredger, 3 Fast Patrol Boats and 4 Multipurpose Vessels. Among these, in the last 2-3 months, we have concluded the four contracts, the Multi-purpose Vessel contract for four ships was concluded with the European client and there is an option for

Page 3 of 17 enhancing this quantity by another four. It's a total project could be for eight ships. Then of course, two export projects that I mentioned regarding the dredger and the ocean-going tug and also the oceanographic research vessel, all these four projects were the contract for all these projects were signed during the last three months.

We have also been declared L1 for a project for the DRDO Naval Physiological and Oceanographic Laboratory for an Acoustic Research Vessel, for the Geological Survey of India to coastal reference vessel and for

the Government of West Bengal, 2 projects for advanced hybrid service.

Coming to the projects on the anvil; during the last few interactions I had been stating that the Next Generation Corvette project, the RFP is likely to be out, yes, the RFP is out and we are currently in the process of preparation of the bid. This is the high value project around 36,000 crore split between two shipyards. Well, one shipyard getting five ships and the Second-shipyard getting three ships. Thereafter, with both the Navy and the Coast Guard looking forward to expanding their late size, we expect the RFPs for two Multi-purpose Vessels. Approximate order value could be you know around 1000-1200 crore.

Five Next Generation Survey Vessels, Twenty-one Water Jet FAC, Twelve Mine counter measure vessels, twenty-two intercept boats and of course, followed by the P17 Bravo and the Landing Platform Dock. In addition to this, RFPs from Indian Coast Guard are likely to come for six Next Generation Ocean Going Vessels and 18 Next Generation Fast Patrol Vessels. I'm leaving out the projects that Navy has in their horizon that is the Next Generation Destroyers, the Submarines and the Indigenous Aircraft Carrier.

Now, coming to the overview of the projects that we are currently executing. I shall now provide you inputs as to what state each of these projects have reached so far, the P17 Alpha Project is a three-ship project that we are executing. The first ship has touched almost 75% of physical progress of construction and the ship is currently being readied for harbor and sea trials. The second ship has reached around 62% of construction and the third ship is following closely behind with around 50% of construction. Now, the first ship is expected to be delivered in the mid of the next calendar year and the last of the ship is planned to be delivered during the mid of the calendar year 2026.

Coming to the Survey Vessel Large Project, this is a four-ship project of which the first ship has already been delivered during the end of the last calendar year i.e. December, 2023, we delivered this ship. The second ship has completed all these trials and she is now getting ready for delivery and we intend delivering this ship during the end of this month. The third and

Page 4 of 17 fourth ship, the third ship has reached almost 74% of physical progress and she's getting ready for trial and the fourth ship has passed around 70% of physical cons

truction. We intend completing this project that means delivery of the balance 3 ships, all the three ships by the first quarter of FY26.

Coming to the Anti-Submarine Shallow Water Craft project. This is a 16 ship Project, 8 being constructed by GRSE and 8 by another PSU shipyard. Of our 8 ships, the first ship has undergone the harbour trial and she is getting ready for the field trial and we expect to deliver this ship in another three months. The ship is now reached the physical progress of construction of around 90%. The next ship has touched around 65%, the third shift around 55% and so on. As far as this project is concerned, we intend completing this project by FY27 that means delivery of all the 8 ships.

Coming to the Next Generation OPV project. We signed the contract during March last year. The progress is good and the first two ships have already touched around 25% of construction and we have already started production of the last two ships also. As well as the new orders which we have for which we have signed a contract during the last three months, the pre-production activities, the design activities, commercial activities are currently in progress and we expect all these projects to move as per schedule.

So, I have touched upon our main vertical i.e. shipbuilding. And in addition to shipbuilding or other business verticals include ship repairs, commercial ship building, of course I subsume commercial shipbuilding within the core shipbuilding activity. In case of ship repairs, we started in a very modest

fashion around two years back and at the point of time around 1% or just about 1% of our revenue was being generated through ship repair and over the last two years we have enhanced it almost 5%.

In addition to ship repair, we also have a vertical on Portable Steel Bridges. Here as I had stated before, we were and we are, we continue to be the market leader, Indian market leader. I'm happy to inform you that the turnover of course it is modest if you look at our overall turnover, the enhanced the turnover from around 60 crore to 140 crore recently and the tempo is being maintained and we have live MoUs with the Border Roads Organization, the National Highways Infrastructure Development Corporation and few of the State Public Works Department. So, this vertical is currently doing well.

In addition to this, we had ventured into green shipping. Towards green shipping, during our last interaction I had mentioned that we had completed a project for the Government of West Bengal, fully electric ferry. This ferry is

Page 5 of 17 the largest in terms of passenger capacity within India, 150 passenger capacity ferry. So, we have done the technical delivery of the vessel to the Government of West Bengal and we expect the formal takeover during the coming month.

Happy to inform you, that I had mentioned before that we had won two more projects for the Government of West Bengal for construction of 13 in number Advanced Hybrid Ferry. Here we see a huge potential because as with many other European nations, India also intends to go green as early as possible. Specifically, for inland water transportation, so this is an area where there's huge potential and we are moving on the right track one product already ready and delivered and with this new project coming up from the Government of West Bengal for 13 more ferries, I feel we have made a good foothold in this market.

Export has been a focus area for us. During our last interaction, I had stated that by our next meeting, that is today, I'll be able to share you the happy news of the contract which was then being negotiated, we have concluded a contract with the European client (the German client), for four multipurpose vessels. As mentioned, for a with an option clause of four more vessels. Now, with most of the European nations looking at India as a destination for construction of commercial vesse

I, we see a huge opportunity on this front.

For autonomous platforms, the Navy have promulgated its autonomous Road map and the future development of autonomous platforms. With this intent, we had successfully developed prototypes surface and subsurface platforms and we are in the process of developing a maritime operations capable drone. So once that product is developed, we have autonomous platforms in all three domains of operation.

As a nation with respect to development of autonomous platforms, the technology competency still at nascent stages. But we expect in future, maybe in the next 5 to 10 years, market opportunities for autonomous platforms will be definitely on our price. As far as collaborations are concerned, we have active collaboration with globally renowned OEMs for co-production of Marine Diesel engines and for Water Jets. What we intend doing is to translate these MoUs to License agreement, which will in turn to utilize the core production of these equipments for use on board Indian Naval platforms.

In a nutshell, with Navy and Coast Guard on a freight expansion drive, the opportunities that are available for us in the next in the immediate future and in the foreseeable future are substantial. I've given you a glimpse earlier on the platforms that are likely to be coming up through RFPs. We shall also be focusing on ship repairs, exports specifically for commercial vessels,

Page 6 of 17 green platform development and development of marine diesel engines

while nurturing the small vertical of our portable Baily Bridges division.

I'm open for any questions from you now.

Moderator: Our first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Yeah. Good afternoon, everyone, and thanks for the opportunity. I have 3 questions. My first question is on the order book that we have at the moment and if you can split it across the platforms that we are currently doing. That was the first question. The second one is that considering the current crisis in Bangladesh, I understand that we had two orders from Bangladesh also. So, do we expect some delay in execution or delay in payment and Bangladesh was one of the countries where in past also, we have supplied vessels. So, are we looking at a little bit of pause in ordering from that country? The third question is on next generation corvettes while you have highlighted that the RFP is out now, when do we expect the order for this? These are my three questions.

Cmdr PR Hari: OK. Thank you. Thank you, Mr. Amit. Now, coming to the order book details. The order book as on 30th of June stands at 25,231.29 crore. I'll just give a breakup of this. 90% of this comes from the Shipbuilding segment, the P17 Alpha, the remaining portion of the order book is 14,392 crore. That comes to almost 55 to 56% of the total order book. The Anti-Submarine shallow water craft of 4600 crore approximately. Survey Vessel Large 855 crore. This project is mentioned likely to finish within a year. The Next Generation Ocean Green Patrol Vessels is 3,183 crore. The Oceanographic Research Vessel for the Ministry of Earth Sciences is 800 crore. The export orders i.e. the multipurpose vessels, the dredger and the ocean going tug, all put together around 750 crore. In addition to that, we also have another order for around 200 to 230 crore worth on a Naval Surface Gun. So, this gives you a broad breakdown of the order book. Now coming to the second point what you had mentioned about Bangladesh. See, I've given you an overall status of the order book. Order book total value is 24,250. The percentage of the Bangladesh orders both put together is just about 1.2%. So, any combination, the impact is insignificant, one. Second, we do not see any issue unlike a normal manufacturing industry whether you place an order for a product and you get it within a day within a month within a week. Here, s

shipbuilding orders are long lead time activities, where depending upon the size of the platform, the delivery time project duration ranges from very very aggressive 18 months to 36 months and in some cases 60 months. We feel the current situation is a passing phase, as with every situation which has happened so far in the world, we don't see any impact on our project execution, but both the contracts have already been

Page 7 of 17 concluded and right now the preparatory activities of production are enhanced. So, to answer your question in a nutshell, we don't see any impact with respect to the current situation on project execution. The Third Point you had asked about the Next Generation Corvettes. As I've mentioned, the RFP is out. We expect the bid submission during this month and from then in the normal course of events how the system works, it takes around four months for the L1 to be declared and from then the most optimistic scenario would be another six to nine months for completion of contract. I presume I have answered all your queries you can just calculate and see where it falls with respect to the contract then. Thank you.

Amit Dixit: Yes, Sir, it's very clear. Thank you so much.

Moderator: Thank you. The next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Yeah, Hi. Thanks for the opportunity and good set of numbers. I think this has been your best quarter as far as Q1 is concerned. So just wanted to get your sense of how do you see this run rate of 1000 crore which you have achieved in Q1? Do you think this run rate is going to continue for the

balance of the year, given that your order book has increased, that's the first question. Secondly, can you dwell a bit on the order pipeline apart from the Next Generation Corvette, any large order which you are sensing where discussions have started, maybe RFI or RFP can be launched in next two or three years? Any color would be helpful.

Cmde PR Hari: Thank you, Mr. Harshit. Thank you for your wishes regarding the Q1 results have been good and we feel that that's the good tempo for the full financial year. Now, if the figures are good, you had asked a specific question on maintaining the run rate. I had mentioned this earlier also in a lighter way. This is not a T20 match or even a one-day series. In case of shipbuilding, that's the point is I would like to it, it's like a test match at best so just we would like to maintain the run rate and considering the order book position and also the current state of projects where we are in a position for our major projects where the maturity is adequate for revenue generation, we feel will be able to maintain that tempo. That is as per our project execution strategy, I repeat and also the project current status, current maturity level and also the healthy order book that we are having. Now, you are asking about the order pipeline. I had mentioned that we have been declared L1 among a couple of RFPs that the bid started opened recently. The contract negotiations are in progress. We expect these contracts to be signed within the next three to six months. Plus, the NGC where we are also eagerly looking forward, there is 8 ships contracts with the L1 taking five and L2 taking so the probability factor is very very high. In addition to this, both the Navy and the Coast Guard are likely to come up with RFPs, I cannot fix a

Page 8 of 17 time for that, but in my association, if you just split it into two parts, 1 short term in the next one year and 2nd is from the next one year to four years, that means a three-year period from 1st to 4th year. In the first year, the RFP's for multi-purpose vessels 2 and the next generation survey vessels 5 and 22 Water Jet FACs. These three are likely to come from the Navy and from the Coast Guard are 22 Interceptor boats and 6 Next Generation OPVs, these are likely to come from the

Coast Guard. Thereafter, from the first year to 4th year, the P17 Bravo, then the Mine Counter Measure Vessels (MCMV), it's a high value order, 12 vessels that are AON cost of around 32,000 crore. And the P-17 Bravo of course, you know it's a high value transit. So that is the mid to long-term including the LPD, which maybe has been taking induction for the last 5 to 10 years.

Harshit Kapadia: Fair enough, Sir. This was really helpful. And just last question on the margin front, I know you have been addressing the margin query, but we are still not.

Cmde PR Hari: I think your three questions are over, but margins are your very favorite topic, so I will answer this question.

Harshit Kapadia: OK. Thank you. Thanks for this. I just don't, you know run rate has touched now 1,000 crore, but we're still margins are sub below 6% you know so you know any color you can give us that would be helpful. Will it be able to touch a double-digit margin if the run rate improves from here on?

Cmde PR Hari: See. I'll put a discussion. I have mentioned this and I need to reiterate that in ship building, the orders are from one on competitive bidding. The majority of our revenue comes from shipbuilding. Shipbuilding orders are won on competitive basis. We strive to maintain PAT margins of plus 7.5 to 8% and we have been maintaining these margins and we will continue maintaining these margins in future also. But you also must understand that when revenue will grow substantially in the coming years, certainly, it cannot be directly proportional to the margin increase we have to strike the balance but I can assure you from our perspective is that we will be able to maintain margins of similar kind that means 8% PAT margins in the coming quarters. Thank you.

Harshit Kapadia: Understood. Thank you and wish you all the best Sir.

Moderator: Our next question is from the line of Venkatesh from Logic Tree Consultancy Private Limited. Please go ahead.

Venkatesh: Good afternoon, Sir. Thank you for the opportunity. So based on your guidance and over the last many quarters on the shipbuilding cycle and how our execution has been progressing. We have been doing some modeling,

Page 9 of 17 but I think we did miss a couple of estimates of what we did. So, considering that we have to complete what we have in hand right now by the middle of 27, CY25, CY26 would be very crucial year. Would it be fair to assume that probably in FY25 and FY26, you will have to report top lines of close to 6,000-7,000 odd crore, probably in a trot and then another year of 6,000 crores because if the aggregation is on track, this has to get completed rather than I would say 4,000-8,000 or something. So, I'm just trying to figure out how it comes because the similar order cycle for Mazagaon Dock follows the same pattern, but their vessels are slightly different. But could you just guide us, Sir?

Comde PR Hari: Thank you. Mr. Venkatesh. I had explained about the shipbuilding cycle. So, there is a phase in ship building where the revenue recognition is right stage. So, in our position, we are exactly in that stage with respect to our max revenue generation strip i.e. the P17 Alpha. The second aspect that you brought out was that considering the execution of these projects by FY27 i.e. P17A Alpha by FY27, yes, the revenue generation will grow. Now, I will just highlight one aspect so that we are all on the same page. Now, when a shipbuilding order is given, the order values of the P17A Alpha project was initially 19,293 crore. After that I'm just giving an example so that you understand clearly. After that, the government enhanced the order value considering certain fluctuations from the developmental orders. Basically, some of the equipment are being developed within India. So, considering the fluctuations in cost, they enhance the order value to around 21,000 crore. Now, that means the order value of P17

Alpha is 21,000 crore. Of these, 21,000 crore, 15% of the order value comprises of Base and Depot spares i.e. 85% of this 21,000 crore is the ship construction cost and 15% is the Base and Depot spares. Now, what are these Base and Depot spares? Base and Depot spares are spares which we order and then supply to the Navy for maintaining the ship throughout its life cycle. Some of these are required right from the first day that the ship is delivered, maybe if the defectors, or if any requirement comes so I assume or comes very, very conservative 5% of this 15% having been delivered before the ship is delivered to Navy. That leaves around 10%. These 10% is delivered over the next one or two years, as per the Navy's requirement because some of them may not need right now. In P-17 Alpha, out of this 21,000 crore, we have already completed around 7,000 crore. As I had mentioned, when we are discussing the other book, we are still left with around 14,392 crore. Now of this 15% Base and Depot spares, if 5% we deliver at the time of when delivering of the ship still 10% would be remaining. That means around 1,500 crore out of the 14,392 crore will still remain for the next one year. Same is applicable for all the Naval Shipbuilding projects so what I'm trying to say when we deliver or complete the project with respect to delivery of ship, still a percentage given a ballpark of 10% remaining. Considering not be sending all these things when we are completing the project in FY27, there

Page 10 of 17 will still be a financial year where our turnover will cross 6,000 crore it is pure arithmetic. I cannot pinpoint whether it is 5700 or 6200, but between now that is FY 25-26 and naturally FY27 also because the ship would be delivered during the year, these three years are going to be the peak years with FY26 most likely the highest in terms of revenue generation.

Venkatesh: OK, Sir. Thank you very much, Sir. Thank you.

Moderator: Thank you. Our next question is from the line of Kartik Bhatt, an individual investor. Please go ahead.

Kartik Bhatt: Yeah, Sir. Thanks for the opportunity. So, I missed the timeline that you

mentioned for P17 Alpha 2nd and the 3rd ship.

Cmde PR Hari: Sure, the first Ship I'm sure you heard, the second ship P-17 Alpha also right now at around 62% construction and third ship around 50%. The second ship that's what you wanted to know. We intend delivering by February 2026 and third ship by the mid of the same year that means by on August, September 2026.

Kartik Bhatt: OK, sure. And is there any further update on P-17 Bravo and when are we likely to have any further as to you know when it's likely to be.

Cmde PR Hari: First point is that P17 Bravo is definitely a project that is going to come because Navy wants to build more ships at the same time because they first built P-17 then now the P-17 Alpha and P-17 Bravo is very much on the anvil, from their prospective plan. Now, when the project is likely to come, we very, very conservative estimate the header could be out maybe by mid of 2025.

Kartik Bhatt: OK, Sure, Sir. And Sir, out of this order book of 25,300 crore, about 20 to 25%, can we consider a ballpark which is supposed to be delivered over the next 12 months?

Cmde PR Hari: No., 20 to 25%, you mentioned in 10 months?

Kartik Bhatt: Yeah, yeah. Over the next 10 months or so.

Cmde PR Hari: No, see I actually and I had actually elaborated the delivery timelines a bit earlier. You may have missed, I can just give you, I can just run you through that once again. Of these 18 platforms, which are the Naval orders which are high value orders. We intend completing the Survey Vessel Large project in the coming one year. And the Anti-Submarine Shallow Water Craft couple of ships will be delivering this year, but that apart the revenue generation will come from the P17 Alpha project, which is now at a stage where

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imum revenue generation takes place. Now, if you are asking me what will be the revenue generation during FY25, I'll just give you a background. In FY22, our revenue from operation was 1,754 crore, in FY23 it was 2,561 crore, and in FY24 it was 3,592 crore. So, we maintain the similar trend. Last time also I mentioned that we will deliver growth between 25 to 30%.

Kartik Bhatt: OK, sure. And Sir, I think regarding the Bangladesh project, I think there were couple of things that you mentioned, ocean going vessel and then few dredger. So, including all of those you're saying that the impact is less than 1% and then also it's more of a passing phase.

Cmde PR Hari: We feel it is a passing phase and the percentage of order value is just 1.2. Notwithstanding, that apart, as I mentioned right now, the preparatory activities that is once the production anyway is happening in India, we are immune to the conditions there and the lead times of delivery is far away. It is almost two years from now. So, we don't see any impact on these projects.

Kartik Bhatt: OK. Sure, Sir. Thank you.

Moderator: Thank you. Our next question is from the line of Divyesh Shah from Uchit Capital. Please go ahead.

Divyesh Shah: Sir, you have very nicely elaborated all your orders and schedules for projection. Sir, we as investors are very layman. So, my simple understanding is just now one answer to the previous question you have given a guidance of 25 to 30%. Our order book is suppose is to be precisely 25,000 crore. So, Sir, roughly in a value terms within next two years, how much value we will be executing you have every schedule in your hand. Month-wise, quarter-wise. So, how much we will complete by March 26? Combination of FY25 and FY26. So let us bifurcate into two parts of 25,000

crore. How much we will complete in first two years? Next immediate two years?

Cmdr PR Hari: OK. Thank you. Now as far as the FY25 is concerned, I just give an indication to the previous call that we will be we are targeting, we're targeting around 25% of the current year. And we expect to maintain the similar tempo in the next year also. You must understand that it is due to the project as I mentioned earlier, the P17 Alpha is in a state where the revenue is coming in. So, if we are able to maintain a 25 to 30% of growth in the coming in the current year and the next year, you yourselves can assess where we'll be standing. And one more thing, when I have stated that we'll be completing the orders by FY27 i.e. for the orders which we were already executing. We may also note that in the last few months, we have received orders, fresh orders. So naturally the fresh orders will be as per the project timelines. This

Page 12 of 17 will definitely, I mean I understand the last of these projects will be in FY29. Some of that is some of the new projects, just to answer your question, yes Sir, 25 to 30% growth this year and the similar growth next year.

Divyesh Shah: Sir, just to understand the maths, I am very weak in maths to understand the maths Sir, 25% of 4000 crore of last year comes to 5000 crore, roughly $\pm 5-10\%$ and then above that 30% comes to 6500 crore. So, within next two years it comes down to be 11,500 crore. And remaining is and one statement you gave, the FY 26 will be the maximum value. So, I fail to understand how 25,000 crore will be executive in next 4 years?

Cmdr PR Hari: We are now in FY25, the beginning of FY25. The 25,000 crore, I repeat again, the 25,000 crore comprised of earlier orders, the P17 Alpha project, the Naval projects and also the new projects that we have recently obtained. Many of these new projects will still cover. Second, to a previous call, I had explained that within the order book, a certain percentage for the Base and Depot spares of which, on a conservative basis around 10% will be provided to the customer after the ship is delivered, after the project is c

ompleted. If you remove the new orders i.e. if you remove the new orders which have recently come, the order book it will come to around 22,000-23,000 crore. From that again you remove the 10% that at least the net will come to 20,000 crore, and of this 20,000 crore as exactly that based on my input but if you're getting a 25 to 30%, yes, around 11,500 crore will go in the coming year and the next year with just about 10,000 crore remaining in the next two years. So, it's a fair adjustment.

Divyesh Shah: Yes Sir. Very good. Excellent answer Sir. And same way, Sir, regarding the margin, I will put it into different ways, Sir. Our quarterly margins are not similar so on yearly basis, can you give a ballpark figure what should be on yearly basis our EBITDA margin should be how we can judge as a layman?

Cmdr PR Hari: I will just go to the PAT margin because I always work on the PAT margin. The PAT margin will maintain a minimum of 7.50% to 8% on a yearly basis, we can assume there will be marginal fluctuations up or down a quarter to quarter depending upon the project maturity, but we'll maintain a PAT margin of a 7.50% to 8%. Thank you.

Divyesh Shah: Thank you, Sir. Thank you.

Moderator: Our next question is from the line of Gagan from ASK Investment Managers. Please go ahead.

Gagan: Yeah. Good evening, Sir. The order pipeline that you've indicated, one, if you could cumulatively give the total value because you rattled out so many projects in such a short span that it's difficult for us to sort of keep tabs on it.

Page 13 of 17 Second you perhaps did not give the entire value of the pipeline. So, therefore, you know if you could give the total value of the pipeline and if possible, at least mention the critical key ones.

Comde PR Hari: Sure. Thank you. But you must also understand that what I'm going to indicate this based on our appreciation of and the inputs on the prospective plans of both maybe and the question. At this juncture, I'm keeping away what we are foreseeing outside the country on the commercial shipbuilding segment and for the other export activities. So, I'm just focusing on our acquisition of the Indian Navy and the Indian Coast Guard requirements. Now, as you are aware the Next Generation Corvette, I just mentioned earlier as an answer to one of the caller, the AON, that is the AON cost, which has been approved by the Defense Acquisition Council around 2 years back was 36,000 crore. This is split between two shipyards, L1 shipyard will get around 22,000 crore and the second shipyard, L2 shipyard, the three ships will get around 13,500 crore. As I mentioned that the RFP is out, so we expect the one declaration four months from now and from then it will take around six months to nine months for the contract conclusion. Why I'm going into that many that much of details for this project because the FRP is already out. Now coming to the next two Multipurpose vessels, our assessment of the cost is around or likely to be around 1000 to 1200 crore, then five Next Generation Survey Vessels around 3000 crore could be the order value and 22 Water Jet FACs, the order value could be to the tune of 2,200 crore. These three projects, we expect the RFP to come out in the next one year. This is for the Navy. So, the Coast Guard, we expect RFPs for 22 Intercepted boats around 1,200 crore. And 6 Next Generation Ocean Going Vessels around 2,000 crore, we expect these RFPs also to come out in the next one year. Now after that, after the first year means one year to four years, we expect the RFP for 12 Mine Counter Measure Vessels. This is the High value project. This is a big project the AON has already been accorded, the AON cost is around 32,000 crore. In addition to that, we also expect the RFP for two LPDs. This project has been going on for some time. This is where the Navy's wish list. It has moved up and down. This is a high value order. It's around 25

,000 to 30,000 crore, two weapons. Then for the Coast Guard, 18 Next Generation Fast Patrol Vessels, the order value is likely to be around 4,000 crore plus the P17 Bravo ships. There are 7 ships which the Navy is taking and the order value could be to the tune of around 70,000 crore. These are the RFP's that we expect to come out between the first year one to so that three-year bracket. I'm leaving out the next generation destroyers, the submarines and the indigenous aircraft carrier, if at all, as we do not have any clarity on these three projects. Does that answer your question to an extent?

Gagan: Yes, to a very large extent like a very, very helpful and so I'm saying that, you know, the two large projects which you execute by FY27, you know a total

Page 14 of 17 value of almost 17,000 – 18,000 crore ex of the base and depot spares, given this kind of pipeline, there is no reason to believe that the order book at any point in time should be dropping below what we currently have despite of a very sharp execution ramp up?

Comde PR Hari: See, we have been maintaining our 20,000 plus crore order book despite our revenue from operations. As you rightly said, it is moving up in a sharp manner for the last five, four to five years. The projects, that are on the anvil if the RFPs are out on time and if you succeed in the NGC project, yes, we'll be able to maintain all of the positions above the figure that I just taken.

Gagan: And finally said, I mean, if from a capacity standpoint, you know, if you're, if you're able to wait successfully bid for some of these very large orders you know the mine counter measures, the next generation corvettes and the water jets and so on, the P 17B also. Our capacity standpoint, what do you envisage will be your requirements you know over the next three to five years. And what sort of investment will they entail?

Comde PR Hari: A very interesting question. Yes, we are fully staffed of the current capacity and the need to enhance our capacity. Now our ship building capacity was stated, I repeat the stated ship building capacity is for concurrent construction of 20 platforms. There is 8 large and 12 small and medium. We have got up from a very modest figure of a 12 to 20 after a certain

modification. Considering that we are fully aware about the projects that are coming, we have already initiated the process of capacity enhancement and one of just for information we have 3 dedicated ship building units and one of our units has been completely revamped and by the end of this calendar year, I repeat by the end of this calendar year, our ship building capacity will enhance from 20 to 24 ships. This is one part. Second, going beyond the boundaries, physical boundaries of our shipyard, we have also taken over three dry docks long term lease spaces from the Kolkata Port Trust. We are exclusively using that facility for ship repairs because we didn't want to mix up ship repairs and ship building. In addition to that, when we had realized that concurrent construction will facilitate faster, let us say project progress, we have got to do public private partnership model. The two of the ships has been successfully implemented that so what I'm trying to say it's a three-pronged approach. One, Enhance the capacity within our physical boundaries from 20 to 24 by this calendar year and effectively utilize dry docks we have taken over, because see in case of shipbuilding, one of the major assets that we need is drydocks and building this. To utilize these drydocks which we have taken more from the Kolkata Port Trust and just to make the statement that we are also looking for other facilities wherein we can do concurrent construction in addition to the partnerships we have got with capable private players with spare capacity. Just for information, we also have a tie up with shipyards, private shipyards on the Western front, so

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the situation come where all live partnership should the situation come where we get more export orders in a single route, executing them on the West Coast, so capacity wise we do not see a limitation now or in the coming years.

Gagan: Right. Yeah. So, from a manpower perspective, I mean naval architects, welders and you know welding specialist. The current you know pipeline can is the manpower availability is adequate to meet these requirements or you feel you know they could be the competition for talent, which will lead to a cost spiral of any sort?

Cmde PR Hari: Yes, this is a very interesting question. Yes , absolutely right. There is a necessity to enhance the strength of skilled manpower such as for information, we have adopted a strategy wherein non-core jobs are outsourced, non-core means we retain the core strengthens certain activities like fabrication and complex block design activities or core commercial activities and shafting and so on. So, core strength we retain and non-core activities we outsource. But yes, the advantage of an outsourced model is that is scalable, but yes, there is a need and again we have experimented this with the P 17 Alpha project. We have experimented this with the commercial shipbuilding project that we are going to execute. The outsourced manpower for non-core activities absolutely scalable and we have got vendors working at our premises. GRSE premises are separate geographically as Cochin, Chennai and Mumbai. So, manpower resources, human resources are not a problem. But yes, that's the point for us to make.

Gagan: Thank you.

Moderator: Thank you. Next question is from the line of Sunil Shah from SRE PMS. Please, please go ahead.

Sunil Shah: Yeah. Thanks for the opportunity, Sir. I guess most of the questions have been very nicely and in detail explained. Sir, I have just one point to ask and check with you. Sir, in terms of the Government's priority post the election mandate, which is, you know what is there in front of everybody. Has the priority taken some kind of a back seat for you know, announcing orders or Make in India stuff or, you know, is there any change pre-election and post elections if you could make us understand a little bit of that, is there any delays because earlier we were talking about the Next Generation Corvette orders or maybe you know it would fall in place by September or so. But now maybe so I just want to understand whether things are in line or they

have taken a slight slow stance from the Government. That's the only question, Sir, that I would like to understand from you. Thank you.

Page 16 of 17 Cmde PR Hari: Thank you. Thank you. It's a tricky question because I'm not a part of the Government, but I'll answer as clearly as possible. In our appreciations, there has been no letup in a pace. Since you specifically mentioned the next generation corvettes, as per the DAP from the time the AON is obtained to RFP, 30 months' time is there and the Government has issued the tender ahead of that thirty month. It is moving very much on schedule. From our association, the Government initiative in enhancing the shipbuilding industry in India, we are eagerly waiting for the policy which the promised policy to come out soon. So, things are moving in the right direction and just to answer another question, another statement which we made as far as the Make in India efforts are concerned, 66 ships being built for the Indian Navy, 64 are being constructed by Indian shipyards and two of the shipyards, the orders were placed much earlier. Two of the order the ships which were being constructed outside the orders were placed much earlier. In our appreciation, none of the orders for Indian Navy construction are going out of India. As far as Coast Guard is concerned, 100% of the ships being constructed for the Coast Guard are being constructed by Indian shipyards. So, in our appreciation there is n

o letup in pace, there is no change in policy.
Things are moving as good and as fast as possible. Thank you. Yeah.

Sunil Shah: Thank you, Sir. Just one point, Sir, even on the Project Bravo, which is the 70,000 crore order of which you know four and three would be the bifurcation even that could be on schedule. Just the only point I want to clarify.

Cmde PR Hari: All I can say is that there's a process involved in when you say schedule, there's a process involved in getting an approval by the Government. That's the DAP approval and thereafter the RFP issuance. That's why I had when I made an earlier comment, I had made a statement that in our appreciation during 2025. This is our appreciation. Now, the fact is that Navy want these vessels and I'm sure we'll put in our efforts to get the tender as fast as possible. Thank you.

Sunil Shah: Thank you, Sir. Thank you so much.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for the closing comments.

Cmde PR Hari: Thank you, Aditya and thank you Gaurav from Concept IR for organizing this conference call. I would like to pay my sincere gratitude to all my analysts and investor friends who have taken time out of their busy schedules and listen to us today. If you have any further queries, I'd request all of you to please get in touch with us and we would be happy to address each one of your queries. Thank you once again. Wish you a very, very happy Independence Day. Jai Hind!

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Moderator: Thank you. On behalf of Garden Reach Shipbuilders & Engineers Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. In case you have any further questions please write an email to gaurav.g@conceptpr.com.

Call: Nov 2024

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Garden Reach Shipbuilders
& Engineers Ltd.

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(A Government of India Undertaking, Ministry of Defence)

CIN NO.: L35111WB1934GOI007891

SECY/GRSE/BD-69/AM/02/24-25 21 Nov 2024

To,

National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex, Bandra (E),

Mumbai -400 051

Symbol: GRSE

Dear Sir/ Madam, BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort

Mumbai -400 001

Scrip Code: 542011

Sub: Transcript of Analyst Meet/Con Call for Q2 FY 25 of GRSE -Reg 30

1.Further to our intimation letter no. SECY/GRSE/BD-69/AM/02/24-25 dated 11th November, 2024, we wish to inform that Conference Call has been held on Friday, 15th November, 2024 at 03.30 p.m to discuss the Unaudited Financial Results of the Company for the Quarter and Half Year ended 30th September, 2024.

2.In this regard and pursuant to Regulation 30 read with para A of Part A of Schedule III of the SEBI (LODR) Regulations, 2015, the Transcript of the AnalysUConference Call for 02 FY 25 of the Company is enclosed herewith.

3.This is for your information and records.

Thanking You,

Yours faithfully,

For Garden Reach Shipbuilders & Engineers Limited

Sandeep Mahapatra

Company Secretary and Compliance Officer

ICSI Membership No. ACS 10992

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Garden Reach Shipbuilders & Engineers Limited

Q2 & H1 FY25 Earnings Conference Call

15th November , 2024

Management:

1. Cmde P.R. Hari, IN (Retd) - Chairman & Managing Director
2. Shri R.K. Dash - Director (Finance) & CFO
3. Mrs. Aparajita Ghosh – General Manager (Finance)
4. Shri. Sandeep Mahapatra - Company Secretary & Compliance Officer

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Garden Reach Shipbuilders & Engineers Limited
Q2 & H1 FY25 Earnings Conference Call
15th November, 2024

Moderator: Good afternoon, ladies and gentlemen. I'm Yashashree, the moderator for this conference. Welcome to the conference call of Garden Reach Shipbuilders and Engineers Limited, arranged by Concept Investor Relations, to discuss its Q2 & H1 FY 25.

We have with us today, Commodore P R Hari, IN (Retd.), Chairman & Managing Director and Shri R K Das, Director (Finance) and CFO. At this moment, all participants are in listen only mode. Later we will conduct a question-and-answer session. At that time, if you have a question, please press '*' and '1' on your telephone keypad. Please note that this conference is being recorded.

I would now like to hand over the floor to Cmde P R Hari - Chairman & Managing Director. Thank you and over to you, Sir.

Cmde PR Hari: Thank you, Yashashree. Ladies and gentlemen, very good afternoon to one of you. I am PR Hari - Chairman and Managing Director of the company and with me here are Shri Ramesh Kumar Dash - Director (Finance) and CFO, Mrs. Aparajita Ghosh - General Manager (Finance) and Shri Sandeep Mahapatra - Company Secretary. I extend my warm welcome to each one of you for sparing your valuable time to attend this call. Our Q2 results have been very encouraging and before I provide the highlights of our financial performance, let me share you an insight on our physical performance.

Our order book as on 30th September, 2024 stands at ₹24,221.37 crore. This comprises of 12 projects with 43 platforms including four export projects comprising of 10 platforms. These include 17 warships for the Indian Navy i.e. 3 nos P17 Alpha Advanced Stealth Frigates, 4 nos Next Generation Ocean Going Patrol Vessels, 8 nos

Anti-Submarine Shallow Watercrafts, 2 Survey Vessels large, 1 Oceanographic Research Vessel for the Ministry of Science, 1 Acoustic Research Vessel for a DRDO organization, the N POL, 13 Hybrid Ferries for the Government of West Bengal and Ocean Green Tug for the Government of Bangladesh and a Dredger and 3 Patrol Boats again for the Government of Bangladesh, 5 Multi-Purpose Vessels for a German client and 1 Fully Electric Ferry for the Government of West Bengal. So, as I said 12 projects, 43 platforms. I will now give you an insight to the current status of the projects and our execution plan.

Coming to the P17 Alpha Project; a 3 ships project, all 3 ships have been launched and 1st ship has already attained around 83% of physical progress, the 2nd ship

Page 3 of 16 around 65% and the third ship around 50%. The first ship is expected to be delivered during the mid of next year i.e. August 2025 and we intend completing this project by August 2026.

Coming to the Survey Vessel Large Project, this is the 4-ship project and we have already delivered 2 ships, the first ship was delivered last year. i.e. December 4th 2023, and the second ship was delivered on 8th of October 2024. Now the next two ships are at advanced stages of construction with the third ship of the projects, having completed around 78% physical progress and the 4th ship following closely at 72% physical progress. We intend delivering both these ships by the mid of next calendar year i.e. the first quarter of FY26.

The next project is the Anti -Submarine Shallow Water Craft Project. It is an 8 ship project and the first of these ships have already completed the contractor sea trial and it is now getting ready for delivery. We expect the ship to be delivered during January, 2025. So, from the second ship is right now at around 83% physical progress, the third ship is around 70% and so on and we intend completing this project by October 2026. That means delivery of all the 8 ships shall be completed by October 2026.

The 4th projects that we are undertaking for the Indian Navy is the Next Generation Off-shore Patrol Vessel (NGOPV), which again is a 4-ship project. The progress is good so far. We have commenced production of all the 4 ships and the keel of 2 of these ships have been laid very recently. The first 2 ships have touched around 35% physical progress and the last two ships are around 25% physical progress. The delivery of these ships will be completed by 2028.

As I mentioned earlier, in addition to these projects for the Indian Navy, we have a plethora of projects being undertaken, both for the State Government, the Federal Government Research Organizations and also few Export Projects. As per our current assessment, all these projects will be completed by 2028 i.e. FY29.

I have so far given you a glimpse of the orders currently in hand and what is now on the anvil. Again, I shall give you a glimpse so that you get an understanding as to what are the orders that are likely to be materialized in the coming years. We had concluded the contract, initially for 4 multipurpose vessels with an option clause for another 4 vessels for a European client. This option clause has been exercised and the 5th vessel contract has been signed and we intend signing the contract for 3 more vessels by March, 2025.

We are also declared L1 through a tendering process for two Coastal Research Vessels for the Geological Survey of India and the price negotiations are currently in progress with the two-ship project. One project that I have been mentioning in every interaction that we had before is the Next Generation Corvette (NGC) project. The

Page 4 of 16 bids have already been submitted and currently the technical evaluation of the bids is in progress and we expect the L1 declaration will be made sometime during

December 24 - Jan 25. This is the 8-ship project with the L1 shipyard getting 5 ships

and the L2 shipyard 3 ships. The L1 shipyard for 5 ships expected value is around ₹22,500 crore.

The RPFs which are likely to come from the Navy and the Coast Guard in the near future are for the Next Generation Survey Vessels Large i.e. 5 ships, approximate value of the project is around ₹3000 crore. Next Generation Ocean going Patrol Vessels, Offshore Patrol Vessels for Indian Coast Guard for 6 ships, approximate order values around ₹2000 plus crore. Next Generation Fast Patrol Vessel is a big project 18 ships in numbers and the order values around ₹3500 to ₹4000 crore and 2 Multi-Purpose Vessels for the Indian Navy, approximate value of ₹1200 crore. This is in addition to the other projects that the Navy has plans for, the P17 Bravo projects for which the AO N has already been accorded, there is the 7-ship project and the total order value is around ₹70,000 crore. So as per the AP timelines, the RFP will be promulgated in the due course. We expect the RFP to come out in the year 2026. This gives you a fair idea about the orders that are on the anvil.

Now, I'll touch upon the financial performance of the company for the quarter ending 30

September 2024. As I had mentioned, the results have been very encouraging and if you are doing a year-on-year comparison, our revenue from operations have gone up from ₹898 crore to ₹1153 crore i.e. registering a growth of around 28%. Total income from ₹969 crore to ₹1228, 27% growth, the EBITDA has gone up from ₹120 crore to ₹145 crore, 19% growth and the profit after tax registering a growth of 21% from ₹81 crore to ₹98 crore.

Our order book is good. We are flushed with orders. As a matter of fact, and we expect more orders to come in the future and I have been consistently maintaining that we have a very clear execution strategy and so the future looks bright.

With that I closed my introductory address and I'm open for any questions as the moderator conducts the further course of events.

Moderator: We'll take our first question from the line of Riffat Fatma from Yashwi Securities Private limited. Please go ahead.

Riffat Fatma: Sir, my first question is on the gross margin front. Why has the cost gone up so high in this quarter?

Cmdr PR Hari: Cost is that what you mean?

Riffat Fatma: Cost of materials.

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Cmdr PR Hari: Yes, definitely that cost has gone up because the cost is directly dependent on the project maturity pace with what I'm trying to convey is that in the initial stages of the project, the material cost would be less and as the projects mature, the material cost automatically goes up. This in turn gets translated into the value of production. Now, just to give you an example, in a conventional warship composition in terms of value, the material cost is from 65% to 70% in the initial change of project, when the basic hull construction and the design and the commercial activities are in progress, the material input is very very less when the project reaches the maturity stage between 40% to 60%, that is of physical progress then the material input goes up and therefore the cost. So, it is a natural phenomenon in our shipbuilding cycle. Thank you.

Riffat Fatma: OK, that answers my question. Thank you.

Moderator: Thank you. We'll take our next question from the line of Karan, an individual investor. Please go ahead.

Karan: Good afternoon, Sir. Thank you for considering my question. My first question is like what is the current utilization rate of the dockyards?

Cmdr PR Hari: OK. Do you have any more questions then I will address all of them together?

Karan: Sure. I have like total around 3 questions. The first question is like what is the current utilization

on rate of the dockyard and another question is like which countries like you see like importing the most? And the last question is like can you brief us about the double lane Portal steel and Bailey bridges with NHA and like how will this benefit you in the long term?

Cmdr PR Hari: OK. Third question is on our MOU with NHA, how is it going to benefit? OK, I'll answer. Your first question; the dry docks and building berth are the key assets that any shipbuilding industry is required and the Garden Reach shipbuilders have got adequate facilities. So, you may be aware that they've got 3 dedicated ship building units, all in Kolkata and in addition, we have also taken over a facility from the Kolkata port i.e., the Syama Prasad Mookerjee Port which comprises of three more dry docks. So, we are good with the dry docks. Now, come to your question regarding the utilization, right now these dry docks and building blocks that are around the 70 percentage of utilization and again, I would like to highlight I think I mentioned during the last earnings call that we, our state of shipbuilding capacity was for concurrent construction of 20 platforms, 20 warships, 8 large and 12 small and medium ship. What we had done was considering the orders that we currently have and also the orders on the anvil, in addition to taking a three drydocks on long term lease from this Syama Prasad Mookerjee Port, we had also revitalized some of the existing facilities that we have. So, with this initiative, we could augment our

Page 6 of 16 shipbuilding capacity from 20 to 24 and our current capacity is the construction of 24 warships concurrently i.e. 8 large and 16 medium. So, to put in a natural, our capacity utilization with respect to dry docks and building blocks is about 70% as of now. Your second question was on the country which is importing and our export potential is very high. Most of the European nation that is Germany, Netherlands and so on, they are now looking at India as a commercial shipbuilding hub. The results are very evident that almost all the Indian shipyards have orders from these clients. Earlier they used to go to other nations for shipbuilding requirements, but now India is sought after destination and we have orders that mentioned that we have an order

for already for five Multipurpose vessels which will go up to 8 by March 25 and so do the other shipyards . So, we expect this trend to continue and the export potential to be more towards the European nations who need commercial processors and that too in large numbers. Coming to your third question was the significance of the MOU with National highways, can I say the National Highway Infrastructure Development Corporation . Now, this MoU , we had concluded for a product of ours in the bailey bridges segment, as you are aware bailey bridges is one of our that is portable steel bridges is a strong business vertical that we have and we are a market leader in this segment and we already had live MoUs with the Border Roads Organization earlier, we have expanded this to NHIDCL . With this MoU, we expect the orders to come in from the NHIDCL over the next two years , 75 bridges the portable steel bridges . I hope , I've addressed all your 3 queries.

Karan: Yes, yes, thank you very much.

Moderator: Thank you. Thank you. We'll take our next question from the line of Hiren from Axis Securities. Please go ahead.

Hiren: Yeah. Thanks for the opportunity. Just two small questions; First is on the breakup of the export and the domestic order book in terms of quantum and the percentage and 2

and I would like to know your outlook on the green energy vessels and you know how that space is developing , going forward , Sir.

Cmdr PR Hari: Sure. I will when I dig out the data regarding exports and the domestic breakup of orders. I will first access you

your query on the green energy sector. See, this is a segment that has got huge, huge potential. Now, some of the nations have mandated go green by as conditions a target as 2030 . India too is moving in the right direction. Already, the Ministry of Shipping has promulgated Green Tug Transition program, the G TTP, and in addition many of the State Governments are going green. When you say green, they're looking at global emission platforms and GRSE has already made a foray into this segment through a partially research and development funded project on a fully electric ferry for the Government of West Bengal and we have successfully completed this project. We are awaiting the formal handing over of the vessel to the Government and just for information, this is the largest in terms of passenger capacity is 150 passenger fully electric ferry for the

Page 7 of 16 Government of the West Bengal . In addition, we also won an order for 13 more hybrid ferries, again from the Government of West Bengal. It's a World Bank funded project. So currently in India, 2 shipyards i.e. Cochin shipyard and GRSE has successfully completed the green energy vessels . So, this is an area where we see huge potential, and we will definitely play an active part of the Green Tug Transition program, which I'm very confident is moving in the right direction where all the ports will be mandated to use fully green tug. In addition to the G TTP , that's the green tug transition program , the Indian Water Authority of India, the IAWA , also has got requirements for green vessels for Indian water transportation. So, this is an area where we see this potential in future. Thank you. And now , coming to your first person on the breakup of Export and domestic orders. As I narrated before , our core business is domestic warship building and the majority of our orders come from domestic warship building and now since we have made a foray into the non - defence platform also , still, the shipbuilding segment is almost 99 % of our orders and coming to exports within the shipbuilding segment, exports come to around 3.17% as of now and the domestic i.e. the domestic values of 96%.

Hiren: OK, Sir. Yeah. Thank you. That was very helpful.

Moderator: We'll take our next question from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit: Yeah, hi. Good evening, Sir. So, two questions from my side. Could you please share the order book break up project wise that is the first question and 2nd question is, Sir, as you're now looking at 40 to 60% of your project are in the maturity, so once we cross this maturity, again, the margins will look up at a gross margin level as well as the EBITDA margin level. And would there be at least 2 -3 quarters away? Would that be a right assumption to make?

Cmdr PR Hari: Coming to the order book breakup, the current order book is, as I mentioned earlier is ₹24,221.37 crore . And this again as I mentioned, comprises mostly of ship building orders which comes to 99.4%. Now , coming to the order book breakup project wise,

the P17 A lpha - the balance order remaining is around ₹ 13,927 crore. The Anti-Submarine Shallow Water Craft is around ₹ 4,331 crore . The Survey Vessel Large project with the two ships were remaining around ₹ 729 crore , the Next Generation Offshore Patrol Vessels is ₹ 3,023 crore . The oceanographic research vessel for the NCPO R, Ministry of Earth Sciences , around ₹ 800 crore i.e. ₹ 796 crore . The multipurpose vessels is around ₹ 520 crore , 2 export projects for the Government of Bangladesh around ₹ 314 crore and Naval Surface Gun project around ₹ 255 crore . So, this gives you a breakup of the current order book. Your second question was on the margins. So, we as in stating this consistently, that in shipbuilding margins , optimal margins, where satisfactory efficiencies exist

ing around 7.5 to 8% when we are in a competitive environment and we have been maintaining this kind of margin. So, we

Page 8 of 16 are hopeful, we're very confident of maintaining similar margins in future too. Thank you.

Harshit: Yeah , I have one more question on the Next Generation corvette order. What is the status by Q4 , are the tender results expected out or there could be a delay and probably in FY26 the results would be out and second thing you mentioned on the pipeline, P17 Bravo Frigate so is that something so destroyers or will not be coming? Is that a correct understanding because what we understand either frigates would come or destroyers would come in terms of order pipeline over next 2 -3 years. Any color on that would be helpful.

Comde PR Hari: OK, I'll give my views on this. The Next Generation Corvette as they had briefed before, that we have already submitted the bid. There are 4 shipyards who have built for this project and currently the technical evaluation is in progress and we expect the bid to be open by then in December or January, I mean December 2024 or as close as January 2025. What I'm trying to convey is that in our appreciation, the bid results will be declared during the current financial year itself . Of course, then the contract negotiations will happen and we expect the order to be signed only during the next financial year. Your next question was on the P17 Bravo project and the Next generation destroyer project. For the P17 Bravo project, Defence Acquisition Council (DAC) has already accorded the AON and again, what I'm trying to convey is the clock has started. So , once the AON has been accorded , the Navy finalize the SOTR and RFP will be promulgated. We expect the RFP to come out sometime in the calendar year 2025 that means during FY26 we expect the RFP to come out. And coming to the next generation destroyers, yes, in our acquisition as per our assessment of the prospective plan of the Navy, Navy is need of this vessel. At this moment, we will not have any clarity as to when the project is going to fructify because they have not yet gone for AON. So, that answers your queries for NGC , P17 Bravo and the Next Generation Destroyer .

Harshit : Thank you for answering all the questions and wishing you all the best.

Moderator: We'll take our next question from the line of Amit Dixit from ICICI. Please go ahead.

Amit Dixit: Yes, Sir. Thanks for the opportunity and congratulations for a good set of numbers. Just I have three questions from my side. So, this quarter, if you see the gross margin has declined, it is now below 30%. While I understand that quarter on quarter, we should not look at you know, defence companies. But since this below 30%, we have not seen for a very long time and many, many quarters. So just wanted to understand what is behind that , isn't just the execution phase or you know we expect to see gross margin at these levels only?

Comde PR Hari: OK, if you're looking at the gross margins , during our earlier interactions also have maintained that we will be providing a margin which are consistent. Consistent in

Page 9 of 16 terms of, we're looking at the perhaps margins around 8 % which we are maintaining and I expect the similar trend to continue in future also, we don't see any decline nor we do not expect any steep rise . We'll be maintaining this kind of margins in future too. The margins in most of our revenue are coming from shipbuilding. Yes , we have ventured into ship repairs where the margins are much better so as and when our ship repair revenue goes up , the high margins of the ship repair segment, the lower relatively lower margins of shipbuilding and we could see an increase. But , all I can say at this moment considering our current order book and the execution strategy , the current margins, we'll be able to maintain.

Am

it Dixit: OK, Sir, that's very clear. The second one is on next generation corvette, but now two parts here. The first one is that when you mentioned to Harshit's answer that you know that you expect the contract negotiation to go on in next financial year. Now, assuming that you know we finished the contract negotiation, then next financial year and we are ready for you know and we get the order. So, how much time will it take for us to mobilize and start recording the revenue?

Cmdr PR Hari: OK, very interesting question. If you just take the timeline, logical realistic timelines now, if the bid is going to be open by December 2024 / January 2025 and let us put a very reasonable figure about 6 months for contract negotiations and 6-8 months that means by Q3 of FY26, when the contract is concluded, the revenue recognition will start two years from then. It's gets to say that which is perfect in terms of the timeline, why perfect, it is from 2026, if you take two years that comes to 2028 and that perhaps is the time when our current order book will get exhausted. So, time and space wise the NGC project is moving in the right direction if we get it, I'm just mentioning if we get it, 2026 make 2 years hence the revenue recognition starts and that is a time when more or less our existing order book is exhausted. That's the time for your question.

Amit Dixit: Yes, Sir, certainly. And the part B of this question is that what kind, what level of indigenization are we targeting on this NGC?

Cmdr PR Hari: The indigenization if you see, I'm sure you're keeping track of our company, but all the ship building companies in India, indigenization is the focus area of the Government and almost all the ship yards have a clear mandate to maximize the indigenous content on their ships. And as precedent over the last 2-3 projects that we have completed be it the landing craft utility project, be it the anti-submarine corvette project or something like the Fast Patrol vessel for Indian Coast Guard, the indigenization content has been hovering between 80 to 92%. Now, for the P17 Alpha projects, the major project where certain equipment are of import nature, the indigenization content is around 80 to 82%. But the other three projects which we have again at hovers in this direction, I am not at this moment assuming any major change in the indigenization content, even in NGC, I expect it to be in our appreciation that it will be between 85 to 90% tops. But there will still be an element

Page 10 of 16 of important content that, maybe in the in part of the propulsion package or some of the consensus, so around 10% optimistic level input content and 15% at the business level.

Amit Dixit: OK. That's very clear, Sir. The third question from my side is that there are some media articles suggesting that we are planning indigenous hovercraft for military operations. So just wanted to get your thoughts on this, you know and we are trying to collaborate with some private sector also that is or that media article says so are we doing something on that trend and what kind of market we see and if so when it will translate into you know revenue or orders for us?

Cmdr PR Hari: OK. As far as hovercrafts are concerned, so far hovercrafts are being used only by the Indian Coast Guard and Indian Coast Guard has two sets of hovercrafts, one which they directly imported from UK based company and second, manufactured by GRSE through collaboration. This is the past history. Now both the Coast Guard and Army, they need hovercraft. The business volumes of this venture, I will not see it very, very attractive but there is the need to indigenize hovercraft because hovercraft manufacturing technology so far is not available in India. It is with this intent that we have taken an initiative and you may be aware that there is a Department

of Defence

Production has key initiatives for encouraging startups and private sector to come up with the solutions towards indigenization and new product development. So, we have put this as a challenge and we have identified a partner, private sector partner and we are confident of achieving the indigenization of the class by 2027. Because it takes time because certain components of the technology has to be developed. So, we expect a three-year period to develop this product and second question that you asked is what is the potential? Both the Coast Guard and the Army has dropped the requirement and if the product is indigenous, naturally the cost is

going to be much lesser and the maintenance aspects would be much better handled in India. So, I expect the potential I would not say huge potential but reasonable market potential for this product sometime in the early 30s.

Amit Dixit: OK, great, Sir. Thank you so much for answering my questions and all the best.

Moderator: We'll take our next question from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah: Yeah. Thanks for the opportunity, Sir. Just need to have an understanding on the P17 Bravo project, Sir. Our P17 Alpha is going to get completed by August, 26 is what I understand from your note. Sir, what would be the timeline for this P17 Bravo to recognize the revenue for us. The way in which you explained about, you know, the Next Generation Corvette, which is 2 years after we get the order. Similarly, if we get 4 orders for P17 Bravo, how would the revenue recognition happen in terms of the timeline? If you could make me understand that piece.

Page 11 of 16 Cmde PR Hari: The fact is that P17 Bravo, the AON has been already accorded recently. So, the clock has started ticking for Navy to come up with the RFP. The best-case scenario, the RFP could come out, only an assumption that the RFP could come out during mid 2026 calendar year. The project, it's a big project, two shipyards will undertake this project. It's a 7-ship project and overall cost is around ₹70,000 crore, The L1 shipyard could get ₹40,000 crore worth order around and the second shipyard, 3 ships are the proportionate cost. So, if the RFP is out during the mid-26, you keep a year from the RFP to contract signing. Best case I'm telling that means mid 2026 the contract will be signed and as with the other project, it will take two years for the revenue recognition which should come to 2028-29.

Sunil Shah: This is ok. Thanks for all this understanding that you gave me. Thank you.

Moderator: We'll take our next question from the line of Vijay Bhayani from Samyag Financial Consultants. Please go ahead.

Vijay: Yes, thank you Ma'am. Sir, I would like to understand about this Government's new initiative of the Indian shipbuilding industry right now is very small in the global context and we are hearing that the Government wants to bring Indian shipbuilding industry among the top five in the world and that the government is planning to give it an infrastructure status and all kind of incentives, you know, to boost the Indian shipbuilding industry. So, if you can explain, Sir, what exactly is the government planning to do? What kind of incentives they are likely to give, by what time frame, this is likely to come and most importantly, Sir, how can GRSE benefit out of this whole thing? Sir that is my one question, Sir.

Cmde PR Hari: OK. Thank you. Whatever is, yes, it's the fact that the Government is already started the process of formulating a shipbuilding policy framework with a sole aim to bring India into the top nations in terms of shipbuilding. Yes, our market share and the overall global shipbuilding scenario as a nation, it is similarly low and the intent is to enhance this and become one of the top nations. Whatever initiatives

currently the

Government is taking is all that is available in the open media, open-source information is least available. Now, our assessment is that the shipbuilding financial assistance scheme would continue because right now the scheme is available and it is for a specific time frame. Second, there will be focused on green initiatives with a clear intent for our transition from conventional energy driven platforms, green energy platform. Third, there would be a focus on linking shipbreaking with shipbuilding, which means it's a very innovative scheme they're proposing, they're likely to propose is that if a ship owner breaks the ship in India, he gets a certain amount of credit and if he builds the next ship in India, he can avail the credit. So, such very, very innovative schemes are likely to come up as far as the timeline is concerned. As I understand, it's one of the focus areas of the government. So anytime now, as I understand the process is at advanced stages. So anytime now maybe in the three to six months, the policy framework could come out. Now, coming to GRSE, while our

Page 12 of 16 focus has been and primary focus would be on Warship building, for which there is already a structured process because warship building priced on a prospective plan of both the armed forces i.e. the Navy and the Coast Guard and the budget

availability . So, there's a very structured and our primary focus would remain on warship building, but considering the opportunities available in the non-defence segment, we are already, I mean we are aware that this policy framework is going to come , the Government focus will be on encouraging shipbuilding in India. So, with that clear understanding, we are slowly diversified and prepared ourselves into one after another ships , prepared ourselves through aiming experience in construction of commercial ships. The results are here. Any experience ship building like specialized research vessels again, the results are here to see. We have already got order and execution. Any experience by developing green energy vessels, again , we already developed and received more orders and capacity enhancement i.e. capability already we have , capacity enhancement and infrastructure enhancement process already commence . What we had targeted might mean GR SE's target would be to achieve a shipbuilding capacity for the 28 ships concurrently. We are at 24 now. By 2025 , we'll be able to achieve that. So as to your specific question, what is in store for GRSE, very much is on the anvil and we are fully geared to take on this challenge in the coming years. Thank you.

Vijay : Sir. So, will there be some kind of PLI scheme for shipbuilding industry under the financial assistance program ?

Cmde PR Hari : As per my understanding, while infrastructure status may be there at this juncture, it's my understanding that there is no thought process to accord rather to provide a PLI scheme for shipbuilding.

Vijay : OK. So, thank you very much Sir. Thank you.

Moderator: Next question is from the line of Basant Bansal, an individual investor. Please go ahead.

Basant Bansal: Yeah. Good evening, Sir. I have 2 -3 questions. The first one is that in your opening remarks, you said that you are working on 3 -4 projects for the Government of Bangladesh. So, are you facing any challenge in terms of execution because of the social unrest kind of situation prevailing over there ? Secondly , you are working on 24 projects as you said so, are you facing any challenge in terms of execution due to supply chain related issue or any other issue which can delay the execution part. And the third one is that in the first half you have clocked 30% revenue growth. So, will it be maintained for the full year for the current year as well as for the subsequent years?

Cmde PR Hari: OK.

Thank you, Mr. Bansal. I'll address your questions one by one. You're asked about Bangladesh. Yes, we are executing 3 projects for Bangladesh. But if you see our

Page 13 of 16 overall order book and compare it with the orders in hands of Bangladesh , the total order value from Bangladesh is just about ₹300 crore , which comes to about. 1.5 % of our total order book . So, the impact on the company is negligible. Now , coming to the impact on the project. We have an undertaking a patrol boat projects of Bangladesh, 50% of the boats already delivered and the other three boats will be delivered by end of the year. We don't envisage any issue with that. The other two projects again are very very small price , one is for a dredger and one is for a tug. The dredger project is moving in the right direction. That project is still in preparatory phase, so we don't see any impact and on a positive note, I feel as a nation this is just a passing phase. It's a dip that they have once the things stabilize . I don't see any issue, especially considering the shipbuilding unlike any other manufacturing industry, the projects are long term projects so by the time the situation makes becomes normal, the project continues what he has been doing and to catch up so whatever initial teething issues Sir. So, I don't see any problems with the Bangladesh project . Coming to the supply chain impact on shipbuilding, there was a time in the post COVID phase, not definitely during the COVID phase and post COVID phase there was an issue with the supply chain, but those issues have been fully tied over and at this juncture, we do not have any supply chain issues. When I said 24 means what I meant was that GRSE has got the capacity to construct 24 vessels concurrently within our physical boundaries. To answer your question, no impact on supply chain as of now. Coming to revenue growth, yes, we have registered 30% growth within the first half of the year. Here , I would like to make a statement which I'm only reiterating what I had mentioned during our previous interactions that we had assured us the CAGR of around 25% during the four-year period from FY23 to FY27,

we are confident of maintaining that kind of CAGR and only exceed your expectations maintaining similar growth rate. Thank you.

Basant Bansal: Thank you very much.

Moderator: We'll take our next question from the line of Kartik Bhatt from Kuber Investments. Please go ahead.

Kartik Bhatt: Yeah, Hi Sir. Sir, if you can throw some light on the contract that you signed with this German company, I think for multi-purpose vessels, was it a competitive bid, how many other companies are bidding, what is the order value and the timeline over which is to be delivered?

Cmdr PR Hari: OK. Yes, this is for the orders for our German client, 8 multipurpose vessel and the initial contract when we signed about 4 months back was for ships with an option clause was for another 4 ships and we already expressed the option clause and as of now we have signed contracts for 5 of the weapons and the total order value and the next 3 ships will be signing the contracts by March 25 and the total order value for 8 ships is around ₹890 crore. And to answer your question, for foreign clients, they did not go on a conventional tendering and competitive process. They approach

Page 14 of 16 potential shipyards directly, do a capacity assessment and when they find a particular shipyard competent and capable of undertaking executing their project, they take a cost or bid from us when they negotiate with us, they have a method. I'm sure they would have approached multiple shipyards before coming on to GRSE and assessing our capacity. The order values around ₹890 crore.

Kartik Bhatt: OK. And Sir, I believe there is a first contract with the European company and I think in the last one also you were alluding

to a lot of European nations looking at India as a destination for construction of commercial vessels. So, are we talking with the most such companies? I mean is it a sign of things to come that you'll be participating in more such contracts and tenders?

Cmdr PR Hari: Yes, this is the sign of things to come and more and more European clients are approaching not only as all the Indian shipyards and they are looking seriously at India as the hub for commercial shipbuilding. It is a very, very positive and good sign of things to come in future. And we will be actively pursuing more opportunities in this segment.

Kartik Bhatt: That's great to hear. Thank you so much. Thank.

Moderator: We'll take our next question from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit: So, thanks for the opportunity again, Sir. My question is largely on your working capital. So there has been a specific budget which is given to Indian Navy. Till now, your working capital has been extremely good. Now, there are two big projects which Indian Navy is going to import. One is a drone and the other is Rafael as per news report by in this financial year. Do you think this can strain your receivables, at least for a year as we approach March, 2025? Any color would be helpful.

Cmdr PR Hari: OK, I'll put it this way. In the budget, capital budget allocation, all three services are given the funds based on the projections and of course the decision of the Government. In our appreciation, the budget allocated to Indian Navy is more than adequate to meet the requirements of the ongoing projects. Neither would the drone, nor the Rafael projects, which are which have been publicized, would have any impact on the fund flow from the ongoing capital projects of the Indian Navy. Coming to the future projects, once the AON is accorded, it is with the consideration that the budget is available. So, I'm even talking about being in, NGC or I'm not talking about the orders already in line where I have to 0 impact. I'm only speaking about the orders on the anvil, be it NGC or be it P 17 Bravo, these considerations have already been factored while acceding AON and are coming out with RFP. So, we do not see any budget constraint. And another point I'd like to highlight is that unlike an outright purchase, where you may expand the complete project value in one shot in case of shipbuilding, it is priced over a period of time, sometimes ranging from three

Page 15 of 16 years for a small platform or a project to 5 to 10 years for a large project, some of the stuff that they used take the digital aircraft project pictures being handled by one of the other Indian shipyard as the project is almost at 12 to 13 years long. So, budget is not a constraint in my appreciation as well as the projects which we are executing or what we are likely to get in the coming years.

Harshit: OK, Sir. And just one final question on the electric ferry. So, if this helps us understand Sir, there is no change in the design of our ship, you largely replace the diesel engine in the ship with an electrical engine. Is that a correct understanding and are you right now manufacturing or importing this engine? If you can give a color on that.

Cmdr PR Hari: OK, in case when we say zero emission vessel, what we try to convey is that emissions which come from a diesel engine or a gas turbine or an erstwhile coal engine that is no longer there. While an engine is not there, the propulsion mode that is used in a very electric ferry is the batteries. The batteries drive a propulsion motor and the propulsion motor in turn drives the shaft which propels the ship. This is the basic difference. Whereas in case of a diesel engine or a gas turbine profile or a steel ship the steam engine, the diesel engine or the gas turbine drives through a gearbox

the shaft, here the shaft driving is undertaken by a propulsion motor, which in turn gets power from a battery pack. The batteries are of different types. I'm sure you would not like me to get into those details, but the basic differences, the conventional proportional methods are not.

Harshit: Understood, Sir. Yeah, that's helpful.

Moderator: We'll take our next question from the line of Basant Bansal, an individual investor. Please go ahead.

Basant: Yeah, Sir, when I see your sales receivable turnover ratio for the last year, six months, it was 39.48 and now it is 19.64. So, this past variation, can you explain this?

Cmdr PR Hari: Please I will just request my Director Finance and CFO to answer this question.

R.K. Dash: Actually, in shipbuilding, last stage of payment, receivables get delayed. In the initial period, the receivable is very fast and in the last moment, there is some guarantee period because of the guarantee period, at least the last payment gets delayed by one year. So, because of that, whenever the delivery, there will be more delivery, receivable accumulation will go. So whatever disturbance you are finding, the reason is because of that. Now we have started delivering. So, this will go up.

Cmdr PR Hari: In the last few months, we have delivered 2 vessels, 2 survey vessels and their last stage payment, their last trade receivable stage payment is that contractually also it

Page 16 of 16 is linked to the guarantee period and that is the reason why the turnover to receivable ratio is varying.

Basant: OK. Thank you. Thank you.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you Sir.

Cmdr PR Hari: Thank you, Yashashree and there is always been a fresher, ladies and gentlemen, to interact with you and I look forward to such interactions with our citizen, an eye opener as to what you expect from us and I am very confident that to the best of our ability we have tried to clarify all your queries and looking forward to meeting you next. Thank you, Jagdish. Thank you, Gaurav and Yashashree.

Moderator: It was our pleasure, Sir. On behalf of Garden Reach Shipbuilders & Engineers Limited, that concludes this conference. If you have any further queries, please send an email to gaurav.g@conceptpr.com. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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Garden Reach Shipbuilders
& Engineers Ltd.

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(A Government of India Undertaking, Ministry of Defence)

CIN NO.: L35111WB1934GOI007891

SECY/GRSE/BD-69/AM /03/24-25 20 Feb 2025

To,

National Stock Exchange of India Limited

Exchange Plaza,

Bandra Kurla Complex, Bandra (E),

Mumbai -400 051

Symbol: GRSE

Dear Sir/ Madam, BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai -400 001

Scrip Code: 542011

Sub: Transcript of Analysts' and Brokers' Meet for Q3 & 9M FY25 of GRSE -Reg 30

1.Further to our Intimation Letter No. SECY/GRSE/BD-69/AM/03/24-25 dated

06 Feb 2025, we wish to inform that Analysts' and Brokers' Meet has been held on

Thursday, 13th February, 2025 at 04.30 p.m. at BSE Convention Hall, Dalal Street -

Mumbai, to discuss the Financial Performance of the Company for the Quarter and Nine

months ended 31st December, 2024 and way forward.

2.In this regard and pursuant to Regulation 30 read with Para A of Part A of Schedule

III of the SEBI (LODR) Regulations, 2015, the Transcript of the Analysts' and Brokers' Meet

is enclosed herewith.

3.This is for your information and records.

Thanking You,

Yours faithfully,

For Garden Reach Shipbuilders & Engineers Limited

Sandeep Mahapatra

Company Secretary and Compliance Officer

ICSI Membership No. ACS 10992

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Registered & Corporate Office : GASE Bhavan, 61, Garden Reach Road, Kolkata -700 024

■ I Fax : 033-2469 8150, ■1'flf / Telephone :033-2469 8101

Web : www.grse.in, E-mail : co.sec@grse .co.in

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Garden Reach Shipbuilders & Engineers Limited

Q3 & 9MFY25 Analyst Meet

13th February, 2025

Management:

1.Cmde P.R. Hari, IN (Retd) - Chairman & Managing Director

2.Shri R.K. Dash - Director (Finance) & CFO

3.Shri. Sandeep Mahapatra - Company Secretary & Compliance Officer

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Garden Reach Shipbuilders & Engineers Limited

Q3 & 9MFY25 Analyst Meet

13th February, 2025

Gaurav Girdhar: Good Afternoon, everyone. I'm Gaurav Girdhar from Concept Investor Relations. I welcome you all to the Analyst Meet of Garden Reach Shipbuilders & Engineers Limited to discuss its Q3 and 9 M FY25 results.

We have with us today Commodore P.R. Hari, IN (Retd.), Chairman & Managing Director, Mr. R.K. Dash, Director (Finance) and CFO, and Mr. Sandeep Mahapatra, Company Secretary and Compliance Officer. Please note, this conference is being recorded. I would now like to invite

Cmde P.R. Hari, Chairman & Managing Director to give his opening remarks. Sir, over to you.

Cmde PR Hari: Thank you, and good evening to each one of you. I actually look forward to this particular

meeting. So, this is the only time when we see each other, though we interact over the con

calls every quarter. But to be frank, I enjoy this particular session.

Coming to the formalities. I welcome each one of you to this conference to discuss our financial

performance for the quarter ending and nine months ending 31st December, 24, and also to

provide you a way forward.

I'm sure most of you have been tracking the performance of the company, and you're clear

about where we are. And I'll give you an overview as to what we are doing and give a glimpse of what lies in store for us.

Like I normally do, I shall touch upon the financial performance, then cover the current order book, provide you the status of the ongoing projects, and then give you a glimpse of what are the projects on the anvil, and also highlight what we are looking for in the future.

Coming to the financial performance. I think this is the tenth quarter on a trot that both top line and the bottom line have gone up. Our revenue from operations registered a 38% growth over the last corresponding quarter from ₹923 crore to ₹1,271 crore.

The PAT has gone up by 11% from ₹88 crore to ₹98 crore, and the operating profit has gone up from ₹37 crore to ₹62 crore. That means operating profit margin has gone up from 4.03% to 4.85%. Earnings per share, again, showing a rise from ₹7.70 to ₹8.57.

Now coming to what has translated to this financial performance is, of course, our physical performance. Before covering that, I'll give you a glimpse of the order book. Our current order book, as on 31st December stands at ₹23,877 crore. And this is comprised of 40 platforms from 10 projects. These projects are, as you're aware, 17 warships for Navy coming from 4 projects, 3 P-17 Alpha, 2 Survey Vessels Large, 2 we already delivered, 2 more are remaining, so 2 Survey Vessels Large, 8 Anti-Submarine Shallow Water Crafts, and 4 New Generation Offshore Patrol Vessels.

In addition to this, we are also executing a project each for the Ministry of Earth Sciences, which is an Oceanographic Research Vessel, and also an Acoustic Research Vessel for the DRDO. We also signed a contract for 6 Multi-Purpose Vessel with a German client. And we also have 2 more export orders for our friendly foreign nations.

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Happy to inform you that we have won an order for 13 hybrid ferries from the Government of West Bengal. It's a World Bank-funded project.

This, in a nutshell, gives you what are the orders that we currently have in our kitty. What we are looking forward in the immediate future, the assured orders. Our agreement with our German client was for 8-ship Multi-Purpose Vessel Project. We had deliberately staggered the contract signing. Contract for 6 ships have been already signed, and we will be signing the contract for the balance 2 ships by 31st of March.

In addition, we have been declared L1 for another set of Research Vessels for the Geological Survey of India, 2 Coastal Research Vessels. The contract negotiations are currently in progress. We expect the contract to be signed by 31st March. That is our expectation.

I have

been talking about this Next-Generation Corvette project for a long time. I think ever since I started attending these interactions, I've been talking about this project. Yes, the RFP has been issued, bids have been submitted. Four shipyards have taken part in the bid. The technical evaluation has been completed, and we expect the price bid to be opened in a couple of months. And let us together hope we become the L1 shipyard, because it's a high-value order, and that is something which we are eagerly looking forward to.

This is what is immediately on the anvil. And as far as the near future is concerned, Navy also has taken an Approval of Necessity (AoN) from the Defence Acquisition Council for 7 P-17 Bravo ships. This is a follow-on of the P-17 Alpha that we and MDL are currently executing. This is a 7-ship project, 3 shipyards in the fray. Two of them will get it. So, the probability is very high. And also, Navy has taken an AoN for 31 Waterjet FACs. They are called Follow-on Waterjet FACs. These are small 50-meter-odd vessels, 31 of them. The volume is huge. And Navy has also got an AoN for 120 Fast Interceptor Crafts. In addition to that, Coast Guard has already obtained AoN. That's a DAC AoN for 6 NOPVs and 18 New-Generation Fast Patrol Vessels.

These are broadly what is likely to come out from both the Navy and the Coast Guard in the next one year. Some of the RFPs could come out as early as a month down the line. Two projects that I missed, Navy has also taken AoN for 2 Multi-Purpose Vessels and 5 Next-Generation Survey Vessels. This is what I expect to come out from now till the next one year. These are the RFPs that are expected in the next one year.

Now, I'll give you a glimpse of the status of the ongoing projects. As I had mentioned, we are executing 10 projects. I'll start with the naval projects, the P-17 Alpha project. Again, happy to inform you that our first ship has already undergone the basin trials. Basin trials is the harbour trials, have been successfully completed. We intend putting the ship to sea for the sea trials by end of this month. So, the project is going on track.

And there was a question which was asked, I think, last time or last, last time, is the project going on track? Will you be able to deliver the ship on time? Yes, we'll be able to deliver the ship ahead of the contracted time, which is the first ship is to be delivered by August this year; the second ship by February next year; and the third ship by August 2026. So, we will be able to complete this project on scale. This is a high-value project.

And just to give you an updated status, we have almost touched 90% progress on the first ship, almost 65% on the second ship, and about 50% on the third ship. So that is the kind of progress that we have achieved.

Coming to the survey vessel large project. This is a 4-ship project for the Indian Navy. Two ships have been already delivered, and they have been commissioned into the Navy. Two more ships,

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we intend delivery during this calendar year, which means the third ship, we expect to be delivered by June, and the fourth ship by July/August 2025. So that is the way the progress is currently there. The second ship has almost touched around 85% physical progress, and the third ship is around 72%.

Coming to the ASW Shallow Water Craft project actually, this is a 16-ship project, 8 being undertaken by GRSE and 8 by Cochin Shipyard. Happy to inform you that the contract was signed by both the shipyards on the same day.

My first ship has already undergone full power trials, and it is ready for delivery. We are confident of delivering this vessel by 15th of March this year. The second and third ships are following very closely, and we intend completing this project also on schedule. Our contract delivery time line is by October, 2026. So, construction of all the 8 ships are on track. We'll be able to deliver by October,

2026.

The fourth project that we are doing for the Indian Navy is New-Generation Offshore Patrol Vessels. This is a 4-ship project on track. The first 2 ships, we almost touched 40% physical progress. We intend launching of these ships during this calendar year. Naturally, the project was signed only in 2023, March 30th. So, the project delivery time lines stretch up to 2028-2029, the last of the ships, on track as of now.

Now coming to the other projects that we are doing. The multipurpose vessels, we intend starting the commercial platform for the German client. We intend starting the production. Design activities are currently in progress. We intend commencing production by July this year. Project is on track. Being commercial vessels, we just cannot afford to slip on the dates. So that project is on track.

The Oceanographic Research Vessel, the production has already commenced. And we intend doing the first milestone activity, that is the keel laying of the vessel by July this year, and is on track. The acoustic research vessel, preparatory activities are in progress. The contract has been concluded, currently well on schedule. And so is the project that we are executing for the Government of West Bengal, 13 hybrid ferries.

Last time when we met, I had mentioned 4 or 5 things, if my memory is right. One is that next time, that is today, when we meet, I should be able to give you the happy news that we were expecting at that point of time regarding the commercial vessels. I met my commitment. GRSE is currently in a state where multiple foreign client customers are approaching us.

We are taking a balanced call as to which are the projects we should take on, what we should hold in event. So, we are good with the commercial shipbuilding. Revenue, we had given a growth perspective. We are maintaining that, rather exceeding what I had committed last time. Third was on the ship repair, which is a very small vertical that we had started. We started in a very modest fashion. So today, I can proudly say that the ship repair vertical has gained its feet. And the facility that we have set up for the ship repair is fully loaded. We are executing orders, including export orders on ship repairs from friendly foreign nations as well as from Indian Navy and Indian Coast Guard. So that ship repair vertical has stabilized. Right now, again, in our overall scheme of things, the revenue generated from ship repair is very, very modest, but we expect substantial growth in the next 3 to 5 years.

And again, happy to inform you that, which you've already aware that the company has been recategorized into a Schedule A Company. During the last financial year on 17th September, if

my memory is right, we were upgraded into a Schedule A Company , which is a recognition that we have been relentlessly pursuing for the last 5 to 7 years. It's your credit.

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And of course, the NGC tender. Last time when we discussed, it was still in liquid form. Deliberations were still in progress with the Navy. The tender is out, as I mentioned. We expect the bid to be opened in a couple of months. My conservative estimate is by April, the bid would be opened.

And again, happy to inform you that we have a Memorandum of Understanding with the Ministry of Defence, with the Government. We are a Government-owned company. Mostly 74.50% of the shares are with the Government. So, we have to sign a Memorandum of Understanding. And based on the performance parameters, the company is assessed. And on a trot for 2 years, including '23, '24, we have been rated Excellent . That's the highest rating. And out of a score of 100, we have attained 96.5. There, even you have a major contribution, because the market response is one of the evaluation criteria. So, thank you.

So, I think, I've covered most of the aspects that I got to say. So, I thought I'll just restrict my introductory address to the minimum.

So, I'm open for any questions as you deem fit. Please.

Thank you, sir. Can someone hand over a mic, please? Normally, there's a strategy like in a con call, which is 1 hour, I always look at the clock. Now I'm seeing, I clock 20 minutes, 25 minutes. Then the number of questions become less. You have only 35 minutes for today.

Ramesh Damani: Yes. Again, thank you, sir, for your stewardship and excellent set of numbers. We are very happy shareholders here. Sir, I wanted to ask you a couple of questions. So a), first in the budget, there was a lot of talk about moving along maritime shipping at ₹25,000 crore fund. Could you give us some colour on how that would help us? And b), you mentioned a lot of orders that possibly could be opened this year. Can you quantify the expected value, whether we get it or not, the expected value of that order for us? Thank you, sir, so much.

Cmde PR Hari: Sure. Thank you. I'll start with the orders which are on the anvil. The Next-Generation Corvette, the AoN was taken for ₹36,000 crore, which means the L1 shipyard, purely by the calculation, should get around ₹22,000 crore. But my assessment is that it could be well beyond that, which means it could be between ₹25,000 crore to ₹30,000 crore for the L1 shipyard. L2 shipyard will get in the ratio of around 5:3, around ₹15,000 crore - ₹16,000 crore. This is for the Next-Generation Corvette project.

Now I'd also mentioned that the P-17 Bravo, AoN has been accorded. The total value for which the AoN has taken is around ₹70,000 crore, which means each ship would be around ₹10,000 crore. So, the L1 shipyard would get 4 ships; and the L2 shipyard would get 3 ships.

Here, I'd like to add on that I had mentioned that 3 shipyards and 2 will get it. So, the probability factor is high. And our confidence is that having built the P-17, and since we do not expect any major design changes over 17 Alpha to 17 Bravo, so we will be bidding with that kind of confidence and reasonable aggression.

Coming to the other projects, the 18 follow-ons, rather NG. Nowadays, every project, you will see that NG, so i.e., a fad, Next generation, New generation, so be it so. So, it's an 18-ship project, NG-FPV project. The order value, as of now, it is likely to go to a single shipyard. So, the conditions of the financial qualification, eligibility criteria are going to be stringent. Some shipyard who has got the capability. Naturally, we will be there and maybe around 4 more shipyards would be there.

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So here, the order value is likely to the tune of around ₹3,000 crore. Then there is a 5-ship survey vessel, NG SVL i.e. Survey Vessel Large project, NGSVL, next-generation survey vessel project for the Indian Navy. This is a 5-ship project. We expect the order value to be around ₹3,500 crore. Again, this will go to a single shipyard.

A 31 waterjet FAC project, this is a relatively low-value project. We do not expect the cost of a waterjet FAC ship or even with the NG factor to go beyond ₹100 crore to ₹120 crore. This again could be to the tune of around ₹3,500 crore. Then comes the 120 Fast Interceptor Craft around

■2,500 crore.

Okay. Then 2 Multi-Purpose Vessels for the Navy. The project is 2 ships are currently being constructed by Larsen & Toubro shipyard at Kattupalli. Navy will be coming out with an RFP for 2 more ships. This could be to the tune of ■1,200 crore to ■1,400 crore. This, in a nutshell, gives the overall projects that are on the anvil. If I miss something, maybe if a subsequent question comes, I can answer. Yes, please.

Ramesh Damani: Obviously, the first 2 are the most lucrative, the ones you mentioned. Between them, how much? ■1 lakh crores or something? Can you tell us the status of this? Do you think it would be L1, L2? What do you think? What is your working hypothesis of those projects?

Cmde PR Hari: See, in the NGC project, we are confident. Why we are confident is purely because, I had mentioned this earlier, that as far as Corvettes are concerned, we have mastered the construction of Corvettes. Nine Corvettes, both missile surface as well as ASW, are currently running in the Navy, and all Nine are built by GRSE. That's the kind of expertise. So here, I mentioned that it's around ■36,000 crores. L1 will get around...

Ramesh Damani: ■24,000 crore !

Cmde PR Hari: ■25,000 crore to ■30,000 crore. This is the first project that is on the anvil.

Ramesh Damani: And this should open when, sir? When do you expect it to open?

Cmde PR Hari: Conservative estimate is 3 months. Optimistic, 2 months. That means as early as March end to April.

Ramesh Damani: That's very close, sir.

Cmde PR Hari: That's something very close.

Ramesh Damani: Okay. And the other one? The Bravo?

Cmde PR Hari: P-17 Bravo, we expect the RFP to come out only by this year-end, because the AoN was recorded just about a couple of months back. So, we expect the RFP to come out, again, put a moderate timing, by end of the current calendar year. So, if it comes by end of the calendar year, the L1 determination, you put an inefficient time of 6 months from bid opening to my past experience, which means by mid of calendar year '26, the L1, L2 shipyards will be known. Here, the L1 shipyard, as per the AoN taken, will get order around ■40,000 crore and the L2 shipyard will get order of ■30,000 crore.

Ramesh Damani: And you are confident of that?

Cmde PR Hari: Yes. Yes. Definitely, we are confident. See, it is 3 shipyards only, 2 will get it. So we should get it.

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Ramesh Damani: Yes. And just to follow up, sir, on the first order that you mentioned, ■36,000 crore order, which you get ■24,000 crore. That also you said is your strength, right, the basic Corvette?

Cmde PR Hari: I'll tell you why. 1, I mentioned the experience. Okay. Experience, maybe somebody is to undergo. Still, there are only 4 shipyards who are eligible for this. Only 4 have been permitted to bid for this, of that 2 will get it.

Ramesh Damani: Right. And also, if that happens, then your order book doubles basically.

Cmde PR Hari: Right now, my order book naturally, it is depleting because we are executing. Last year, I think when we started the financial year, it was around ■22,600 crore. Now it has just gone to ■23,877 crore, despite getting multiple orders during the current year. So, we are depleting an order book, but no fire. We will get a couple of orders in the coming year.

Ramesh Damani: Yes. Great. Thank you, sir. Possible to speak on the budget, what your impression is, sir?

Cmde PR Hari: Yes. It's a very interesting budget with respect to shipbuilding, because the Maritime

Development Fund, they have allotted ₹25,000 crore. They kept a corpus of ₹25,000 crore. What the government is planning is to provide assistance in terms of either equity or debt with 49% investment from the government. And the industry should invest the balance 51%. This could be for pure shipbuilding projects or creation of shipbuilding infrastructure. This is an interesting aspect that came out of the budget.

And also, government has commenced the action. Most of the coastal states have come out with RFIs, EOIs for creation of shipbuilding clusters. For example, Gujarat, Karnataka, Maharashtra. Maharashtra, I'm not so sure. Gujarat, Karnataka, Andhra, Orissa and Tamil Nadu. So, shipbuilding clusters are planned to be created in these States. The benefit for us or all of us would be the assistance from the maritime development front that the government has earmarked.

Third is the Shipbuilding Financial Assistance, version 2. The Shipbuilding Financial Assistance Policy was always in existence. Of course, it is not applicable for warships. But since we have ventured into commercial shipbuilding and in a strong way, this will definitely benefit us, because the subsidy that is being allotted

by the government. Basically, their intent is very clear that they want to boost the shipbuilding industry in India. So that will definitely give a fillip to the commercial shipbuilding. These are the major aspects that I can pick from the budget.

One more thing is a very interesting, I think, I had mentioned in last time con call, was that the government has come out with something on recycling, that is ship breaking. If you break a ship in India, then you'll get 40% of scrap value as credit. You can avail the credit as an assistant, direct assistance from the government, if you build a ship in India. It is a very enticing offer. So, I think on the whole, with respect to commercial shipbuilding, the budget has been very, very encouraging. More is there, but I think that is.

Ramesh Damani: That's fine. But that helps more commercial. Doesn't really help us.

Cmde PR Hari: No, no, it helps us. Why it is helping us is see, when we met last time, I would not say hesitant, we were just contemplating, should we go in for commercial shipbuilding or not. We have taken decision; we have gone ahead. So, since we have gone ahead, we would like to go in a big way. So, if you are going in a big way, all these initiatives will help.

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Ramesh Damani: So just a quick follow-up on the two new contracts that we're talking about. Are they on a cost-plus basis or are they on a competitive basis? How would that mechanic work?

Cmde PR Hari: Which?

Ramesh Damani: The two new contracts that we're talking about. Yes.

Cmde PR Hari: Okay. The NGC and... It's a hybrid. There's a fixed element for the effort. There's a value-addition by the shipyard. And certain equipment, it is on cost-plus basis. We term it as fixed cost and variable cost. So, it is going to be a healthy mix of both.

Ramesh Damani: This will be what, 7%, 8%? The margins for that would be?

Cmde PR Hari: Margins would be plus 8%.

Ramesh Damani: Plus 8%. Great. Thank you so much sir.

Cmde PR Hari: Pleasure. Please.

Divyesh Shah: Sir, can you speak more about the export potentiality? I think the next 5 years or next 10 years will be for exports. So how we are prepared for the export potentiality? What can be for shipbuilding, as you just now told, what can be our share roughly, where we can stand in the next 5 years?

Cmde PR Hari: Thank you, sir. Right now, as on date, just about 4% of GRSE's order book is coming from exports. Our total order book is ₹23,877 crore, and just about ₹970 odd crore is coming from exports. But as I mentioned, we are pulsing the system. But with the kind of queries that are coming, we are taking a calibrated approach. We have gone ahead and invested in revitalizing one of our facilities.

I know that you are looking for figures. So, I'll say on a conservative basis, we'll be looking at a twofold increase within one year, and at least a fourfold increase from the current value in the next four years. So, I'm just giving you a band.

Vijay Bhayani: You mean fourfold on the number of exports that was done currently. That should increase.

Cmde PR Hari: Yes.

Vijay Bhayani: Sir, regarding these budget proposals, so how does exactly it work? Let's say the Government has proposed shipbuilding clusters in some of these states. So how exactly would it work for a company like GRSE? What can you do exactly? Would you be owning the cluster or having 1 of the facilities and somebody else also will be having facilities?

Cmde PR Hari: I'll try and answer in this fashion, sir. I'm speaking from GRSE's perspective. I'll build a background and then answer your specific question. Right now, we have got 3 fully usable shipyards in Kolkata, GRSE, plus we have hired some facility. All put together, our shipbuilding capacity last year, when we met last year, it was 20 ships. We have increased it to 24 ships already.

With what we have by end of this year, that means the end of the calendar year 2025, we'll be increasing to 28 ships. But that 28 is also grossly inadequate to meet the requirements, and that's why I said some of the offers we are not able to take on.

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So, there is the need to expand beyond Kolkata. And naturally, Kolkata has got an inherent limitation of draft. So, whenever we do construction, we match the tide and do the construction float. So, we want to come out of that once, for all. It is with that intent that we'll be looking at facility outside Kolkata. I am not in a position at this moment to say when, but that the ball has already been set rolling. Now the states which have shown interest in creation of shipbuilding clusters are what I mentioned, Gujarat, Maharashtra, Karnataka, Tamil Nadu, Andhra and Orissa, because all of them have got adequate depth, the draft adequate depth is available.

Now when you say shipbuilding cluster, it will definitely have the shipyard as the core of the cluster with the ancillary industry. Ancillary industry could be a manufacturing industry, which supplies items, then the logistic arrangement, there has to be a transportation. So, the cluster contains multiple facilities with the shipyard as a core of it. There could always be a port also co-located. This would, in a nutshell, mean water clusters.

Now within the cluster, what is that the government is going to offer and what is it's going to come from the shipbuilding, what is the Maritime Development Fund. Like for example, 1 of the RFIs, EOIs, which 1 of the states had come out, they are ready to invest and provide a breakwater. Breakwater means it's a structure, maybe a kilo meter long, which will protect the sea from coming inside, which means what is within that breakwater is usable for ship construction.

They are ready to create jetties, building berths where the ships can be located. The shipyards would then need to invest in creation of drydocks and building berths. That will be the investment from our side. Some of them have already offered a 10-year rent-free period or rent at very nominal rate. This, coupled with debts that the government may give, it's a win-win for everybody. That is what we are looking for. So, hopefully I've answered your question to some extent.

Vijay Bhayani: Yes, of course. Sir, I want to ask you about the ship repairs, you have been speaking in your conference calls. So how exactly do you plan to grow that part of the business? Especially now with this better relationship with America and other countries, probably that might open up a very big revenue stream for the Indian ship repairs companies. So how exactly would GRSE plan to position itself on that end? Do you see something in the near term happening? Or maybe it will take a very long time?

Cmde PR Hari: Okay, sir. So, I'll put it this way. We were not into ship repairs. This is 2025, just about 4 years back, we started the process. We took 3 dry docks on a long-term lease basis from our friends in Kolkata i.e. Kolkata Port Trust, SMPK. We have taken over that. That is a facility which we

have created dedicatedly for ship repairs. But when we started getting orders, we found that itself is not adequate for us. See, Navy has got dedicated ship repair units across the coast, Naval Dockyard. But still with the kind of ships that are coming up for refit and repair, they're not able to handle the load. So, a few orders have come from Navy. Coast Guard do not have any dedicated repair organization. So, 100% of the Coast Guard orders will go to one of us, us, Cochin Shipyard, L&T and some of the private players.

Now the demand is very high, but the capacity is limited. Now we have to take over one more dry dock from KoPT. The agreement is not yet signed. One more dry dock, which is unused with the Kolkata Port Trust, will augment our capacity. And the revenue, what we are generating from ship repair, we are actually hesitant to take more orders at t

his juncture, because of the capacity constraints. In a year or so, we'll be able to double the revenue that we are getting from ship repairs. This is one. But that also will not address the issue, because if we are limiting our ship repair to Kolkata, it just will not meet our requirements.

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So, what we have done is we have formed partnership with very, very small shipyards whom we use as our subcontractors, take the order, ship repair is a high margin. And we intend doing these refit that we already executed 1, somewhere near Jamnagar. We had a collaboration with one of the private shipyards. We got the job done. We did the project management. We got a good margin out of that.

So, in addition to creating our own facility within Kolkata, we'll be having a structure wherein we partner capable small shipyards, do the project management, ensure quality and get good margins. Bottom line, the crux of it is that we intend almost doubling our ship repair revenue in one year.

Vijay Bhayani: Sir, the U.S. Naval, that 100, their fleet of 100 ships and all, they wanted to empanel a number of Indian companies to do their repairs. Have they visited GRSE? If not, why not?

Cmde PR Hari: I'll answer this question because be it MDL, the sea is next to them; be it GSL, sea is next to them; L&T, sea is next to them; HSL, sea is next to them. We are a riverine shipyard. And this is one part. So, we are not comfortable to go in for MLRA or MSRA or something with the U.S. as of now. At this juncture, we are not in a position to go for that.

Second is let us say we hire a facility. We collaborate with one of these counterparts there. So far, this agreement has been signed nearly 3 or 4 years back. How many ships have come? Hardly anything. We can count 1, 2, 3 in the last 4 years. At this moment, we are having a wait-and-watch policy for the U.S. or any other freight.

Vijay Bhayani: Sir, last question from my side. We have been announcing from time to time some alliances for some global companies, for instance, the marine engine production and all that. So, is there any potential in terms of actual revenue terms and how it will unfold going forward, sir? And which of these alliances you see likely to materialize now?

Cmde PR Hari: Okay, sir. I'll give a perspective that when we sign MoUs, MoUs is like sowing wild oats. It's like we do business development. We attack 100 leads. If even 2 leads fructify, it is success. Similarly, in case of MoUs, we have live MoUs with Rolls-Royce for MTU Rolls-Royce for marine diesel engines. We had 1 with Caterpillar and we had 1 with Kongsberg. I'm only speaking about engine and water jets. Of these 3, 1 has matured. It is the Rolls-Royce MTU MoU.

And when I had mentioned earlier about this 31 waterjet FAC or the 18 Fast Patrol Vessels, it is those type of engines that are going to get into these ships, which means let's hypothetically say this collaboration succeeds, and it is 31 into 63 engines in these ships, and 18 into 2, 36 engines in the Coast Guard Project. So, opportunities are there. We were earlier having an MoU. MoU was initially for assembly, testing and so on. So, we get knockdown kits from there. We have a diesel engine plant in Ranchi. We should to button up the engine, conduct trial. We have a test bed there, and then deliver.

We have just transformed that into co-production, because we found that is not attractive. What is value-addition for us there, it's nothing. But now we have gone for an agreement. It's called a license agreement for co-production, where as per the government policy, at least 50% indigenous content should be there for every project. So many of these foreign OEMs who are supplying 100% automatically get knocked out. So, we are leveraging that government policy to get into this 31 Waterjet FAC as and when it comes.

As a matter of fact, I've just come back from Bangalore. I was in Bangalore fo

r the Aero India.

We had a closed-door meeting with Rolls-Royce to further this project. Now you may also have noticed that GRSE has signed, since you asked about MoUs, with several partners.

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Like I'll give you one example. We have a collaboration with Elbit Israel and their joint venture partner in India for manufacture of Naval Surface Guns, very attractive project. Our role in that is certain components manufacturing, project management, installation, but the margins are good. So, we decided to go in for that. So that was an MoU, which started off as an MoU, which translated into an order.

We recently signed an MoU with a firm called M/s Apollo Micro Systems, it's a listed company, very, very good company. We had an interaction with them. We understood their business. We got into an MoU with them for moored mines, which Navy requires in large numbers. So, it has been translated into an order at this juncture, but opportunities exist. So, like I said, the MoUs out of 10, if 2 fructify, it is success.

Ashok Shah: Sir, we have 3 companies. One is Cochin Shipyard Ltd, and One is Mazagon Dock Shipbuilders Limited, and One is GRSE. So how is cost to get employee and workers, is it Kolkata is cheaper compared to Goa or the Mumbai or the Cochin shipyard?

Cmde PR Hari: See, my ninth year running in Kolkata. I quit from a naval unit in Cochin Shipyard, the IAC project. I was heading the aircraft carrier project in Cochin Shipyard. So, I know the work culture and the employees there. And in Mazagon Dock, I was a part from the Navy side for commissioning a P-17 Shivalik class ship. So, I know all the 3 shipyards well, with GRSE naturally being my home.

So, to answer your question about cost of labor, it is almost same at all the 3 places. It is almost same, because, see, as a policy, none of the 3 shipyards or none of the 5 or 6 big shipyards, we are not taking too many permanent employees. The strategy by all of us is outsourced work. And we do project management, core expertise in design. We retain some of the block fabrication or specialist jobs.

But most of the labor is through contracted workforce. The contracted workforce rates are same, because we all pay central government wages, minimum wages to central government. So, I feel it is at par. Each shipyard has got its own environmental issues that you discount, but otherwise, the cost of labor is more or less same.

Ashok Shah: Are we looking at, since we are expanding at Vizag, shipping for some shipyard or something like that to acquire and expand?

Cmde PR Hari: The expansion is not because of the cost of labor. Expansion is purely because, one, we are stretched to our seams in Kolkata, because we have got limited land. That, we have done to our best capability, expanded it, revitalized it. Now if we take more facility in Kolkata, the disadvantage is that it's a riverine shipyard. The limitations with respect to depth will still remain, heavy filtration.

So, we are good with what we have in Kolkata. But if you really want to expand to a global shipyard where we can construct vessels of, let us say, 300 meters length commercial vessels, then you need areas. It is with that, intent, we are likely to go out. Discussions only are at this stage. Maybe next year, when we meet, maybe I'll be able to give you some good news on that.

Ashok Shah: And last question from my side. Sir, you just talked about the export market. Could we expect by end of next year around 15% order book to be from export market?

P.R. Hari: No. I'll try and answer in this fashion. See, you take a 10,000-ton commercial ship and you take a 300-ton warship. The cost of the warship is more than the commercial ship, because in every

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ship, it is the equipment and weapon and sensors that carry the order value. So, 50%, we are not even looking at it, because see, you must also appreciate that we have been set up with a

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intent for the maritime requirements of the nation. And there is enough what I just mentioned.

I just mentioned 4 or 5 or 6 projects of Navy and Coast Guard that are going to come. There is enough number of orders are going to come in the near future for all. But we are not happy only with that. So that is the reason why we are going for export, one for global recognition. Second, after we put our feet firmly on ground, the margins are going to be good. So, I expect right now, I just mentioned that the order book position, the contribution of commercial export orders is just about 4%. Maybe it could go to 10%, but not the level what we're looking for. We're not looking at that, because of this reason I mentioned.

Yes, please.

Ramesh Bhojwani: Sir, Ramesh Bhojwani from Mehta & Vakil. Sir, before you came, there was an audio-video presentation. That film was excellent. It took us back to 1884 to today. The progress of your company and the progress of maritime and shipbuilding, in particular, Navy and the Coast Guard. So that was wonderful. We came a little early, so I had a chance of seeing it 2, 3 times. Now the thought which came to me, I was in another conference where there was, I think the Commissioner from the Government of Vietnam or the High Commissioner Head of Vietnam. He mentioned Vietnam has a coastline of 3,000 kilometres. India has a coastline of 7,500 kilometres. And we need to have extremely accurate Coast Guards as well as naval ships, which are monitoring, and which are seeing that there is no room or no weak portion foreign access to anybody. So, the thought which was coming to my mind was, sir, have we developed adequately strong facility for our ships above the sea and in the submarine? You have the liberty of not answering it to full, but just the idea.

Cmde PR Hari: I'll try and answer in this fashion. The role of coast protection is that of the Coast Guard. That's why they're called the Coast Guard. And the role of Navy is beyond a certain, it means it is outwards. With that background, Coast Guard, the government has really realized the need for augmenting the capacity and capability of Coast Guard.

Just to put things into perspective, I was making notes, so somewhere I had written down, that Coast Guard budget for capital acquisition, they have increased, I think, by 26% or something in this year. That's why they're coming up with several RFPs.

As far as technology is concerned, there are multiple agencies handling the security of the coast. One is, of course, Indian Coast Guard. Then there is something called Merit, each state is also involved. So, to answer your question, yes, there is room for improvement. But I think Indian coast line is adequately protected.

And just also to put the facts on the right perspective, it was 7,516 kilo meters. But after a recent survey, you can check it up, you can Google it, it is around 11,000 kilo meters. So that is the kind of coast line with all that we have.

Ramesh Bhojwani: Our job has virtually doubled. Virtually doubled. Sir, that was the 1 thought which I thought I will share with you. The second thought was your opening expression of the performance of Q3 and 9 months, what I heard correctly, the top line, I believe third quarter was ₹1,271 crore.

Cmde PR Hari: Yes.

Ramesh Bhojwani: And the PAT was ₹98 crores, which was 4%.

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Cmde PR Hari: Yes.

Ramesh Bhojwani: But I didn't get the EBITDA figure because you rattled it very fast.

Cmde PR Hari: I deliberately rattled very, very fast. Because, I'll just skip over that and go now. Okay. See, our revenue from operations was ₹1,271 crore.

Ramesh Bhojwani: Third quarter? Yes.

Cmde PR Hari: Third quarter. And the PAT was ₹98 crore, and the EBITDA was ₹147 crore.

Ramesh Bhojwani: And for the 9 months, if we can multiply this with 3?

Cmde PR Hari: No. I'll give the figures of 9 months. In 9 months, revenue from operations was ₹3,434 crore, and the EBITDA was ₹421 crore, and the PAT was ₹283 crore.

Ramesh Bhojwani: Yes. So virtually, it comes into 3. And going by this, we will end this year almost close to ₹5,000 crore, little less? Please don't comment. One point which you mentioned further was, okay, we are registering a 38% CAGR. Will this 38% CAGR be maintained going forward, not only in the next year as I see, in the next 5 years?

Cmde PR Hari: Okay. I think I'll answer this question clearly. See, our current order book, of course, is ₹23,000-odd crore, which hopefully will come down to around ₹22,000 crore something by end of this financial year unless we get some fresh orders. And this is going to last, including the new projects that we have signed, up to 2029.

The big projects, that is a P-17 Alpha, touch wood, we should be able to finish by mid of next year. So, the maximum revenue accrual will happen from this project. I had mentioned, see, this 38% CAGR, 38%, perhaps is not there. But we'll be able to maintain a CAGR between 20% to 25% over a 5-year period. I think that gives you a clear answer.

Ramesh Bhojwani: Perfect. This is absolutely accurate. The one last point is, sir, where you see a definite possibility of ramping up the EBITDA and the PAT margin.

Cmde PR Hari: See, it depends upon the projects that we are getting, project execution cycle. If the P-17 Alpha project, our margins are good. Suppose some of the projects which we have taken at very, very low margins, because we need to get orders. Unless we have orders, we will not be able to perform. So, it's a mix. It's a mix. I think I'll pre-empt a question and answer.

Our operating profit has really gone up, but our PAT margin, EBITDA margin has come down when you compare to the last result. There's a drop in that. But it's like a sine wave. I have been consistent in my views on this, that we'll be able to maintain PAT margin above 8%. This time, we have dropped in this particular quarter. It is 7-point something. But on the whole, by the end of the financial year, we'll be able to correct that.

Ramesh Bhojwani: Wonderful.

Cmde PR Hari: But again, I'll clarify because I know otherwise, I can address more questions in one shot instead of piecemeal questions coming. If we get the Corvette Project, if we get the P-17 Bravo project, naturally, the margins are going to be higher than that.

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Ramesh Bhojwani: Sir, what I see from your body language, of course, till you get the order, you cannot say it is in hand. But I'm very sure that these orders are with you. And going forward, because the priorities of...

Cmde PR Hari: I just stated the probability factor, simple mathematics, 4, 2, 3, 2. And plus confidence. So, it's all put together, you can expect.

Ramesh Bhojwani: Thank you, and all the best.

Sagar: Good evening, sir. Sagar here from Fintuit Investments. So just 1 thing. So, let's say we have 3 major shipbuilding companies, okay? The promoter is the same. So now are we getting or taking market share from them? Is there any competition among us? Or it's like sister companies, like we are just working in parallel with each other, and there's no pip in market share for any of the players? That's one.

So how are we differentiating ourselves from the rest? And what are better things can we do going forward? And what are the challenges that could come, let's say, 22%, 25% CAGR, what you have guided? So, are there any challenges or we are quite comfortable that could be maintained?

Cmde PR Hari: A very interesting question. There was a time when the market share was allotted. That is the era of nomination. There was a time much before we got listed, when we were all in a comfort zone, which means the orders were assured, cost plus orders. That situation has completely changed. Luckily, it changed before we came to the market. By the time the orders became either hybrid, that is

what I mentioned about fixed cost or variable or pure fixed cost contracts.

Second thing is the government, except for very specialized projects like the submarine order, which has gone to Mazagon Docks very recently, very specialized project or IAC, which went to Cochin Shipyard about 14 years back, all other orders are coming through competition. So, the market share depends upon the efficiency of the organization, and the build strategy and the bid strategy that they adopt.

Now, what in any shipbuilding industry you need, one is you should have the dock and berth infrastructure. That is a primary requirement for shipbuilding. The dock that is a dry dock where you construct the ship, and the building berth and the jetties where we park the ships for outfitting. Second is the infrastructure, that's the craneage and all that, in today's environment, all the major shipyards of the country, they have reasonably adequate. Of course, the demand is currently more than the capacity, but that will even out.

The third is the resources, the skilled manpower. As a strategy, all the shipyards are adopting to outsourcing for noncore jobs. But the skilled manpower available in the country, the whole of specialist shipbuilders, is limited. Whoever offers the highest pay will come and work there. So, since you asked what are the challenges, one is availability of skilled resources. We are putting in measures to correct that also, maybe training through our own funds, picking up from some particular area, which is known for a particular skill.

And the last point is there's a huge reliance on the supply chain system, because ours is an industry where shipyards are primarily platform integrators. We build a hull form. Then we put this there, the equipment systems, button up and get a platform ready for us. So, we have a huge reliance on the supply chain system.

And this supply chain system comprised of major players like Bharat Electronics, Hindustan Aeronautics Limited or global players to very, very small MSMEs. So, there are situations. We say COVID is over. COVID is not over. There are still firms who are reeling from the cascading

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effect. So, there are challenges, but I think we are more or less tided over or tiding over these issues. Challenges very much exist.

Sagar: Got it. Just to add on that. So, let's say you said that equipment's and all those things, all the 3 shipbuilders have. So, let's say in the top 3, our capacity today is 24 ships. Can you, let me know like what is the capacity of the rest of the 2?

And the second one would be, you said we might look at an acquisition going ahead, okay, in the next 1 year, acquisition, merger or something. So, any probable ticket size that you would look for?

Cmde PR Hari: Sorry, can you just split the questions and ask...

Sagar: So, the first one was, let's say, all the top 3 shipbuilders, we have a capacity of 24 ships a year. Okay. So, what would it be for the other 2?

Cmde PR Hari: Okay. 24 was just to place on record, 24 was enhanced from 20 till 2000. If you are looking at the other 2 shipyards, in case of Mazagon Docks, they have capacity to build large ships. Their dry docks and building infrastructure is larger than ours. The numbers may be less. Numbers are less. But the bandwidth for larger platforms is more. Same goes for Cochin Shipyard also. Actually, Cochin has got the biggest dry dock other than Pipavav, the biggest operational dry dock in India.

So that will give them the flexibility of building large ships like the aircraft carrier. We don't have that capacity. But what we have, our biggest strength is multiple dry docks of various sizes, which can cater today up to destroyers. Destroyers means the ships above frigates and Corvettes. So, this number exactly, I will not be able to tell because it's not an apple-to-apple comparison. But different types capacity, in terms of numbers, we definit

ely have the largest.

But in terms of size, we don't.

Sagar: Got it. And the last one, the acquisition that we will be looking for going ahead, which may or may not happen. But any particular ticket size in your mind like this much is something that we can go for?

Cmde PR Hari: Sorry?

Sagar: The acquisition or some merger, etc, that you said like we may go for, any particular ticket size or quantum?

Cmde PR Hari: See, at this moment, if at all we go, we'll be going for a greenfield facility, which will be developed maybe in the span of 3 to 5 years. What we have done, we have actually offset this problem. I'll give you an example. When we took on this Anti-Submarine Shallow Water Craft project, it was an 8-ship project. We were full, with respect to our dock and berth infrastructure. At that point of time, L&T Shipyard, Kattupalli did not have any order. They had huge spare capacity. So, we collaborated with them. We did part construction of these ships there, leveraging our core expertise of design, project management and procurement and their facilities.

So that is the model which we have adopted, not only with the L&T shipyard. One of the small shipyards in Kolkata, we have construct one export platform. We did part construction there. So that is the methodology which we are currently adopting till the time we develop a facility, a greenfield facility outside Kolkata, which will take time because greenfield shipbuilding facility just does not come by switching on us. It will take a bit of time.

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Sagar: Thank you.

Sunil Shah: Thanks, sir. Sir, when we talk about the Next-Generation Corvette, the 8 in number project, you stated there are 4 bidders for the same. Can you get the names of those bidders? We are there, Is it open information?

Cmde PR Hari: It's information. It is Goa Shipyard, Larsen & Toubro shipyard, Mazagon Dock and GRSE.

Sunil Shah: Okay. So, these are 4 shipyards, right? Sir, another question, and this is more to understand the shipbuilding capacity. What I want to know is that essentially, if there is a shipyard, we are making the hull of the ship. Once the hull is made, can we launch the ship in the sea and then those gadgets can be uploaded there. And the shipyard is again available to make another hull of another ship, so that when we say we are increasing the capacity, it means that you make the hull, roll it over on the sea, the work is happening on that ship as well simultaneously? And so, is that the right way to understand this? Could you make me understand?

Cmde PR Hari: Okay. I'll try and give the background. See, in today's shipbuilding methodology, we do not just make hulls. As the hull is being built, actually, the shipbuilding starts with cutting off a plate. Then we assemble the plates in some shore location, which means on the docks. Then these are lifted by cranes, put into the dry dock, which means suppose if a ship has got 20 blocks, 20 blocks are constructed in multiple locations. Then they are jumboised within the dry dock.

Now as we do it, we do pre-outfitting, which means there are certain mandatory equipment like the main propulsion engines or the power generation equipment or the AC plants have to go in at the time of launching, because there are various technical requirements to be met, when the ship is in dry dock. And after the ship is moved up, then we, of course, move out. We move the ship, do the balance buttoning up, the system integration when the ship is afloat at the jetty.

While the next ship comes in, you're right, exactly. That is how, when I'm telling we are currently constructing 40 platforms, naturally, and on the same breadth, I have stated that our shipbuilding capacity is 24. It's purely by this method. While 24 ships are at various stages of construction, building berth or dry dock, few of them are at the jetties doing outfitting, being readied for trials and deliver

y. You're right. That's the methodology that we use.

Vijay Bhayani: Sir, 1 clarification regarding this NG Corvette ₹36,000 crore order. You said L1 instead of ₹22,000 crore or ₹24,000 crore, it can end up becoming ₹25,000 crore or ₹30,000 crore. So how is that actually? That means the whole ₹36,000 crore will end up becoming ₹45,000 crore?

Cmde PR Hari: I'll tell you the thing. See, when any AoN is taken, you have seen examples before also. Any AoN is taken, AoN is based on an assessment of the customer at that point of time. But in reality, because the AoN would have been taken, in this case, it was taken almost 2.5 years back. AoN was 30 months. Now I think 33, 34 months have passed. The times have changed. The equipment costs have gone up. It is our assessment. It's purely an assessment that the ₹36,000 crore could go up to ₹42,000 crore, ₹45,000 crore. So conservative estimate is that the

L1 shipyard could get in the range of ■25,000 crore to ■28,000 crore, let us say.

Vijay Bhayani: So, it is mostly inflation, not that some specifications have been added to the project and all?

Cmde PR Hari: No, no, no, specifications. It's mostly inflation, which is the reality, which means justifiable inflation.

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Sunil Shah: Sir, if I can ask 1 question. Sir, going forward, there are those clusters which are getting developed, right? So, we are at maybe reasonably very, very good utilization of our possible capacity at Kolkata, the clusters which perhaps. So, what are the thoughts over there? What is it that you would like to have as a company for Garden Reach? Because you have been there with Kochi, you have been there with Mazagon. And you stated those large ships can be made at Mazagon, but we don't have the capacity. So, what would be that key thing in those clusters that you will be looking at, going forward?

Cmde PR Hari: One is the cluster would be in a place where adequate depth is there, so that all our constraints or whatever juggling what we do, we manage. But then it's after a lot of technical juggling that we do. So that problem would be addressed once for all.

Second is the capacity to build huge commercial ships. The warships, we are not much worried, because we intend limiting, because I think this question was asked sometime before, whether we would like to go for submarines. No, we are not planning to, because that requires around 20 years of expertise we build up.

So, our vision with respect to warship building would be to destroyer level. And with commercial ships to super carriers or panamax vessels. So, for that, two requirements: First, the dry dock has to be adequately big; and second, the depth should be adequate, at least 16 to 20 meters of depth.

Sunil Shah: Thank you, sir.

Namit Arora: Sir, I have two questions. First, can you talk more about the probable time line of the 3 projects, Corvettes, frigates and destroyers, on the basis of RFP, the actual order signing of the contract and order booking? And the second one is without considering the new projects, when will be the current order book exhausted by?

Cmde PR Hari: Okay. I'll answer the first question without considering these 3 projects or the export platforms that we are very confident of getting, keeping that aside, the current order book will expire by 2029.

Coming to the first question, I'll take it in three parts. The Next-Generation Corvettes, the bid likely to be opened, conservative, within three months. That is April, I think. And from the time the bid has opened, the price bid is open, technical bids already opened and we are cleared, all four of us are cleared. So, it will take knowing the systemic efficiency or inefficiency, it will take around six months for the contract to be signed. And the revenue recognition from that will commence from 2027.

That is ideal for us because that is when our dip will start. That is when the Corvette should pad up.

P-17 Bravo, by end of the calendar year, that means 2025 end, the RFP could come out. From RFP to L1 determination, it could take, having seen the experience of NGC, it could take around 7 months from the RFP to price bid opening. And from there, six months for contract signing and two years for revenue recognition, which means if P-17 Bravo comes through, the revenue recognition will start from 2029.

NGD, the Next-Generation Destroyer, is still in liquid form. I would not like to comment on that because it is still under discussion. They have not even taken an AoN for that.

Namit Arora: Thanks. Sir, thank you for very detailed and candid answers to all the questions. I had a question around your investments in technology, automation and people. So, if you could give us some thought process on the efforts you are making in terms of benchmarking GRSE with not just

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the other options in India, but even with some international peers, etc, and some investments

that you may be considering in either technology, automation, people, etc, to build capabilities of the organization.

Cmde PR Hari: Thank you. Technology augmentation, our upgradation is a focus area for us on two calls. 1 is for creation of new products. I'll come to that. And second aspect is for improving our own efficiency. Just to give an example, when we got this multipurpose vessel contract from the German client, we had been put through a wringer.

Two classification societies came, assessed our capacity, capability, our processes and then only they gave suggestions, something which we did not have, a certain painting process, which is normally used in commercial shipbuilding, we did not have the facility. So, they said this has to be created, and we have done that. So, technology adaptation towards process improvement is a focus area for us. We already have a robotic building machine doing work for us and so on. Now this is one part.

Second is for new product. Many of you may not know, our product range have also got autonomous vessels, fully green vessels. See, initially, we did a project, it is actually the country's largest ferry, fully electric ferry, fastest ferry. But revenue-wise, it is peanuts. But we still went in for that. Why? Because we wanted to first establish our capability, and then make an inroad. Because we took that, we subsidized it under R&D fund. Because we did that, we got qualified for the next World Bank-funded project.

So, we are fully focused on these two aspects. That means technology for one new product creation, technology for process improvement. I feel we are on the right path. A lot of room for improvement, but we are on the right path.

Namit Arora Got it. And sir, on the people side, have you also been making efforts in terms of training, etcetera, just to improve efficiencies there also? On the people side, training of manpower, etcetera. I know you mentioned contract and labor, etc, but just some colour.

Cmde PR Hari: Okay. See, our people, I'll just split it into 3 parts. People as in my permanent manpower, it's very, very limited. It's just about 2,000 people. And of these 2,000 people, personnel, around 520 are officers, which means we are a very top-heavy organization and deliberately so. These officers, most of them are from the top education institutions of the country. Many of them from the IITs and NITs. So, the technological knowledge-wise, we are good.

We have some of the best facilities in India, with respect we have a virtual reality lab, a top end virtual reality lab, which we just set-up six years before. But we realized that, that six years before is now obsolete. So, we are upgrading that. So that is the kind of focus we have on people and technology.

What I mentioned was since we have taken our strategy, we adopted a strategy of outsourcing of noncore jobs like simple welding, plumbing, cabling, that pool of manpower is inadequate

for a nation. Right now, we are good to go. We have around 6,000 people working in our premises on an average per day. But maybe in a year or so, year or two, when the bigger projects come, we'll find it difficult, and we'll have to be prepared for that. We have found out methods where we have worked out strategies to improve the numbers of qualified people in our premises.

Namit Arora: Got it. And sir, my final question was on risk management. In terms of when you bid for projects estimation, because these are very large value projects and you obviously need to make a lot of assumptions on raw materials, etcetera, so just some thoughts on how strong is the

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organization, whether it's bid, evaluation, bidding, price quotations and risk management because that also means supply chain and procurement.

Cmde PR Hari: Absolutely right. Actually, we have learned the hard way. But luckily, the impact was on minor projects. We have a robust risk management system, a Board-level risk Management Committee, which assesses the various risks, starting from environmental to financial risk. Every bid that is submitted is with my CFO's concurrence and cleared by me. Every bid, be it small or big. So, it is with that kind of prudence that we do. And any decision, sometimes we take a project deliberately at a marginal cost that is for our existence or for getting an entry. But that is a decision, not an error. So, that's what I meant.

Namit Arora: Thank you very much. And all the best. Thank you.

Cmde PR Hari: Pleasure.

Krishna Doshi: Excuse me, sir. Sir, so I had a question. So, I just wanted a percentage number like on an average, if we are building a ship, then how much percentage of that ship is being imported.

Cmde PR Hari: Okay. Thank you, ma'am. Indigenization has been a focus area of the government. What terminology Atmanirbhar Bharat? And there are so many initiatives taken by the government to improve or increase the indigenous content. The last 3 projects that we have completed, that is including the Survey Vessel Large, I considered completed, because the equipment ordering, everything is over. Survey Vessel Large project, the Landing Craft Utility and the Anti-Submarine Corvette, all 3 projects, we have 85% plus indigenization.

Coming to weapon-intensive platforms. Now indigenization as a service, if you're looking at warship building, 100% of the hull is indigenous. Around 70% of the auxiliary machinery is indigenous. Around 50% of the weapons are indigenous. All put together, the figure I mentioned, around 85% plus is indigenous content.

Krishna Doshi: Okay. Thank you, sir. And my second question was with regards to the budget. So, we did see that this time, the Ministry of Defence had to give back somewhere around ₹13,000 crore back to the Ministry of Finance. So, I just wanted to know, like why is there so much delay in the process? Why are we not being able to spend? And we also know that we somewhere need to expedite the process now, because there is also a dire need for a lot of replacements and for a lot of new things to be bought. So, what is causing all this delay? Why are we not being able to spend?

Cmde PR Hari: My appreciation. It is my appreciation, because it is actually for the ministry to answer, but since you asked the question, I'll give an appreciation. Now suppose if the NGC contract had been signed during the last financial year, a certain amount of payment goes as a first stage payment. I'm just giving an example. So, the fund expenditure is not, because of the delays in execution of the project, it is perhaps in the delays in the process itself. That is the point I would like to convey.

And again, it is a sinusoidal pattern. It is not that every time the funds are surrendered. There will be occasions. In the last financial year, I understand around ₹13,000 crore was surrendered by the Ministry of Defence. Maybe in the next

year, they'll make up for it. That's all I can say at this moment to answer your question.

Krishna Doshi: Okay. Thank you, sir.

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Participant: I had a question. So, you mentioned about subcontracting. So, what part of our revenue as, let's say, percentage of revenue in value terms and in volume terms will be subcontracted outside the entity?

Cmde PR Hari: Sorry, what percentage of the revenue?

Participant: Will be subcontracting. So that will be made outside the entity, outside our shipyard.

Cmde PR Hari: Okay. I'll put it this way. If you take a project cost. In the project cost, around 65% come from the equipment and sensors that we procure, and around 20% comes from the labour. That is the human resources that go in. Of that 20% around 70% to 75% is outsourced. We retain the core strength. Core strength means, let us say, the shafting work, which drives the ship, we retain the competency. The complex block fabrication, we retain the competency. The design, 100% design is done in-house, because that is the most important factor. We retain that. If you are purely looking at percentage, it may not give you a correct picture, because you have to give value also to that. So, if you look at value cum cost in that case, around 40% to 50% would be outsourced of the labour part, and the balance is done in-house.

Participant: Sir, I have a question. So as per the budget, there is a lot of advantage for ship breaking. You did mention a little bit about it, but can you give us more clarity as to how do we plan to take it forward and use the benefits of it? Do we plan to have a separate section? Or how are we planning to utilize that?

Cmde PR Hari: Okay, ma'am. The intent of the government is actually to lure, coax the shipbuilders to build ships in India. The target globally, I think our share is single-digit figures, low single-digit figures of the global commercial fleet. The stated target of the government is to increase this to 20% by 2047. It's a long-drawn process.

For that, you need the shipowners. You can't impose something on the shipowners without

giving them a carrot. The carrot that has been given is that if you break a ship within India, like if I am a shipowner, and next time when I construct a ship within India, I can use that credit. 40% of the scrap value of the ship broken would be credited into my shipbuilding. I'll get that kind of financial assistance. So, it's a very smart way to get the shipowners to build ships in India.

As far as GRSE is concerned, see, the fact is we are shipbuilders. We are core shipbuilders. We are not looking at this moment for marrying shipbuilding with ship breaking. But then as a really ambitious shipyard, we are open to such options in the future. But at this moment, see, all these things are budget promulgated. They have not been translated into policies yet. It might take a couple of months. We'll see. If anything, attractive comes out of that, we're open for that. But at this moment, it is still stated or statement in the budget.

Participant: Thank you so much.

Cmde PR Hari: Pleasure.

Divyesh Shah: Sir, my question is since we are a government PSU, and last from 1 year, we as a common layman gets the feeling that government is something slowing decision-making in every aspect, as far as Defence is concerned, which was there in last 3-4-5 years back. So, since you are close to the government, what is your personal honest opinion, whether slowdown has happened at the government level, because they are concentrating more on a social part of it. So, Defence, we feel that it has taken a backseat. So, what is your personal opinion?

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Cmde PR Hari: Sir, we are not totally owned by government, we are owned by you also. Sir, but I would not like to consider that any decision is slow, because if you watch 2025-2026, rather calendar year onwards, multiple projects, RFPs are going to come out. Only when you see th

e RFPs coming
in, you will see some momentum.

Coast Guard, at least 3 RFPs have been converted to orders in the last financial year. Three RFPs have converted into orders. Navy, NGC, whatever I mentioned, they are all, at least 6-7 of them, RFPs are going to come out in the next one year. So, I don't think any decision-making delays are there.

Second is all these schemes which they are coming up, be it from the Ministry of Shipping or be it from the Ministry of Defence, both are coming from the same - Government of India. So, initiatives-wise and decision-wise, in my appreciation, as a PSU CMD, I don't think there is any delay.

Divyesh Shah: Sir, but reason is too weak as far as vision is concerned, but ground-level reality, looks like there is some slowdown.

Cmde PR Hari: Sir, I would like to put it this way. Vision, it's like very interesting talks have gone about quantity of work, 90 hours per week, 75 hours per week. But I'll come back to your point. I just want to lay the foundation for that. And subsequent to that, another business head tell that it is a quality that matters, it is not quantity. So there, I have a point. Quality comes only with tons and tons of quantity. And that quantity comes from time. Quantity cannot come. And if quantity is not there, quality cannot come.

Similarly, vision, yes. To get the vision, like I was just addressing one of the queries, the vision is to obtain 20% share in the global commercial shipbuilding fleet by 2047. So that itself is a very ambitious vision from 2% or 3% to get to 20%. But for that 20%, the initiatives what they have listed out, shipbuilding, maritime corpus, Maritime Development Fund, they are all actual initiatives that are being taken.

Similarly, in warship building, both the Navy and the Coast Guard have stated. They have not exercised their perspective plans indicate ships. Navy wants to go threefold in the next 7 to 10 years, maybe too ambitious. Coast Guard wants to double their fleet by 2030. But for that to happen, the RFPs have to come out. The ships have to be built. The process has started, in my appreciation as the CPSE head, is that the process has started. The foundation laying, the concrete laying will take a finite amount of time. But once it is laid, it will move fast. This is my appreciation.

Cmde PR Hari: Pleasure.

Sunil Shah: So just on similar lines and just to add to the question which was there. Sir, historically, have we seen any point of time that, as investors, we just want to make sure.

Cmde PR Hari: I'll tell you, sir. The bids were opened in August, 24. The techno-commercial bids were open in August, 24. The technical clearance has been accorded to all the bids, naturally, because if they are shortlisted, we qualify for that. By November or December. I don't remember. Yes, there is a marginal delay. I'm giving a conservative time line of it slipping over to next year.

But you see, sir, because these are high-value orders. So, when a high-value order is there, naturally, the government would not like to short-circuit the process. It takes time. From our perspective, I want the order yesterday. I want the price to be opened yesterday. But having

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been on the other side, I also understand there are compulsions. Yes, there are delays, but the delays are not un-seemingly.

Sunil Shah: Park it on the shelf, not those types. We have never seen such a case happen historically for any of the Defence orders where RFQs were there, tenders were invited from participants and...

Cmde PR Hari: I'm not able to recollect. Maybe yes, sir, but I'm not able to recollect any of the RFQs getting...

Sunil Shah: Not getting converted into a...

Cmde PR Hari: Not getting converted into an order. There could be delays. Not cancelled. But it always happens. It always happens.

Sunil Shah: Yes. Sir, patience is the name of the game. So, we are there, but just to make sure.

Cmde PR Hari: Absolutely.

Gaurav Girdhar: Thank you, sir. With this, we conclude the Q&A session.

Cmde PR Hari: I think somebody has already raised hand. I think we should give it a fair chance.

Harshit Kapadia: Thank you. So, what's your cash and bank balance

Cmde PR Hari: I hope your question is not a tricky question. It's like I do not want to put my foot in my own mouth. Ask some general question. How are you doing and all this.

Participant: Just two questions. What's your cash and bank balance as on December?

Cmde PR Hari: Cash, simple question. It's a straightforward question. I'll let D(F) answer this question.

R.K. Dash: Cash and bank balance, this is as on 31st December, 2024 is ₹3,214 crore. Out of that, our owned fund is ₹577 crore.

Harshit Kapadia: Okay. And sir, second question is on your provision. So next year, as you will be completing P-17 Alpha for next 2 years, you will be taking a provision for that, mainly for liquidated damages, and for other onerous contracts, which is a general norm. Now how much as a percentage of your sales would that be? Because that will impact specifically on your margins, and these are your high-value contracts. So, if you can share some numbers.

R.K. Dash: Yes. We are making provision, for liquidation damages, as per Ind AS 115. And the provision is made only when we'll exceed the delivery schedule. As on date, whatever already CMD has told that, the project what we are executing, the delivery schedule has not exceeded. Major project is P-17 Alpha. First delivery is August 2025. And we are hopeful that we'll deliver prior to that.

Cmde PR Hari: See, I just mentioned earlier in my introductory talk that the first activity when we are confident of delivery of first ship is the harbour trials. We have completed the harbour trials, and we intend sending the ship for the first contractor trials during this month. We are confident of delivering the first ship well ahead of the contracted delivery. So, we are not unduly concerned about it. Unless some force majeure condition happens, we are not unduly concerned. Thank you.

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Gaurav Girdhar: Thank you, sir. Thank you, everyone. With this, we conclude the Q&A session. I would request

Commodore P.R. Hari sir to give his closing remarks. And thereafter, you can join us for the high tea. Thank you. Sir, over to you.

Cmde PR Hari: Thank you, ladies and gentlemen. As I mentioned, it's always a pleasure because I'm not well today, because I've been traveling for the last four days in and out of Kolkata. Kolkata to Bangalore, Bangalore to Kolkata back today to Bombay. Next week, Delhi. So, I'm a bit down. But after intro, I came back to normal. So, thank you.

Gaurav Girdhar: Thank you, everyone. Thank you, sir. If you have any further queries, please send an email to gaurav.g@conceptpr.com . We now conclude the conference.

Call: May 2025

SECY/GRSE/BD -69/AM/04/24- 25 27 May 2025

National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
Symbol: GRSE BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai – 400 001
Scrip Code: 542011

Dear Sir / Madam,

Sub: Transcript of Investors/Analyst Conference Call for Q4 & FY 25 of GRSE – Reg 30

1. Further to our Intimation Letter No. SECY/GRSE/BD -69/AM/0 4/24- 25 dated 15 May 2025, we wish to inform that Conference Call was held on Tuesday, 20th May, 2025 at 03.30 p.m. to discuss the Audited Financial Results of the Company for the Quarter and Year Ended 31st March, 2025.

2. In this regard and pursuant to Regulation 30 read with para A of Part A of Schedule III of the SEBI (LODR) Regulations, 2015, the Transcript of the Investors/Analyst Conference Call for Q4 & FY 25 of the Company is enclosed herewith.

3. This is for your information and records.

Thanking You,
Yours faithfully,
For Garden Reach Shipbuilders & Engineers Limited

Sandeep Mahapatra
Company Secretary and Compliance Officer
ICSI Membership No. ACS 10992

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Garden Reach Shipbuilders & Engineers Limited
Q4 & FY25 Earnings Conference Call
Tuesday, 20th May 2025 @ 03:30 P M

Management:

1. Cmde P.R. Hari, IN (Retd) - Chairman & Managing Director
2. Shri R.K. Dash - Director (Finance) & CFO
3. Smt. Aparajita Ghosh – General Manager (Finance)
4. Shri Sandeep Mahapatra - Company Secretary & Compliance Officer

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Garden Reach Shipbuilders & Engineers Limited
Q4 & FY25 Earnings Conference Call
May 20th, 2025

Moderator: Good afternoon, ladies and gentlemen, I am Navya, the moderator for this conference. Welcome to the Conference Call of Garden Reach Shipbuilders & Engineers Limited arranged by Concept Investor Relations to discuss its Q4 and FY' 25 results ended March 31st, 2025.

We have with us today, Cmde P. R. Hari, IN (Retd.), Chairman & Managing Director; Shri RK Dash, Director (Finance) & Chief Financial Officer and Shri Sandeep Mahapatra, Company Secretary and Compliance Officer. Please note, this conference will be recorded. I would now like to hand over the floor to Cmde P. R. Hari, IN (Retd.) Chairman and Managing Director. Thank you and over to you, sir.

Cmde P. R. Hari: Thank you, Navya. Ladies and gentlemen, a very good afternoon to each one of you. I am P. R. Hari, Chairman and Managing Director of the company, and with me here, Shri Ramesh Kumar Das, Director (Finance) and Chief Finance Officer, Smt. Aparajita Ghosh, General Manager (Finance), and Shri Sandeep Mahapatra the Company Secretary and Compliance Officer.

At the outset, my warm regards to each one of you who have taken time out of your busy schedule to attend this call. I look forward to this analyst and investors meet, and it is always a pleasure to interact with you, and that gives me an opportunity to provide the highlights of our performance and also address your queries.

Touching upon the financial performance, yet another very strong set of numbers. And here I have to state my stock dialog, the performance during the quarter ending and financial year ending, 31

st March 2025 has been the

best ever in the history of the company. If you are comparing quarter-to-quarter, our revenue from operations have moved up from ₹1,015 crores to ₹1,642 crores, registering a growth of 62%. EBITDA has moved up from ₹166 crores to ₹335 crores registering a growth of 101% and the profit after tax, has moved up from ₹114 crores to ₹244 crores, registering a 118% growth. And so, has the operating profit moved up from ₹77 crores to ₹209 crores.

If we are comparing financial year to financial year, our revenues from operations have moved up to ₹5,075 crores. We have broken the ₹5,000 crore barrier registering a growth of 41% and the profit after tax has moved up by 46% from ₹360 crores to ₹527 crores and the operating profit has moved up from ₹181.30 crores to ₹368 crores, registering a 103% growth. This has been backed by a very strong physical performance, supported by efficient and effective treasury management system. Our order book as on 31st March, 2024 was ₹22,652 crores. And despite strong revenue accrual to the tune of nearly ₹5,000 crores, we have managed to maintain the order book at ₹22,680 crores as on 31st March, 2025. This comprises of nine projects, consisting of 40 platforms, including 16 warships for the Indian Navy from 4 projects, three P-17 Alpha Frigates, 7 Anti-Submarine Shallow Watercraft, 2 Survey Vessels Large and 4 Next Generation Offshore Patrol Vessels. In addition, we are also executing an eight ship, Multipurpose Vessel project for our German client, plus one Acoustic Research Vessel for one of the DRDO organizations, the NPO L in Kochi and Oceanographic Research Vessel for the Ministry of Earth Sciences, one of the units the NCPOR Goa, and 13 Hybrid Ferries for the Government of West Bengal.

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During the period intervening the last financial year, and now we have delivered one Survey Vessel Large that is the second in a series of Four ships that we are building for the Navy. And also, happy to inform you that we have delivered the first Anti-Submarine Shallow Watercraft to the Navy very recently as early as the second week of this month. This particular event is very prestigious and a mat

ter of pride for Team GRSE, because this is the first ship in a series of 16 ships being built for the Navy by two shipyards, another PSU shipyard, and we are happy that we have been able to deliver the first of these 16 ships. In addition, we delivered an Unmanned Surface Vessel to a DRDO organization, the NSDL, Vishakhapatnam, and also completed the patrol vessel, patrol boat project for the Government of Bangladesh.

I now give you a glimpse of the progress of the ongoing project. As I have mentioned, we are constructing 3 P-17 Alpha ships, I am happy to inform you that the first ship is well on track for delivery, and we have completed the final machinery trial. When I say final machinery trials, these are the trials conducted with the presence of customer representatives, the Navy representative at sea. And we are now getting the ship ready for delivery, and the ship has already completed nearly 95% of physical progress of construction. We intend delivering the ship two months from now, ahead of the contractual delivery period. The second ship is moving along smoothly. The ship has attained 73% physical construction. And this ship we intend delivery early next year. And the third ship has attained 54% of physical progress and this ship is planned for delivery during August 2026.

Coming to the Survey Vessel Large project, I had mentioned that two of these ships have been delivered with the last ship being delivered last year, the third and fourth ships are well on track for delivery. The third ship has attained 88% physical progress. The ship has already completed her contractor fleet trials, and now she is being prepared for final machinery trials and delivery. We intend delivering this ship by July this year. The last ship of the project, the Survey Vessel Large i.e. fourth, has attained 77% physical progress, and by end of this calendar year, we will be delivering this vessel.

Coming to the Anti-Submarine Shallow Watercraft project, I had mentioned that the first ship has already been delivered. The second ship has completed the final machinery trials, and this ship was planned to be delivered during July this year. The third ship has attained 82% progress, the fourth 68% and so on. And as per our current

estimate, all the ships of these projects will be delivered during calendar year 2026 with four of these vessels, that is three more vessels planned to be delivered during 2025-26.

Coming to the next generation Offshore Patrol Vessel project, the first two ships have crossed 50% of physical progress, and the last two ships of the project have also moved along fast, and they have attained 43% physical progress. What I would like to state with respect to the Next Generation Offshore Patrol Vessel project is that the keel of all the four ships have already been laid, and we intend launching two of these vessels during the current financial year. In addition, the non-defence platforms, the Oceanographic Research Vessel - the production has already commenced, and the keel of the vessel has already been laid in March 2025, and the delivery of the ship is planned during October 2027, as well as the Acoustic Research Ship for the DRDO, the design and pre-production activities are in progress, and the project is well on track. We are also executing one project for the Government of Bangladesh, dredger project, the design and pre-production activities are in progress, and the same is the case with the 13 Hybrid Ferries. The keel of all the 13 ferries is planned to be launched during end of this month. This has provided you a brief on the status of the ongoing projects.

Now coming to the projects on the anvil, I had mentioned during an earlier interaction that we were declared L1 for two vessels for the Geological Survey of India, Coastal Research Vessel. We already received the letter of

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intent, and the contract for this vessel

is expected to be signed during June this year. We also expect the formal bid declaration of the Next Generation Corvette project in a couple of days. In addition, Navy has already come out with an RFP for five Next Generation Survey Vessels Large and GRSE will definitely be bidding for this project, and having the experience of building the Survey Vessels Large and earlier platforms of similar kind. In our appreciation, we stand a good chance by providing an aggressive bid for this project. Another bid that is live, is a bid for 18 Next Generation Fast Patrol Vessels for the Indian Coast Guard. GRSE, will be bidding for this project, this is an interesting project, this is not a conventional Fast Patrol Vessel, this is an advanced vessel with helicopter staging facility. So GRSE would be interested in taking part for this project. These are the two live RFPs which are there as of now. In addition to these two, we expect RFPs for six Next Generation Ocean Going Patrol Vessels for the Indian coast guard, two Multi-Purpose Vessels for the Indian Navy, 120 Fast Interceptor Crafts for the Indian Coast Guard, and 31 Follow on Water Jet FAC for the Indian Navy to come out in the near future. These are all small to medium sized projects. What we are eagerly looking forward, as I had repeatedly mentioned, regarding the next generation Corvette project over the last two years, another project that we are expecting the RFP to come out, is for the P-17 Bravo, follow on of the P-17 Class of ships. As you are aware, we are building three of these vessels now, and with this experience again, we are confident of providing a good bid, a competitive bid for this project. In our appreciation, the RFP is likely to come out during the calendar year. In addition, Navy has already obtained the AON of the Defence Acquisition Council for 12 Mine Counter Measure Vessels. At this moment, there is no clarity as to when the RFP will come out. But as per Navy's perspective plan, the LPD project and the Next Generation Destroyer project are also definitely on the anvil.

To give you, this has provided you what I have tried to provide you, is a glimpse of our financial performance and how this financial performance has been derived through our physical performance, the status of the ongoing projects and the orders on the anvil. As far as the yard capacity is concerned, we were having a ship building capacity to construct 20 ships concurrently. But during 2024 we have enhanced this capacity from 20 to 24 through rejuvenation of our existing facilities. And we feel this capacity itself is inadequate to meet the ongoing and the future requirements, so we have put in capital to revive some of the defunct facilities earlier held with us, and also through certain long-term lease of dry docks from one of the other agencies in Kolkata. So, we intend increasing the shipbuilding capacity from 24 to 28 ships by 2025-year end.

In addition, we are also looking for opportunities outside Kolkata with respect to creation of shipbuilding facilities. This is in line with the growing demand for defence and non-defence platforms, and we feel there is adequate opportunity and to meet this opportunity and the potential that is available in the defence as well as non-defence market, we will be looking for facilities outside Kolkata, and perhaps look for creation of a green field facility. I would also like to state that to mitigate the existing limitations with respect to capacity and also to meet the leads that we are getting towards construction of commercial ships, we also got into Memorandum of Understanding with capable shipbuilders, both on the East and West coast. This, in a nutshell gives you what we are looking for in the near future, and one of our core focus areas would be for capacity enhancement. Two, technology adaption to improve production efficiency. Three

, development of autonomous platforms, where we see opportunities, both in the Navy and the Coast Guard, and four, towards development of green energy products. Thank you, ladies and gentlemen, this brings me to the end of my comments, and now I would like to leave the floor open for questions, and we shall try and answer these questions to the best of our abilities. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of

Vaibhav Dalal from Niveshaay . Please go ahead.

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Vaibhav Dalal: Congratulations on good set of number. My question is very generic. I just want to ask you on the opportunity of shipbuilding here in India. So currently, how many naval ships do we have in the Indian Coast Guard and the Indian Navy, and how much is the Ministry of Defence (MoD) planning to add to the respective fields . And my second part of this question will be, out of the new shifts which the MoD is planning to add. The tendering has been done for, how many of the ships , you have any idea that will be great ?

Comd P. R. Hari: Thank you, Mr. Dalal. I would like to answer this question in two parts . One, as far as the current fleet, strength of Navy and Coast Guard are concerned. Navy has got around 150 platforms and Coast Guard about nearly 100 platforms , when I say platforms , they include small vessels like Fast Interceptor Crafts to larger platforms . Right now, currently 61 platforms are being built for both the forces put together and of these 61 , 60 are being built by Indian Shipyard. Now coming to their capacity augmentation plans , both the forces have got their perspective plan, and as per what is available in the open domain, both these forces, Navy and the Coast Guard, want to expand their numbers. The Navy perhaps to a figure of + 200 and Coast Guard perhaps to a figure of around 150 , why I am adding the term perhaps, is because I do not have absolute clarity on the exact numbers that they are looking at.

Now coming to the RFPs, which are live, as I had mentioned during my initial statement. Two, in addition to the Next Generation Corvette project, where the bids have already been opened and the formal results are awaited. We expect it to come in a couple of days now. There are two bids from the services which are active now. One is an 18 Fast Patrol Vessel, Next Generation Fast Patrol Vessel for the Indian Coast Guard, and 5 ship Next Generation Survey Vessel Project for the Indian Navy. In addition to that, again as I mentioned, multiple projects are on the anvil, where in few cases, they have already obtained the DFC approval. For example, the 12 Mine Countermeasure Vessels project for the Indian Navy, the P-17 Bravo project it's a 7 ship project for the Indian Navy, 2 Multipurpose Vessels for the Indian Navy, 6 Next Generation Offshore Patrol Vessels for the Indian Coast Guard and so on. So , I am trying to convey is that, what is available right now the order book of the Indian shipyards and what is likely to come up in the near future. The opportunities are phenomenal , does it answer your question or you want something more, any further clarification you need?

Vaibhav Dalal: That's it. Thank you, sir .

Moderator: Thank you. Next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Hi Sir, Good Evening and thank you for giving me this opportunity and Congratulations for very good set of numbers. Just wanted to get a sense on the order book breakup project wise and secondly, on the order inflow, which you have pipeline, which you have mentioned, can you also give the size, what is a tentative order size which one can expect and on the NGC you had said in few days, we will get to announce the order as in, the bids will be out in few days or what is the likely , is there any LOI which is

expected, anything clarity on that and lastly, on the other expenses side sir, if you can explain there was one provision right back which you did of ₹433 crores. So, what was that related to and by when this complete amount will be dispensed out, as in would be added back to the profit?

Comd P. R. Hari: Thank you, I will start with the order book break up . As I mentioned, our order book stands at ₹22,680 crores and P-17 Alpha still continues to be the biggest bread earner . We are left with around ₹11,435 crores from P-17 Alpha project . The Anti-Submarine Shallow Watercraft project ₹3,946 crores. The Survey Vessel Large project , it is

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actually on the anvil of closing so, ₹530 crores, the Offshore Patrol Vessel i.e. NGOPV project , ₹3,327 crores . The non- defence platforms, the NCPOR Ocean Research Vessel, ₹785 crores, the Acoustic Research Ship, ₹466 crores, the Ferry project, ₹226 crores. And the export projects, the Multipurpose Vessel, Dredger and so on, around ₹1,200 crores. And the 30 mm Gun project, ₹201 crores. So, this is the order break up. Now coming to you had asked a question about, what is the likely the value of the projects that are on the anvil. As I had mentioned, the Next Generation Corvette project is a high value project, and here we expect, our anticipation is that the total order value could be to the tune of ₹40,000 plus crores. But this ₹40,000 crore will be split between two shipyards, with the L1 shipyard getting 5 ships , that is 5/8, which means the L1 shipyard, the order of value could be to the tune of ₹25,000 plus crores, which is a very big order . Coming to the Next Generation Survey Vessel , our appreciation is that the order value could be to the tune of around ₹3,500 crores. And the 18 NGFPV project could be to the tune of ₹3,000 crores. The OPV project could be to the tune of around ₹2,500 crores. And the

Multipurpose Vessel to the tune of around ₹1,200 crores. The Water Jet FAC project, the 31 Water Jet FAC project, could be this tune of around ₹3,000 crores, it could be plus or minus ₹200 crores, depending upon how the bidding goes and the Fast Intercepted Craft Vessel to the tune of around ₹1,500 to ₹1,800 crores. The big-ticket items, the Mine Countermeasure Vessels project, the AON itself has been taken for ₹32,000 crores. And that's a 12 ship project, single shipyard getting all the 12 ships as per the AON conditions and the P-17 Bravo project, this again is a high value project. There are two shipyards being, there is a seven ship project. Two shipyards would be involved in this project, with the total AON value to the tune of around ₹70,000 crores. And at this juncture, I would not like to give any assumptions on the LPD and NGT, because they are still in liquid form. You had asked something about this ₹433 crore.

Harshit Kapadia: Yes, ₹433 crores of provision write back is something which you have mentioned in the press release. So, what is

that related to which and when it would be?

Cmdr P. R. Hari: This is linked to the P-17 Alpha project. The first ship is actually at the verge of delivery, I had mentioned that the

first ship has completed her final machinery trials, and she is actually getting ready for delivery, so we have reasonable clarity on the cost to completion. Accordingly, the provision is reversed, and we will be this profit will be accounted over the next one to two years, when the entire project gets completed. Which means this a three ship project, so the first ship now ready for delivery, and the next two ships, as I had mentioned, will be one of them will be definitely spilling over to the next financial year. So, this will get recognized within one to two years.

Harshit Kapadia: Okay. And is there a possibility this amount can even increase since now more ships will be in the, as in will be

closer to the completion mode. So probably, is there

is a possibility this increase would be there of ₹433 crores, any number could be higher?

Cmdr P. R. Hari: It will be more or less same. Since we know the cost to completion of the first ship, the condition is going to be

more or less same, which is the positive side.

Harshit Kapadia: Understood. And finally, on NGC you mentioned, when is the order likely to be awarded, just final one.

Cmdr P. R. Hari: In the normal course of events, after the L1 is declared, then the contract negotiation starts. The contract negotiation is the long-drawn process for major projects like this. We expect very, very optimistic timeline of contract conclusion by December this year, and a conservative timeline of March next year. But, I personally feel if together over the L1 shipyard and the Navy pushes, the contract can be signed by end of this calendar year.

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Moderator: Thank you. Next question is from the line of Rohit from Aditya Birla Sun Life. Please go ahead.

Rohit: Thank you for this opportunity, sir. So, my first question is, as I understand we have close to ₹230 billion order backlog, and typically we work with our five year execution cycle. Would it be fair to say the current revenue is somewhere the peak revenue, and maybe we will be flat lined, given that we already have some 20 yards we work with and even if the new order, let's assume hypothetically gets Next Generation Corvette, it may not start at least before one, one and a half year. So, is it fair to assume that are we in a weakish kind of execution phase?

Cmdr P. R. Hari: Thank you. Mr. Rohit. See, the shipbuilding of course, the revenue accrual, revenue recognition is depending

upon the project execution phase. We are now at an execution phase where maximum revenue accrual takes place with our major breadwinner that is a P-17 Alpha project at a mature stage where the maximum number of equipment get lowered and integrated to the ship system. To answer your question, whether we have peaked, I would not like to say so, because from our appreciation okay, I will put it this way, when we started the last

financial year our order book was ₹22,651 crores and as on 31

st March, 2025 it is almost same quantum. That

means ₹22,680 crores, which means in the last one year, while we have generated revenue of over ₹5,000 crores, we have also got orders worth ₹5,000 crores. So, in our appreciation, the peak year perhaps could be the next year. That is financial year, the current year. What I mean is, Financial Year '25-26 could be the peak year.

Thereafter, it could flat out and hypothetically, if a big project comes to us, as you rightly said, the revenue recognition from that project will start only two years down the line. The gap which could happen is already being filled up with a plethora of orders ranging from coming from the non-defence platforms and the commercial ships. So, to answer your question in a simple sentence, this perhaps is not the peak year, the peak year is yet to come.

Rohit: Got it, I really appreciate that part. My second question is more to do with the competitive positioning as in we see Mazagon Dock is going for a greenfield expansion. Cochin Shipyard is also planning for a greenfield expansion, they are looking at a port nearby Cochin port, and they are planning something over there. What is our plan, as

in we have been doing some leasing around as such? But is there any concrete greenfield roadmap for us that can take us to another trajectory?

Cmde P. R. Hari: Today, with the Ministry of Shipping having started out a clear roadmap for enhancing the share of India in the

global shipbuilding market from less than 1% to 10% in a finite period of time. There is a need for all the Indian shipyards to augment their shipbuilding capacity. What we had started was I had mentioned during my initial briefing, our capacity just about two years back, was to

construct 20 ships, large and medium put together

concurrently. We started off by rejuvenating our existing facilities and enhance the capacity to 24 ships. Along with that, we are also gone ahead with acquiring dry docks within Kolkata, long term lease tradeoffs which are ours today. So, with this, we intend increasing this capacity to 28 ships by end of this year, but we fully acknowledge the fact that this will just not be adequate to meet demand, the shipbuilding demand that is going to be there in the next 5 to 10 years. So yes, to answer your question, we are, as with MDL, or as with Cochin Shipyard, or any other shipyard in India, we are in the process of creating a greenfield shipbuilding facility. At this juncture, since negotiations are in progress with multiple agencies, both on the West and East coast, all I can say is that yes, we too are in the process, and we expect clarity on this in the next six months to nine months.

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Rohit: Got it, sir. Sir, my final question is more on the industry perspective part, this naval perspective plan of 200 vessels that we had in the past, it seems that there is some sort of a delay, both in terms of awarding and subsequently commissioning of the vessels. Is there a strategic realignment that is happening at a country level, some sort of a priority is going backwards on naval front, and probably are we putting more on electronic warfare front because we have been bidding lot of these defence analyst reports who has been saying that even the Chinese threat that we face is more towards the territorial part and not on the naval part. And we have had a military exercise in the past, just few weeks back, where we saw it's more of electronic warfare. So, I am just trying to understand, what happens to this naval perspective plan of 200 vessels. And we have also seen Next Generation Corvette getting delayed for a long time, AON has happened a long way back, and yet the awarding hasn't taken up, the last big order I could recollect was that NGOPV. So, are there any thoughts on those aspects?

Cmde P. R. Hari: Okay. I will put it this way, actually wouldn't like to agree with you, nor would like to disagree with you. But I will

put a completely different perspective. For any nation to be a global power, she has to, she means the nation has to have a blue water navy. And India's coastline from around 7600 kilometers have gone up, as per the latest survey to 11,000+ kilometers. So, there is no way that the naval progress that means the plans for Navy to augment, or Coast Guard to augment their capability is diminishing. Even in the current situation, the deployment of naval platforms is available in the open media. So, coming to the ships under construction, when I say 61 ships under construction, 61 warships under construction, this is no mean number, 61 is the number of platforms in any nations put together own. 61 platforms are under construction and of this 61, 60 are being built by Indian Shipyard. The numbers, if you are looking at 18 Next Generation Fast Patrol Vessels, 5 Survey Vessel Large, 18 plus 5 i.e. 23, 31 Water Jet FACs, you add this number plus 120 FACs plus 8 NGFPV, these numbers are no mean numbers. Yes, the processes take time, but when we fructify the construction phase starts, even the NGP, as per our own procurement timeline, from the time an AON is accrued by DSP, the acquisition, rather the Ministry of Defence has a 30-month period, which is a defined 30-month period for issuance of RFP. They have done it well within the time. So, I don't see there is a shift in focus in developing the maritime capabilities. And I have just stated the numbers, the numbers are here for you to see. And in our own perspective, from GRSEs perspective of the 16 platforms which we are currently building, four of them, one we have already delivered in the current calendar year, and three more of them

we are confident delivering in this calendar year, plus one more on the financial year. So, I do not see any dilution, be it from the government or from the shipyard perspective, with respect to focus and delivery, delivery in terms of placement of order, delivery in terms of publishing the RFP, delivery in terms of active delivery of the ships. Thank you.

Moderator: Thank you. We take the next question from the line of Dhawan Shah from Alfa Accurate Advisors. Please go ahead.

Dhawan Shah: So, my question is on the agreement that you have signed with the Western player SWAN Defence. So, what is your strategy and plans over there, if you can share thoughts on this?

Cmde P. R. Hari: Okay, SWAN Shipyard with respect to infrastructure, they are one of the biggest shipyards in the country, with

dry dock, which is perhaps the largest in the country, and the infrastructure is one of the best in the country. As what is available in the open media and as you are fully aware, the facility has not been utilized for some time, for reasons known and as a shipyard, which is located in Kolkata, with the current order book that we are executing

and few assured orders, which are on the anvil, we felt it necessary to open a front in the Western front, where we can partner and build a commercial business. It is within this intent that we signed an MOU with S WAN , where

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we will be jointly building commercial ships of the large size. It's an MOU at this juncture, we are negotiating with few clients for orders, and once this materializes , the MOU will get translated into an actual co -production. Thank you.

Dhawan Shah: Understood, sir and normally, in a year time frame, how many ships do you foresee that can be manufactured, commercial ones over there?

Cmde P. R. Hari: You meant the commercial ships ?

Dhawan Shah: Yes, in the SWAN Defence?

Cmde P. R. Hari: It purely depends upon the order. I will put it in a different perspective, right now I am executing an order for a German client for 8 Multipurpose Vessel. These are medium sized ships, advanced platforms but medium size ships , there the contractual delivery timeline for 8 ships put together is four years. So, depending upon the size and complexity of the ship, this duration varies. It could be, the first ship could be delivered in a period of three years, because the first ship always takes time the follow -on ships that the second, third, fourth in a series of four, if it is a series of four, could be six months thereafter.

Moderator: Thank you. Next question is from the line of Divyesh Shah from Uchit Capital. Please go ahead.

Divyesh Shah: Sir, Congratulations for excellent result. And first of all, our best compliment to all Defence Departments of India for Operation Sindoor, where we realised the importance of Defence. So, I convey my heartfelt congratulations through you to three Defence Services, Army, Navy, and Air Force . Kindly convey to respective department. We Indians are proud of you. Sir, regarding the carry forwarding the last question about S WAN Defence. I want to know , whether we have taken the full S WAN Defence facility or the part, what is the understanding between the two companies and what will be the financial implications, whether it is a revenue sharing or a lease agreement, or how it will be carry forward ?

Cmde P. R. Hari: Okay, any more questions, then I will answer together any more questions?

Divyesh Shah: Yes, and second question is same regarding , we have entered lease agreement with Syama Prasad Mookerjee Port, Kolkata. So, what will be the financial implications of this agreement, whether and what will be the payout per year for this facility, and how many ships we will be building there. These are my two basic questions.

Cmde P. R. Hari: Okay, at that outset, let me thank you for congratulating the Indian armed force

s. And since we deal very closely with the services, we shall convey your appreciation to the services . Coming to S WAN Defence, the agreement is the project specific agreement, which means whenever a project is executed, it will be based on a revenue sharing model. Again, project specific as the project comes we will conclude the terms and conditions of the project . Coming to Syama Prasad Mookerjee Port , we have taken over three dry docks fully from this port, and we have taken on a long -term lease. We are paying them a nominal rent , and we have a profit -sharing methodology with them. In addition, we have also taken over one more dry dock very recently i t's the 125 meters by 25 meter dry dock, again on a similar model. Now, what we intend doing in these facilities for dry dock, and just to put you in the right perspective, dry docks are very vital assets towards shipbuilding and ship repair. Since, our primary facilities within the physical confines of the company, my pre- shipbuilding units are focused on

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shipbuilding, and since we wanted to venture into ship repairs, not today, it is almost three years back, we decided that we must have a facility which is completely separate from the ship building facility, so there is no dilution of attention. And that is the reason why we took over these facilities from Syama Prasad Mookerjee Port . And so far, we have completed nearly 41 refits in this facility, including multiple coast guard ships and naval ships. And we will also be executing the refit of an export platform t here, this one a profit -sharing methodology with them. So far, the project relationship has been successful. Thank you.

Divyesh Shah: And sir, regarding what will be our total capacity, suppose everything goes well with the Syama Prasad Mookerjee

Port and other which we have talked just now. So , from 28 where we will reach in next three years, billing capacity ?

Cmde P. R. Hari: Yes, as on today , it is 24 -25, it is our in tent to increase to 28 by end of this year, which we are well on track , and

we are confident of meeting this target. And since you asked this question two to three years down line, including and keeping the g reenfield facility what we have in our plans away from the current discussions, because that is still in liquid form and under discussion. So, with the facility in Syama Prasad Mookerjee Port , and our existing facility, including rejuvenation and moderniza tion, we intend taking it up to 30 ships within the next two years.

Divy esh Shah: How much sir, please, I missed .

Cmde P. R. Hari: 30 ships .

Divy esh Shah: And one more last question, sir. This year , we had excellent EBITDA margin of about 13% sir, same margin is

sustainable, or it is one of , will you please guide us for the future?

Cmde P. R. Hari: Very interesting question. Since you mentioned one off , it has not been one of f it has been similar margins over

the last few times. Yes, this time we have touched a new high. It is certainly not, it's not one off. But in ship building , ideally, we shouldn't be doing a quarter -to-quarter comparison to take a year because of most of our projects are long drawn projects where the execution structures over a period, ranging from for a small platform to two years, to a big platform five to six years. So , to answer your question, we will be able to maintain more or less the same margin , it is not one of f anyway .

Moderator: Thank you. Next question is from the line of U tkarsh Somaya from Icob Q uantum Solutions Private Limited. Please

go ahead.

Utkarsh Somaya: Just like you mentioned your delivery timeline in the beginning of the call. Can you quantify it year wise , how

much can you execute in FY' 26 and probably seven and eight , just a ballpark would help?

Cmde P. R. Hari: I will give you ballpark. Thank you for the question. I am sure you are asking ballpark numbers, corr

ect in terms

of number of ships ?

Utkarsh Somaya: Number of ships or revenue either .

Cmde P. R. Hari: I will rather go by number of ships , just one second, so in 2025- 26 we will be, I will also try and correlate with

revenue. So, in generally though, I will not get into specifics, but I w ill try and correlate with the projects, you can

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make an estimate. So , in 2025- 26 we will be delivering 1 P -17 Alpha, 2 Survey Vessel Large and 4 Anti -Submarine Shallow Watercraft, that covers four plus two plus one, seven ships . In 2026- 27 we will be deli vering 2 P-17 Alpha , this is our major high value projects, 3 then the last three Anti -Submarine Shallow Watercraft , and 1 Next Generation Offshore Patrol Vessels and the A coustic Vessel Ship. And the next year that is FY' 27-28, we will be delivering 2 Next Generation Offshore Patrol Vessels, the O ceanographic Research Vessel and the Coastal Research Vessels for which we are going to sign the contract now . I have not mentioned about the hybrid ferries that we are building for the G overnment of West Bengal or the dredger, because of small value projects which will get covered during this period, maybe this year as well we will be able to deliver a couple of ferries. So does that give you an indication ? because the major project there's a P -17 A lpha, first s hip this year and the next two ships next year.

Utkarsh Somaya: That helps. And the realization per ship would vary in each case, I am guessing right ?

Cmde P. R. Hari: Yes, because the P -17 Alpha as I had mentioned P-17 Alpha, the remaining revenue is around ■11,000 crores.

Moderator: Thank you. Next question is from the line of Sanjeev Z arbade from A ntique Stock Broking. Please go ahead .

Sanjeev Zarbade: My question is regarding the outstanding order book in P -17A, we have ■11,400 odd crores. So, what about be

the rough ballpark , accounts book s revenue in FY'26 and FY'27, will it be in the ratio of one in terms of how.

Cmde P. R. Hari: Mr. Sanjeev your voice is cracking , can you repeat once again , I couldn't here.

Sanjeev Zarbade: Sir, my question was regarding the P -17A, in which we have ■11,400 crore order , that order book that is pending.

So how the distribution in the sense the revenue booking would be in FY' 26 and FY' 27, although you shared the

delivery timelines, but would the revenue booking be also in the same kind of ratio, in the sense more would be booked in FY '27 because we would be delivering two vessels in FY '27 or would it be the other way around?

Cmde P. R. Hari: Yes, we have around ₹11,400 crores remaining as on 31st March, 2025 and one of these ships we intend delivering in next three months, and in this ship, we have accrued most of the revenue, and the bigger chunk of this would be coming from the second and third ships. So, if you are asking me for a proportion of revenue from the project which is going to be accrued this year and next year, I would say 40:60.

Sanjeev Zarbade: Okay, 40 in FY' 26 and 60 in FY'27?

Cmde P. R. Hari: 40 in FY' 26 and 60 FY'27

Sanjeev Zarbade: Okay, then in that case sir FY' 27 could be the peak year in terms of revenue ?

Cmde P. R. Hari: You have taken a guess, maybe this year because see the other projects are also maturing now, because we got around ₹4,000 crores remaining in the ASW Submarine Watercraft, ₹3,000 crore and so. To an earlier query, I had mentioned that's a very specific question asked, are you flattening out? I said no, so that should give you a good enough answer.

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Sanjeev Zarbade: Yes. And sir on the cost revision side, if I understand it correctly, as per the remaining two Frigates, there is potential that we can book another ₹200 crore cost provision in terms of profit, because for the first Frigate we may have, we have taken ₹100 crore as first division related profits. So, is that understanding, correct?

Cmde P. R. Hari: Yes, your understanding is more or less correct.

Moderator: Thank you. Next question is from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah: First of all, heartily congratulations. Sir, just my two questions here. In next couple of days, we will be hearing on the next generation Corvette project, which has been long pending. So, what should be announced in next couple of days, would it be that L1, L2 would be decided, and thereafter we get into a process of negotiating on the price, how does it work for agreement like me to understand this thing that is my first question. The second question is, since now we have got a tie up with SWAN Defence, so last time when we had met up, we were talking about clusters which Indian government is looking at for shipbuilding. Now that we have got into an MOU with SWAN. Does that take care of this cluster thing that we were intending to use eventually for our growth, those are my two questions on the SWAN and on the next generation. Thank you, sir.

Cmde P. R. Hari: Thank you, Mr. Sunil Shah. And at the outset, thank you on behalf of because, since we are a Ministry of Defence

entity on behalf of the Indian Armed Forces, thank you for your good wishes and appreciation. Coming first to SWAN and Clusters, I would like to clarify and clear that an answer to an earlier query. We have MOUs or agreements, not only with SWAN, we also have with competent private players, private and public players for collaboration towards the construction of vessels. I will give you an example, I have a running collaboration with one of the South based shipyards for construction, part construction of few of the vessels. So, these are project specific, and this has got nothing to do about the clusters that I mentioned, a cluster, what the ministry of shipping had talked about, and what we expect to be implemented is creation of a greenfield facility. When I say greenfield facility, which would mean a shipyard surrounded by its ancillary industries, this is still in liquid form, multiple state governments, these are all open domain information, multiple state governments, like Gujarat, Maharashtra, Karnataka, Odisha, Andhra and Tamil Nadu, have enhanced the interest and approached the various shipyards and also floated the expression of interest for creation of greenfield shipyards there and we have also responded, responding to few of this. The SWAN relationship for shipbuilding collaboration is project specific, restricted to large size commercial ships. And I would like to again reiterate that we have a similar relationship with multiple shipyards, and a few of them you already exercised and expressed successfully. Coming to your first question on the next generation Corvette, what is likely to happen in the next couple of days is the L1 declaration and L2 declaration by the ministry and navy, and this will be followed by a natural process of contract negotiation, depending upon the complexity of a project. This project definitely is a complex and high value project. This could take, in my appreciation a very optimistic timeline of around six months from now that means, let us say December this year, conclusion, or a conservative timeline of another year, another three months. March 31st, 2026. I hope this clarifies.

Moderator: Thank you. Next question is from the line of Hardik Gandhi from HPMG Shares and Securities Private Limited. Please go ahead.

Hardik Gandhi: Sir just two questions from my end. First, on execution side, are you seeing any headwinds, and second, being that I know we usually this question comes up, but given that Mazagon and Cochin are in a similar industry, their

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operating margins are quite high as compared to us. Of course, we have bettered our margins over the quarters. But again, is there a scope for further improvement, or are we seeing margins

taying at these ?

Cmde P. R. Hari: Okay, thank you for the question, Mr. Hardik, I will answer second question first regarding margins. Conventionally, one of the shipyards that you mentioned has been operating on projects which were awarded on nomination basis. The second shipyard, what you mentioned has been operating on ship repair projects primarily, and another nominated high, very high value project. And we have been more or less operating on projects, one on competitive bidding. As of now, all the projects that are coming out from the services are on competitive bidding. So, while we have improved, there could be a situation where all the Indian Shipyards, in addition to the shipyards that you named, will be at an even platform with respect to margins. And coming to the headway, I am sure you would have, your question would have been specific to the project progress. Yes, we are happy with the project progress, despite the challenges faced and the cascading effects of the COVID, which many the impact is even after five years, there is impact, but we have surmounted these challenges effectively, and that's how the ships are getting delivered. I just made a specific mention in my introductory talk regarding one particular project, which is the map of great pride for us and every for all I would like to state this that the re is a 16- ship project being constructed for the Indian armed forces, Indian Navy, the Anti-Submarine Shallow Watercraft project. The first of this is being built by two shipyards, eight by us, and eight by another shipyard. And we are proud to state that our first ship has already been delivered and will be inducted into the naval fleet a month from now. And the second ship also has undergone the contractor feed trials. The first P-17 Alpha is ready for delivery two months from now, the ship will be delivered. So, yes, there is definite headway and with the figures, the numbers that I mentioned regarding delivery of ships to an earlier query, we are confident of meeting the timelines that they we have committed to our customer for the ongoing projects.

Hardik Gandhi: Understood sir, just a follow up. Is there any supply chain issue at present, given the geopolitical tension, as well as like if and how much are we importing from outside, and is there a bottleneck there?

Cmde P. R. Hari: See as of now, no direct impact. Yes, there is import content especially for the export platforms that we are building, but the sources from where we are procuring, they have not been impacted by the current situation and considering that the situation overall, including conflicts at various parts of the globe, are still going on, still we have not faced any impact, and we do not see any impact in our supply chain with respect to the ongoing projects that we are executing.

Moderator: Thank you. Next question is from the line of Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani: Thank you for the opportunity, all my questions are answered, congratulations for wonderful set of numbers.

Cmde P. R. Hari: Thank you, Mr. Nathani, and we acknowledge your appreciation, it means a lot to us.

Moderator: Thank you. We take the next question from the line of Vikas Kasturi from Focus Capital. Please go ahead.

Vikas Kasturi: I had just one question. So, with respect to the ships that we are going to deliver, is there any retention amount that the client will withhold as a warranty or a guarantee kind of a thing?

Cmde P. R. Hari: Thank you for your appreciation. See in war ship building orders which majority of the orders are warship building orders in all these contracts, as per the DAP, based on which these contracts are formulated, there are various

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stage payments. One of the stage payments is the retention of, 10% of the project cost till completion of the guarantee refit, which in the conventiona

I sense the guarantee refit will happen in one year. It means we are bound to provide one year of guarantee and once the guarantee period is completed, the ship will undergo guarantee refit and on completion of that, the retained amount will be paid.

Vikas Kasturi: Got it sir, and this is more or less this 10% is withheld for all ships, all your platforms?

Cmde P. R. Hari: Pardon me, yes. It is purely as for the DAP and for all the orders that are being executed and this is applicable in

my appreciation to all the shipyards executing similar orders.

Moderator: Thank you. We take the last question from the line of Vaibhav Dalal from Niveshaay Investments. Please go ahead.

Vaibhav Dalal: I just have a question around a very specific product which is being used in your ship building. So, these are

the

bulbar which are used in the construction of the hull of a ship. So, I just want to understand, how much bulbar are required in the overall making of a ship, in terms of volume, as well as in terms of the value of the ship?

Cmde P. R. Hari: Very interesting question and it's a very, very unique question that I am facing. I have been attending analyst and

investors meet, now this is my 12th meet running, 12th or 13th meet running, very interesting question. Bulbar, since I know shipbuilding, I can answer this question. It is around 10% of the overall steel equipped.

Vaibhav Dalal: So, in terms of the weight of the ship, or the displacement of the ship?

Cmde P. R. Hari: I will put it this way. See, in a ship, let us say, when we talk about a 3000 ton ship, when you say, a 3000 ton ship,

the steel weight would be around 2000 tons, 1800 to 2200 tons, depending upon the type of steel that is being used. If you take a warship, there is a particular type of steel which again is open domain information DMR2 49 Alpha steel which is used. So, this could range depending upon the size, type and the type of platform. Sometimes the steel, thin steel is used for the hull, sometimes thick steel is used, various types of thickness is used in a particular ship. So, this, if you take a ballpark figure, this comes to around 1800 to 2000 tons of steel in a 3000 to 3300 ton displacement ship. The balance be it comes from the equipment and systems that is the plumbing, the main propulsion system, etc. Now within this 2000 tons, around 10% comes the bulbar.

Vaibhav Dalal: Got it, sir. And my last question will be, sir. So where do you source these bulbar, are you importing these, or are

there any domestic players you are buying these bulbar from. My last part of the question will be, since there are 61 warships which are being made here in India, like, out of the 61 warships, 60 are being made in the Indian Shipyard. So, I just want to understand, has the procurement for these bulbar already been done by the shipyards, or the process is still going on, just want to understand that.

Cmde P. R. Hari: Okay, I will answer this question in a broader perspective. Shipyards are platform integrators, big time platform

integrators. We source equipment everything is sourced, starting from steel to since you mentioned bulbar, to the piping material, to something as minor as the cables to cable clamps, to cable trays, you name it, to major equipment. We have platform indicator as customers the Indian Navy or Indian Coast Guard, they do the capacity and capability assessment of suitable firms, make them eligible in certain category of equipment like main propulsion system, main propulsion engines, maybe for example for a project maybe shortlist based on the

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capacity and capability for source. Similarly for steel, the Navy or the Coast Guard determine who are the qualified sources from whom steel is to be procured. They go through a capacity assessment by the customer coming to bulbar, your specific question on bulbar. Bulbar are also not indiscriminate

ly procured they have to be

procured from the sources, rather the manufacturer, who are qualified by the customer that's the Navy. The shipyards are provided with this list, and the shipyard go through a procurement process and source them from these firms. So since you ask this question, any firm who is considering themselves capable of manufacturing bulbar to answer your specific query, can get themselves registered with Navy, get a capacity assessment done, get that formally communicated to the shipyard through Navy and the shipyards would definitely buy from them.

Vaibhav Dalal: And just to add up a follow up here, so do you have any approved suppliers from the Navy on this part, are there

Indian suppliers or like suppliers from?

Cmde P. R. Hari: To answer your question Indian supplier.

Vaibhav Dalal: So, we have Indian suppliers. So, do you have any name like on top of your head?

Cmde P. R. Hari: I will not be able to answer this question now, if you have any specific query, what I would suggest is that you

ask Navy about this specific question, they will be able to provide you absolute clarity on who are the firms who are qualified to fabricate the bulbar that would provide you a clearer answer than what I would be able to provide in an investor's meet.

Moderator: Thank you. Ladies and gentlemen, in the interest of time that was the last question. I would now like to hand the conference over to the management for closing comments.

Cmde P. R. Hari: Thank you Navya and thank you Gaurav from Concept IR for organizing this conference call. I would like to pay

my sincere gratitude to all my analysts and investor friends who have taken time out of their very busy schedule and listen to what I had to say and also ask very interesting queries ranging from profit margins to bulbar. Thank

you and looking forward to the next time we meet. Thank you.

Moderator: On behalf of Garden Reach Shipbuilders & Engineers Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. If you have any further query, please send an email to Gaurav.g@conceptpr.com

Call: Aug 2025

SECY/GRSE/BD -69/AM/01/25 -26 26 Aug 2025

National Stock Exchange of India Limited,

Exchange Plaza,

Bandra Kurla Complex, Bandra (E),

Mumbai – 400 051

Symbol: GRSE BSE Limited,

Phiroze Jeejeebhoy Towers,

Dalal Street

Mumbai – 400 001

Scrip Code: 542011

Dear Sir / Madam,

Sub: Transcript of Investors/Analyst Conference Call for Q1 & FY 26 of GRSE – Reg 30

1. Further to our Intimation Letter No. SECY/GRSE/BD -69/AM/0 1/25-26 dated

12 Aug 2025, we wish to inform that Conference Call was held on Tuesday, 19th Aug, 2025 at 03.30 p.m. to discuss the Unaudited Financial Results of the Company for the Quarter ended 30th June , 2025 .

2. In this regard and pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Transcript of the Investors/Analyst Conference Call for Q1 & FY 26 of the Company is enclosed herewith.

3. This is for your information and records.

Thanking You,

Yours faithfully,

For Garden Reach Shipbuilders & Engineers Limited

Sandeep Mahapatra

Company Secretary and Compliance Officer

ICSI Membership No. ACS 10992

Page 1 of 14 Garden Reach Shipbuilders & Engineers Limited

Q1 FY 2026 Earnings Conference Call

Tuesday, 19th August, 2025 @ 03:30 PM

Management:

1. Cmde P.R. Hari, IN (Retd) ■ Chairman & Managing Director

2. Shri Sandeep Mahapatra ■ Company Secretary & Compliance Officer

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Garden Reach Shipbuilders & Engineers Limited

Q1 FY 2026 Earnings Conference Call

August 19th, 2025

Moderator:

or: Ladies and gentlemen, good afternoon, and welcome to the conference call of Garden Reach Shipbuilders & Engineers Limited, arranged by Concept Investor Relations, to discuss its Q1 FY '26 results.

We have with us today, Commodore P.R. Hari, IN (Retd.), Chairman and Managing Director; and Shri Sandeep Mahapatra, Company Secretary and Compliance Officer.

Please note this conference will be recorded. I would now like to hand over the floor to

Commodore P.R. Hari, Chairman and Managing Director. Thank you, and over to you, sir.

P. R. Hari: Thank you, Ryan. A very good afternoon to each one of you. And I welcome you all to the conference call of GRSE Ltd to discuss Q1 FY '26 results. And with me here is Shri Sandeep Mahapatra, the company's Secretary and the Compliance Officer. I also take this opportunity to wish each one of you and your families a very Happy 79th Independence Day that we celebrated four days back.

As we normally do during these earnings conference calls, I shall first touch upon the financial performance focusing on the Q1 results, and then highlight the salient aspects of the physical performance, the order book details, progress of the ongoing projects, orders on the anvil, our expansion plans and future outlook.

Since the last interaction we had, the interim period has been very hectic and we have met multiple project milestones. I am happy to inform you that the shipyard has delivered the third survey vessel large, is the third ship in a series of four ships being built for the Indian Navy, and this ship was delivered on 14th of August this year. We also delivered the first antisubmarine shallow water craft to the Indian Navy again.

Just to place on record, 16 Anti-Submarine Shallow Water Crafts constructing by two government shipyards (GRSE and another PSU shipyard), eight each. We had the honor of delivering the first of these 16 vessels. The contract for both these projects was signed on the same day.

Most happy to inform you that GRSE has delivered the first P-17 Alpha ship to the Indian Navy

on 31st of July, this year. And it is a matter of great pride that this ship, the largest weapon platform built by GRSE has been delivered ahead of schedule.

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We have also completed two refits in the ship repair segment during this period. The normal refit of Sagardhwani and the normal refit of Kalpeni. Both these are Indian naval ships, and incidentally, both these ships have been constructed by GRSE way back. Currently, we are executing the refit of another GRSE built export platform, Mauritian Coast Guard Ship ■ Barracuda, the ship is presently with us for her normal refit.

I am also happy to inform you that GRSE has successfully completed the pre-acceptance trials of the first indigenous 30mm naval surface gun, again, onboard on one of the ships built by GRSE. Just to place on record again that this is the first of its kind achievement wherein a 30mm gun has been indigenized. We also signed a contract for construction of two coastal research vessels for the Geological Survey of India. And as I mentioned last time, GRSE has been declared the L1 bidder in the prestigious high-value, next-generation corvette project. The contract negotiations are currently in progress, and we expect the contract to be concluded during this financial year.

Now coming to the current order book.

Our order book as on 30th June 2025 stands at ■21,700 crores, and this consists of 10 projects comprising of 40 marine platforms. These include four projects for the Indian Navy, the P-17 Alpha. We are still left with two ships, the survey vessel large project. One more ship left, the Anti-Submarine Shallow Water Crafts project.

Next, seven ships out of the eight left. And the Next-Generation Offshore Patrol Vessel project comprising of four ships. So total 14 naval ships from these four projects.

We are also constructing four specialized research vessels from three projects, an Ocean Research Vessel for the Ministry of Sciences, the NC POR Goa; an Acoustic Research Ship for the DRDO, the NPOL Kochi; and two coastal research vessels that I just mentioned for the Geological Survey of India. So, all in all, we are constructing four specialized research vessels. And incidentally, we are the only Indian shipyard currently constructing specialized research vessels.

In addition,

we are also executing a project for the Government of West Bengal, 13 Hybrid Green Ferries. These are advanced ferries vessels. This is a World Bank-funded project currently being executed for the Government of West Bengal. We are also undertaking a project for the Government of Bangladesh, an Advanced 1,000 meters Cube Suction Hopper Dredger. This project is in progress. And in addition, as stated during my last interaction, we are constructing eight Multipurpose Vessels for our European, that's a German client. So, all in all, 10 projects, 40 platforms. This is in addition to the orders that we have for portable steel bridges, the deck machinery and also the ship repair division.

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I shall now update you on the progress of the ongoing projects.

As I mentioned, currently, we are executing construction of two P-17 Alpha ships. The second in the series has almost touched 80% of physical progress of construction. And the third ship has received around 56% progress. The ship which has achieved around 80% progress is expected to be delivered by April 2026 and the last ship by August 2026.

Coming to the Survey Vessel (Large) project. The last ship, the ship number four has achieved around 82% physical progress of construction, and this ship is expected to be delivered by the end of this calendar year.

Coming to the Anti-Submarine Shallow Water Craft project. We have got seven ships left. The second ship in the series has already achieved around 97% of construction. It has completed all her contractor trials, including the final mission trial, and this ship is expected to be delivered to the Indian Navy by the end of this month. We also intend delivery of two more ships of this project during the current financial year. And by the end of next calendar year, that is by end of 2026, we will be completing this project by delivering the balance ships.

The Next-Generation Offshore Petrol Vessel project. It's a four-ship project. The first two ships are almost touching 60% physical progress of construction. And the next two ships around 48% physical progress of construction. The progress of this project is satisfactory, and we intend completing this project on time. The project is expected to be completed as per schedule by calendar year 2028, that is Financial Year 2029.

Coming to the other projects, we have already started construction of the Ocean Research Vessel, the Hybrid Ferries and the Bangladesh Dredger. And all these three projects are moving along fine. And coming to the other two ships, the Acoustics Research Ship and the Coastal Research Vessel, the pre-production activities are currently in progress. This in nutshell gives you an overview of the progress of the projects currently in hand.

Now I should touch upon the projects on the anvil.

As I had mentioned, the contract negotiations for the next-generation corvette project is

currently in progress with the Ministry of Defense and Navy. And this is going to be a high value order. The order value is expected to be to the tune of around ₹25,000 crores. And I expect this contract to be concluded during the current financial year.

I am also happy to inform you that GRSE is

currently executing an order for eight Multipurpose Vessels for the German client. And we intend concluding a contract for another four Multipurpose Vessels. The contract is expected to be signed by mid-September; within a month we should be signing this contract.

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We have also submitted bid for two projects, one of the Indian Navy, five Next-Generation Survey Vessels. And one for the Indian Coast Guard, 18 Next-Generation Fast Patrol Vessels. We expect the bid declaration to be somewhere around the end of this calendar year.

Now coming to the RFPs which are likely to be floated by the Navy and the Coast Guard. One RFP by the way is already current, that is for the multipurpose vessels. The two ships project akin to the current project being executed by one of the private shipyards in India, the order value is likely to be around ₹1,200 crores.

Navy is also likely to come out with an RFP for 31 follow-on Next-Generation Water Jets FACs. I expect the RFP to come out towards end of this financial year. In addition, the Indian Coast Guard is expected to come out with an RFP for six Next-Generation Offshore Patrol Vessels and 22 Intercepted Crafts. In addition, Navy is likely to come out with an RFP for 120 Fast Interceptor Crafts. All these RFPs are likely to come out from now to over a period of next 18 months.

One important RFP of Indian Navy that we are eagerly looking forward where Hon'ble Raksha Mantri and Defense Acquisition Council has already accorded the AoN, is the prestigious P-17 Bravo project. This is the follow-on of the current projects that we are executing, the P-17 Alpha. And this again is a seven ship project. Approximate order value could be to the tune of around ₹70,000 crores. Here, the L1 shipyard could get four ships, and the L2 shipyard three ships. With our experience of having built the P-17 Alpha frigates, we would be bidding appropriately with an aim to win this bid. The RFP is likely to be floated by the Navy by the end of this calendar year. So, I think this gives you an overview of the orders immediately in the offing and what is likely to come up over a period of next 18 months.

Coming to our shipbuilding capacity and our expansion plans.

Just to give you the perspective, about three years back our shipbuilding capacity was for concurrent construction of 20 platforms. In 2024, through revamping and revitalizing some of our facilities, we have increased the shipbuilding capacity to 24 ships. And now we have a capacity to build 28 platforms, 8 large and 20 medium and small platforms. And with the kind of modernization that we are currently progressing, by 2026, we intend increasing this capacity to 32 ships. This is within the geographical limitations of what we have currently in Kolkata.

As part of our expansion plan, we intend acquiring one more dry dock in Kolkata from the Syama Prasad Mookerjee Port. The final discussions are in progress. And this will further augment our capacity for ship repair. In addition, we are planning to set up a Greenfield Shipbuilding Facility. Within West Bengal, the land finalization is in progress, it is approximately 300+ acres of land. And we intend to commence production here, which means we will be starting the preparatory activities within a couple of months, and we intend commencing production here within a year.

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But we feel this also is not adequate. Considering the orders on the anvil, the order visibility in terms of commercial shipbuilding and the opportunities there on, so we intend setting up a greenfield shipyard either on the West or East Coast of India. And we have already identified suitable areas; the discussions and deliberations are currently in progress. And within a year, we will conclude the negotiations and acquire this facility. During our next interaction on

the next interaction, I will be able to provide you better clarity on that.

So, all in all, the shipyard is doing well. Our order book is healthy. We have a clear execution plan. The projects are moving on fine. With our focus on new technology adoption, yard modernization and expansion, new technology adoption with specific focus on green and autonomous vessels, I feel the shipyard is on the right track.

And with this, I come to the end of my opening remarks and open the floor for questions and answers. I request to avoid repetitive questions, keeping in mind the time constraints. Thank you. Now the floor is open for questions and answers.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Dipen Vakil from Phillip Capital. Please go ahead.

Dipen Vakil: Hi, Thank you for this opportunity, sir. Sir, my first question is, I wanted to understand a little

bit more on your revenue recognition as to how does your revenue recognition occur. Because you mentioned that you have recently delivered one of our P17 A and another one is almost 80% complete, so does those milestones also represent the kind of amount that you would have received from government? Or even after deliveries there is some amount which is still pending to be received from government? So, can you throw some light on the revenue liquidation for your deliveries and milestones?

P. R. Hari: Thank you. Yes, the projects that we are executing are now at a stage of maturity, production maturity where revenue accrual is either peaking or would be peaking in the coming months and years.

Coming specifically to the P17 Alpha project. See, all the government projects which we are executing for the Navy or the Coast Guard, they have defined stage payments. Just to give you an example, a big project like this which spans over a duration of five years plus, there are 15 stage payments. With the 14th stage coming when the ship is delivered, and the 15th stage is after the guarantee period is over. So as far as the receivables are concerned, when we say we are delivering a ship, we would already have received almost 95% of the total project cost. Coming to the revenue. The revenue recognition happens as we are pumping in the labor, the material, the yard effort and so on. As far as revenue recognition is concerned, in this particular project, the entire revenue recognition happens at the time of delivery. So, with the first P17 Alpha, we have realized the full revenue. And as far as the second P17 Alpha is concerned, the

ship is currently at 80% physical progress. And since the delivery of this ship is planned during April 2026, I appreciate that by March end we should be able to accrue almost 90%, 92% of the revenue. I think that answers your question.

Dipen Vakil: Absolutely. Thank you so much for this clarification. Sir, my second question is on the lines of the new product development that GRSE is doing. So, earlier we had mentioned that you were also looking at some autonomous underwater vehicle, so any progress on that? And what can be the opportunities in this area considering that autonomous is turning out to be a new game changer vehicle, especially in land as well as underwater?

P. R. Hari: Thank you. Our focus has been on new product development. One, as I mentioned, I have been passing earlier, on two segments; actually, three segments, I forgot to mention a segment earlier. First one is development of autonomous platforms, both in the surface and sub-surface domain. I will cover this right now since you asked me this specific question.

We have developed an Unmanned Underwater Platform. And this platform has already undergone its prototype trials satisfactorily at Leh in Kashmir. We have incorporated certain

in modifications in the prototype and the product is now ready for final trials.

Coming to the unmanned surface business. We had developed this product in 2023. In 2024, we have already executed order for one of the DRDO organizations, the NSDL, Visakhapatnam. And based on the inputs that we have received, we have incorporated additional features in this unmanned surface vessel. And on both unmanned surface vessel and the underwater platform, the opportunities are phenomenal with both the Navy and the Coast Guard and some of the research organizations coming up with the requirements.

Still

, I would like to place this clearly that development of such platforms, as a nation, it is still at nascent stage. I expect more maturity to come in this entire segment in the coming two to three years. The opportunities and potential definitely see a huge pride. We are fully geared up for that and our advantage is that as a big company, we have invested, taken partners who are capable and have developed products. Now it's a question of fine-tuning to meet the customer requirements. As I said in the next, okay, two to three years we expect the potential to really boom.

Second area where we are developing a new technology product is the green vessels. As you perhaps aware that we have already built the largest green platform for India, that is 150-passenger platform and the fastest so far built in India. And this vessel is currently plying the waters of Hoogly River. Based on the success of this product, we have received an order for 13 hybrid ferries. So currently, in India, there are only two big shipyards, GRSE and Cochin Shipyard building these kinds of platforms as of now.

The third area in terms of new product development that we are focusing is on the Bailey Bridge segment, where we have proprietary rights of at least two or three varieties of bridges,

which are being regularly supplied to the Indian Army and the Border Roads Organization and the NHIDCL. So new product development has so far given us a good foothold in the respective segments of what I had mentioned. Thank you.

Dipen Vakil: Thank you so much for this detailed response. I will get back in the queue for my follow-up question. Thank you so much and all the best.

Moderator: Thank you. We take the next question from the line of Krishna Doshi from Ashika Institutional Equities. Please go ahead.

Krishna Doshi: Thank you so much for the opportunity. Congratulations on a good set of numbers, sir. Sir my first question happens to be for P17 Alpha project. Now the project will be coming to an end by August 2026. I just wanted to know how do we see the margins and the revenue panning out for the year FY '27 and FY '28? Do we see some sort of an impact on the top line? Or how is it going ahead?

P. R. Hari: Thank you, Krishna. And at the outset, thank you for your wishes on our Q1 performance. Yes, the Q1 was good and it has given us the right kind of momentum to see the year through. Yes, the P17 Alpha project is on moving very much on schedule and we intend completing the project by mid-2026, that is August 2026. And since this project is a big-ticket item, we expect both the top line and the bottom line to maintain the tempo that we have sustained over the last three years.

What I am trying to convey is that FY '25 has been very good for us. We crossed 5,000 crore barrier with respect to our top line. And as far as the profit after tax is concerned, we have also crossed 500 crore mark, which means these are two firsts for us. With the P17 Alpha project being the biggest revenue earner and, of course, it's the high-value project, I expect similar growth in FY '26 as well as FY '27 in terms of both top line and bottom line. Thank you.

Krishna Doshi: Thank you so much sir for the answer. The next question that

I wanted to ask is with respect to

the next-generation corvette order, like we have set this very optimistic time line of signing the contract by December. So, I just wanted to understand that how does it go post that? Because the first ship, as you mentioned earlier in the con call, it usually takes like some time. So how is it going to go like going forward, like when are we going to possibly deliver the first ship?

P. R. Hari: Thank you. Very interestingly, as we speak, contract negotiations are in progress. Actually, during this con call itself I was getting distressed as to some input I have to give there. What I am trying to say, the project negotiations are going in full swing. And most optimistically, this is exactly what I mentioned during the last con call that most optimistically the contract could get signed by end of the calendar year, that is by December. And on a conservative fashion, because the process involved that takes a bit of time, by the financial year end.

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Now, once the contract is signed, the preproduction activities start. What I mean by preproduction activities is finalization of the design, finalizing the equipment that needs to be procured, and the procurement action. These activities will take place during the initial phase of the project execution. The actual production after the design is finalized would commence after a certain period of time as per the contract.

Now for the first ship delivery, as I understand, the first ship delivery would be by 2031. And the last ship delivery, because rather we would be constructing five ships by 2034 versus the

eight ships project deliveries are staggered. Which means as a company, this particular big-ticket order gives us visibility up to 2034, with the first delivery starting from 2031. And as far as revenue recognition is concerned, we expect this project to give us revenue from FY '28 onwards. Thank you.

Krishna Doshi:

Hi: Thank you, sir. I will get back in the question queue.

Moderator: Thank you. The next question comes from the line of Amit Dixit from Goldman Sachs. Please go ahead.

Amit Dixit: Hi, Good afternoon, everyone. Thanks for the opportunity. So, a couple of questions sir. The first one is on the level of indigenization that we have achieved on P17 Alpha. So, now we are reaching practically the end of the project, so what is the level of indigenization on it currently? And similarly, in NGC, if we get these contracts, then what would be the indigenization level that we are looking for? Similarly, P17 Bravo, as and when it is decided, what is the level of indigenization we are going to look over there?

P. R. Hari: Thank you, Amit. So, your question is focusing on indigenization. Now I would just like to give you a little

perspective, so that, we clearly understand the shipbuilding indigenization pattern.

In shipbuilding, in a conventional war ship, we can divide the ship into a few compartments, that is a float, move, fight and survive. Float as in the hull form, the hull of the ship and the essential equipment and systems required to float the ship. Move effectively becomes the propulsion package, the power generation package and so on. Fight would be the weapon and sensors. And the survival would be the firefighting equipment and so on.

Now coming to the float element, we have 100% indigenisation as a nation and as a shipyard we have 100% indigenized components including specialized steel and so on.

Coming to the move part. Here, the indigenization as of now is limited to everything other than the propulsion system, which means the propulsion package, the main engines, the diesel engines, the gas turbines and so on, still have a large amount of import content.

Now coming to the next part, that is the weapon and sensors. I would say with many Indian com

panies in both public and private focusing on weapon indigenization, again, we have

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achieved around 65% indigenization. And coming to the last, survive, is almost 100% indigenization.

Now, in a ship the total cost of equipment, that is materials, comes to around 65% with the balance coming from the labor and the associated requirements, design, labor and so on. Now if you take the overall ship, you asked a specific question of P17 Alpha, the indigenization content all put together is plus 80%, it is between 80% and 85%. And in case of the Next Generation Corvette and the P17 Alpha, with more equipment getting indigenized over this period of time, we expect the indigenization percentage to be between 85% and 90%. What would remain a very few weapons and equipment. And just to again place on record for the P17 Bravo, we expect a main project for the main propulsion engines to be successful by the time this project takes shape. So even the propulsion could be indigenous. That's why, I said the overall indigenization percentage of both these projects, the Next Generation Corvettes as well as the P17 Bravo could be to the tune of 85% to 90%. Does that answer your question, Amit?

Amit Dixit: Yes, sir. Thank you so much. It does. The second question essentially is on the Greenfield Shipyard that we are looking at, very interesting. So, is it that we are looking at Deep Water Draft and also that we can further develop our capability to, let us say, destroyers, submarines, something like that? Or is it going to be in line with our current product range?

P. R. Hari: A very interesting question, actually a pointed question, nice question. See, yes, we are looking for a Greenfield Shipyard, primarily because what we have today in Kolkata is just enough. We are actually stretching our teams, just enough to manage the existing orders and a few orders that are on the anvil. And we also want to set up a shipyard which does not have any draft issue and depth limitation. So naturally, it would be along the sea and the facility would cater for

platforms up to destroyers and large commercial ships.

Submarines requires facility as well as capability. But as a shipyard, at this juncture, we do not intend going into submarine building. Because I think I have mentioned once before, we may have the facility, but to create the kind of expertise required to build submarines will take 20 to 30 years. So, we do not want to venture into something that we are not specialized in, whereas we are specialists in war ships, surface ship building. So, the facility that we would be creating would be adequate to meet all surface ship building requirements. Thank you.

Amit Dixit: Great sir! Thank you so much. All the best.

Moderator: Thank you. We take the next question from the line of Harshit Kapadia from Elara Capital. Please go ahead.

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Harshit Kapadia: Hi. Thanks for giving me the opportunity. Congratulations for good results. Sir, I have two questions. One, could you give us the order book breakup, if you have not shared at the start of the call, I just missed the initial remarks for the order book. That's the first question.

P. R. Hari: Thank you, Harshit. And at the outset, thank you for your compliments on the Q1 results. As I mentioned, it has given us the right kind of momentum to move ahead in the current financial year.

Now coming to the order book distribution. Our current order book stands at ₹21,700 crores, and that is comprised of 10 Marine Platforms. I am at this moment, not talking about the orders which we are getting from ship repairs, the portable steel bridges and the deck machinery. So, the 10 projects comprised of four projects of the Indian Navy consisting of 14 platforms and six more projects, three Specialized Research Vessel projects consisting

of four platforms, two

Coastal Research Vessels, an Acoustic Research Ship and an Ocean Research Vessel, 13 Hybrid Ferries, Electric and Diesel Ferries for the Government of West Bengal, a Multipurpose Vessel Project, 8 Ship Project for a German client, and 1,000-cum-dredger for the government of Bangladesh. So, all in all 10 projects.

Now, if you want to further breakup. In our order book I had mentioned it is about ₹21,700 crore. Our core strength lies in shipbuilding and around 98% of our order book is comprised of shipbuilding orders. Interestingly, earlier out of this 98% of shipbuilding order, 100% from defense shipbuilding. But as of now, 86% is coming from defense shipbuilding and balance nondefense shipbuilding, which we have branched out about two to three years back is now contributing the shipbuilding order book composition of around 14%. Of this, research vessels around 9% and the export is around 5%. The other business vertical, ship repair, yes, the orders of course they keep coming, it's a dynamic situation. Right now, about 1% is from ship repair, the bridges and the diesel engine plant about 0.5% and so on. So, I think this gives you an overall glimpse of the order book. I presume this is what you wanted. Thank you.

Harshit Kapadia: Yes, sir, this was really helpful, sir. And the second question which I wanted to check with you. In the Q4 results you had highlighted that around ₹430 crore worth of provision you would be adding to profit with Rs. 100 crores of that being added in FY '25. Now, is the balance out of ₹330 crores, it was mentioned that it would be disbursed over next two to three years, the

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balance amount. So, has Q1 seen any, I would not say what provision write back of any particular amount? Or largely, it would be done in H2 or Q4 is where we will see the reversal happening of the balance amount?

P. R. Hari: No, we have not factored it in the Q1. As you rightly said, that we will be considering it in the H2, perhaps the first half of H2.

Harshit Kapadia: Okay. And any tentative amount that you would suggest, sir, out of ₹330 crores how much would be done in FY '26? How much is anticipated in FY '27?

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P. R. Hari: Almost 50%.

Harshit Kapadia: Fair enough, sir. That's it from my side. Thank you very much sir. All the best.

Moderator: Thank you. The next question comes from the line of Sanjeev Zarbade from Antique Stockbroking. Please go ahead.

Sanjeev Zarbade: Yes. Sir, my first question was regarding the subcontracting costs that have increased in the first quarter. So, I wanted to understand, what is our strategy going ahead in the medium term regarding the subcontracting portion? Do we intend to continue with like 15% to 20% of our sales as going into subcontracting? Or is it more of a short-term measure that we have undertaken?

P. R. Hari: Thank you, Sanjeev. Yes, the subcontracting quantum has moved up almost by ₹104 crore from ₹131 crore to ₹235 crore. This is a natural phenomenon because right now, our ships are at a stage where maximum revenue accrual takes place. And so, the physical effort required to get these ships moving in terms of production is humongous at this stage of production. Second is now ship repairs also is moving in a direction where the projects which we are executing are reaching the end phase. So, the subcontracting concept and the percentage will remain the values which you have mentioned, around 15%, it will continue. It's not a spike. It will continue.

Sanjeev Zarbade: Okay. And also, sir, in the recent AON's that were granted for ₹67,000 crores out of which some portion was for Navy also. And in the Navy, they intend to acquire some autonomous vessels also. So, are we in contention for this kind of vessels like procurement of compact autonomous surface craft is what they intend. So, are we in t

his kind of platform right now or maybe going ahead?

P. R. Hari: Okay. In the ₹67,000 crores, which was recently announced, and an earlier DSC approval, from the Navy's perspective, two major projects were highlighted and for which they got an AON.

One, of course, is what you mentioned on the Autonomous Vessel projects, autonomous vessel projects both in the surface as well as the subsurface domain. Navy wants certain underwater platform, they call it XLA, Extra Large Autonomous underwater vehicles. GRSE is very much a part of this initiative or this requirement, and we will be bidding for that.

But more than that, these are all small to medium value projects. To put things again in the right perspective, I had answered an earlier question. In terms of autonomous platforms for defense purpose, while the requirement very much exists the process is time consuming, still in a nascent stage. Next two to three years, you will see a rapid growth in this segment. GRSE is very much a part of this initiative.

Now again, since you mentioned this DSC approval for projects worth so on and so and so.

Another project where Navy has gotten obtained an AUM is for the mine countermeasure

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vessel project. This is an attractive project. It's a 12-war ship project. The AON value itself is around ₹32,000 crore split between the two shipyards, the L1 shipyard taking eight and L2 four. So that I think answers your question directly on the autonomous platforms, yes, we are very much a part of this and we intend taking a good chunk of the pie.

Sanjeev Zarbade: Okay. Sir, just last question from my side. Normally what we see in the other two shipyards that announced their numbers, there is a sizable portion of provision that happens during the quarterly numbers and even in the full year numbers. However, provisions as an expense is not a sizable amount in our numbers. So, is there any difference in accounting for maybe provisions or if you could throw some light on that?

P. R. Hari: No, we follow the standard accounting procedures, and we have been consistently following this. So, in case any other shipyard has provided, then that must be for a specific reason. So, I cannot comment on what the other shipyards have done. We have been consistent in our provisioning process.

Sanjeev Zarbade: Okay, sir. Thank you and all the best.

Moderator: Thank you. We take the next question from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah: Thanks for the opportunity. Sir, congratulations on delivering the P-17 Alpha, the first one, great service to the nation. So, thank you very much for all of it for the entire GRSE team.

Thanks for that. Sir, my first question is about the capacity. We have really ramped up from 20 ships to 24 to 28 and 32 maybe in a year's time from now. And there are three locations that we are looking at, the first being the 30-acre land in West Bengal that will help us to increase

further capacity. So, I won't get the exact number of concurrent ship constructions that we can do eventually.

So, first from the land, second from the greenfield shipyard that we propose for the East or the West Coast eventually in time. And the third one is the Pipavav shipyard, where we have had some kind of an arrangement or MOU with them. So, how much at one point in time over the next, say, two and a half to three years, concurrently, we will be able to construct the ships, the number or something on that side, sir?

P. R. Hari: Yes. Thank you, Niraj. At the outset, P17 Alpha was a project which we had taken on with complete passion. Because for us this project is totally different and special, because while we have constructed frigates earlier also, they were much smaller frigates. This was the first platform that has got gas turbine propulsion to be built by GRS

and the biggest and most

complex defense platform. So, it is indeed a matter of great pride for us that we could deliver this ahead of schedule. So, that ahead of schedule means a lot to us because for first time

attempt to deliver with quality and in ahead of schedule is something which all of us should be proud of. And thank you for your compliments.

Coming to the shipbuilding capacity, what we had done so far. As you rightly said, we have increased the capacity from 20 to 24 to 28 and now targeting 32 by the next year. This has not come easy. We have done regular capital infusion. At the same time, optimal infusion to revamp some of our facilities, convert some of our facilities. But then we realized that what we have, let us take 30 next year, still would not be adequate to meet the potential that is available, or tap the potential that is available in the market, especially with the European clients now looking at India as a shipbuilding destination. That's why we thought and decided to move in for acquiring more land and facilities, create facilities.

Now before I come to the Pipavav question that you asked, what our target is, within the next four years, that means by 2029, we intend ramping up our shipbuilding capacity to 40. So, from 30 to 40 is what we are targeting. And there, the 30-acre land that we have identified would surface for around six ships, let us say. And the greenfield facility would not be fully ready by then. But for partial readiness, we should be able to construct around four ships. So, all put together, we are targeting around 40 ships in the next five years.

Coming to our affair or the association with Pipavav, it's an MOU for construction, collaboration towards construction of larger platforms. Currently, the capacity that we have is for construction of vessels up to 200-plus meters. And some of the offers available in the market, we realized there for platforms well beyond this particular size. So, we thought that we should have a collaboration with the yard has got that kind of facility. And discussions are in progress, and we are very confident that in the coming years, we could translate this MOU into a couple of orders. Thank you.

Sunil Shah: Thank you, sir. Thank you very much for the answers. Thanks.

Moderator: Ladies and gentlemen, as there are no further questions, I would now hand the conference over to Commodore P.R. Hari for closing comments.

P. R. Hari: Thank you, Ryan, thank you Gaurav from Concept IR and thank you all for participating in this conference call and showing interest in our company, as always. And considering that we have not had too many questions this time, and I presume my analysts and investor friends are happy with what we have done. And I conclude the session now. Jai Hind. Thank you.

Moderator: Thank you. On behalf of Garden Reach Shipbuilders & Engineers Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. If you have any further questions, please send an email to Gaurav.g@conceptpr.com

Call: Nov 2025

SECY/GRSE/BD -69/AM/02/24- 25 14 Nov 2025

To,

National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
Symbol: GRSE BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort
Mumbai – 400 001
Scrip Code: 542011
Dear Sir / Madam,

Sub: Transcript of Analyst Meet/Con Call for Q2 FY 26 of GRSE – Reg 30

1. Further to our intimation letter no. SECY/GRSE/BD -69/AM/02/25- 26 dated 05th November, 2025 , we wish to inform that Conference Call has been held on Tuesday , 11th November, 2025 at 03.30 P.M. to discuss the Unaudited Financial Results of the Company for the Quarter and Half Year ended 30th September, 2025.
2. In this regard and pursuant to Regulation 30 read with para A of Part A of Schedule III of the SEBI (LODR) Regulations, 2015, the Transcript of the Analyst/Conference Call for Q2 FY 26 of the Company is enclosed herewith.
3. This is for your information and records.

Thanking You,

Yours faithfully,
For Garden Reach Shipbuilders & Engineers Limited

Sandeep Mahapatra
Company Secretary and Compliance Officer
ICSI Membership No. ACS 10992

Page 1 of 14

Garden Reach Shipbuilders & Engineers Limited
Q2 & H1 FY'26 Earnings Conference Call
Tuesday, 11th November, 2025 @ 03:30 PM

Management:

1. Cmde P.R. Hari, IN (Retd) - Chairman & Managing Director
2. Shri Niranjana Mukund Bhalerao - Director (Finance) and CFO
3. Smt. Aparajita Ghosh - GM (Finance)
4. Shri Hitesh Borana - Manager (CS)

Moderator : Good afternoon. Welcome to the conference call of Garden Reach Shipbuilders & Engineers Limited, arranged by Concept Investor Relations, to discuss its Q2 and H1 FY '26 Results.

We have with us today, C mde P. R. Hari, IN (Retd.) , Chairman and Managing Director , Shri Niranjana Mukund Bhalerao, Director (Finance) and CFO , and Smt. Aparajita Ghosh, GM (Finance) . Please note, this conference will be recorded.

I would now like to hand over the floor to C mde P. R. Hari , Chairman and Managing Director. Thank you, and over to you, sir.

P.R. Hari: Thank you, Sagar. Good afternoon, everyone. I welcome you all to the conference call of GRSE to discuss Q2 FY '26 Results. And with me here are Shri Niranjana Bhalerao , Director (Finance) and Chief Financial Officer , Smt. Aparajita Ghosh , General Manager (Finance), and Shri Hitesh Borana – Assist . Company Secretary.

As I normally do during these con calls, I shall proceed in the following fashion prior to addressing your queries. I shall touch upon the financial performance of the quarter ending and half year ending 30th September 2025, will give you a glimpse of the physical performance that has translated into the financial performance, cover the order book, give y ou a glimpse of the future outlook, including orders on the anvil and culminate with our expansion plans.

I am happy to inform you that the results of Q2 FY '26 have been encouraging, and we have been able to sustain the growth momentum, recording a strong set of numbers. Our revenue from operations year -on-year has gone up from ■1,153 crores to ■1,677 crores, registering a growth of 45%. Similarly, the total income has moved up by 42%, with the profit after tax moving from ■98 crores to ■154 crores regist ering a growth of 57%.

Coming to the order book that the company had as on 30th September, our order book stood at ■20,205.56 crores. This comprises of 10 shipbuilding projects consisting of 43 platforms. These include 13 warships for the Indian Navy, i.e . two P -17 Alpha A dvanced Frigate, one Survey Vessel (Large), 6 Anti -Submarine Shallow Water Crafts , and 4 Next -Generation Offshore Patrol Vessel. In addition to these 13 warships, we are also executing two export projects, a project of 12 Multi- Purpose Vessels for our German clients and a Trailing Suction Hopper Dredger for the Government of Bangladesh. The export platforms , 2 projects consisting of 13 warships. And we are also constructing 13 hybrid ferries for the Government of West Bengal.

In addition, we are also executing three projects for Specialized Research Vessels. One for the Ministry of Earth Sciences, i.e., Ocean Research Vessel; two Coastal Research Vessels for the Geological Survey of India; and one Acoustic Research Ship for the DRDO/NPOL, Kochi. These 10 projects for the three platforms pertain to shipbuilding.

In addition, we are also executing an order for the Indian Navy for manufacturing of our N aval Surface Guns, two S hip Repair projects, including an export project for the Government of Mauritius, in addition to orders that we have on the P ortable Steel Bridges, the Bailey Bridge Division, the Deck Machinery Division, and the Diesel Engine Plant at Ranchi.

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I shall now touch upon the progress of the ongoing projects that will give you an understanding as to where we are with respect to execution of these projects.

Coming to the P -17 Alpha project, as you are aware, this is a big prestigious project consisting of three warships. And I am happy to inform you that the first ship has been delivered ahead of schedule, and the second ship is getting ready for Contractor Sea Trials. We should be steering the ship for Contractor Sea Trials sometime during the end of this month, November

. And thi s ship, as with the first ship shall be delivered ahead of schedule.

The third ship, the last of this project has completed nearly 60% of construction and it's moving towards this delivery schedule during mid- 2026. With that, we will be completing this pr oject.

Coming to the Survey Vessel (Large) project. This is a 4 -ship project, three ships have already been delivered and the fourth ship has achieved nearly 85% physical progress of construction and has successfully completed the Contractor Sea Trials. It shall now be made ready for delivery planned during February , 2026.

Now , the Anti -Submarine Shallow Water Craft project , this is the 8 -ship project. Total 16 ships, eight ships by GRSE and eight by another public sector shipyard and I am happy to inform you that two of our vessels have already been delivered. Both the ships have since been commissioned into the Indian Navy and the third ship has completed her final machinery trials and is getting ready for delivery. We intend delivering the ship early next month.

The fourth and fifth ship has achieved nearly 80% and 72% physical progress of construction, respectively and we are targeting delivery of both these ships during the first half of 2026.

The balance three ships, the 6th, 7th, and 8th, have progress of construction ranging from 65% to 70% and by end of next year, we will be completing the Anti -Submarine Shallow Water Craft project.

The fourth project that we are doing for the Navy is the Next Generation Offshore Patrol Vessel project. This project is moving along fine. Those two ships have achieved nearly 60 -plus percentage of physical progress, and the next two ships are around 52% progress of construction.

The first two ships , Ship 1 and Ship 2, shall be launched during early 2026 and the next two ships shall be launched during the latter half of 2026. This delivery of these vessels as per contract is scheduled by 2028. And as of now, we are on track towards timely delivery.

The next project is the Hybrid Vessel project that we are undertaking for the Government of West Bengal. This is the World Bank funding project, 13 vessels: seven vessels 100 pax

passengers and 6 vessels 200 pax passengers. The project is on track and the delivery of these vessels shall commence from early 2026. The project completion is scheduled by 2027.

The next project I would like to bring to your notice is the Multi -purpose vessels, export projects that we are undertaking for a German client. Just to put things in perspective, this was initially a 4 -ship project, then the quantum got increased to 8 and thereafter 12, with an option for another two vessels. Of that, first vessel has already been completed. The delivery of these vessels is expected to be completed by 2029.

Next project is the low -value project, about ₹135 crores project. The delivery of this vessel is planned during mid- 2027, the project is on track. The first vessel project has kick started. The Ocean Going, the Acoustic Research Ship, and the Coastal Research Vessels, the delivery of these vessels are planned between 2027 and 2028.

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I shall now touch upon the future outlook and give you a glimpse of the orders that are on the anvil . As you may be aware, the Navy and the Coast Guard have got a huge expansion plan. And as of now, three projects, one for the Coast Guard and two for the Navy , the RFPs have already been issued. Eighteen SPV projects for the Coast Guard, five Next -Generation Survey Vessels for the Navy and two Multi -Purpose Vessels for the Navy. The total likely order value is approximately ₹8,700 crores between these three projects. GRSE has already submitted a bids of two of these projects and the third project the bid submission, as I understand, is towards the end of this month.

In addition, seven more projects have been accorded the Approval of Necessity (AoN) by the Defence Acquisition

Decision Council over the last one year. These include the P -17 Bravo project of 7 ships , the Mine Counter Measure Vessel (MCMV) - 12 ships , the Fast Interceptor Craft - 120 vessels, 18 FIBs , 31 Next -Generation Waterjet FACs , 4 LPDs , and 5 NOPVs between Navy and Coast Guard. And the high- value projects among these are the P -17 Bravo, the AoN value itself is approximately ₹70,000 crores , the Mine Counter Measure Vessel is about ₹32,000 crores , and LPD around ₹ 35,000 crores. So, all put together, these seven projects for which the AoN has been accorded the value comes to approximately ₹1, 52,000 crores.

Here, I am not discussing the Submarine project, the ISP project or the Next -Generation Destroyer. Keeping it out of this bracket. So , for these projects, the AoN has not yet been accorded. In addition, we have already , GRSE , has already signed an MoU with a European client for Multi-purpose vessels akin towards vessels for which we already signed the contract. They are still in discussion stage. So, we expect these projects to gain some traction over the next 6

months.

Now with a strong order book. So, I forgot to mention regarding the Next-Generation Corvette project. As you are aware, we have been deployed L1 in this project, a high-value project. And we expect the contract to be signed in the next 3 to 4 months. And we are confident of ending the financial year with an order book plus ₹50,000 crores, which is well above the highest order book position that the company ever had. Actually, I think, it is almost 100% more than what it ever had. So, this is something which we are eagerly looking forward to.

So, with the background, a good order book, strong order book, much more on the anvil in the defence and export, domestic defence and commercial export segments. We are good to go for a strong future. And with this background, we had systematically prepared our capacity enhancement plan and our shipbuilding capacity increased from 24 ships concurrent construction to 28 ships during 2024-2025 and with the ongoing modernization, we intend to increase this to 32 ships by 2026. But I must state that this itself will not be adequate to meet the demand that is available in the market. So, we are going in for a brownfield expansion between West Bengal in three pockets, and I mean the pockets in three separate areas and a greenfield shipyard in the West Coast.

So, these brownfield and greenfield expansion plan will take a finite amount of time. In our appreciation in around 4 years, the shipbuilding capacity shall be increased from the envisaged 32 during 2026 to 40. And this 40 should be adequate to meet the dimensional requirements of the future projects, especially for large-sized commercial vessels.

I think that gives you a glimpse of what we have done during the last quarter and half year. The current order book and the progress position status of each of the projects that we are undertaking, the orders that are likely to rectify in the future and our expansion plan to meet the envisaged orders. I am open for any questions now, the moderator may take on.

Moderator : Thank you. Our first question comes from Amit Dixit from Goldman Sachs. Please go ahead.

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Amit Dixit : Good evening, everyone. Congratulations for a good set of numbers. A couple of questions from my side, sir. One is the recently approved AoNs of ₹79,000-odd crores, there was a mention of LPD over there. So just wanted to understand the quantum of LPD that could be there and then secondly, who all are in the fray for this particular platform? And part C of the question is that how long it will take for us to build this LPD, if we get the contract?

P.R. Hari: Thank you, Mr. Amit. You're absolutely right. The last DAC meeting, they have accorded AoNs for various projects including the LPD project. This is a high-value project that consists of 4

-ship project. The 4-ship project with an order value likely to the tune of around ₹35,000 crores. Next question, who all. The three of us i.e., MDL, HSL, GRSE plus Cochin Shipyard plus L&T. This is the expected players in the field for this project. And normally, it takes about 1 year to 1.5 years for the RFP to be issued from the time of the accord of AoN. And from the time of RFP issuance, it takes about a year for the contract, including L1 declaration contract to be signed. So about 2 to 2.5 years from now, the contract is expected to be signed. And as per my understanding, the project duration will be around 48 months i.e. 4 years for the first ship and every 6 months for one ship thereafter. That is my apprehension.

Amit Dixit: Okay, sir, that's very helpful. The second question is essentially on Next-Generation Corvette. So, the project, the awarding of contract has been, I think, delayed quite a bit. Where we are actually on this, there were certain defence companies who mentioned on their call that they are expecting some trickle-down orders for this next year. But unless and until it is awarded, it's very difficult to see how they can get the trickle-down orders. So just wanted your thoughts on this, where are we actually and when can we expect the decision on this?

P.R. Hari: As our defence partners are waiting for our trickle-down orders, we are waiting for the main order. And at the outset, the project has not been delayed with respect to award of contract. This is a natural process. Once the L1 is declared, there will be a price negotiation and then the contract and it is a high-value order. Total order value for each ship is to the tune of almost ₹51,000 crores. So, naturally, it will take a finite amount of time for the contract to be concluded. I am happy to inform you that the contract negotiations are in final stages, and we expect the contract to be signed in the next 3 to 4 months, which means in this financial year.

Now, in this contract being a high-value contract for an advanced platform, the partner range could be from MSME to major global OEMs. So, for a major project like this, there is pre-production time that has been awarded. So, from the time of award of contract, there is a pre-production, pre-determined time that is awarded. During this period, we will be placing orders to all our partners, the major OEMs, as well as the MSMEs based on the design and maturity. So, they can be rest assured that many of these orders could trickle-down during FY '27 starting from the first half onwards. With the contracts signing likely during Q4 of this year.

Amit Dixit: Okay, sir, that's very helpful. The third one, and if I may, and this is the last question from my side, is that if you see we are actually cruising at a very good execution as of now. But the old book is also diminishing. So, until we hit really the pressure on NGC and Landing Platform Dock, do you foresee that in the next, let's say, 3 to 4 quarters will face a period where there's significant earnings decline just because we would have exhausted our order book?

P.R. Hari: Okay. I will put it this way. When we started this financial year, our order book was around ₹22,000 crores. In the last 2 quarters, we have actually recognized revenue to the tune of around ₹2,942 crores whereas our order book has dropped only by around ₹2,000 crores, which means around ₹900 crores of orders we already obtained during this quarter.

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What we are doing is rather while waiting for high-ticket items like the NGC order to be contracted, we are meanwhile getting orders for small-small projects be it for commercial ships, research vessels, so that the revenue does not drop in the coming year. To answer your direct question regarding, is there any likelihood of revenue depletion in the coming few quarters? No. I don't expect that purely because

e, the P-17 Alpha project is very much on even as of now and so the second major project, the Anti-Submarine Shallow Water Craft project. And those two projects are likely to extend to one of them mid of next year and the second one end of next year. So, I don't see any revenue depletion in the next 2 to 3 or 3 to 4 quarters. I hope that answers your question. Thank you.

Moderator: Thank you. Our next question comes from the line of Krishna Doshi from Ashika Institutional Equities. Please go ahead.

Krishna Doshi: Congratulations, on a great set of numbers, sir. Sir, my first question would be with regards to the NGC order. So, I was just trying to understand like what kind of margins are we looking at in the NGC order? If you could just possibly give us a range or something?

P.R. Hari: See, always trick questions are welcome, just trend on the margin. Okay, and see, this project has been won on competition, and I hope you are aware of that. But this being a high-value project, I would just state - I'll go back to what I normally say shipbuilding in conventional shipbuilding, good margin, the PAT margin would be around 7.5 percentage, and we can assure our investors and partners that we'll be getting well beyond that. So, margins will not be wafered there.

Krishna Doshi: Perfect. Okay, sir. Sir, my second question would be that we've seen like significantly higher gross margins in this quarter, but we have also seen a spike when it comes to the subcontracting cost and other expenses. So, if you could please elaborate, what were this cost attributed to?

P.R. Hari: Thank you. One, you mentioned about the higher margins this quarter and also increase in subcontracting costs. As a strategy, our non-core jobs, including a certain amount of construction activities are outsourced. So, it is not natural that as the overall revenue increases, the subcontracting cost also increases, and that is purely a natural phenomenon, and no matter of concern. Now coming to margins. Right now, we are recognizing maximum revenues from the P-17 Alpha project. The second ship has reached a stage where the trial phase has started, the equipment installation has been completed. So, this being a definite profit-making project. So, the revenue recognition as well as margins are good during this quarter. And the same trend is likely to continue in the next quarter too, where the project is likely to be in a similar pace even in the next quarter.

Krishna Doshi: Just the last question that our revenue guidance has always been in the range of 25% to 30%. However, in the first half only, we have delivered a revenue growth of around 38%, if you see year-on-year in the first half. So, do we now want to revise our revenue guidance upwards?

P.R. Hari: See, you're absolutely right. We have been maintaining about 25% to 30% year-on-year growth and we expect to maintain similar trend during the current financial year too.

Moderator : Thank you. Our next question comes from the line of Sai Vijay from Capstocks & Securities. Please go ahead.

Sai Vijay : Sir, my question is regarding the upcoming P -17 Bravo project. When is the RFP expected? I think you mentioned around 2 calls back that it should be released soon, right?

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P.R. Hari: Thank you, Mr. Sai. Yes, we are also waiting for the P -17 Bravo project having now raised almost 2/3 of the P -17 Alpha project. Yes, the AoN has already been accorded by the DAC about, I think, about 8 months back. We expect the RFP to come out during the current financial year. With our Bravo ship project not likely, it will be split between two shipyards, the L1 shipyard taking 4, and the L2 shipyard taking 3. So, as I said, RFP is expected during the end of Q4 FY '26.

Sai Vijay: Sir, you already have given your experience with P -17 Alpha, how confident are you about winning the order? And also, could you

just share the shipyards names participating in the bid?

P.R. Hari: Okay. So, from my information, about 4 shipyards were there. So, the probability is very high. MDL, GRSE, L&P and Cochin Shipyard. These are the four shipyards who have been shortlisted for this project as of now. And we expect it to remain in the same fashion. And yes, see, I don't know whether you remember or not, when we started discussing the NGC project almost 2.5 years back, we have been, by the management, GRSE has been continuously stating that with the experience gained from the projects executed by GRSE for the Navy, we will be bidding in such a fashion as to win the bid and we have won the bid. So, I would like to maintain the same confidence that with the experience of having built the P -17 Alpha frigate, we will be bidding in such a fashion to bring those people in Bravo.

Moderator : Thank you. Our next question comes from the line of Ayush Agrawal from MAPL Value Investing Fund. Please go ahead.

Ayush Agrawal: Sir, I wanted to get a better understanding on our Weapon- systems program. We are seeing a lot of focus on Naval Gun procurement from Warships as well as Coast Guard vessels. And recently in the DAC program also government wants to procure more Naval Guns. So, just your understanding of like what is changing and why so much demand suddenly?

P.R. Hari: Could you please repeat the question. Are you specifically talking about Weapon- systems or are you talking about Warship in general?

Ayush Agrawal: Weapon systems, Naval Gun procurement part.

P.R. Hari: Okay. Got it. So as a diversified company, as you are aware, as our name states, Garden Reach Shipbuilders & Engineers Ltd, unlike any other conventional shipyard, we are a fully diversified company, and one of our products is Weapon. So, we have started with the Naval Surface Gun in collaboration with an establishment partner and happy to inform you that we already successfully completed the acceptance trials of this Naval Surface Gun and with the success of the equipment, the gun, we expect more orders from the Navy and the Coast Guard, because both Navy and the Coast Guard have requirement of the 30 mm Guns for their medium -sized and small -sized platform, which they have in large number. So, I see a huge potential on this front. As I stated, we are expecting more orders from both the Navy and the Coast Guard for the 30 mm gun. We are also exploring the feasibility of further expanding our range of Weapon-system. They are still in discussion stage. So, maybe in one of the subsequent interactions, I'll be able to give more clarity on this as we progress. But right now, we are focusing on the 30 mm Naval Surface Gun.

Ayush Agrawal: Understood. Sir, second question is just a follow -up that, currently, there are 10 guns is what I believe and many would be in RFP stage also. So, if you can tell us a number, how many would be in the RFP stage? And going ahead, what can be our annual Naval Gun installations?

P.R. Hari: See, I will put it this way. I can give you the broad numbers. Of course, I will not be able to share the exact numbers, but I can give you a hint. But the point is what we must acknowledge is that this gun has just been developed and the acceptance the first gun has been completed just

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about 4 months back. So, it is still in the stabilization phase. To answer your question with respect to, yes, we have received an RFP for 7 more guns, which are under the final negotiations for contract conclusion. We have received an inquiry for nearly 50 guns. So, the opportunities are huge. But at this stage, 10 plus 7 plus 49 is what we have in our basket. 10 contract already signed, 7 still in liquid form. We expect the contract to be signed soon and the 49 at a very nascent stage.

Ayush Agrawal: Sir, just one last question on this one. Are the older naval gun

ns also getting replaced on the existing vessels?

P.R. Hari: I shall follow up this further. And maybe in one of the subsequent interactions, I shall let you know more on this. But as I understand, yes, there is a need to replace the vintage guns. But at this moment, since it is evident that Navy is focusing on 30 mm guns, their focus is on smaller caliber guns. But I shall definitely revert to you with further information as and when I get with respect to the other weapon systems of the process.

Moderator : Thank you. Our next question comes from the line of Yash, an investor. Please go ahead.

Yash: Thanks for the opportunity. And thanks to the Commodore Hari sir, we learned a lot from you during your interactions with the investors. And I really respect you for your patient responses and very elaborate thing to the investor. And my question is regarding non- operational corporate event. So , I just want to check that the other shipbuilding companies have given some corporate actions like stock split or bonus. So , I just want to check, is there anything on the card, sir?

P.R. Hari: Could you repeat the question part once again? I am not able to hear clearly, some sort of ...

Yash: So, the thing is that the other shipyards have given some corporate actions like stock split or something like that. So , is there anything on the cards for our company also, sir?

P.R. Hari: Thank you, Mr. Yash. I could hear your question clearly and the intent. See, we are purely guided by DIPAM guidelines, and we are waiting for instructions from them. And as and when we get to know, our investors will be the first to know from us. At this juncture, we are waiting for further directives from DIPAM.

Yash: And one more question, sir. And also , a lot of capacity, you mentioned that you are also eyeing for greenfield shipyard and also, is there anything finalized, sir? Just want to check on that.

P.R. Hari: Okay. What I had mentioned was, one, there is a definite need for capacity adjustment. And we are doing it in two parts, not phases. One is to create brownfield facility and brownfield facility , we definitely would prefer in our home state i.e. West Bengal . And the process has already started , areas are identified, taken on charge atleast 2 of the 3 areas, and we have started the development of these areas. So that is very much in hand.

As far as the West Coast project is concerned, area has been identified. The DPR preparation is currently in progress. And this will, see any shipbuilding infrastructure, it takes a certain amount of time. It is capital intensive and time intensive. So , considering that, I would put a conservative time of about 3 to 4 years for greenfield expansion plan to fructify. As I said, right now, the DPR is under preparation. It is moving in the right direction. And maybe in about in a year, we'll be able to put the DPR effort into action with respect to implementation. It is in the West Coast. That is the second thing.

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Yash: Sure, sir. Great, sir. And I hope under your leadership, so our company will have a long way to go. Thank you, sir. Thanks for the effort and all, you are keeping and making this company great, sir. Thanks a lot, sir.

Moderator : Thank you. Our next question comes from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah : Yes, sir. And first of all, congratulations on the first delivery of the frigate, the P -17 Alpha, that we could deliver to the country. So , big thank you from everybody and to the entire team of GRSE, congratulations on that side. Enjoyed the entire journey from the date of the order announcement till the actual delivery as an investor. Sir, just a few pointers, I just wanted to understand. When you stated during the opening remarks that the AoN is about INR 1 ,52,000 crores that was pertaining to the opportunity that we can look at. Is that the unders

tanding, correct?

P.R. Hari: Thank you on your best wishes and congratulations on the delivery of this first and we assure you that even the next ship is very much on the right track for delivery ahead of schedule. Now coming to the order book on that. See, I have stated that in addition to the pre- RFPs, which already been promulgated for which the order value is likely to be to the tune of around ₹8,700 crores. There are 7 more projects for which the DAC has already accorded AoN . These include I think, I have mentioned this already , P-17 Bravo - 7, 12 Mine Counter Measure Vessels, 120

FICs, 18 Interceptor Boats, Next- Generation Fast Attack Crafts - 31, LPDs - 4 and 5 NOPVs. These ships put together and the value it comes to ₹1, 52,000 crores, again with the consolidated estimate. It could be maybe, see this is AoN cost, it could vary ₹2,000 crores, so, plus this ₹8,700 crores RFP.

Now, the number, okay, I will give further elaborate to give you a little more confidence. This is only from the defense segment, domestic defense segment. In addition, I am sure you are keeping track of the news that the Ministry of Shipping has aggregated the demand, shipbuilding demand of all the non- defense PSUs like the ONGC and so on for their commercial vessels. And the number of platforms at various places are identified so far is 207. It is a mandate number of 207, ranging from MR tankers, LR tankers, platform support capacity, Supramax, Aframax, Panamax type of tankers vessels, so that is 207 in number. The cost, again very conservative. It should be to the tune of ₹5,000 crores. This is the second bucket. Now, then comes another segment i.e. the export segment for commercial ships. And just as recently as today, maybe around 1 hour back, I had a European client sitting with us discussing our project i.e. a kind of proactive and very positive approach that the European shipbuilders, shipowners are showing towards Indian companies. Every major shipyard in India today, be it CSL, be it GSL, be it HSL you name it or MDL, they all have commercial shipbuilding orders, including us. I mentioned that we have got 12 Multi -Purpose Vessels and this segment is going to expand exponentially. So, there are three segments, one is the ₹152,000 crores plus ₹8,700 crores defense assured kitty. Then comes the 207, which is the top, own- drive directive, the Government of India is very closely monitoring the commercial shipbuilding segment and of course, the export. And the number of shipyards in India, all big, small, all put together are just maybe, few of them are lumpy. I will take the big shipyards; big shipyards take big orders. So, if you put all these things in the perspective, the opportunity is available for all of us. And you know how we target projects by now. So, the share that we will be buying for, arriving for will be substantial in the coming years, let's say, 1, 2, 3 years. This is in addition to the assured order, which we are likely to sign the contract in the next 3, 4 months for the NGC. This is where we stand today.

Sunil Shah: Yes. Sir, just a little bit more on the same point. Sir, as we speak, roughly, our current order book is about ₹20,000 crores, and we are L1 for the NGC, which is ₹25,000 crores. So, by end

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of the year, this financial year, FY '26, as you stated, our order book could be approximately, let's say, ₹50,000 crores. But 1 year forward from now, FY '27 year -end, once at that point in time, even the P -17 Bravo would be announced. So, is it a safe assumption that the order book of today of ₹20,000 crores maybe in the next 15 to 18 months could be upwards of ₹75,000 crores. Is my directional assumption, correct? That's what I would like to understand. Not in number, but maybe directional.

P.R. Hari: Absolutely right. And they are of the same frequency. I just hope your words come true. That is exactly that

we are targeting. Right now, our order book is ₹20,000 crores. As you rightly said, of course, I would like to just make a slight correction to the NGC figure, that could be to the tune of around ₹30,000 crores order. All put together, we should end the financial year with around ₹50,000 crores. And if we get the P -17 Bravo, let's take the best -case scenario of 4 ships coming to us or the worst -case scenario of 3 ships coming to us, the order could go up exactly the way you predicted.

Sunil Shah: Great, sir. Just one point here, which I wanted to understand was, we are now getting into the capacity expansion mode of Brownfield and the West Coast opportunity as well, for which the DPR is there. But the current state of affairs of shipbuilding taking up a big step forward in that direction. So, our contract with Swan Energy / Swan Defence, wherein that port is in a way, unutilized. And for us, maybe that could be one big thing, because we signed an MoU, but actionable on that side. Because if the orders are coming, we also have that untapped idle capacity, which we can use. So, can we speed up the growth even more biddings as because it's so much on the platform. Undoubtedly, we are doing remarkable, but still on that side. If you could make me understand on the Swan piece that we had some association earlier.

P.R. Hari: Yes, it is true that we have signed the MoU with the Swan Shipyard. And we are actually waiting for the right opportunity. See, first we need to get the right kind of platform, which has to be profitable. So, and why did we go to Swan specifically, because the type of ships, which, let's say, 250 meters plus ship, we cannot build with the current capacity that we have. It is for that reason we decided to go in for an MoU with Swan and also with L&T Shipyard. So, we are in discussion with few of the shipowners, as and when the right opportunity comes in here, the time, space, cost, project timeline has to match. It will happen, but then I cannot say at this

point. We are waiting for the right opportunity. While those MoUs exist, we decided as a management strategy that we must have our own captive facility for future i.e. the reason why we are looking at the greenfield facility. So, Swan, definitely very much the MoU is very much active, but we are waiting for the right opportunity.

Moderator : Thank you. Our next question comes from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia : Congratulations for a good set of numbers. Could you give us a breakup of the ₹20,000 crore order book across all the ship categories which you have, sir?

P.R. Hari: Sure. I will start with the P -17 Alpha project. The P -17 Alpha project, the spending remaining order balance order values around ₹9,500 crores. The Anti -Submarine Shallow Water Craft is around ₹3,075 crores. The Survey Vessel (Large) is around ₹400 crores. The Next -Generation Offshore Patrol Vessel is around ₹3,250 crores and the 30mm Naval Surface Gun is around ₹150 crores. Rest all vessels all put together, that comes to around okay, the Ocean Research Vessel is around ₹750 crores, the Acoustic Research Ship around ₹220 crores, the West Bengal Electric Ferry, again about ₹220 crores and the Coast Research Vessels is around ₹460 crores.

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The Multi -Purpose Vessels for the German plant around ₹5,400 crores and the remaining order value on the dredger is about ₹95 crores. So, all put together, ships building order book is around ₹19,856 crores.

Here, what I would like to bring to your notice is that there is a point of time from our entire shipbuilding order book was catering to Naval or Coast Guard orders . There was a point of time, 100% of our order book is from shipbuilding and shipbuilding, of course, constitute almost 95% to 98% of our total order value. 100% used to come from defence platforms. But now we have reached stage

of ₹19,856 crores, 83% is coming from defence and balance 17% is coming from non- defence platforms. That is an interesting aspect that I thought I must inform. So, I hope you got the breakdown.

Harshit Kapadia: No, no, that's really great, sir. Thanks for the breakup and in detailed breakup and congrats that you are now diversifying yourself. Secondly, sir, just wanted to check the ₹9,000 crores figure, which you have given for P -17 Alpha. That is for now two ships? Or there is some portion of the third ship, which is also remaining, which is the one that you have...P -17 Alpha order which you have mentioned of, that is only or ----

Moderator : Sorry to interrupt. Harshit sir, again your line is cutting off in between. So , the question, certain words are getting missed.

P.R. Hari: I think, I got your question. Shall I answer? You can correct me in case; I think you asked me about ₹9,400 crores are remaining. You asked me whether this ₹9,400 crore consists of the remaining order value for the last two ships, correct?

Harshit Kapadia : Yes, sir.

P.R. Hari: I would like to put it like this. It consists of balance two ships plus the Base and Depot spares. In one of the earlier interactions, I have mentioned that in the overall project cost, x percentage is dedicated for the Base and Depot spares for which the customer in consultation with us decided the Base and Depot spares and these spares are for long- term maintenance of the ships. So, this actual project value for the next 2 ships, the one which is ready, almost ready for delivery plus the large ships plus the Base and Depot spares all put together, it comes to ₹9,400 odd crores.

Moderator : Thank you. Our next question comes from the line of Divyesh Shah from Uchit Capital. Please go ahead.

Divyesh Shah : Sir, congratulations for the excellent performance from last 5 years and still continuing and hope we will continue same performance in the future, sir. Sir, as per your opening statement, we are growing at about as far as revenue is concerned, about 30%. So, my rough estimate is that for and we have got a visibility of minimum next 3 years, FY'26, FY'27 and FY '28. And if I calculate by FY '28, we will be somewhere around ₹10,000 crores to ₹11,000 crores. Sir, can you please elaborate the life after FY '28, our revenue, what is our strategy after '28? Because today morning in media, you just mentioned one line that after 3 years, it will be plateau out. So, can you elaborate the revenue strategy after FY '28?

P.R. Hari: Okay. Thank you, Mr. Shah. I thank you for your best wishes. But you just picked up one part of what I mentioned. I also mentioned that I said it will plateau from 2 to 4 years, I think up to 2 years, definitely, the spike

what we are maintaining will continue, then it will plateau and thereafter, it will spike again. Because that is the time when the Next-Generation Corvette will start giving us revenue in a substantial fashion. And, also to give you assurance that we have bridged the gap, and it is only to bridge this gap that we are taking orders at plenty for smaller

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and medium-sized platforms. So again, I will put it in the right perspective. FY '26, FY '27, you will see a definite upward movement, consistent upward movement, then it could plateau out for 2 years and then the spike will start again. And hopefully, as one of the earlier speakers, Mr. Yash had mentioned that we are really looking forward for the P-17 Bravo also to sustain the growth in future.

Moderator : Thank you. Our next question comes from the line of Rohit Priyadarshi from MAPL. Please go ahead.

Rohit Priyadarshi: Yes. Sir, my question would be on the weapon side only. Sir, there is existing indigenized 30 mm platform, the AK630, which is being made by the government lab. So, sir, just trying to understand how our guns compared to them, since they are a

well-established vendors with several installations. Sir, why should we be winning orders against them? Sir, what makes us differentiated in this?

P.R. Hari: Sorry, Mr. Rohit, could you repeat the question, please?

Rohit Priyadarshi: Okay, sir, I'll repeat. Sir, I was asking about this there is another indigenized 30 mm platform, the AK 630, which is being made by the government labs. Sir, just trying to understand, sir, how are our guns compared to them? Since they are an established vendor with several installations, sir, what makes us differentiated?

P.R. Hari: Okay. These are for two different purposes. One is for anti-aircraft engagement and close in weapon-system and 30 mm is for a different purpose, it is naval and coast guard surface gun. The bore of this particular gun is 30 mm. This is the first time, I repeat this is the first time induction into the Indian Navy. And we see no competition at all between those guns. Again, in some of the platforms, there could be a situation where both these guns are fitted. And the 30 mm gun is most apt as a primary one for very small platforms like the Anti-Submarine Shallow Water Crafts or the Fast Attack Crafts, which are in very large numbers where this particular one NSG, we call it 30 mm NSG is ideally suited. In larger platforms, this particular one can be used as a secondary one. So, we do not see the proven 630 as a challenge at all. Rather, we do not see 30 mm as a challenge to 630. Both are two totally different purpose, totally different identities. And so, there is no flash of operational, let us say, requirements.

Rohit Priyadarshi: Okay. And sir, next question would be on our production and development partners are Blue Horizon and Elbit. So, are we exclusively working with them? Or are there other vendors also to manufacture these guns for us?

P.R. Hari: For the 50 mm gun, we are working exclusively with them.

Rohit Priyadarshi: Okay. And sir, last question would be on this Sir, by when will the existing 10 guns will be installed?

P.R. Hari: We expect the 10 guns to be installed. See, I'll give you a broad answer. We have faced certain number of challenges in the initial phases, all stabilized now. 4 guns have already been supplied out of the 10. 3 installed, next 6 weapons supplied, as I mentioned, the next 6 shall be supplied in the next 4 months.

Rohit Priyadarshi: Okay. And sir, do we have any additional gun RFPs in place after these initial 10 guns are fitted?

P.R. Hari: Yes. There is an RFP which is live for 7 guns, which we expect the contract to be signed soon. And we also got an inquiry, which is live for 49 guns.

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Moderator : Thank you. Our next question comes from the line of Anirudh Murarka from Continental. Please go ahead.

Anirudh Murarka: Congratulations, sir, on a very stable set of numbers. My first question is how much cash we are having on the books right now?

P.R. Hari: I couldn't hear, Mr. Anirudh. Could you repeat the question, please?

Anirudh Murarka: How much cash equivalent or cash we are holding right now in our balance sheet?

P.R. Hari: ₹3,009 crores.

Anirudh Murarka: And sir, how do we intend to use it?

P.R. Hari: See, our own funds are ₹283 crores and project funds are ₹2,874 crores, which we have parked so that the payment especially from our side is for our partners or for other requirements. That is what we are planning for the current year.

Anirudh Murarka: Sir, my final question is, is it my right assessment to say that the best is yet to come for our company?

P.R. Hari: Again, last question, sorry, I couldn't get you. Could you repeat again?

Anirudh Murarka: Sir, if my assessment is right, the best is yet to come for our company. Would you like to adhere to this?

P.R. Hari: I would also like to assume the same, but yes, the best is yet to come.

Moderator : Thank you. Our next question

comes from the line of Kartik Bhatt, an investor. Please go ahead.

Kartik Bhatt: Congratulations, sir, to the entire team on excellent performance in the last quarter. It's been truly commendable execution, I think, over the last 5 - 6 years as well, especially with the delivery of P-17 Alpha as well. So, congratulations for that. Most of my questions have been answered. So just one or two quick clarifications. You mentioned the planned brownfield expansion coming up in 3 pockets, I believe. So, will it be coming up phase-wise as well? If yes, then by when are we targeting Phase 1 to be coming up?

P.R. Hari: No. We will be moving concurrently. Two of the projects, the two process we should be able to operationalize within a year. And the third project between... just to suffice to say that all three we are doing concurrently, because they have physically disbursed. So, we don't have to go sequentially, we are going concurrently.

Kartik Bhatt: Okay. Sure. And sir, you also mentioned in one of the earlier calls about European companies looking at India as a shipbuilding destination for commercial ship building. Is the margin profile likely to be similar to or the defence building is slightly better? I mean, expecting -- I mean, considering that we get more orders in this segment going forward?

P.R. Hari: Okay. We will put it this way. We started with a very, very simple conventional platforms like Multi-purpose Vessels. Because we wanted to get an experience and a foothold into the commercial shipbuilding segment. So, for the first projects for conventional ships, we're doing with thin margins. I can do what we have for domestic ship. But for complex vessels, which are going to convert the exploration vessels or hybrid vessels, there the margins are going to be good. But we need to have a little patience because once we need to get our name established

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like Cochin Shipyard, because they have started with commercial shipbuilding business almost 30 years back, from the time they are an established one. We started the commercial shipbuilding almost 4 years back. Today, we have a name. But for us to get complex platforms with higher margins, little more patience is required. I expect another 1 year to 2 years, it should be very much there.

Moderator : Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to C.M. P. R. Hari for closing comments.

P.R. Hari: Thank you, Sagar, and thank you, Gaurav from Concept. And thank you all the investors and analysts for participating in the conference, showing interest in our company, as always, and having a thorough round of question & answer session with us. I really enjoyed interacting with each one of you. I now conclude the session. Thank you. Jai Hind !

Moderator : On behalf of Garden Reach Shipbuilders & Engineers Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

SECY/GRSE/BD -69/AM/04/2 5-26 19 May 2026

National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400 051
Symbol: GRSE BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street
Mumbai – 400 001
Scrip Code: 542011

Dear Sir / Madam,

Sub: Transcript of Investors/Analyst Conference Call for Q4 & FY 26 of GRSE –
Reg 30

1. Further to our Intimation Letter No. SECY/GRSE/BD -69/AM/04(R)/25 -26 dated 07 May 2026 , we wish to inform that Conference Call was held on Tuesday, 12th May 2026 at 03:30 P.M. to discuss the Audited Financial Results of the Company for the Quarter and Year Ended 31st March, 2026 .

2. In this regard and pursuant to Regulation 30 read with para A of Part A of Schedule III of the SEBI (LODR) Regulations, 2015, the Transcript of the Investors/Analyst Conference Call for Q4 & FY 26 of the Company is enclosed herewith.

3. This is for your information and records.

Thanking You,

Yours faithfully,

For Garden Reach Shipbuilders & Engineers Limited

Sandeep Mahapatra
Company Secretary and Compliance Officer
ICSI Membership No. ACS 10992

Garden Reach Shipbuilders & Engineers Limited
Q4 & FY26 Earnings Conference Call
May 12th, 2026

Management:

1. Cmde P. R. Hari, Indian Navy Retired – Chairman and Managing Director
2. Shri Niranjan Bhalerao – Director (Finance) & CFO
3. Smt. Aparajita Ghosh – Chief General Manager (Finance)
4. Shri Sandeep Mahapatra – Company Secretary & Compliance Officer

Garden Reach Shipbuilders & Engineers Limited
Q4 & FY26 Earnings Conference Call
May 12th, 2026

Moderator: Ladies and gentlemen, good afternoon and welcome to the conference call of Garden Reach Shipbuilders & Engineers Limited arranged by Concept Investor Relations to discuss its Q4 and FY26 Results.

We have with us today, Cmde P. R. Hari, IN (Retd) – Chairman and Managing Director; and Shri Niranjan Bhalerao – Director (Finance) and CFO; Smt. Aparajita Ghosh – Chief General Manager (Finance) and Shri Sandeep Mahapatra – Company Secretary and Compliance Officer. Please note, this conference will be recorded.

I would now like to hand over the floor to Commodore P. R. Hari – Chairman and Managing Director. Thank you, and over to you, sir.

P. R. Hari: Thank you. Good afternoon, ladies and gentlemen. And a warm welcome to each one of you and I welcome each one of you to the conference call of Garden Reach Shipbuilders to discuss the results for Q4 and Financial Year Ending 31st March, 2026.

With me here are Shri Niranjan Bhalerao – Director (Finance) and Chief Financial Officer; Smt. Aparajita Ghosh – Chief General Manager (Finance); Shri Sandeep Mahapatra, Company Secretary and Compliance Officer. And over the next few minutes, I shall give you a glimpse of our financial performance and thereafter highlight the physical performance that has resulted in the company recording strong numbers during the last financial year. I shall also touch upon the current order book, execution plan for the ongoing projects, orders on the anvil, and the future outlook of the Company, including a glimpse of our expansion plan.

As I have stated, our financial performance during the quarter four and Financial Year Ending 2026, March 31st, has been strong. And this has been the result of equally robust physical performance. During the quarter as well as the year, we have recorded our best-ever financial performance.

The revenue from operations recorded during the quarter was INR 2,119 crore, registering a growth of 29% over the last year and the profit after tax has moved up by 24%, from INR 244 crores to INR 303 crores. Similarly, the margins have also shown a substantial increase.

When we take the full financial year, I am happy to inform you that we have recorded a revenue from operations of INR 7,002 crore, registering a growth of 38% over the last financial year. Similarly, our profit after tax has moved up from INR 527 crore to INR 748 crore, registering a growth of 42%. All in all, the financial year has been excellent for us and so has been Quarter 4.

Coming to the physical performance:

Our core business continues to be shipbuilding; and from the shipbuilding perspective, this again has been the best ever year in the history of the Company. We delivered eight warships to the Indian Navy, and interestingly,

three of these vessels were delivered on the same day, and this perhaps is the first time in the history of our country. We also launched one warship with a keel laying of 19 platforms. These 19 of course include 13 hybrid ferries that we are building for the Government of West Bengal. So, 13 ferries plus 6 more platforms. We have done the keel laying during the last year.

Coming to the other business vertical:

Seven naval surface guns were delivered during the last year, and four of these have successfully completed the Sea Acceptance Trial. We also delivered 110 portable steel bridges. As you are aware, we have a daily bridges business vertical and during the last year, we delivered 110 bridges, including 30 for export.

I am also happy to inform you that the revenue from this particular vertical has touched INR 200 crore plus for the first time in the history of that vertical.

Also, we have recorded a revenue of over INR 270 crore from exports. Our current order book stands at INR 15,324.13 crore. Actually,

I am happy

that the order book has dropped below INR 20,000 crore in the last five years, it's the first time that the order book is dropping below INR 20,000 crore. And in my appreciation, this is an indication that our execution rate has improved. This order book comprises of nine projects, consisting of 39 platforms. The P-70 NALSA project, one more ship is yet to be delivered. The Anti-Submarine Shallow Water Craft Project, we have four ships pending for delivery. Four Next-Generation Offshore Patrol Vessels, one Ocean Research Vessel, one Acoustic Research Ship, two Coastal Research Vessels, 13 Hybrid Ferries, 12 Multipurpose Vessels, and 1,000-meter-cubed Dredger.

Now, coming to the execution plan of these ongoing projects:

As I have mentioned, one P-17 Alpha ship has yet to be delivered. This ship has already recorded about 74% physical progress of construction, and we intend delivering this ship during the current calendar year. The project is on schedule.

Coming to the Anti-Submarine Shallow Water Craft Project:

This is an eight-ship project, and of these eight ships, four have already been delivered, and the remaining four ships, two of them have touched about 80% physical progress of construction, and their basin trials have been completed, and we are preparing them for the Contractor Sea Trials, and we intend delivering these ships by the mid of the calendar year.

The last two ships, Ships 7 and 8, have touched around 60% physical progress of construction, and we will be delivering these ships during the current financial year, thereby completing this project also.

Coming to the Next-Generation Offshore Patrol Vessel project:

This is a four-ship project, and the first of these ships have reached the stage of launch, and the launch of this vessel is planned on 20th of this month. The progress of production, construction of the remaining three ships is also satisfactory, and we intend completing this project during Financial Year '29.

Coming to the other project, the non-defense project:

The Ocean Research Vessel, this we are constructing for the Ministry of Earth Sciences, one of their organizations, called the NCPOR-Goa. This vessel has already undergone about 50% of construction, and the ship is planned for launch during the current calendar year.

The Acoustic Research Ship that we are constructing for the DRDO, the ship has touched almost 20% physical progress of construction, and the 13 ferries, 6 - 200-PAX and 7 - 100-PAX ferries, they are on track, and the first two ferries of the 100-PAX are expected to be launched during May, that is this month, and the next one is planned for launch in the next month. This project shall be completed by the end of the current financial year.

Now coming to the two export projects:

As you are aware, we are executing a project for a German client, the 12-ship Multipurpose Vessel project. The keel laying, that is one of the project milestones, of three of the ships have already been completed, and the project is on track as of now.

And the last project that we are executing for the Government of Bangladesh, a dredger project on track, and we intend launching this vessel during the current financial year.

This in a nutshell gives you the execution plan for the orders in hand.

Now coming to what is on the anvil:

The orders on the anvil, as you are aware, that we are the L1 for the Next Generation Corvette project. The price negotiations have already been completed, and we are awaiting the formal signing of the contract. The date

is not fixed. It could happen any of these days. The order value is to the tune of around INR 33,000 crore.

Currently, three tenders are live, one for the Indian Navy and two for the Indian Coast Guard.

The Multipurpose Vessel project, two of these ships, the tender is already out. We expect the order value to be to the tune of around INR 1,

500 crore, and

the Next Generation Offshore Petrol Vessels for the Indian Coast Guard, five of these vessels, again, the order value is to the tune of around INR 2,000 crore, and 22 Interceptor Boats for the Indian Coast Guard again. The order

value is likely to the tune of around INR 1,000 crore.

In addition, three projects where we expect the RFPs to come out in the next three months, 120 Fast interceptor craft projects for the Indian Navy. The order value is to the tune of around INR 3,500 crore.

The 31 Follow-On Water Jet FAC project, again, for the Indian Navy, about INR 3,500 crore, and seven P-17 Bravo ships. The AoN, as you are aware, has already been recorded. We expect the RFP to come out in the next three months, and the order value is likely to the tune of around INR 70,000 crore.

This is in addition to the 12 Mine Countermeasure Vessels as I said. CMV project, again, for the Indian Navy. The AoN value is around INR 32,000 crore, and four landing platform dock LPDs, the order value is likely to the tune of around INR 35,000 crore. I have not included the Next Generation Destroyers or any other projects which are yet to get to the AoN status. These are the projects that I have listed out, are only the projects where AoN has been accorded, and as we appreciate the first three projects, that is the 120 FAC, 31 Follow-On Water Jet FAC, and the seven P-17 Bravo, we expect the RFP to come out in the next three months, and the other two projects, the Mine Countermeasure as well, and the Landing Platform Dock, most likely during the current financial year. And this, so the total estimated order value is to the tune of about 1,50,000 crore, excluding, of course, the NGC project.

In addition, what we had been discussing earlier, the aggregated demand of the domestic requirement of commercial vessels aggregated by the Ministry of Shipping, now it has gained traction, and four tenders are live. Four Platform Support Vessels, the cost could be to the tune of INR 1,200 to INR 1,500 crore. Four MR tankers, six very large gas carriers, VLGC, and six Aframax vessels. So, these tenders are live, and definitely we will be taking part in these tenders.

All this in a nutshell gives you the visibility on the opportunities that are currently available.

Coming to our expansion plan:

As I had stated before, our expansion plans are on the right track. And just to give you the perspective, our current shipbuilding capacity is for construction of 28 platforms. And with the ongoing expansion projects, that is the modernization projects within our premises, this capacity will get increased

to 32 ships by the end of the calendar year. And the projects that we have taken on for expansion is for creation of two Brownfield shipbuilding facilities in West Bengal, and two Greenfield shipbuilding facilities, one in West Bengal and one in Gujarat.

What we envisage is with the revitalization package for shipbuilding that has been promulgated by the government, which is to the tune of around INR 69,725 crore, and the demand for platforms that has already been aggregated

by the Ministry of Shipping, we expect the commercial shipbuilding segment to gather momentum. And it is with this intent that we are expanding to increase our shipbuilding capacity.

So, I have broadly given you a glimpse of our financial performance and how the strong fiscal performance during the last year has resulted in these

financial results. Given you a glimpse of the order book, the execution plan, the orders on the anvil, and also touched upon the expansion plans.

I have finished, ladies and gentlemen, and you may like to ask any questions as appropriate. The moderator may take on, please.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. First question is from the line

of Amit Dixit from GS

Investments. Please go ahead.

Amit Dixit: Good afternoon, everyone, and thanks for the opportunity. First of all, congratulations for a very robust quarter and year, sir. Couple of questions from my side. The first one is on, if I go through the Statutory Committee of Defense reports, then something very striking that if you look at the summary of contracts that are expected to be signed over the next two years, these have gone down substantially. In the last report, it was around INR 42,000 crores. In the report released in March, it is only INR 18,900 crore approximately for warships and survey vessels, that particular category. So, in that light, just wanted to understand that how do we look at the focus of the government in the near term on these warships and survey vessels that is our core area?

P. R. Hari: Thank you, Amit. Now, when the figure of INR 18,900 crore has been allotted for defense shipbuilding, in my position, there is a fund outflow during the particular year. But as you are aware that government, including during the last year, perhaps even during the last two last Defense Acquisition Council, have given a green signal for multiple projects, what I had listed out earlier. So, the government focus on warship building is there and it is evident from the fact that the AON is being accorded and the RFPs are being promulgated online by both the major end users, that is the Navy and the Coast Guard. And also, the fact that these RFPs are getting translated into contracts. That's why my first statement was that the NGC project is live and we are the L1. The other value is to the tune of INR 33,000 crore only for us. So, this figure what you have mentioned is perhaps the fund outflow that is anticipated from these projects during a particular financial year. And that depends upon the project maturity. Now, another aspect is that both the services, the Maritime Services, both the Navy and the Coast Guard have absolutely clear roadmap and stated perspective plans, which have been approved by the Government. So, to answer your question, the figures that you have stated does not reflect

the intent of the Government or the progress made in this direction. Thank you.

Amit Dixit: Great, sir. Very comforting. The second question that I have is, again taking a step back, it's a very macro kind of question. Considering the current warfare that is there and the TCPR of the Government, where there is a lot of focus on autonomous vessels, on drones, on new age electronics. So, where do you think the traditional platforms like corvettes and destroyers stand or stack? Isn't the relevance of these traditional platforms declining? That is part one. Part two is that how GRSE is gearing itself for maybe this autonomous kind of vehicles or vessels or some kind of modern ships or the small ships that are being increasingly used in modern warfare. So, are there some investments that we are kind of making in that front or what is your strategy on that? I mean, it's a five-year question, not something that can be done in next year or something. So, just wanted your thoughts on this.

P. R. Hari: Thank you. You are absolutely right that there has been an increased focus on autonomous vessels. What is visible outside is the fact that the current situation has brought the focus of the Government to the fore. But otherwise, again, the Indian Navy has got and promulgated autonomous roadmap almost, which was promulgated almost three years back, even before the current situation escalated to the state where it is now. So, it is just that for us outside the realm of direct warfare, this is coming to focus. Now, even while autonomous platforms, be it subsurface, surface, or aerial, have been, are being, and will be utilized in a larger manner, larger focus, the conventional platforms would continue to remain because these conventional pl

atforms, 1) they provide heavy-duty muscle in terms of armament. 2) they have huge endurance, sometimes endurance to stay more than three months at sea. So, these conventional platforms would continue to, in my association, and as an experienced individual in this field, conventional platforms of all ranges, be it a fast patrol vessel, or be it an aircraft carrier, or be it a conventional or strategic submarine, this trust and their existence will continue to remain. So, coming to GRSE, GRSE had ventured into the autonomous field as late as three and a half years back, and we started off in all three dimensions that I mentioned, both the subsurface,

surface, and aerial. We have successfully developed both the subsurface and the surface versions, and just to inform you that one of our products has been supplied to, provided to one of the DRDO organizations. We see opportunities here, and we are an integral part, make, that is, Make-I and Make-II schemes which the Government has promulgated, and a few cases where the Autonomous Underwater Vessels, we are very much in the fray. And in the next year, since you asked me what can be the short term and what can be envisaged in the next five years in the short term, what we have developed, we see them gaining, let us say, more standing in the domestic market. And in the long term, that is three to five years, we see the MAKE projects for the XL, that is Extra-Large Autonomous Underwater Vessel project to take shape, and perhaps in the next three to five years we should be able to develop and deliver this project to the customers. So, it is moving in the right direction, and as with many of the defense manufacturers of India, we have a separate

business vertical on the new technology. So, we are focusing on the autonomous platforms, and in the next three to five years, we see the gathering for the momentum.

Amit Dixit: Thank you. Great, sir. Thank you so much, and all the best.

Moderator: Thank you. Thank you. Next question is from the line of Harshit Kapadia from Elara Capital. Please go ahead.

Harshit Kapadia: Yes, hi, sir. Thanks for the opportunity, and congrats for a very good set of results. A few questions from my side. So, first, could you please give us the order book breakup which you generally give across the ship?

P. R. Hari: Sure. Thank you, Mr. Harshit. The order book breakup, as I mentioned, our total order book value is INR 15,324 crores, and about 95 % continues to come from shipbuilding. So, the shipbuilding orders are to the tune of around INR 14,730 crores, and within shipbuilding, the P -17 Alpha project has about INR 5,868 crores remaining, and the Anti -Submarine Shallow Water Craft worth INR 2,035 crores, and the Next Generation Offshore Patrol Vessel INR 5,168 crores. So, the warship building orders are to the tune of around INR 11,361 crores. Coming to the non -defense segment, the Ocean Research Vessel

worth INR 749 crores, the Coastal Research Vessels , two of them we are doing, INR 260 crores, the Acoustic Research Ship , INR 456 crores, the arctic ferries, hybrid ferries, INR 207 crores, the Multipurpose Vessels , INR 1,345 crores, and the dredger, about INR 66 crores remaining. So, what is interesting is that in the non -defense segment, now we have about 22.5 % of our total order book.

Harshit Kapadia: Thank you. Understood, sir. So, my second question is, sir, on the 31st of March when you reported your provisional revenue figures, and on the result day when you gave out the numbers of revenue, there was a huge delta. It was very positive, of course, but what would be the reason for this difference, sir, if you can explain? Because generally, historically, we haven't seen such a huge difference between the provisional number and the actual revenue figures.

P. R. Hari: Okay, very interesting. But are you happy or not happy?

Harshit Kapadia: Of course, sir, very

happy, sir.

P. R. Hari: Okay, since you are happy, I am sure you are keeping track of our progress at the physical milestone. Three ships were delivered on the last day. So, the revenue recognition, the liaison with the Navy, all these aspects are going on. That is the reason why we went for a conservative figure. So, when all this happened and when we formalized the deliveries and handed over the sales revenue, appropriately it was realized from these ships, and the total revenue now comes to our best figures of 7,200. Thank you.

Harshit Kapadia: Understood, sir. Sir, a follow -up question is, sir, on the NGC order, if you remember, sir, the last time when we met, you were very confident that probably we will be getting this order in , but today also you mentioned that price negotiations are going on. You are expecting the order to come soon. So, where is the hiccup, sir? Where is the delay? And by when do you think the NGC order would come? In addition to this, you also highlighted certain smaller projects like 22 water jets and other smaller- sized projects. Now, are there two winners or it will be a single winner, if you can highlight, sir?

P. R. Hari: Okay. Thank you. First thing, I would like to clarify that the price negotiations are completed. Actually, when we directed at that stage itself, the price negotiations were completed. They have been completed. We were expecting the contract to be signed by 31st March because at that point of

time, the contract negotiations, the terms and conditions, those aspects were in progress. We very optimistically appreciated that it would get completed by 31st March. Our current assessment is that the contract will be signed during the current quarter that is June. It is almost the right direction. No red flags so far. Coming to the smaller projects which you mentioned, the first project of Multipurpose Vessels is a single shipyard. There are only two ships out there. The OPV project for Coast Guard, five ships, again, a single shipyard. And the Interceptor Boats , again, is a single shipyard. But the other project, the 120 Fast Interceptor Craft and the P-17 Bravo, the Fast Interceptor Craft 120, it will be split between two shipyards, 80 and 40. That is the likely RFP conditions. And the second project, the P -17 Bravo, again, would be split between two shipyards, four and three, like the current P -17 Alpha project.

The Mine Countermeasure Vessel, the 12-ship project, would be split between two shipyards, eight and four, and the landing platform dock, two and two. But these two, the last two projects which I mentioned are some time-off because I expect the RFPs to come out sometime during the latter half of the current financial year. I think that gives you a broad perspective of the orders in hand, including the breakup plan.

Harshit Kapadia: This is really helpful and thank you for this insight. Wishing you all the best.

Moderator: Thank you. Next question is from the line of Bhavya Gandhi from Bajaj Alternative Investment Management Limited. Please proceed.

Bhavya Gandhi: Yes. My first question is regarding when can we see the revenue booking for NGC starting? And in the intermittent period, you were supposed to have smaller ships where you could contribute to the revenue. So, if you can throw some light, how will the revenue numbers look like for the next two years?

P. R. Hari: Thank you. The revenue booking from NGC, if the contract is signed during the current quarter, we expect the booking to happen during the latter half

of the next financial year, that is FY28. The second half of FY28, we expect the revenue generation from NGC to commence.

Bhavya Gandhi: Percentage-wise, if you can just elaborate, how much would be the percentage booking, percentage booking-wise, for the first two years at least?

P. R. Hari: See, you are specifically asking about NGC?

Bhavya Gandhi: NGC,

yes, NGC in particular.

P. R. Hari: Okay. Let's see. Since we have been interacting over multiple Investor and Analysts Meet, shipbuilding follows an S-curve, which means the initial phase, when the preparatory activities for construction are in progress, the revenue recognition is minimal. Then it picks up as the physical construction starts, in terms of block fabrication, the hull fabrication, where the steel and certain outfit items get into the platform. Then comes the next phase, where the steeper phase, where the equipment gets lowered. And as you are aware, around 65% of a ship's cost itself is equipment. Then the outfit flattens, and the ship is moving towards the delivery, and once delivered, the balance revenue is made. So, considering this aspect, in the first year, assuming, again, we are signing the contract in the 1st Quarter, we don't plan any revenue recognition during the current year, or even during the next half. The next part, what I mentioned to commence revenue recognition, that will be a very mediocre amount, which is coming from the design inputs, which lead to getting the ship ready for construction. The major chunk of the revenue recognition will start from FY29, when the hull construction would have matured, and at least some part of the equipment comes in. So, this is what I can say at this moment. Now, currently, as I mentioned, we have about 39 platforms under construction, and again, as what I stated during this very interaction, that a few of these vessels are in a mature state, where the production progress is very good, as per the contractual timeline. So, we expect that the revenue accrual during the current financial year is going to be very healthy, and in line with what we have been seeing during the last three or four years. And for the next year, that is FY28, we will pad up with the balance projects what are in hand, the NPOPV project, the first vessels,

and the commercial vessels, what we have in hand. And of course, we also expect a reasonable number of orders, which are on the anvil coming our way.

So, naturally, the order book deficit currently is there, will be stemmed up by NGC1, and at least 20%-25% of the balance, what is in the kitty.

Bhavya Gandhi: Thank you. Sir, can we reasonably assume that FY28 will not see dip in terms of revenue, because that's the fair understanding?

P. R. Hari: No, I did not state that. All I am telling is that by FY27, the current financial year, a couple of more projects would get completed, and the remaining projects would give us revenue during the next year FY28.

Bhavya Gandhi: Okay. And, sir, during these two years, how should one look at, because you've been guiding for high-digit EBITDA margin, while NGC will be in the design phase. So, there will be some sort of de-operating leverage also, because your fixed cost will continue to remain elevated. So, if you can guide for at least '28-'29, how the EBITDA margins will look like beyond '27?

P. R. Hari: In case of FY28 and '29, we will try and maintain similar margins. I can only say we will try and maintain similar margins, because at that point of time, the balance projects which are currently in hand, I am talking about the OPV

project or the commercial research vessel projects, they will be getting completed. So, we will try and maintain similar margins during that year also. Okay. Also, in FY28 and '29, the NGC would start giving us revenue, perhaps maybe to the tune of around 3 %-4%-5% of the overall project cost, which is substantial. And the next year, when the construction starts again, the project will start giving revenue. And I also mentioned that what is coming from NGC in the next financial year, second half, from the balance of the projects which are on the anvil, let us take the P -17 Bravo, where there are only as of now, again, like the NGC, there are only four shipyards. And with our kind of experience

and expertise in building these vessels, we stand a very good chance of winning. And this is a very big order. So, even if we go by a conservative figure of GRSE forget L1, even if we become L2, and if the contract follows a similar pattern exactly one year from the time NGC is getting completed. The revenue recognition from 17 Bravo will commence in

FY29. So, the deficit or the gap at this moment is not a grave concern. This is my observation.

Bhavya Gandhi: Fair enough, sir. Very elaborate. Thank you so much for a detailed answer, sir. Really appreciate it. That's it from my end.

Moderator: Thank you. Next question is from the line of Sanjeev Zarbade from Anti que Stock Broking. Please go ahead.

Sanjeev Zarbade : Yes, sir. This is Sanjeev here. Sir, my question was regarding the margins. So, we have done very good margins in FY25 and FY26, aided by the writeback of excess provisions that we would have taken on the various major platforms that we are building. So, for the future, should we kind of adjust for this writeback that we did, to really look at the sustainable margins for the future, which could be around 9% to 10%?

P. R. Hari: Sorry, Mr. Ashish, could you repeat the question, please? Somehow your voice was sounding a bit distorted. Could you please repeat the question?

Sanjeev Zarbade : Yes, sir. What I was saying was that we did 8.3% EBITDA margin in FY25 and then 11.6% in FY26. Now, if we look to maintain margins, then should we adjust for the benefit that we received from the writeback that we took in the 4th Quarter of FY25 and FY26? Is that the right way to look at how the margins will play out for the next three - four years?

P. R. Hari: Yes, all I can say, frankly, the question was not clear purely, not because of the thing that I couldn't decipher properly. The voice is a bit distorted, but what I understand is you are asking about the EBITDA margin trend, what will continue in the current financial year. I can assure you that the current financial year, the margins are going to be similar. That's what I understand you asked, because it's not clear.

Sanjeev Zarbade : I was asking that if we adjust for the benefit that we took on account of the provision write -back in the 4th Quarter of FY25 and FY26, sustainable margins are around maybe 9.5% to 10%. So, that is the way margins should work out

for the future, or we should go by the current level of around 11.5% margin that we did in FY26?

P. R. Hari: We will be able to maintain similar margins, what you said last. We will be able to maintain similar margins in the coming year, that is the current year.

Sanjeev Zarbade : That is 11.5%?

P.R. Hari: I really can't say the exact, but all I can say at this stage, we are only in the 1st Quarter. All I can say is that we will be able to maintain similar margins.

Moderator: Okay, that's it. Thank you. Thank you. Next question is from the line of Raj Shah from E nam. Please go ahead.

Raj Shah: So, my first question is regarding the possibility of revenues in FY28 from the aftermarket space, basically the spares for the platforms that we have delivered in the last two, three years, say survey vessels and the earlier frigates that we have delivered. Do you see that spare revenue starts throwing up, say, in the next two years, which could be a way to increase margins?

P. R. Hari: No, you are mentioning that ships delivered during the last two years. Yes. What is the question?

Raj Shah: Yes, so for the ships that have been delivered in the last two to three years, will the spare sales for those ships start reflecting in our numbers in the next two, three years, which could be a reason for margin of upward trajectory?

P. R. Hari: I will tell you this way. In the last two years, the ships which were delivered, one, of course, is the P7 Alpha project. We have delivered two of the ships and survey vessels we have delivered

four of them in the last year and the previous last two years, and four of the Anti -Submarine Water Craft projects. All of these projects are high -value projects and all the orders for this equipment, the re is spares and equipment, were placed much earlier and these prices were fixed. So, we did not find any escalation coming or any impact. So, the margins are intact. They have not been affected by any of the

market fluctuations. I am not sure that that is the question which you asked because the question was not clear, but we have been able to maintain good margins on these ships, these three projects.

Raj Shah: No issues. Sir, regarding this export market, do you see any new orders that you are eyeing up or any possibility of orders that will be coming in the next year or two?

P. R. Hari: Yes, definitely yes. Definitely yes because most of the European ship owners are now looking at India because of two reasons. One, their standard destination, that is China, Korea, they are jam -packed with orders. So, that is one reason. And the second reason is that they have found that the Indian pricing is affordable for them and competitive for them and so is the quality of the business. So, a few of the European clients are in dialogue with us and I am very confident that in the next year or so we should be able to conclude more contracts for commercial vessels, especially from the European market.

So, we see opportunities in this.

Raj Shah: Okay, got it, got it. That's it. Thank you.

Moderator: Thank you. Thank you. Next question is from the line of Kavish Parekh from 360 One Capital. Please go ahead.

Kavish Parekh: Hi, sir. Thanks for the opportunity. While you did highlight that the order for NGC could be signed sometime in this quarter, could you also share more details on the likely vendor ecosystem for the project, including the potential key suppliers and their respective workshares?

P. R. Hari: See, yes, we are expecting the order for the contract for the NGC to be signed in the current quarter. And for the next projects, that is the 120 FAC, 31

Waterjet FAC and the 17 Bravo projects, we expect the RFPs to come out in the next three months. Also, I had mentioned that three of the bids are currently live. So, the MPV, the bid submission has already taken place. And for the OPV for the Coast Guard and the interceptor boats, as I appreciate the bid submission is towards the end of this month or early next month. So, conservative time if we take for the smaller projects, from the time the bid is

open, the contract would get signed within six months. And for the large project like 17 Bravo, based on our experience with NGC could take up to a year, nine months to a year.

Kavish Parekh: So, sir, what I was trying to understand is, specific to the NGC program, who would be the key vendors for you for the project? And it would also be helpful if you could share the electronics content within the overall program. So, what proportion of the program value could be attributable to electronics and which major systems would this include?

P. R. Hari: You are specifically asking about the NGC project with respect to our downstream vendors. In the NGC project, about 65% of the overall project cost is for the equipment and systems. And of this 65%, approximately about 55% to 60% is accounted by the electronics, that is the weapons, sensors, and associated electronics. And the balance, that is around 40 % to 45%, comes from the machinery and systems, that is like the propulsion engines, the air conditioning plants, and the associated machinery systems, and also the steel.

So, a large chunk of electronics, of course, comes from our sister PSU, Bharat Electronics. And since the field is competitive, there are a few other Indian OEMs who are in the fray . Does that answer your question, or do you want more information? Just for your information we have already started

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discussions with several of the OEMs as part of the preparation for the project. And once the contract is signed, we will be placing the downstream

orders. So, we expect the first of the downstream orders to be placed within three months of signing of the contract, and between three to six. You see here, the customer is also involved, because since it is a big project, a weapon -intensive project, the customer is also associated when the technical specifications are finalized. So, the majority of the orders will be placed between three to six months of signing of the contract.

Kavish Parekh: This is super helpful, sir. So, given that, like you said, BEL will also have a role in this program, fair to assume that once you are able to sign the contract with the customer, the contract with BEL will be signed somewhere around three to five months, three to six months after your contract signing with the customer. Is that fair to assume, sir?

P. R. Hari: Absolutely correct.

Kavish Parekh: Perfect. Thank you so much, sir, and all the very best. Thank you.

Moderator: Thank you. Next question is from the line of Harsh Mulchandani from Toro Wealth Managers, LLP. Please go ahead.

Harsh Mulchandani: Thank you for the opportunity. Sir, we have discussed that right now we are seeing good momentum. Even we have inquiries from the European companies because of our pricing advantage. So, do we have enough capacities to take large orders from them, and is there a possibility to aim for even higher margins than what we have seen in the current year, which is obviously very good, but because we are globally competitive and we have good quality also, can we position ourselves as a higher margin player also going forward from the company perspective?

P. R. Hari: Yes, the opportunities are good, and the current projects we have taken because we wanted an entry into the commercial ship building segment. So, when we follow this current order with more orders, definitely we will be going for projects with higher margin and perhaps with more order value. Just to give you a perspective, the project what we have taken on is a multi -

purpose vessel, which is a medium -sized, state order value remaining is around INR 1,400 to INR 1,500 crore. If you just take any of the naval projects, be it additional Anti -Submarine Shallow Water Craft project, those ships are very small ships, but weapon -intensive ships, and the cost per ship is around INR 675 crore. So, it almost comes to around INR 5,000 to INR 5,500 crore. So, what I am trying to convey is that while the commercial ship building export market looks attractive, the money and the margins are very much within warship building.

So, what I had stated in the beginning of this discussion that about INR 1,50,000 odd crore of RFPs which are on the anvil, so there is enough in that segment to meet the order book or profitability aspirations of the company. However, the commercial ship building projects which are on the anvil, what we will be looking for is something that is definitely with good margin and projects which are attractive, like let us say hybrid platforms of large -size

vessels with complex proportions which are challenging as well as attractive. To answer your question in a nutshell; yes, we will be going in for commercial ship building projects. You can see a few of them coming up in the next year or so with reasonably good margins. Otherwise, we would not go in for any projects with low margins, especially when we are concerned with commercial ship building export orders.

Harsh Mulchandani: Got it. Thank you. And just one more question. I had to understand now with the commodities, prices increasing, etc., so I am assuming we would have an arrangement with the clients for cost pass-through. But I just wanted to get a sense that is there any delays in general that we see with respect to these cost pass-ons or i

t is these negotiations happen simultaneously on a monthly basis? How does it work on ground?

P. R. Hari: Thank you. Yes, there is a deviation or the escalation with respect to the cost of commodities there has been an impact. And so has there been an impact with respect to time.

Now, coming to the cost factor, all the projects that we are currently executing, we have factored this and orders were placed much earlier. So, cost escalation with respect to the existing orders that we have for the

ongoing projects. The time delays are marginal because what we have seen is that where minor delays with respect to steel or the industrial gas which contribute towards fabrication within the premises, yes, there is a very, very marginal insignificant impact which we are able to absorb in the overall scheme of things. For all the new contracts which we are yet to sign or where we are bidding, we will factor this aspect of uncertainty also. In the existing contracts, just to say, all the contracts are fixed price contracts and so are our orders with our subcontractors or vendors. So, there is no impact as such.

Harsh Mulchandani: Got it. Okay. Thank you.

Moderator: Thank you. Next question is from the line of Rahil Dasani from MAPL. Please go ahead.

Rahil Dasani: Yes. Good afternoon and thank you for this opportunity. I have a specific question regarding the ASW Vessels. Are we still left with some equipment, fitment on our vessels, the ones that we have commercialized, especially as I believe without complete fitment post-delivery, we don't get the PBGS amount back, which I believe is some 10%. And from what I know, we were

left with a Sonar installment.

P. R. Hari: Can you repeat, please? I didn't get the question.

Rahil Dasani: ASW Vessels, the Anti-Submarine Warfare Vessels, the few that we have commercialized and that are in the water as of date, I believe that without fitment of all the equipment on it, usually the Government doesn't give us the PBGS amount, which is usually 10% of the whole tender, if I am not wrong. And from what I know, we were left with the installment of the sonars on those vessels.

P. R. Hari: Okay. Since you asked a specific question, I will try and give a very clear answer. The stage payment for the naval projects as per the DAP, the Defense Acquisition Procedure, are absolutely clear. These are covered in 15 stages of payment, with the 14th stage coming at the time of delivery and the 15th stage, that's the final stage, coming after one year of warranty. And to answer your question with respect to sonar, there are two types of sonar in the ship. One is the fixed sonar, hull-founded sonar, which has already been installed, and the variable depth sonar, it is a developmental item. It's a buyer-furnished item. So, we are not impacted by the non-availability or availability of that item. What I am trying to say, there is no financial impact with respect to the bank guarantee or PBGS, the firm's bank guarantee.

Rahil Dasani: Got it. That's very clear. And from what I understand, it's in the development phase maybe, and we haven't installed it yet but there is still no financial liability on anything of the sort, right?

P. R. Hari: Absolutely.

Rahil Dasani: Got it. And with the upcoming NGC and the NGOPV, do they also have a similar sonar profile to the ASW, both surface as well as underwater sonar?

P. R. Hari: No, this is confidential information. You are asking me the weapon fit of a naval platform. You would like to --

Rahil Dasani: Got it. But maybe if you can share at what stage of development is this sonar that we have to still work on, or do we see that getting further delayed?

P. R. Hari: This particular question, I would suggest you get it in touch with my Company Secretary. Thank you. Thank you.

Moderator: Thank you. Next question is from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil

I Shah: Yes, sir. Thanks for the opportunity. Sir, I missed a few points early on. And what I understand is that the P-17 Bravo is broken up between four and seven. There are other two big ticket size orders which you mentioned, the INR 32,000 crores and the INR 35,000 crores. I believe those order announcements could be scheduled in FY28. Sir, the order and the breakup, could you kindly just repeat it for me, please I just missed that.

P. R. Hari: Thank you, Mr. Shah. The P-17 Bravo, the total number of ships is seven. And as per the AoN accorded by the Defense Acquisition Council, this is the open-source information. The project will be between two shipyards, that is four and three. The L1 will get four and the L2 will get three. Coming to the next two projects, that is the mine countermeasure vessel project. It's a 12-ship project. The AoN value is around INR 32,000 crore. And it will be split between two shipyards. L1 shipyard getting eight and the L2 shipyard getting four. Coming to the LPD project, the order, the AoN, as my memory goes, it's around INR 35,000 crore. And it will be two plus two. These are the big-ticket size order, what I mentioned.

Sunil Shah: Right. Sir, thanks. Thanks for sharing this. And this could be expected by FY28. So, sir, my context is with your tenure. So, would we all hear this great news whenever it certifies from your kind self in FY28 itself? How does it work I just want to know that, sir.

P. R. Hari: The first part to answer and second part you may have to ask again. The first part we expect the RFP for P-17 Bravo to come out in the current quarter. And the RFP for the other two projects could come by end of the financial year. So, if the RFP for the P-17 Bravo comes by 1st Quarter, then the contract could be completed as early as end of the current financial year, that is FY27, going by the NGC trend. And the other two projects in the next financial year.

Sunil Shah: Yes. Sir, about your tenure in the organization, sir, more than the orders. So, you are there in this financial year as well in the next financial year or the baton would be for someone else? That's my question.

P. R. Hari: I actually didn't get that.

Sunil Shah: Sir, your post in the organization, so you will be associated with Garden Reach

even in FY27 and in FY28 as well?

P. R. Hari: Yes, definitely.

Sunil Shah: Thanks. Thank you so much, sir. Thanks for all this.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for the day. I now hand the conference over to the management for the closing comments.

P. R. Hari: Thank you. And thank you Concept for arranging this conference. It was an interesting session. And we had a few interesting queries during the session.

And as usual, I look forward to the Investors and Analysts Meet and looking forward to interacting with you all after we announce the Results for the next Q1 FY27. Thank you.

Moderator: Thank you, sir. On behalf of Garden Reach Shipbuilders & Engineers Limited, that concludes this conference. If you have any further questions, you may send an email to gaurav.g@conceptpr.com

. Thank you all for joining us. And you may now disconnect your lines.